# Dalmia BharatLtd (DALBHARAT)

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# Call: Aug 2022

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A Dalmia Bharat Group company, www.dalmiabharat.com

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Scrip Code: 542216 National Stock Exchange of India Limited
“Exchange Plaza”, Plot No. C -1, Block G
Bandra - Kurla Complex, Bandra (East),
Mumbai - 400 051
Symbol: DALBHARAT
Subject: Transcript of Q1 FY23 – Earnings Conference Call

Ref : Regulation 30 of SEB I (Listing Obligations and Disclosure Requirements) Regulations, 2015.
Dear Sir/Madam,

In terms of Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirement), Regulations 2015, please find attached t ranscript of the Q 1 FY23 Earnings Conference Call held on August 05 , 2022.
The same will also be uploaded on Company's website: www.dalmiabharat.com.
We request you to please take the same on record.
Thanking you,
Yours faithfully,
For Dalmia Bharat Limited

Rajeev Kumar
Company Secretary



“Dalmia Bharat Limited Q1 FY23 Earnings Conference Call”

August 05 , 2022

MANAGEMENT : MR. PUNEET DALMIA – MD & CEO, DALMIA BHARAT LIMITED
MR. MAHENDRA SINGHI - MANAGING DIRECTOR & CEO, DALMIA CEMENT BHARAT LIMITED
MR. DHARMEN DER TUTEJA - CFO, DALMIA BHARAT LIMITED
MR. RAJIV BANSAL - PRESIDENT & CHIEF

TRANSFORMATION OFFICER , DALMIA BHARAT
LIMITED
MS. ADITI MITTAL - HEAD, INVESTOR RELATIONS ,
DALMIA BHARAT LIMITED
MR. SHOBH IT SAXENA - INVESTOR RELATIONS


Moderator: Ladies and gentlemen, good day and welcome to the Earnings Conference Call of Dalmia Bharat Limited for the quarter ended 30th June 2022 . Please note that this conference call will be for 60 minutes and for the duration of this conference call, all participant lines will be in the listen only mode . This conference call is being recorded and the transcript of the same may be put up on the web site of the company. After the management discussion, there will be an opportunity for you to ask questions. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone.
Before I hand the co nference over to the management, I would like to remind you that certain statements made during the course of this call may not be based on historical information or facts and may be forward looking statements. The forward -looking statements are based on expectations and projection and may involve number of risks and uncertainties and other factors that could cause actual results, opportunities and growth potential to differ materially from those suggested by such statements.
On the call, we have with us, M r. Puneet Dalmia - MD & CEO, Dalmia Bharat Limited; Mr. Mahendra Singhi - Managing Director & CEO, Dalmia Cement Bharat Limited; Mr. Dharme nder Tuteja - CFO, Dalmia Bharat Limited; Mr. Raj iv Bansal - President & Chief Transformation Officer and the other m anagement of the company. I would now like to hand the conference over to M s. Aditi Mittal - Head, Investor Relations. Thank you and over to you, ma'am.
Aditi Mittal : Thank you, Steven. Good morning everyone. Welcome to Q1 FY23 Earnings Call of Dalmia Bhar at Limited. Hope you all had a chance to go through the results and the earnings presentation which we filed with the exchanges. If not, the same can be downloaded from our website from under the investor section. I will now hand over the call to Mr. Dalmi a for his opening remarks.
Puneet Dalmia : Good morning everyone. It gives me great pleasure to welcome all of you for the Q1 FY23 Earnings Call of Dalmia Bharat Limi ted. Today, as we interact at the first call of financial year 2023 , I am happy to share that during the quarter, we have delivered industry leading sales volume growth of almost 27% on a Y -o-Y basis. From the same time last year, we increased our capacity by 17% and due to the focused efforts of our team we have managed to increase the capaci ty utilization from 64% in Q1 of FY22 to 69% in Q1 of FY23.
Another area which is a prime focus for us is the sustenance of cost leadership and I am happy to share that on the total cost per ton of cement, we have achieved one of the lowest total cost at Rs. 4,360 per ton. What dampened the operating performance is the continuous upward spiral in the commodity prices and the inability of the price increase in our market to observe the cost inflation. The average fuel cost increased from $180 per ton in Q4 t o $218 per ton in Q1 of this year which is a 20% increase. Against this, the sales price in our region lacked behind materially with a sequential delta of near 3%. In fact, the exit prices came in below the average prices for the quarter and this is the tr end we witnessed across each of our markets. We have seen that in region such as North and Central, the price increase has been quite promising and we believe

that in other regions such as West, East and South, the trend should eventually follow. While operationally we continue the great work by our team, on the CAPEX side, the ongoing committed expansion plan up to 49 million tons is intact and remains on trac k for completion by March 24. During the quarter, we have commercialized 2 million tons of clinker , 1.1 million ton of cement and 41.4 megawatts of renewable

energy capacity . I will ask Mr. Singhi to take yo u
through this detail and all the other operational numbers. Thank you so much and I will be happy to take any questions that you may have later du ring the call. Over to Mr. Singhi.
Mahendra Singhi : Happy morning friends. Thank you Puneetji. Friends, our team is making all best efforts to counter various adverse situations in the economy. We have been able to make promising start on the sales front as growth rate has been 27% leading to the quarterly volume of 6.2 million ton. The revenue for the quarter has increased by 27% Y -o-Y to Rs. 3,302 crores. The realization during the quarter improved in the Eastern and North Eastern market, but South was sl ightly weak and average. There was however a slight flattishness in the prices as we exited the quarter

in June. From the ex it prices, prices have been stable in July, but continue to be on the weaker side due to seasonally sectors ticking in. As a company, returning cost leadership is one of our prime objectives and I am glad to share that on Y -o-Y basis, while cost increase d adversely for the entire industry, the adverse data at 37% was probably the lowest for us and our variable cost pattern came in at Rs. 2,224 per ton.

Friends, I am also happy to share that during the quarter, we have been able to install first floating solar power plant of 3.8 megawatt capacity in Bihar. On the variable cost front, we continue d to experi ence the adverse im pact of higher petcoke and coal prices. During the quarter, our fuel consumption cost increased by almost 20% from Rs. 180 per ton in Q4 FY22 to $218 per ton in Q1 FY23 . So, we are now finally starting to see a decline in prices of petcoke and coal. Given the average price cost in Q1, it stood around $220. The con sumption cost in Q2 is likely to remain higher in the range of around $220 before eventually tapering down. We have seen now the petcoke prices hovering around 180 to 190 and the benefit of this we may see in quarter 3. Our freight cost continu es to be lowest in the industry at 1096 per ton, though there is an increase of 4% Y -o-Y owing to both diesel price inflation and increase in lead distance . That lead distance for the company during the quarte r was 311 kilometers.

Friends, as Puneet just said, again I am delighted to share that we have emerged as probably the lowest cost producer with total cost of Rs 4,360/T. In our journey for enhancing our blended cement, this quarter, we have been able to increase this to 82%. Our various other efforts and initiatives f or becoming copper negative by 2040 , we have been able to bring down our copper emissions to 468 kg per ton of cement which is probably one of the lowest in world cement sector. With regard to capacity expansion during the quarter, we have commercialized almost 2 million ton of clinker and 1.1 million ton of cement. The region wise details of clinker expansion and the plant wise details of cem ent expansion can be taken from our investor 's presentation which is uploaded on our website. Friends, we remain on track to complete this lack of expansion by March 24 and reach 49 million ton. As Puneetji mentioned, we are side by side working



internally to get our ground work ready for future phase of organic capacity addition. Now, this year, we are celebrating our 75 years of independence across the country in approaching our 75th Independence Day. I take this opportunity to wish you a very Happy Indep endence Day and also wish you to celebrate 75th year of independence in a big way. Now, with this, I would like to hand over the call to our CFO, Mr. Dharmender Tuteja who will run you through the key financial results. Thank you.

Dharmender Tuteja : Thank you, Singhiji. Good morning , everyone. Since the major updates have already been covered by Puneetji and Singhiji, I will now quickly g

et into key financial updates. Regarding incentives, this quarter we have accrued income of Rs. 58 crores and the collect ion during the quarter has been Rs. 44 crores. The incentive receivable as on 30th June stood at Rs. 683 crores . For the full year including Murli , we expect incentive accruals to be around Rs. 240 crores for FY23 and FY24 each. On the debt side , we have reduced the gross debt by Rs. 131 crores and the closing debt as on 30th June stands at Rs. 3,009 crores. The net debt to EBITDA ratio as on 30th June was negative 0.08 times. For CAPEX, we have spent close to Rs. 525 crores during the quarter. O ur budgeted CAPEX spend for the full year is in the range of Rs. 3000 to Rs. 3500 crores and we remained on track to achieve that number.

While we continue to tak e initiatives to keep our cost under control, our fixed cost and other expenses on Y -o-Y basis have increased this quarter, primarily due to various plant shutdowns taken in this quarter. New plant commissioned during last year like Murli and Kapilas unit number 2 which were in project phase in the last year first quarter and also increase in packi ng expenses due to increased volume and higher granite prices. In continuation of our strategic initiative of turning carbon neutral by 2040 and using 100% renewable energy by 2030 and in forbearance to our addition of 36 megawatts solar power and 5.4 mega watt of WHRS during this quarter , we have at the board meeting held on 3rd August obtained approval to purchase existing wind turbine generators in Tamil Nadu hiring capacity of 16.5 megawatt from Dalmia Bharat Sugar Industries Limited. In terms of generat ion of power, these machines are equivalent to 7 megawatt of blue capacity, the transaction is on arm’s length basis as determined by an independent evaluer . The transaction cost is Rs. 7.66 crores for wind turbines and the associated spares and Rs. 25 lak hs per year towards lease and license fee for using 709 acres of land . This has escalation clause of 10% once in 3 years and this transition is subject to necessary approvals being obtained from Tangedco and state government authorities. With this, I now o pen the floor for question and answers. Thank you very much.

Moderator: Thank you very much , sir. We will now begin the question and answer session. The first que stion is from the line of Rajesh Kumar Ravi from HDFC Securities . Please go ahead.

Rajesh Kumar Ravi : Congratulations on good set of numbers in a tough environment , I have a few questions, first on the $CO_2$ emissions which we have seen strong fall versus FY22, could you explain what is helping you, you are already on the low side and even in a s hort frame you drive these efficiencies?

Mahendra Singhi : I would say the efforts which we are making for enhancing the blending cement or low carbon cement ratio is one of the major sectors. Secondly, the way we have been able to enhance percentage of renewable power and green fuel that is also helping in a big way and thirdly , the efficiencies which we have been able to put in terms of reducing heat consumption and power consumption and also highlight our power consumption of 64 units per ton of cement is one of the lowest in the Indian cement industry and may be globally also, so these are leftwards as well as better efficiency is resulting in lowering our $CO_2$ emissions .
Rajesh Kumar Ravi : And what is the cement to clinker ratio sir for Q1?
Mahendra Singhi : For the quarter it is 1.67, but month by month it is enhancing.
Rajesh Kumar Ravi : And sir, green power usage in Q1 and AFR usage in Q1?
Mahendra Singhi : These figures you can take offline.
Rajesh Kumar Ravi : And could you share on the Murli operations, what is the status, how has that ramped up for you and what is the total CAPEX to be spend for ongoing projects in FY23 -24 to complete all the proje

cts?
Mahendra Singhi : In this year, what we have said is that w e will be spending Rs. 3,500 crores and during the next year, Mr. Dharmender how much is maintenance ?
Dharmender Tuteja : Can you repeat the question , please?
Rajesh Kumar Ravi : What is the total CAPEX to be spent in FY23 and 24 including maintenance?
Dharmender Tuteja : For Murli?
Rajesh Kumar Ravi : No, total.
Aditi Mittal : So, total budgeted for this year is Rs. 3000 to Rs. 3500, similar number is for next year, what we spend in CAPEX in quarter 1 FY23 is Rs. 525 crores.
Rajesh Kumar Ravi : And status o n the Murli operations, has it stabilized fully and what sort of margins you are making over there currently?
Aditi Mittal : This is the second quarter of operation, typically I think the plant takes about 9 -12 months to stabilize completely and we had star ted the year that during the year about 60% utilization is what we target to achieve as we close the year. So, I think we are on track for that.
Moderator : Thank you. The next question is from the line of Pinakin Parikh from JP Morgan. Please go ahead.

Pinakin Parikh : My first question is on the cost which is based on slide 13, $218 per ton in Q1 FY23 and you have mentioned that the cost will reduce in the second quarter, but based on today's cost prices, what should be this cost in the third quarter, the December quarter by which you will be benefiting from the lower pric ing?
Mahendra Singhi : In my view, this cost can be anywhere between say $170 to $185.
Pinakin Parikh : My second question is on the capacity addition road map, we had come out and announced a roadmap of 2 030 capacity at 110 to 120 million tons, in the interim we have seen two large business houses, cater the capacity addition plants tha t they have had, what is Dalmia's view of roadmap 49 million tons to 110 million tons, because we have not seen followup announcement come through so far?
Rajiv Bansal : So, I think right now , we are just evaluating which regions to invest in and our announcement plans are a little bit more delayed than what we had promised this year, but we will come back as an d when project s get moved closer to finalization and we will announce it.
Pinakin Parikh : Just to clarify that, 110 million tons plant still remain s on table or would you take a relook at it given the industry dynamics?
Puneet Dalmia : No, in fact, we think that Adani is a positive in this sector, it will lead to more consolidation and our belief is that sector attractiveness has gone up. So, our plan s remains intact, first with volatility in the world, there will be some t urbulence along the way, but we believe that India is poised very well amongst the major economies . Even despite inflation, our current GDP growth has forecasted to be around 7 -7.5% this year. I think as our leadership in the central government has managed most volatility relatively much better than other economies, the pandemic, the war, the inflation, so I think overall we have a big faith in the India's future and we will continue to invest and we believe that sector attractiveness has gone up and more consolidation will happen.
Modera tor: Thank you. The next question is from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia : The first question is on the renewable power, we are adding really chunky capacities this year in 1Q and in the coming quarters as well, is it possible to explain us some bit of, how do we see cost income and utilization levels in FY24 from these plants?
Mahendra Singhi : Yes, if you just look at the operational cost without interest in depreciation, it is then just 25 t o 30 paisa per unit in comparison to now presently what the cost is of say Rs. 8 to Rs. 9 of captive power plant or may be Rs. 7 to Rs. 8 of grid, so this is one part and we are able to utilize f

ully
the renewable power or the solar power and in future wind power als o because at the moment whatever power would be generated during the day time from solar that would all fully be consumed.

Sumangal Nevatia : And what sort of utilization level should we factor in 15 -20% for solar and north of 80% for waste heat recovery?
Mahendra Singhi : So, in totality we will have about 172 megawatt of power both from solar and WHRS by end of the year and accordingly it may be around s ay 16% of the total consumption and maybe these figures will be reconfirme d shortly .
Sumangal Nevatia : And just a clarification on the power & fuel cost that you said, $220/T was Q1 and how do we see this , $170/T to $180/T is for 3Q or that is 2Q level that we are expecting?
Mahendra Singhi : Q3.
Sumangal Nevatia : And is it possible to share some directional sense on 2Q and will it keep inflating in 2Q and then see a drop ?
Mahendra Singhi : In Q2, it may be ranging around say 195 to 200.
Sumangal Nevatia : My second question is on the future growth that of course we a re in the evaluation stage where we expressed, but from say 50 to 110 million ton , like we had seen in the past overall o ur contribution from inorganic growth has been quite substantial, in the future are we seeing any inorganic opportunities or the future growth will largely led by organic growth only?
Rajiv Bansal : Sumangal, Rajiv here. I think when we are looking at our growth from 49 million ton to 110 to 130 by FY21, I think it will be a mix of both organic and inorganics. I think as Puneet was saying in his reply earlie r, we see the entry of Adani lead to more competition in the industry and I think there will be a lot of opportunity for we have been looking at good inorganic assets, so I think we are open to both. I think we will have to keep looking at all the opportunities in front of us, whether organic or inorganic, but the objective is that we want to be a pa n India player and reach about 110 and 130 million ton by FY31.
Sumangal Nevatia : But just to extend a small ar gument, in the last 5 -7 years there were lot of assets which were very obviously on the block, given the balance sheet stress, NCLT, etc., currently the industry has been at one level of consolidation, going into future, do we see availability of inorganic opportunities or it will be substantially lower now from current point onwards?
Rajiv Bansal : Again, it is very difficult to predict something like this, but I believe that whether input cost going the way we are going up and EBITDA margin are falling and everybody announcing , you know over the last year is announcing large capacity announcement, there have been as I have been saying over the last 4 to 5 years, almost 90 -95% from the top 5 players, so small players are definitely seeing pressure within market. I think we will have to see how it plays out, but assumption is that you will see a lot of opportunities come up, good asset will come in the block in my view and we will have to see this opens the doors as and when that happens.

Moderator : Thank you. The next question is from the line of Raashi Chopra from Citi Group. Please go ahead.
Raashi Chopra : Just continuing firstly from the previous question on the inorganic growth, one is that a lot of other players are also looking at the inorganic growth as well, so while there may be acquisition targets available, would there enough like everyone to kind of pursue this path one, secondly is to get to this 130 million ton even keeping in mind the mix, at what stage would you need to use your auction limestone, that is the question on capacity?
Puneet Dalmia : Puneet here, M&A is always a competitive process and I think there will always be some uncertainty, but I think we have been quite de

cisive in the past and we have demonstrated our ability to close these and turn them around. So, I think depending upon the process, depending upon the target, I think we will have to review this case by case and you will w in some, you will lose some, so I don’t think the competitiveness of an M&A process will go away in a hurry and the only point is that since Holcim has exited India, I expect more competition from domestic

players rather than overseas player in the short r un. Secondly, I think in terms of auction
limestone blocks, I think our approach is to just keep developing projects whether they are
brownfield or Greenfield , some of our land acquisition is in process and overtime as and when
we are ready to announce our projects consistent with our pan India footprint ambition , we will
let you know.
Raashi Chopra : Just another question, is there any update on the employee welfare trust that you had created ,
anything, I am not sure if you have seen any details in the annual report, but were we can get
some details on about the trust corpuses and what the use is?
Dharmender Tuteja : The last trust that was round up, so that was no more and that was never con solidated in the
company, that is why it nev er appeared in the books of Dalmia within the past or even now.
Raashi Chopra: So, it is round up , you are saying ?
Dharmender Tuteja : Yes.
Moderator : Thank you. The next question is from the line of Amit Murarka from Axis Capital. Please go
ahead.
Amit Murarka : My first question was around the region wise plant utilization of volume growth, so could you
just throw some light on that given that you saw good growth this quarter?
Mahendra Singhi : We will not be able to share the region wise volume, but we could say that we had comparatively
good growth in South in compared to East, but in both the region available in North East we
have grown and that has given us 27% growth during this quarter and we do expect also growth
continuing.

Amit Murarka : My second question is on mining land acquisition that you were doing, so could you throw some
more light on it as to what exactly is the plan, by when will it be done and how much of results
accretion coul d happen from this?
Mahendra Singhi : You are referring to which place?
Amit Murarka : The East mining land acquisition that you are doing in East?
Mahendra Singhi : That process is already on and we have been able to get all the necessary government approval s
for majority of the land and we have already acquired some portion of land, so that process of
acquiring that is in full control and we hope that in 1 -1/2 years' time , the whole process will be
complete and may be in 6 months' time , we will be able to al so start ex tracting limestone out of
it, so that way I would say we have full confidence and we have full reserve for many years to
come.
Amit Murarka : And what kind of reserves accretion could happen if you give a ballpark sense on that?
Mahendra Singhi : Once we are able to fully acquire the land and then do certain exploration will be able to share
that, but at the same time we would say that by acquiring whole thing , we will be able to get
more than 20 years reserved.
Amit Murarka : For the Rajgangpur ope ration that is?
Mahendra Singhi : Yes, we are referring to that only.
Amit Murarka : And also, just on slag prices like the cost of clinker production has gone up significantly, so what
is the trajectory that we have seen on slag prices now?
Mahendra Singhi : Slag prices are just matter of generation also as well as requirement of various other cement
companies, but we do expect that there may be 10% plus or minus or may be 10% increase in
slag prices, that is all, but otherwise what we have understood and wha t we have seen from our
own tieups that we will be able to get that slag price also.
Amit Murarka

: But could you just give indicative like number, say like 1500 per ton right now or 1700 -1800
per ton like what is the ballpark range of the cost?
Mahendra Singhi : It would be difficult to project those numbers, though internally we have but very difficult to
project on this call, what would be the number.
Moderator : Thank you. The next question is from the line of Prateek Kumar from Jefferies. Please go ahead.
Prateek Kumar : My first question is on passing pricing, Puneetji mentioned in the opening remarks that East
pricing was lower versus other regions because other regions had better sense in terms of passing

pricing and you should follow, but clearly like while this sense was prevailed in early part of
this quarter, but one of that sense is out of the world and right now prices are down across regions
to probably pre March level, so that case of East pricing going up because other region pricing
are be tter probabl y doesn't stand like so clearly. S o any news there on other regions pricing
falling a decline as well?
Mahendra Singhi : I would say that in South, prices are at the moment stable and in East there is a bit sluggishness,
but may be after two months, when the demand goes up , then there may be possibility for better

prices.
Prateek Kumar : And we see that Adnai's entry is positive for the sector, we are particularly high on non -trade segments like most of the last year, so how do we see non -trade segments generally playing out with Adani and ramp up in this business?
Mahendra Singhi : I don't think impact of Adani Group wholesales will have any impact on non -trade segment as such because non -trade segment is all based on competition and on that part, competition will continue there and then if you are able to compete the way we have been doing it, we would be losing on that part.
Prateek Kumar : What will be our trade mix for the quarter?
Mahendra Singhi : Trade mix for the quarter may be 63%.
Prat eek Kumar : Just the number which was given earlier on incentive accrual during this quarter was Rs. 58 crores , is that right?
Mahendra Singhi : That is right, yes.
Moderator : Thank you. The next question is from the line of Ashish Jain from Macquarie. Pleas e go ahead.
Ashish Jain : Sir, my first question was on this inorganic growth that you are talking about, sir, historically whatever deals and all you have seen in this sector are predominantly driven by the balance sheet concerns of the larger groups other than weaker industry profitability, so do you see a face where industry profitability could be under pressure for elongated time because if that doesn't happen then I don't know why should we see a massive inorganic growth opportunity for anywhere in the sector because Rs. 1 ,110 EBITDA per ton, the profitability is fairly attractive for the sector, so do you see that concern emerging at all that competitive intensity could increase and there is a prolonged pain on profitability for the sector?
Puneet Dalmi a: Look, mostly the balance sheets of large companies are fairly strong right now. I think some companies in certain pockets may have some balance sheet spread and in this short term, I still believe that there are headwinds in this sector and there is mar gin compression. This quarter is a monsoon quarter, so it will be hard to pass on price increases commensurate to the cost spike,

but I think M&A in my view will not get so much barring a few situation , it may not get driven by stress as much as it may get driven by focus on other businesses or focus on other markets, so my view is that in the short term there is few assets which may be experiencing stress, but larger part of the M&A opportunity may be driven by focus on other businesses, our focus on other markets.
Ashish Jain : Sir,

if I can just extent that point, I would still have thought that if I look at the cement industry today, for most of the groups cement is actually one of the leading businesses, but in that context again?
Puneet Dalmia : Well, I can't discuss individual assets on this call, I mean I hope you will appreciate that and as opportunities will come, all of us will come to know, so I think it is hard for me to discuss individual assets in this call.
Ashish Jain : Sir, secondly on waste heat recovery, can you give some roadmap where our waste heat recovery could be let us say 3 years, 4 years down the line because even on the FY23 target at 16 -17% we seem to be on the lower end versus where our peer aspire to be, can you give like, let us say FY25-FY26 roadmap in terms of how much waste heat is scalable from our existing capacity ?
Mahendra Singhi : I would say that all our kilns will have the waste heat recovery system by end of FY24 except one kiln in South because of heat requiremen t for raw material there, but otherwise all our plants would be equipped with waste heat recovery system.
Ashish Jain : Sir, can you just kind of quantify that in terms of, versus 72 MW in FY23, where could that number be in FY24 or FY25, whatever is the reasonable timeframe?
Mahendra Singhi : That can be shared by Aditi offline.
Moderator : Thank you. The next question is from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.
Sumangal Nevatia: I have some follow -up questions to Mr. Tuteja on this employee welfare trust area, just wanted to understand you said it has been bound down when was this done if you could just share that timeline to start with?
Dharmender Tuteja : That was done about more than a year ago.
Sumangal Nevatia: And is it possible to share and what was the share in their position earlier and why is it not visible in our treasury shares now?
Dharmender Tuteja : This trust was never part of the consolidation, so that will never come in the books.

Sumangal Nevatia: But the re were some shares in their projection , so what is the position, where are those shares

lying right now?
Dharmender Tuteja : They must have sold this with the new buyer which most likely new trust they would have got it.
Sumangal Nevatia: And is there any outstanding loan advances or any other transaction from the parent entities with them now?
Dharmender Tuteja : No, there is no loan. All the loans are repaid long time back.
Moderator: Thank you. The next question is from the line of Satyadeep Jain from Amb it Capital. Please go ahead.
Satyadeep Jain: On th e first expansion I think the company had decided to go slow on Sa tna in light of the Holcim situation, now that we have more clarity on that front, is the management going to ramp up land acquisition in both Satna and Navalgarh and when can we expect the formal announcement on the go ahead or announcement for timeline for these projects in next d ays of growth, again type of that would be I think if I heard it correctly in one of the earlier questions, you mentioned you are looking at other regions and other businesses also as possible inorganic opportunity, what could be the other businesses Dalmi a might be interest ed in if that is correct and if there are any regions that would be more preferred for inorganic growth over the other regions?
Rajiv Bansal : Let me just clarify Rajiv here, I don't think so anyway in the call we have said that we are lo oking at in other businesses, so probably let me clarify that we are not talking about assets on other businesses we have. Having said that from a land acquisition as Puneet was saying in his opening remarks, I think we are fully committed to 49 million to ns for FY24 and our long -term vision of 110 to 130 million tons by FY3 1 stays intact. There are a lot of development s happening in the industry a

s we speak. The world is far more volatile than what it was a year back and there could be a little bit of jump in that short to medium term. I think we have all kinds of opportunities whether organic or inorgani c, I will not like to speak specifically, but in project as if organic or inorganic opportunities, but the market sense is when you're looking at oppor tunities to expand the footprint across India and to that extent whether it is Satna or whether it is Western India or Northern India all of them are being looked actively at.
Satyadeep Jain: Second question would be, I think there is a bit slight changes in the CAPEX scheduled, you possibly compared to the earlier expectation, the ramp down , the expansion in Murli and ramped up expansion in Tamil Nadu, is there anything, is it just market demand supply that is driving that decision, was there anything oper ationally with the asset or limestone that is driving these change in the CAPEX?

Mahendra Singhi : There is no such case or such situation in which it is happening, in fact we have thought that we have to some extent we can announce our capacity in South an d that is why we have added capacity there and in Murli, yes, it may take few more months to start that capacity expansion.
Satyadeep Jain : Just one quick question if I can squeeze, there were apparently some market share loss in the quarter for Dalmia, if I understand correctly if that is correct, was it because of the debottlenecking on maintenance in Rajgangpur or was it a conscious decision to not sent more volumes in the market?
Mahendra Singhi : No, there were no such insta nce where there was short availability of material, so it was not this case.
Moderator: Thank you. The next question is from the line of Sanjay Nandi from Ratnabali Investment. Please go ahead.
Sanjay Nandi: Sir, can you just throw some light on our renewa ble power consumption like what kind of waste heat recovery capacity do we have at the end of the Q1 FY23?
Aditi Mittal : We have about 37 megawatt of waste heat recovery.
Sanjay Nandi: And this year plann ing to take it by how much, FY23 ?
Aditi Mittal: By the end of the year FY23, our receivable energy capacity is projected to increase to about 170 megawatts. The complete details are mentioned in the earnings presentation which has been uploaded on the website, you can get the final details there.
Moderator : Thank you. The next question is from the line of Ritesh Shah from Investec. Please go ahead.
Ritesh Shah: Question is for Puneetji, sir, we have given a stiff target of 110 to 130 million tons by 2030 -31, it impounds a pretty stiff CAGR, now just to remi nd two quarters back and in between we have Adani has actually pop in , wherein they have also indicated that they would look to add another 70 million tons in next 5 years, now India growth story is fantastic, but when we have to look at it from a market s hare standpoint versus profitability, how do we look at this variables, so the reason to ask this question to you specifically is the company has a very comfortable balance sheet and when it comes to execution nobody is going to question. So, I think we be come a key player to determine on market share versus profitability and hence ask this question to you?
Puneet Dalmia : We look at both market share and profitability in the long term and my belief is that the sector attractiveness has gone up as I said ear lier. India growth story is something that we believe and

I think we will do our best, participate in this through Greenfield and brownfield projects as well as through M&A. Now, obviously M&A is uncertain and depending on the competitiveness and the strategic value of the asset, we will decide at that point in time, what is it worth to us and ultimately it will play out the way it will play out, so I think it is hard for me to

really comment

on market profitability in terms of absolute profitability. I think in business scale is importan t and we have realized that. When we start ed, 1 million ton probably one of the most profitable plants in India on a per ton basis but you need absolute profitability and cash flow to grow and participate in the opportunity that is in the offers, so our scale is very important. There could be blips along the way a few quarters, few years could be depressed, if it is a cyclical business that is the nature of this business, but at the end of the day unless you build scale , you will not be able to sustain internal accruals to participate in the cash w hen you won't make money in the cash flow and you won’t make money in the boom part of the cycle, so we have also seen how well Ultratech is consolidated, they may have paid good pri ces for some assets, but once we were able to turn them around and bring them to your own cost structure, reshape the brand , I think we have all those capabilities on bringing the companies to Dalmia efficiency and reshaping them. So, I think after a few y ears of turnaround , these assets become very profitable , so my view is that you have bid this sector if you want to participate in the opportunity that India offers and building scale is a process which could have some turbulence, but it is imperative to participate. So, I think we look at profitability and market share in a long term and we will continue to behave in the same way while maintaining a strong balance sheet and I think we have also guided that our ne t debt EBITDA will remain under two in this phase except it is the sync of some very strategic, very attractive acquisition in which we may preach it, but we may again come down to our desired amount. So, I think that is how we think about it. I don’t know whether I answered your question o r not, but I just share what came to my mind.

Ritesh Shah : Just a followup question, sir, how critical do you think limestone as a resource will be for us in our journey from say now to 110 -130, is that something that we will have to build up incrementally by our options or do we have adequate resources even if one has to look at it post expiries come 2030, is th is going to be a key determinant because we have the other variables in place, I think limestone has one missing variable, if you could provide som e color I think it will help a lot?

Puneet Dalmia : Look, I can tell you one thing that when we acquired Murli and when we acquired Kalyanpur, these were questions which were asked to us repeatedly and we have seen that once we get into an asset there are l ots of innovations which are possible to improve the limestone usage because we have very good R&D in our company, we have very flexible processes in terms of usage of limestone, so many time the reject ratio has gone down and we have been able to improve the usage of the limestone which other companies and erstwhile companies were rejecting. Similarly, once you get into an area we have been able to buy land, we have been able to win auctions and we have been able to augment our resource, so I personally th ink that this is the overrated risk, it is being blown out of proportion. We are very comfortable in all our plants and we continue to augment our resources in a way which is consistent with the long -term sustainable growth of the company and I think we will have adequate res ource in all our plants. The challenge is there in Greenfield project. I think their land acquisition is taking longer than what we think it would and I think that is an area which we would work upon and that is an area where there is some delay from our s ide, but I am sure with the focused approach of our team, overtime

we will be able to develop these tips and

announce the expansion on that. So , my view is that for a large part of our organic plant , limestone is not a risk, land acquisition is a bigger ri sk and I think that is something which we are focused on and it might take little extra, it might be a little bit more expensive than we thought, but in the overall larger scheme of things I think it is not something which is going to derail the growth pla ns in anyway.

Moderator: Thank you. The next question is from the line of Rajesh Ravi from HDFC Securities. Please go ahead.

Rajesh Ravi: There are two questions, first as the follow up on what the earlier participant was asking, so you said that despite this ambitious expansions of 60 to 80 million tons over next 7 years, what one should be mindful is that until it is a major inorganic net debt to EBITDA will be comfortably in the 2x, is that understanding right?

Puneet Dalmia : Absolutely correct.
Rajesh Ravi: And so even that would mean that initial years, the expansions in it could be more comfortable and lat er on only when you have strong OCF would be going forward? Second on the fuel , you mentioned $220 on a per ton basis, given that the fuel mix is dynamic and keeps on changing, would it be prudent if you could share the numbers on a per kilo cal basis, how did these number fair in Q1 versus Q4 and where that stands in Q2?
Puneet Dal mia: I think we had shared the dollar per ton number of petcoke. It is a good proxy for the rupees from million kilo calorie, the fuel mix varies from plant to plant, so I think it is a good proxy in terms of.
Rajesh Ravi: What you mentioned is purely for petcoke, it is not a blended mix of coal and petcoke?
Puneet Dalmia : I know, but it is a good proxy, but I think that numbers Aditi can give you .
Aditi Mittal: So, that 220 is actually a blended cost but on a Kcal it is 2.47 for Q1 FY23.
Rajesh Ravi: And Q 4 what was the number?
Aditi Mittal: 2.07.
Rajesh Ravi: And Q2 currently.
Mahendra Singhi: That we can't tell.
Aditi Mittal: That I would not want to tell, but I thin k…..
Mahendra Singhi We will share in October.





Rajesh Ravi: No issue, I am just trying to, directionally it will go up in Q2 that is what I am more keen on , is that understanding right, before cooling off in Q3?
Aditi Mittal: Yes, considering the inventory, we maintain and the purchase that we are seeing , it is likely to improve probably by a couple of more dollars.
Rajesh Ravi: And last question on, Singhi sir was talking about captive generation cost of Rs. 8 to Rs. 10 per unit, so how have these numbers moved say over Q4 and Q1 or versus last year to current period?
Mahendra Singhi : Wherev er we have found that th e cost of coal and then cost of generating power is higher than to that extend we have brought down our captive power plant generation and has started taking more power either from IEX or from grid, so that way it is the dynamic sit uation in which we have been able to manage our power and fuel cost in that ….
Rajesh Ravi: And last the blended number would be how much sir for this quarter, blended cement production?
Management: It should be around 82% plus maybe 1% or 2% .
Moderator: Thank you. The next question is from the line of Kamlesh Bagmar from Prabhudas Lilladher. Please go ahead.
Kamlesh Bagmar: Sir, one question on the part of capacity addition, I know lot of questions have been asked on that part, but like say if you want to break it up, like say by 2026 or 2027, how are capacities would be coming up because 110 -130 million ton is a target for 2031 and I appreciate that in view of the company, but like say the way the land acquisitions are going on the ground and the way we a re moving our resources, so by 2026 -2027, how much capacities we see because 50 million ton visibility is there, but beyond that there is no visibility?
Puneet Da

lmia : We appreciate that, I think we are working on our plants and we will let you know in due course. We are conscious of the fact that we are delayed by a few quarters on this, but we have to keep some patience, we will come back to you sooner.
Kamlesh Bagmar: And sir, secondly on the part of like that the cost would cool off, but where do you see these margins to get settled in, 1,000 or 1,200 be a good range for the industry to operate as the new competition comes and they want to expand their market share and all those things going into market, so where do you see the ma rgins getting settled or where the Dalmia is more comfortable with the margin range?
Mahendra Singhi : It is past , the EBITDA margin has been hovering around 23 to 28% and I think that margin would be the comfortable margin , but at the moment if you look at the overall Indian cement industry, the margins are now ranging between 15% to 20%, so which is not the comfortable





margin for ourselves as well as any company, so definitely we will be looking at the margin around 25%.
Kamles h Bagmar: And sir, lastly like ours is the only company in the entire cement factor y where we have to more focus on your notes to accounts, like say rather than saying the number, the focus is more to look at the notes to accounts, so can we have like all the adjustments or all the accounting treatments being done at one go, like say on the good will part, we give those announcement or those statements in our account to note, can we curtail it out because that particular announcement or

that particular highl ight is not required anyway, so can't we work on t hose like say getting that good will amortized at one go, I know that in the in the tax authorities mind that would look relatively like say abnormal, but can't we take one hit at one go and clean up this en tire balance sheet?
Rajiv Bansal : Kamlesh, Rajiv here, I think it is a point well taken. I think this year we are , actually we have started initiatives to benchmark our accounting policy, practices with the best in the industry and not in the industry but best in the country and th at is something that you would see as working very clo sely over the next 2 -3 quarters. I think by the end of the year, you will see it cleaning , but this feedback well taken and we will give you an update on that.
Kamlesh Bagmar: And appreciate your work on the way waste heat recovery and solar, great work on that. I appreciate that.
Moderator: Thank you. Ladies and gentlemen, we take that as the last question for today. I would now like to hand the conference over to Mr. Dalmia for closing comments.
Puneet Dalmia: Thank you very much for joining on this call. I wish you and your family a very Happy Independence Day in advance. Please fly the tri color on your houses and we are proud to be an Indian. Jai Hind. Thank you.
Moderator : Thank you. Ladies and gentlemen, on behalf of Dalmia Bharat Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

# Call: Nov 2022

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BSE Limited
P J Towers, Dalal Street,
Fort Mumbai - 400001
Scrip Code: 542216 National Stock Exchange of India Limited
“Exchange Plaza”, Plot No. C -1, Block G
Bandra - Kurla Complex, Bandra (East),
Mumbai - 400 051
Symbol: DALBHARAT
Subject: Transcript of Q2 FY23 - Earnings Conference Call

Ref : Regulation 30 of SEB I (Listing Obligations and Disclosure Requirements) Regulations, 2015.
Dear Sir/Madam,

In terms of Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirement), Regulations 2015, please find attached t ranscript of the Q 2 FY23 Earnings Conference Call held on November 03 , 2022.
The same will also be uploaded on Company's website: www.dalmiabharat.com.
We request you to please take the same on record.
Thanking you,
Yours faithfully,
For Dalmia Bharat Limited

Rajeev Kumar
Company Secretary



“Dalmia Bharat Limited
Q2 FY ‘23 Earnings Conference Call ”
November 03, 2022

MANAGEMENT : MR. PUNEET DALMIA – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – DALMIA BHARAT LIMITED
MR. MAHENDRA SINGHI , MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – DALMIA CEMENT BHARAT LIMITED
MR. DHARMENDER TUTEJA – CHIEF FINANCIAL OFFICER – DALMIA BHARAT LIMITED
MR. RAJIV BANSAL – PRESIDENT AND CHIEF

TRANSFORMATION OFFICER
MS. ADITI MITTAL – HEAD, INVESTOR RELATIONS



Moderator: Ladies and gentlemen, good day, and welcome to the Earnings Conference Call of Dalmia Bharat Limited for the quarter and half year ended 30th September 2022. Please note that this conference call wi ll be for 60 minutes and for the duration of this conference call, all participant lines will be in the listen -only mode. This conference call is being recorded, and the transcript for the same may be put up on the website of the company. After the managem ent discussion, there will be an opportunity for you to ask question. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. As a reminder, all participant lines will be in the listen only mode .

Before I hand over the conference to the management , I would like to remind you that certain statemen ts made during the course of this call may not be based on historical information or facts and may be forward -looking statements. The forward -looking statements are based on expectations and projections and may involve a number of risks and uncertainties a nd other factors that could cause actual results, opportunities and growth potential to differ materially from those suggested by such statements.

On the call, we have with us ; Mr. Puneet Dalmia, MD and CEO, Dalmia Bharat Limited ; Mr. Mahendra Singhi, Mana ging Director and CEO Dalmia Cement Bharat Limited; Mr. Dharmender Tuteja, CFO, Dalmia Bharat Limited; Mr. Rajiv Bansal, President and Chief Transformation Officer and the other management of the company. I would now like to hand the conference call over t o Ms. Aditi Mittal, Head, Investor Relations. Please go ahead.

Aditi Mittal: Thank you, Yashashri . Good morning, everybody. Wish you a very warm welcome on the Q2 FY '23 and H1 FY '23 earnings call of Dalmia Bharat Limited. Hope you all had a chance to go through the transcripts and the results, which has been uploaded on our website, and they can be downloaded from the Investors section on the website. I will now hand over the call to Mr. Dalmia for his opening remarks. Thank you.

Puneet Dalmia: Thank you, Aditi. Good morning, everyone. I hope all of you had a fun and festive Diwali with your family and loved ones. It gives me great pleasure to welcome all of y ou for the Q2 financial year '23 earnings call of Dalmia Bharat Limited.

Globally, we are in the m idst of some very uncertain times with a mixed bag of news flowing in from across the globe. But even in this little bit of unrest , my personal faith and optimism on the economic prospects of the Indian economy is very strong. While all the major economies in the world are currently facing a serious threat of recession, India's sound macro fundamentals, along with our government's prudent economic policies have thus far led us to be more resilient than rest of the world.

I personally believe that the long -term story of India is intact and the next two to three decades really belong to our country. Given a combination of factors, such as our demographic construct, a very large consumer base , the state of organization in the country and the China Plus One policy, I strongly believe that for India to take advantage of this opportunity that lies ahead of



it, and for the government to generate employment opportunities for millions of people who are getting ad ded to the workforce every year - the thrust on infrastructure development , increased public spending by the government and augmentation of private capex is inevitable. And rightly so, the government has recognized this. And over the years, it has increased its allocation towards infrastructure and also created an enabling environment for private investment.

All of this makes me believe that the crucial role that the cem

ent sector is going to play in India's
growth story is going to be very important. Despite the lows of last two years, whether it was COVID or whether it was China led supply disruptions or the Russia -Ukraine war, we have bounced back very strongly as a sector. Hence, I'm personally very bullish on the long -term prospects of the sector and we remain committed to our long -term goal of 110 m illion to 130 million tons by 2031. We had also committed to an interim milestone of 49 million tons by March '24. And I'm happy to say that we are absolutely on track to deliver that on time. This has given us confidence of setting another interim milesto ne of 70 million to 75 million tons by financial year '27. A lot of work has already started on this, but details regarding the same will be shared in the next couple of quarters.

Over the last 10 years, we have grown at a CAGR of 15% and that too without leverage on the balance sheet and having a net debt -free company. At the same time, we have also grown our sales volumes at a similar rate, which has also led to an improvement in utilization. And even when our company has grown at such a fast pace, we hav e never taken our focus off from building long -term cost efficiencies, which has consistently led us to be one of the lowest cost producers in the country. Optimizing cost of production and creating a low carbon footprint is a part of our DNA and is deeply embedded in our operating culture. Considering that the cement sector is likely to grow at 1.1 -times to 1.2 -times GDP over the next 10 years and given the likely consideration in the industry, we see the top four players increasing their market share substantially over the next 10 years.

Now coming to the quarterly performance. We have again delivered industry -leading sales volume growth of almost 13% on a Y -o-Y basis. During the quarter, we have also seen significant margin compression due to steep energy inflation. And I hope that the worst is behind us and with costs moderating , hopefully the margin recovery can be reasonably meaningful in the upcoming quarters. I also recognize the fact that for a company which is growing at a pace at which we are plann ing, we need to create a large pool of leaders , who could help us navigate from where we are today to our vision.

In every phase of growth, we have made significant investments in our people, and we will continue to do that. Hence, we are undertaking an HR transformation program, which I'm personally sponsoring. Under this, we are looking at our policies, succession planning, streamlining our organization structure, the diversity of our people, learning and development and upscaling initiative, including , and looking at inc entive structures of people, etcetera.



I'm personally very happy with the journey that we have achieved so far. And I think this is the time to have conviction in the future and increase our investments in India and our people, and we are going to do exactly that. I think the best for India and Dalmia is yet to come, and I'm very excited about the journey that we have set ourselves on

Mahendra Singhi: Happy morning, friends. My apologies for a little delay. Hope all of you had great festive time, and let me, in advance, wish you a very happy New Year. Now let me start with the operating performance. Now you all have known now so far that it was a very tough quarter for the Indian cement industry, but at the same time, our company has been ab le to deliver a n industry -leading volume growth of 13% on a Y -o-Y basis and which has, in turn led our revenue grow by 15%. While August was an extremely weak month, there has been recovery in September, both in volume and a little bit in prices. Like what Puneetji has shared, let me again reiterate that we have been able to make our total cost comparable or one of the best in the ind

ustry on account
of various cost control measures, various innovative measures our team has taken. And on that account, we ar e quite hopeful for better future also.

Friends, we all have seen the impact of energy prices, both petroleum , coke and coal on overall variable costs. But to us, now it looks like that fuel prices further should not go up, and there may be opportunity of reduction in power and fuel costs, if prices of pet coke or coal comes down and dollar price remains stable. Our logistic cost continues to remain one of the lowest in the industry on account of various innovations, various measures, which our team has tak en with the help of technology also as well as with better sales management also. Our EBITDA for the quarter stood at INR 379 crores, which translates to INR 656 per ton . For the rest of the year, we expect, profitability to rebound due to a combined favor able effect of sales volume, prices and then cost. With a sharp management focus, we have remained one of the lowest total cost producers in the industry.

Friends, we remain committed to continuously explore levers of long -term cost savings and are implementing suitable measures that will enable us to retain our cost leadership. During the quarter, we have commercialized 4 megawatts of waste heat recovery system power and 20 -megawatt of solar power, which takes our total renewable energy capacity to 129 megawatts and which constitutes 24% of our power mix.

Additionally, we have now taken the Board approval to further add 155 megawatts to renewable power. This is beyond 173 megawatts renewable power, which are on track to implement by March '23. With t his, our total renewable energy estimation would be expected to reach 328 megawatts by FY '24. Another lever , which adds to cost efficiency and sustainability is the enhancement of our blended cement. Our focus of last few years has bringing in better resu lts. And now we may say, for us, for this quarter, the blended cement percentage has been 82%, and month -by-month it should go up.

What has been really encouraging is that in South India, which has traditionally been a n OPC market, we have increased our blending to 6 3% as compared to 47% in Q2 last year. This is

testament to our effort on the ground in regards to making blended cement acceptable as well as testament to our blended cement quality. With all these measures, we have been able to bring down ou r carbon footprint to 467 kg per ton of cement, which, in our view, should be one of the lowest in world cement sector.
Friends, like what Puneetji has said, we are on track to achieve our capacity expansion milestone of 49 million tons by March '24. Furth er, in line with our vision to reach on the 110 million to 130 million ton by 2031, we have set another interim milestone of 70-75 million tons by FY '27. And surely, we will come out with the details in a few quarters. Over the last 2.5 years, our capacit y has increased by 40% from 26.5 million tons to 37 million tons and, our teams remain firm and excited on delivering strong execution , both on capex and operations.
Before handing over the call to our CFO, Mr. Dharmender Tuteja, I may like to share that w e are working on in a big way on creating fuel and raw material security, like it has been shared last time also that we have now acquired one coal block and in times to come, that coal block will be able to give us fuel security for our Eastern operations . In addition to this, we have been also working in a big way on ensuring limestone security for a large number of years, and we are happy to share that in each and every plant, we have big limestone security.
Friends, we are expecting that cement industry should be able to perform better in the quarters to come. And we are also expecting better demand in H2, which may also led to better prices and better profi

tability . Thanks for joining. And now let me request our CFO, Sri Dharmender Tuteja, to share his thoughts. Thank you.
Dharmender Tuteja: Thank you, Singhi Ji. Good morning, everyone. Hope you all had a great Diwali celebration. On the capex front, we are on track for the 49 million tons capex by March '24. Of the total capex of INR 3,000 crores plann ed for FY '23, we have so far spent about INR 1,200 crores in H1 and are on track to spend the planned capex in H2 as well. With respect to incentives, we have accrued INR 61 crores in Q1 and INR 119 crores in H1
In terms of collections of incentives, we h ave collected INR 84 crores during the quarter and INR 128 crores in H1. For the remaining six months of the year, we expect to accrue incentives at a similar run rate. The incentives receivable as on 30 th September stood at INR 665 crores.
On the debt sid e, our closing gross debt as on 30th of September stands at INR 3,287 crores, which is an increase of INR 147 crores during H1 this year. So net debt to EBITDA as of 30 th September is 0.32 times .
The Board has declared an interim dividend of INR 4 per shar e. We also continue to evaluate our investment in IEX, and we'll take appropriate call on divestment at opportune times. In furtherance of our long -term governance journey, to adopt world -class practices, we are benchmarking our accounting policies with th e best in class. We'll keep you updated about any changes that get implemented. With this, I now open the floor for question answers. Thank you.



Moderator: Thank you, very much. We will no w begin the question -and-answer -session. Anyone, who wishes to ask a question may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. We have our first question from the line of Indrajit Agarwal from CLSA. Please go ahead.
Indrajit Agarwal: I have a few questions on the expansion pipeline that you have earmarked. So when we look at 70 million to ns to 75 million tons, how important would inorganic expansion be? And on that note, are there any particular geographies that we are more keen about or want to avoid? And what is the kind of ROC Es or valuations for inorganic expansion that we look for?
Mahendra Singhi: I would like to share with you that we always are having specific programs and plans for organic growth. And at the same time, as and when there are opportunities of any inorganic growth, we do evaluate. And we are open for any region. But a t the same time that any inorganic expansion needs certain criteria. Otherwise, we are no w planning for 70 million tons - 75 million tons for the next three years to come.
Indrajit Agarwal: Sure. But would you think that in East, we will be restricted by C CI and Competition Emission issues, or we still would have scope, if you want to spend in East and South as well inorganically?
Mahendra Singhi: Let opportunity and the time come, and then we'll examine that.

Indrajit Agarwal: All right. Sir, on the Bihar grinding unit, the land acquisition continues to be delayed. So what exactly are the bottlenecks that we are facing now, and what kind of line of sight you have on that expansion right now?
Mahendra Singhi : We are hopeful that we'll be able to commission Bihar grinding unit by March '24.
Indrajit Agarwal : Sure. And my last question is on the limestone mine acquired at a hefty premium at almost 190% odd. So what kind of -- is it more banking on blending it with the existing limestone we have? Or do you thi nk stand -alone that mine, we can be profitable by making cement or clinker and cement of that mine? So what is the thought process on that kind of premium t

hat you or the industry is seeing right now?
Mahendra Singhi : You have rightly said there may be a blend of limestone, which may be available. And at the same time, let new deposits come in because we also are aware that now government is quite buoyant on exposing new li mestone deposit and go for auction. So wherever we have acquired limestone blocks, where there's an active premium, we are expecting few more blocks to come and that may help. But otherwise also like the cement industry would be growing at good growth. So that would be helpful.


Operator : Thank you. We have our next question from the line of Rajesh Ravi from HDFC Securities. Please go ahead.
Rajesh Kumar Ravi : I have a few questions. First, the housekeeping, can you share the incentives booked, received and outstanding in current quarter?
Dharmender Tute ja: During the quarter, we have received INR 84 crores. And as of the quarter -end, we are having INR 655 crores of receivable.
Rajesh Kumar Ravi : INR 84 crores received and INR 655 crores outstanding. And how much was accrued in this quarter ?
Dharmender Tu teja: INR 61 crores.
Rajesh Kumar Ravi : INR 61 crores. Second question pertains to what is the per kilo cal fuel cost in Q 2?
Dharmender Tuteja : That's INR 2.52.
Rajesh Kumar Ravi : Okay. And Q1, it was?
Dharmender Tuteja : For Q1, INR 2.47, marginally increased because of the higher pet coke prices.
Rajesh Kumar Ravi : And do you see this meaningfully softening in Q3?
Dharmender Tuteja : That's right.
Rajesh Kumar Ravi : So is it fair to assume below INR 2 per kilo cal?
Dharmender Tuteja : No, not that much , but in line with the pet coke prices fall, maybe we can expect around 10% reduction, at least.
Rajesh Kumar Ravi : And sir, any softening in the -- will it also -- this falling full prices also will reduce your electricity generation costs?
Dharmender Tut eja: Yes. But we have already taken actions to reduce our generation costs by moving to the grid and other avenues.
Rajesh Kumar Ravi : So like how much was the average cost, sir, in Q2? And what are you looking in Q3 on the electricity generation cost?
Dharmender Tuteja : For the current quarter, it will be INR 6.90 paisa blended.
Rajesh Kumar Ravi : INR 6 blended, okay.
Dharmender Tuteja : INR 6.90 paisa.


Rajesh Kumar Ravi : INR 6.90 paisa , and sir, this restatement of numbers, again, we are seeing that for FY '22, March '22 numbers, balance sheet numbers have been restated. Why is it continuing, sir?
Dharmender Tuteja : No, that was done in March. It was totally...
Rajesh Kumar Ravi : No, Post March annual report even...
Dharmender Tuteja : So that was done in th e last quarter when we merged Murli and DCBL because that is retrospectively implemented from 31st March '20.
Rajesh Kumar Ravi : But because the date came in after the 31st March, that is why these numbers are clearing now.
Dharmender Tuteja : You are correct, sir. And appointed date was as per the NCLT approved order, appointed date was 31st March '20. So we had to restate the previous year numbers also. And that was done in the last quarter itself.
Rajesh Kumar Ravi : In Q1 end only it has been affected, okay. So we don't expect any further restatement of prior numbers hereon?
Dharmender Tuteja : I don't think we do.

Rajesh Kumar Ravi : And lastly, on this 26 million tons relatively we're looking to add over the next three y ears or FY '25 to FY '27, could you give some sense of how much of this is organically have planned for?
Mahendra Singhi : 49 million tons, it is all due to organic and..
Rajesh Kumar Ravi : Right. So this is done, right?
Mahendra Singhi : Yes. For balance, like we said that we wi ll be sharing details in few quarters to come. But at the same time, it's difficult to identify any inorga

nic number, and that's why all these numbers are organic.
Rajesh Kumar Ravi : Right, that is why I am saying, these are all organic, which is on the pi peline, this 26 million tons?
Rajiv Bansal : Rajesh, Rajiv Bansal here. See, organic remain same , we want to be a pan India player, and so we keep looking at organic and inorganic opportunities. Singhi Ji and Puneet ha said in the opening remarks. We have t aken intermediate milestone of 75 million tons to '27, details are being worked out. If we see a good inorganic opportunity, which meets our vision and o ur strategy, of course, we'll look at it if we feel it meets the criteria that Singhi Ji was saying in terms o f price and position . But you know at this point of time to tell how much will be organic and inorganic, it will not be possible. I think as a prudent management, we will continually look at all opportunities , organic and inorganic, but we are committed to deliver 75 million tons by '27.


Rajesh Kumar Ravi : So I was just wondering, this current plan is mostly all based on organic, right? Inorganic is opportunistic ?
Rajiv Bansal : No. As you see, when you look at the -- when we do a str ategy planning, we actually assess the potential market opportunity for inorganic acquisitions . So if that doesn't come up, what is the backup plan? You cannot really guarantee something like that happening today . What we are saying that we are committed t o an overall number and w e cannot say that because inorganic didn't happen, we couldn't deliv er the numbers. As management we will always have a plan A and plan B.
Moderator: Thank you. We have our next question from the line of Amit Murarka from Axis Capi tal. Please go ahead.
Amit Murarka : I wanted to understand on the balance sheet side, the debt has gone up quite substantially in the first half. In fact, it has gone up by almost INR 2,000 crores. And I see that most of this is actually a reduction in cas h and cash equivalents and gross debt is almost stable. So while, of the INR 2,000 crores, INR 1,000 crore s, I understand is reduction in value of IEX share. But then there's another INR 1,000 crore s reduction in cash and cash equivalents. So could you hel p understand like why is it so? And I think it doesn't tally up with the cash flow statement. The cash flow statement shows only kind of INR 1 50 crores, INR 200 crores reduction in cash balances?
Dharmender Tuteja : Amit, out of the total reduction, about INR 1,190 crores is because of the reduction in the value of the IEX share, and balance reduction is deliberately planned because when the interest rates are rising, eventually your cost of borrowing goes up and the yield on the treasury also drops, you kn ow the pricing yield curve. So we kept the treasury at a moderate level commensurate to our requirements and the servicing obligation. So this was a planned strategy.
Amit Murarka : But in the cash flow statement release , I can't see a INR 1,000 crore s increase in net debt.
Dharmender Tuteja : It comes at two places , three places, cash and cash equivalen ts as well as financial assets. I'll just clarify on the call. In the, meanwhile we can go to the next question.
Moderator: Thank you. We have our next quest ion from the line of Harsh Mittal from ICICI Securities. Please go ahead.
Harsh Mittal : Sir, just wanted to know what is the price movement from September exit in your core markets?
Mahendra Singhi : I would say to some extent, prices have gone up by INR 2 0, INR 25 in Kerala, maybe INR 10 to INR 15 in Tamil Nadu and not much in Karnataka and Maharashtra . In East markets, maybe INR 5 here and there, not much.
Harsh Mittal : And sir, how much is, sir, with regard to the premium segment share sequentially?
Mah endra Singhi : It's 20% of trade.


Harsh Mittal : 20% for the quarter, and for the past quarter?

Dharmender Tuteja : That's 19%.
Moderator: Thank you. We have our next question from the line of Vivek Ramakrishnan from DSP Mutual Fund. Please go ahead, sir.
Vivek Ramakrishnan : In the middle of the capex plan, I wanted to know what would be our peak debt levels that yo u are looking at over the next two years, looking at '23 and '24? And is there any tar get metrics in terms of debt -to-EBITDA, something that you 'll keep for your capex plan? That's my only question. Thank you.
Dharmender Tuteja : Yes, we had already announced in our capital allocat ion policy that our net debt -to-EBITDA will not cross to 2 :1, unless there is a strategic acquisition, for which t here could be a temporarily blip beyond 2 :1.
Rajiv Bansal : So if can just add t o what Dharmender was saying. See, if it is a secular grow th in FY '27, we expect our net -debt-to-EBITDA to be below 2. But as you know, inorganic opportunities don't come in a secul ar way. So if we get a good inorganic opportunity, for interim perio d, we will have the net -debt-to-EBITDA go up depending on the opportunity, the size and the valuation. But we are committed to ensure t hat on all these basis, our net -debt-to-EBITDA always falls below 2.
Moderator: Thank you. We have our next question from the line of Shravan Shah from Dolat Capital. Please go ahead, sir.
Shravan Shah : Sir, a couple of data points. First is trade share and lead distance for Q2 FY '23?
Mahendra Singhi : The lead distance is 308 kilometers.
Shravan Shah : And trade, sir?
Mahendra Singhi : Yes, trade share is 64%.
Shravan Shah : And the fuel mix?
Dharmender Tuteja : Petcoke is 59%.
Shravan Shah : So the Pet coke 59 domestic coal is how much? Because last time, it was at a 16%, 17%.
Dharmender Tuteja : It's about 14% this quarter.
Shravan Shah : 14%, okay. And with the third question is in terms of -- though you mentioned that mostly even if the inorganic opportunit y, we will not be able to correct them als o organically as we have a plan A and Plan B in terms of to restore 70 million, 75 million tons by FY '27. But in terms of


broadly in terms of the capex for the incremental from 49 to 75%. Will it be fair to assume that close to $100 per ton, that's a fair way to look at in terms of the capex for the incremental capacity?
Dharmender Tuteja : Yes. Can you repeat the question, please?
Shravan Shah : Sir, I'm asking that for incremental capacity addition from 49 million to 75 million tons in terms of let’s assume if you go through the organic way, then the capex per ton , is it fair to assume that $100 per ton, that's the fair way to assume.
Dharmender Tuteja : If you like to say at the moment, once we come out with our pla n, then definitely we'll be able to share the se number.
Shravan Shah : And in terms of the FY '24 and FY '25, FY'24, the capex will still remain at INR 3,500 crores?
Dharmender Tuteja : Yes, should be about INR 3,500 crores to INR 4,000 crores.
Shravan Shah : And even if we assume nothing comes in terms of the inorganic and though we have a target to reach that, and we will be announcing the detail plan in the next couple of quarters. But can you see at least 5 million to 10 million tons, 5 million to 8 million tons will be added by FY '25?
Mahendra Singhi : Yes.
Rajiv Bansal : See, when we announced a plan of 49 million tons about two years back, I think a lot of peo ple told us that it is too aggressive and it may not be possible and we have clearly demon strated that our execution capabilities are the best. And to a large extent what ever we commit we delivered . Now when we committe d to a 75 million tons of asset by FY27, there is a lot of thought that have gone behind in it and it is not the right time detail out the plan at this stage.

But of course, growth will come every year, it is very difficult to put a number to how much will be FY ’25, how much will be FY ’26 because we still have to tie up all the loose end for every single plan that we have . But y es, as you rightly said, we anno unced it in the coming quarters. So but given our track record of having delivering good capex growth and good capacity growth over the last many years , we feel very -very c onfident, and absolutely sure of delivering 75 million tons by FY27
Shravan Shah : And lastly, sir, in terms of the Murli now, how would be the utilization for this quarter and we were looking at 60%, 65% for FY '23. So is that remain intact?
Mahendra Singhi : I would say , yes, it would be between 55% to 60% for the whole year.
Moderator: Thank you. Reminder to participants to press star and one to ask a question. We have our next question from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah : Sir, my first question was on LC3, given we have been quite proactive on the ESG side. How do we see Calcinated Clay actually play out over the next few years? Where is it in the process specific to BIS approval? That's the first question.
Mahendra Singhi : Yes. LC3 is still trying to catch up. An d at the same time, the deposits for the mines of c lay are at few places . So definitely , we have been able to identify such places. At the same time, looking to energy prices because Calcinated Clay also needs lot of energy, a lot of coal, at this moment it may not be viable . But for long run, it may be one of the many available qualit ies of cement which would be used . For LC3 to become popular, it will take four years to five years.
Ritesh Shah : Sure, sir. That's helpful. Sir, my second question is specif ically on the marketplace. We do hear price increases, but we are also hearing about tweaking of the discount structure. So can you provide some thoughts behind why is it happening right now? And how is the company tackling this particular variable in the marketplace?
Mahendra Singhi : Yes. price and discount, they all play a very important role. So as and when we talk of any price increase in our case, we say net of discount , so let's say we have said that in one -- some place this has gone up by INR 10 or INR 30 is net of discount.
Ritesh Shah : All right. Sir, I was just trying to understand how should one look at the discount structure? Like I think it's an industry -wide phenomena where the companies are actually going in the right direction. So the idea w as to understand why is it happening now? And how should one look at it? So we do appreciate on e should look at it on a net basis. I was trying to understand the rational and the thought processes , sir?
Mahendra Singhi : I am not been able to appreciate tha t what sort of discount tweak you are talking. But at the same time, what I'm saying is that when a dealer also talks about his net blended cost, then there's a price declared by the company net of discount and the same also comes to our books. There may be -- there may be different strategies of different cement companies to further layout the dealer. So that's the marketing strategy of various companies in different ways.
Moderator: Thank you. We have a next question from the line of Jashandee p Chadha from Ambit Capital. Please go ahead, sir.
Jashandeep Chadha : So my question is regarding the ongoing capacity expansion. In the last presentation, you have announced around 4 million tons of greenfield expansion in Tamil Nadu. In the latest presen tation, although the y settle 2 million tons is still there, but now it is the remaining 2 million ton of greenfield has been divided in 1 million tons each brownfield in Tamil Nadu and AP . So why -- what is the rationale behind that? And also the expected capacity sp

end, the capex spend remains same despite the greenfield now being converted to brownfield. So if you can shed some light on that ? That would be great.
Mahendra Singhi : It's a dynamic wor ld. So considering the dynamic of the area, we had reviewe d and then we have and finalize that it will be better at the moment to go for one brownfield unit and Ariyalur and



one in Kadappa . And there may be a little bit change of the capex INR 100 crore s here and there, not big because that both would lead to cer tain extra additional infrastructure. But the point is that we go on reviewing it and then now it will be finally concluded.
Jashandeep Chadha : Sir, just a follow up on that, whether the rese rve of limestone and Tamil Nadu, we have the scarcity of lime in Tamil Nadu, i s that also playing a part in the decision, go to AP for brownfield instead of 2 million ton greenfield in Tamil Nadu?
Mahendra Singhi : The same lim estone would be required, whether you put up grinding unit at the same place as the existing Integrated unit or outside the integrated unit . Limestone deposit has not played any role here.
Jashandeep Chadha : And my second question is regarding the slag availability you have been hearing not been availability of slag in each little restrictive right now. So if you can shed some light on that. And also, you have said that your blending ratio will keep on increasing month -on-month. So will you be current availability of slag, is it possible to even increase , further increase of blendin g data? So these are my questions.
Mahendra Singhi : So as far as we are concerned, we have certain tie-ups for Slag also. Otherwise, also, we have arrangement with in steel companies and that’s why we are not facing any problem in regard to availability o f slag . When our blending cement percentage is going up in South, it is mainly PPC, which is using fly ash. So t hat is also not a challenge .
Moderator: Thank you. We have a next question from the line of Sanjay Nandi from Ratnabali Investment

Private Limited. Please go ahead. One moment, please. Mr. Nandi, please go ahead, sir.
Sanjay Nandi : Sir, can you please clarify on the core inventory you're holding as on date or what kind of price thing will be happening in the coming quarter ?
Dharmender Tuteja : Currently, it's about 70 days of inventory. And as we explained about $215 was the last quarter average rate. And currently, although it's fluctuating but its around $195, you can expect that to coal prices to move between $195 to $205 trajectory, so marginally lower. .
Moderator: Thank you. We have a next question from the line of Aman Agarwal from Equirus Securities. Please go ahead.
Aman Agarwal : Sir, you did mention that for Dalmia, we have improved our blending ratio for the South market, which typically used to work on OPC cement. So just want some clarity, does this change or does this shift look sustainable for Dalmia or as a market in the whole?
Mahendra Singhi: Could you repeat ?
Aman Agarwal: Sir, the change that we have -- or the shift we have witnessed in the Southern market from regular OPC cement to the pozzolana cement, fly ash -based cement, does this shift or increase in blending looks sustainable for the Southern market, sir?



Mahendra Singhi: Yes. For us, it's sustainable, because our focus on retail sales, our focus on trade sales is yielding these results. So it will go on going up.
Aman Agarwal: And sir, with this change, how does the clinker ratio for the company as a whole stand now or for South market, how does the clinker ratio improve with this change, sir?
Mahendra Singhi: You are saying clinker ratio?
Aman Agarwal: How is the clinker ratio improved for the South market or for company as a whole with this increase in blendin

g for South market?
Mahendra Singhi: I'll be happy to share the overall company, and it is 1.71.
Aman Agarwal: 1.71, which used to be around 1.4, 1.5 at least for the Southern market, sir?
Mahendra Singhi: So for Y -o-Y basis, it was 1.59 for the company, and now it's 1.71, thank yo u.
Aman Agarwal: And just secondly, if I can add another question, sir. With the upcoming renewable capacity we had just planned that 173 megawatts in FY '23 and a further 155 megawatts that you planned, what's the amount of savings that you expect from th is upcoming renewal capacity?
Mahendra Singhi: So this renewable capacity would give us additional saving from FY '24. And definitely, the delta between the two would be INR 5 to INR 6.
Moderator: Thank you. We have the next question from the line Prateek from Jefferies. Please go ahead.
Prateek: I have just one pending question. On this renewable part, of the -- you mentioned of FY '24 renewable power, what is the WHRS we should have additional post 72 megawatts, which we have talked about for '23?
Dharme nder Tuteja: So the additional RE power, which has been approved, that is mainly in the solar, which is around 107 megawatt and 48 megawatt is wind power.
Mahendra Singhi: So now after we commission our WHRS, all our kilns, except one, will have this WHRS power generation capacity.
Prateek: So this -- we have the 72 -megawatt is a peak WHRS largely, which we may have for current operations by '23, correct?
Mahendra Singhi: Yes.
Prateek: And renewable as a percentage of total power mix will be how much for FY '23 and '24?
Mahendra Singhi: Currently, it is 24% consumption.



Prateek: And this will scale up towards somewhere -- the next two year's course, this expansion which you're talking about in two years?
Mahendra Singhi: So it would be around 36%.
Modera tor: Thank you. We have our next question from the line of Uttam Kumar Srimal from Axis Securities Limited. Please go ahead.
Uttam Kumar Srimal: Sir, my question relates to EBITDA ton. This quarter, we have reported EBITDA ton of INR 653 -- INR 655. So con sidering the demand and softening prices and increased realization, so what kind of EBITDA ton we were expecting in quarter one, quarter three and quarter four?
Mahendra Singhi: We are expecting better EBITDA, this is what I can share with you.
Uttam Kuma r Srimal: Sir, any number you can quantify, if you can?
Rajiv Bansal: No. As a practice, we are not giving guidance to the quarter. But as Singhiji and Dharmender were saying, see the bas ic thing is there's a strong demand environment...

Moderator: I'm so rry, sir, you're not audible.
Mahendra Singhi: So what we were saying is that, we don't give any guidance on EBITDA number, etcetera. But at the same time, you are aware that the demand is becoming better, price may also go up as well, power and fuel cost don't seem to be going up. So accordingly, we are saying that we are foreseeing better EBITDA for Q3, Q4.
Uttam Kumar Srimal: Okay. And sir, one more question with regard to Andhra cement. You had visits for that. So what is the current position there, sir ?
Mahendra Singhi: Present, it is sub -judicious matter.
Uttam Kumar Srimal: And sir, if it comes to us, so what kind of capex we will require for that?
Mahendra Singhi: Let it get concluded, then we'll share with you.
Moderator: Thank you. We have a next question from the line of Girish Choudhary from Spark Capital
Girish Choudhary: Yes. So firstly, if you can talk a bit on your Northeast operations, like how is the capacity utilization, demand and pricing? As a follow -up, you're adding around 1.5 million ton in Northeast, so that's like a 40% increase to your capacity. So how do you see this ramping up?
Mahendra Singhi: I would say there is a good growth in Northeast, not only in cement demand, but o

verall GDP
also. As well the p rojects which are lined up, the capacity which are lined up, both of central government and state government. And accordingly the commitment that Northeast -- particularly Assam government is getting from industries for better industrialization, and also


from the government for better housing. We are expecting good growth, maybe at least for next three years, it can be 14%, 15% growth in Northeast in totality.
Girish Choudhary: But what would be your current utilization, existing capacity?
Mahendra Singhi: So current would be around 70%.
Girish Choudhary: And then, second question for your Greenfield capacities, which are coming up in FY '24 South and also the Bihar plant, so just wondered some sense on where are we in terms of land acquisition and also ord ering of the equipment?
Dharmender Tuteja: So for Bihar, we are almost close to the completion of the land acquisition, and the work should start, as Singhiji already confirmed that by March '24, we get commissioned completely.
Girish Choudhary: And for th e South unit, for the Tamil Nadu unit?
Dharmender Tuteja: Yes, there work is already on.
Mahendra Singhi: So all would be completed by March '24. So whatever commitment we are making, we will be meeting those commitments.
Moderator: Thank you. We have our next question from the line of Girija from Systematix. Please go ahead.
Girija Shankar Ray: Sir, just wanted to check, there is increase in raw material cost. Is this because of fly ash or any other reason?
Mahendra Singhi: Yes. You are right, fly ash.
Girija Shankar Ray: What is the price right now for fly ash?
Mahendra Singhi: Not only because of the price of fly ash, but since I shared with you that our blending percentage has gone up. On that account, the overall consumption of fly ash and slag, that h as gone up. And that's why you are seeing -- there would be little bit increase in fly ash prices also. But then maybe it is because of higher quantity of additive material.
Girija Shankar Ray: Okay. And now like the festive season has already gone, so can we expect a volume of around 6.5 million tons to 7.5 million tons in this quarter, hence like in Q3?
Mahendra Singhi: It is difficult to give the guidance. But then yes, we will be almost 1.5 times of the industry growth.
Moderator: Thank you We have a ne xt question from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.


Sumangal Nevatia: Most of the questions are answered, but just a few top -level questions to Mr. Dalmia. First, I mean, on our medium -term expansion plan, our long -term vi sion is to become a pan -India player. So with this FY '27 plan, do we start moving towards new regions or is it largely consolidation in the existing region? Directionally, if you could guide us?
Puneet Dalmia: I think we will be examining all possibilitie s. And we are developing one of our projects in Central India, where we have a limestone mine in Madhya Pradesh. So I think that project, we have already started to develop. We are also looking at -- it's early stages yet, but I think we

are starting to bu y land and develop projects. We're also looking at buying some land in Uttar Pradesh. So I think our long -term vision is pan India, we are looking at organic and inorganic opportunities all across the country. And it's hard to predict what will happen and when. And -- but we will give you more details once we fi rm up our plans.
Moderator: We've lost the connection of Mr. Sumangal. I would now like to hand the conference over to Mr. Dalmia for closing comments. Over to you, sir.
Puneet Dalmia: Once again, thank you very much for joining us, and thank you very much for a very engaging session, as always. We thank you for your support. Thank you for you

r feedback and look forward to continuing to get your guidance and feedback as we build the company.
As I sa id, we are very excited about India's future and Dalmia's future. And while the world is quite volatile and unpredictable, I think we have great conviction in India, and we are doubling down on our b ets here. And I also want to say that I have a deep convi ction that this decade belongs to India, and the best of India and Dalmia is yet to come. Thank you very much.
Mahendra Singhi: Thank you.
Moderator: Thank you, sir. On behalf of Dalmia Bharat Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

# Call: Feb 2023

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Scrip Code: 542216 National Stock Exchange of India Limited
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Subject: Transcript of Q3 FY23 - Earnings Conference Call

Ref : Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
Dear Sir/Madam,

In terms of Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirement), Regulations 2015, please find attached transcript of the Q3 FY 23 Earnings Conference Call held on February 06, 2023.
The same will also be uploaded on Company's website: www.dalmiabharat.com.
We request you to please take the same on record.
Thanking you,
Yours faithfully,
For Dalmia Bharat Limited

Rajeev Kumar Company Secretary



“Dalmia Bharat Limited Q3 FY23 Earnings Conference Call”

February 06, 2023

MANAGEMENT : M R. PUNEET DALMIA – MD, DALMIA BHARAT LIMITED
MR. MAHENDRA SINGHI – MANAGING DIRECTOR AND CEO, DALMIA CEMENT BHARAT LIMITED
MR. DHARMENDER TUTEJA – CFO, DALMIA BHARAT LIMITED
MR. RAJIV BANSAL – PRESIDENT AND CHIEF TRANSFORMATION OFFICER , DALMIA BHARAT LIMITED
MS. ADITI MITTAL - HEAD, INVESTOR RELATIONS , DALMIA BHARAT LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Earnings Conference Call of Dalmia Bharat Limited for the quarter and 9 months ended 31st December 2022.
Please note that this conference call will be for 60 minutes and for the duration of this conference call, all participant lines will be in the listen on ly mode. This conference call is being recorded and the transcript may be put on the website of the company. After the management discussion, there is an opportunity for you to ask questions. Should anyone need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. As a reminder, all participant lines wi ll be in the listen only mode.
Before I hand over the conference to the management, I would like to remind you that certain statements made during the course of this call may not be based on historical information or facts and may be forward-looking statements. The forward-looking statements are based on expectations and projections and may involve a number of risks and uncertainties and other factors that could cause actual results, opportuniti es and growth potential to differ materially from those suggested by such statements.
On the call, we have with us; Mr. Puneet Dalm ia - MD, Dalmia Bharat Limited; Mr. Mahendra Singhi - Managing Director and CEO, Dalmia Cement Bharat Limited; Mr. Dharmender Tuteja - CFO, Dalmia Bharat Limited; Mr. Rajiv Bansal - President and Chief Transformation Officer and the other management of the company.
I would now like to hand the conference call over to Ms. Aditi Mittal, Head, Investor Relations. Thank you and over to you.
Aditi Mittal: Thank you, Mridula. Good morning everyone. Wish you all A Very Happy New Year and I hope that you all had a great start to the year 2023. We welcome you all to the Quarter 3 Earnings Call of Dalmia Bharat Limited. Hope you had a chance to go through the Results and Earnings Presentation we just uploaded on our website and can be downloaded from there.
I will now hand over the call to Mr. Dalmia for his opening remarks. Over to you.
Puneet Dalmia: Thank you, Aditi. Good morning everyone. It gives me great pleasure to welcome all of you for the Q3 FY23 Earnings Call of Dalmia Bharat Limited. Hope you and your families have had a good start with the New Year 2023. We are meeting at a very opportune time. When the government has just laid out the first Amrit Kaal budget which is certainly a progressive direction by the government of India to give a boost to the technology driven and knowledge-based economy within the country. The budget once again reiterates the government’s focus on building physical infrastructure through a massive 33% increase in allocation towards CAPEX which is Rs. 10 lakh crores this fiscal and the extension of 50-year interest free loan to states.

It is also heartening to see how the government has allocated Rs. 35,000 crores towards reaching net zero emissions and achieving energy transition. Green growth has rightly been listed amongst the seven key priorities of the government. Even while the most global economies are showing signs of slowdown, my personal faith and optimism on the economic prospects of India is quite strong and we truly believe that the next few decades belong to our country.
The cement sector has a very crucial role to play in India’s growth story and I am personally very bullish on the long-term prospects of th e sector. We remained committed to our interim capacity milestone of 75 million tons by financial year 27 and long-term goal of 110 to 130 million tons by 2031. In line with our vision to diversify and build the pan India Cement Company, we have signed defi nitive agreement for acquisition of cement assets of Jaiprakash Associates Limited located in central India. The plants are very st

rategically located and will give us an entry into a very lucrative high growth market of central India. We are very excited about this opportunity as the transaction is at an attractive valuation and comes at a time when we are at the cusp of start of an infrastruc ture and CAPEX cycle and with the private CAPEX also starting to kick in.
Continual optimization of costs is an integral pa rt of our DNA and this has once again let us to deliver one of the lowest total co st per ton and thus translating to an industry leading EBITDA per ton of 1021 per ton this quarter. Even as we grow further, amongst other things, our financial priorities will include improving our capacity utilization, sustenance of our total cost leadership and deliver industry leading earnings growth and ROCE backed by a very strong well capitalized balance sheet. Dalmia Bharat is at an inflection point where we have added capacity, diversified into new regions and now I will personally be spending time upon strengthening our organization and building an institution which is scalable and sustainable.
As we steer towards building Dalmia 2.0, one of my key priorities will be to invest personal time and resources into our human capital and to build leadership teams which are future ready and

aligned to our long-term goals. We are making collective efforts to multiply our people power
and create leaders of tomorrow. As a part of our ongoing HR transformation, we have during the
quarter launched a leadership development program called Lakshya which has a combination of
retention cum performance related metrics and includes personalized leadership, coaching,
trainings and career development programs. We will ensure scalability of our organization
structure through extensive automation and digitization, review of our key policies and systems, strengthen our compliance
and risk framework as per best global practices and increase the trust on fulfilling our ESG responsibilities.
With the swiftness of transformation which I am witnessing across our company and our people,
I believe that we are just getting started and the best is yet to come. I am personally very happy
with all that we have achieved thus far and I am very excited about the journey that we have set

ourselves on. I will now hand over the call to Mr. Singhi to take you through the other details.
Thank you. Mr. Singhi, over to you.
Mahendra Singhi: Happy morning all dear friends. Thanks Puneet Ji for such encouraging thoughts. Friends, let
me start by saying that we have once again delivered an industry leading volume growth of
11.5% Y-o-Y to 6.3 million tons and our revenu es have grown by almost 23% to Rs. 3,355
crores. During the 9-month basis, the volume growth is 17.1% and we are quite hopeful that we
will be able to deliver a volume growth of at least one-and-a-half times that of average industry
demand growth. During the same time, 9 months FY23, our Y-o-Y revenue growth stood at
21.8%. Demand growth was healthy across each of our regions and price was also stable with
the East showing reasonable recovery in pricing.
In terms of the cost, due to the higher cost in the input materials, the raw material cost remained
on the higher side at Rs. 804 per ton. The power and fuel cost also increased 29% Y-o-Y to Rs.
1,529 per ton. The consumption cost of fuel did see some respite from being at US $216 during the last quarter to around
$195 during Q3. In fact, the purchase cost during the quarter was
around $185 and it is expected that during the upcoming quarter, the fuel prices could stay
around $180.
Our freight cost continues to remain one of the lowest in the industry at Rs. 1,114 per ton. The
total EBITDA for the quarter stood at Rs. 644 crores which is 57% growth on a Y-o-Y basis and
it translates to Rs. 1,021 per ton. We are glad that after many subdued quarters, due to high
inflation, we have bee

n able to manage the cost and have now crossed the threshold of Rs. 1,000
a ton. We remained committed to continuously explore levers of long-term cost saving and are
implementing suitable measures that will enable us to retain our cost leadership both in
production cost and in logistic cost.
During the quarter, we have commercialized 25-megawatt renewable power which takes our
total capacity to 154 megawatt. During the quarter, renewable power constituted almost 24% of our power consumption mix.
We remain on track to take our renewable power to 169 megawatt
by year end and 324 megawatt by FY24. Another lever which add to cost efficiency and
sustainability is the enhancem ent of our low carbon cement or blended cement which was
highest ever for the quarter at about 83%. What has really been encouraging is that in the South,
which has traditionally been and in OPC market, we have managed to sustain our low carbon cement percentage at around
63% which otherwise used to be below 50%. Our teams will
continue to make efforts to move to 100% low carbon cement in all our regions in a few years.
Friends, we have been able to further bring down our carbon footprints to 462 kg per ton of
cement which is probably one of the lowest in world's cement sector as well that also matches the target which we had given
3 years back. Dear friends, Puneet Ji had already mentioned that
we have signed definitely an agreement for the acquisition of cement assets of Jaypee in Central

India totaling to 5.2 million ton of cement and 3.3 million ton of clinker at an enterprise value
of Rs. 3,233 crores. We are very excited about this opportunity and as we speak, Jaypee and ourselves are actively engaged
in completing the process for the re maining part of the acquisition
which we had planned as per the framework agreement.
With regards to organic expansion, our ongoing projects are expected to be completed with the
targeted timelines. We remain committed to our interim capacity expansio n target of 75 million
tons by FY27 and 110-230 million ton by 2031. I do hope that our team will take all of our
actions forward so that we have always remained cost competitive as well are able to enhance our low carbon cement
production.
Thank you friends and now I request my colleague, CFO – Mr. Tuteja to take over. Thank you.
Dharmender Tuteja: Thank you, Singhi Ji. Good morning all. Continuing on the CAPEX, the total CAPEX spend

during the quarter and 9 months period has been about Rs. 900 crores and Rs. 2,100 crores, respectively. During the current full year, as was mentioned in our ear lier calls, we will be spending close to Rs. 3,000 to Rs. 3,200 crores. In terms of incentive, during the quarter, we had an accrued income of Rs. 61 crores and during 9 months around Rs. 180 crores.
In terms of collections, we collected Rs. 25 crores during the quarter and total Rs. 153 crores during 9 months.
The incentive receivable as of 31st December stood at around Rs. 700 crores. On the debt side, our gross debt increased by about Rs. 760 crores and the closing debt as on 31st December stands at Rs. 4,050 crores. Net debt increased by Rs. 247 crores during the quarter due to the CAPEX and the net debt to EBITDA on 31st December was 0.39 times.
With respect to our investment in IEX, we will continue to evaluate this and we will take an appropriate call on divestment at opportune times. With this, I would now like to open the floor for question and answers. Thank you.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Rajesh Ravi from HDFC Securities. Please go ahead.
Rajesh Ravi: Congratulations to the team for great set of nu mbers, all round performance. Sir, my question is first on the housekeeping, could you share what was the per kilo cal costing in Q3 and how is the scenario in Q4?
Mahendra Singhi:

Per kilo calorie for the quarter was around Rs. 2,400 per million kilo calorie and it looks like that the next quarter would be around this number, may be 3% to 5% here and there.

Rajesh Ravi: And how was it in Q2, sir versus Q2 how much is the drop you have said?
Mahendra Singhi: Exactly, I may not be able to say, but then maybe again 3 to 5% only, but exactly, I am not sure of this number.
Dharmender Tuteja: Last quarter, it was 2.52 per Kcal and this quarter it is 2.42, this is a marginal drop because of the fall in the petcoke prices.
Rajesh Ravi: And in Q4, you are not looking major dips from 2.4?
Dharmender Tuteja: Yes, the petcoke prices are marginally down, last quarter to this quarter may be $4-$5 per ton, so around similar corresponding drop can be there in this also.
Rajesh Ravi: Coming to the Murli plant, what is the stat us in terms of utilization and profitability?
Mahendra Singhi: So, utilization is slowly improving and in the month of January it was around say 55%. The profitability is also improving slowly and more so because prices are slightly more stable in the Maharashtra region.
Rajesh Ravi: So, in terms of costing, are they in line with your company average or way higher?
Mahendra Singhi: It is higher at the moment and it was expected to fall in line slowly as we are implementing some of the best practices there. The cost are higher mainly due to the higher power & fuel costs and we are implementing green fuel and green power which will help us bringing the cost down to the company standard.
Rajesh Ravi: By when do you expect the cost to normalize to company's level, sir?
Mahendra Singhi: In another 9 to 12 months.
Rajesh Ravi: And lastly on the Jaypee acquisition, we see that compared to what you had earlier announced in December, this is more rational and the operational assets is which you are going ahead, so this Dalla Super which was under co ntention with Ultratech that is not part of this current deal?
Mahendra Singhi: Friend, earlier one was also very rational and this is the process in which we are going, so in the first quarter, we have completed the assets which are linked to Rewa and the grinding units at Churk, Chunar and Sadwa and balance are also under the process.
Rajesh Ravi: And sir, in terms of could you give us what sort of limestone availability is there at the plants and what optionality we have in terms of expansion opportunitie s and what could be the first year of after you get them acquired, how much time you will be able to start production and what sort of numbers you are looking at, please?

Mahendra Singhi: I would say there is sufficient limestone availa bility with whatever we have been able to understand. Secondly, we will first see the operation of the kilns and how are operating as per the stated capacities. We are quite hopeful and bullis h that we will be able to produce the required quantity of clinker and cement. Once we have stabilized the operations, we will explore possibilities of expansion and will surely share mo re details with you.
Moderator: Thank you. The next question is from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.
Sumangal Nevatia: Firstly, many congratulations to the management on progress on multiple fronts, very strong quarter, the progress on Jaypee deal and also the divestment of the refractory business, just I

have chance for one question, I have a question on capital allocation to Mr. Dalmia, sir, now if
you see IEX stake is almost Rs. 2,000 crores wh ere the last partial divestment happened almost
2 years back and now, all with this successful refractory divestment, the cash equivalent DBRL
is roughly around Rs. 3,000 crores and our stake would be around Rs. 1,200 to Rs. 1,300 crores, so the question is given that we are now pursuin

g a sizable acquisition, can we now expect some
divestment of these non-core assets to fund th eir acquisition because if you see, it kind of
matches with the size of the acquisition which we are doing in the first phase and if it can be
funded through these divestments, it could be a very significant rerating events for us from a
capital allocation perspective, so any broad timeline and direction on this will be very helpful?
Puneet Dalmia: Sumangal, we have already created, we were the first to announce and create a very formal
capital allocation framework which was very detailed and we are going to be very consistent
with that, so I can tell you that we are going to keep our net-debt to EBITDA below 2 and we
will ensure that our growth is funded with a very strong and well-capitalized balance sheet. Now, what are the decisions that we will take along the way will be evaluate d time-to-time by the
management and the Board and ap propriate calls will be taken. I think, these companies are
publicly listed companies and I don't think I can give a very definitive and clear timeline in
terms of which I will be able to decide this, but I can tell you that we are very strict in terms of
monitoring our capital allocation policy and our capital allocation framework and we will be well within that in th is phase of growth.
Sumangal Nevatia: Sir, our capital allocation policy was quite encouraging, but at least directionally do we look to
keep the gross debt also under control and use these sometime in future, just broad directional
sense?
Puneet Dalmia: Sumangal, I think I have answered what I had to.
Moderator: Thank you. The next question is from the line of Pinakin Parekh from JP Morgan. Please go
ahead.



Pinakin Parekh: Sir, my question is on the capacity addition roadmap, now the company has reiterated the target
a vision to reach 75 million tons by FY27 and at this point of time, the ongoing projects takes it to 49 million tons by FY24. If we add Jaiprakash, it go es to 54 million tons. There is still a very
material gap of 21 million tons and the timeline is just 3 years, so when should we expect the growth projects to be announced or is this 21 million tons going to be pre-dominated by M&A and acquisition?
Mahendra Singhi: In fact, we are doing our groundwork and maybe in a year's time, you will be able to know
capacity-wise that how we will be putting up new capacity. So, we are confident whatever study
we have done that we should be able to reach 75 and at the right time, we will be able to share
with all of you also our specific action plan.
Puneet Dalmia: I just want to add to what Mr. Singhi said. Our growth has always been a mix of organic and
inorganic. We are going to have an organic plan in place to go to 75 million ton to the extent we
think it is appropriate at this point in time. As you know, some of our organic expansions are in progress and we are making a blueprint to further grow it and the inorganic opportunities are
something that we continuously evaluate and I think Jaypee is one such example. I think our
focus right now is to complete this acquisition, ensure that we bring it to our standards of
efficiency parameters, and the market share that Dalmia hopes to gain in these markets and only
after that, we will examine what makes se nse in terms of more inorganic deals.
Pinakin Parekh: Just to understand, is this FY 27, 75 million ton a hard number or is it more like a vision of
increasing capacity, it may be a year or two or th ree years later, how should we look at that,
because it is a very material jump going from 54 million ton to 75 million ton in 3 years' time?
Rajiv Bansal: Puneet, can I take this?
Puneet Dalmia: Yes, Rajiv, go ahead.
Rajiv Bansal: Yes, so see, when we laid out a vision of 110 million ton to 130 million ton, that is a vision
because at that time you had 26-million-ton capa

city. We clearly saw an opportunity in the marketplace and which is when we said that we clearly see an opportunity to expedite our
expansion. Then we said, firstly getting to the milestone of 49 million ton by FY24 was
important, and for which we are absolutely on target to meet. Then we spoke about a robust capital allocation framework and within which we said that we don't want to inflict our net-debt-
to-EBITDA more than 2, and hence we need to have a secular growth. We needed to grow at least at 15% CAGR,
year-on-year and that is the reason we put a 75-million-ton target. Now, it
is not a hard target in the sense that, the econo mic condition is still volatile and also, as prudent
managers, we will keep ev aluating the opportunity that we have, but standing where we stand
today, we believe the opportunity is huge. With all the announcements which are being done by
the government, we see the private CAPEX, we see the pent-up demand coming, election year

coming, we believe that we are on the right track, but as a prudent management, we keep looking at our strategy based on the ri sk parameters that these have been defined by RMC and we will keep changing our plans. But yes, our incremental plan to reach 75 million ton may go up here and there, but given where we stand today, 75 million ton is doable and we will do it.
Moderator: Thank you. The next question is from the line of Indrajit from CLSA. Please go ahead.
Indrajit: Congratulations on a good set of numbers, particularly on cost. My question is on the power cost, you mentioned that your per Kcal cost went down from 2.5 to 2.4 odd, but when I look at slide 14 of the presentation, power cost per ton has reduced from about Rs. 1,500 to Rs. 1,200, that is about 25% reduction. So, is there a change in mix or anything else that has gone into this cost and how sustainable do you think this reduction is?
Dharmender Tuteja: The reduction in the power has also contributed by increasing green power proportion which has increased to 24%. Previous quarter, it was around roughly 15% to 17% or so and that is sustainable.
Indrajit: In terms of fuel mix, has there been any meaningful change in terms of petcoke, coal, etc.?
Dharmender Tuteja: No, fuel mix continues to be non-pet coke for the power, which is coal, domestic coal, lignite, etc.
Mahendra Singhi: And like in totality also, if you look at cement plant fuel mix, then yes, petcoke has also broadly around, say, 65% to 69%, but at the same time, other fuels which were comparatively economical, that has gone up and on that account also, the cost has come down.
Moderator: Thank you. The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.
Amit Murarka: Sir, just on power and fuel cost, so that slide mentions that you will be going to 69 megawatts of WHRS, but for FY24, you have a wind and solar plant, but is there any WHRS plant as well?
Mahendra Singhi: There is one WHRS which is work in progress , so that will get commissioned in next year.
Amit Murarka: Sir, so that will take you to 69 megawatts then?
Mahendra Singhi: And thereafter we will ha ve WHRS in all kilns.
Amit Murarka: So, there is no scope after that to do more WHRS then?
Mahendra Singhi: After FY24, whatever new capacity would be added or the Jaypee capacity, that all would require new WHRS to be added.

Amit Murarka: And how much savings will come from this in FY24?
Mahendra Singhi: That definitely can be shared separately.
Moderator: Thank you. The next question is from the line of Girish Choudhary from Avendus Spark. Please go ahead.
Girish Choudhary: Good to see this operational performance during the quarter, so on this acquired capacity from Jaypee, if you can throw some more concrete details on the utilization of these plants, the current profitability s

tructure and importantly, how do you plan to ramp up and bring in synergies within the existing assets of yours?
Mahendra Singhi: Once we are able to close the transaction and we are able to take possession and start operating, then definitely we will be able to share our speci fic action plan that this is how operations would be optimized, this is how synergy will take place. We are quite hopeful that the quality of plant which we will be inheriting as well as the market which we will be in, it would be a very good acquisition.
Girish Choudhary: Just as a follow-up, when do you expect this transaction to close?
Mahendra Singhi: This transaction is subject to certain specifi c conditions, so maybe in few months' time from post the signing of the definitive documents..
Moderator: Thank you. The next question is from the line of Prateek Kumar from Jefferies. Please go ahead.
Prateek Kumar: So, I was asking regarding there is a pertinent im provement in pricing in Eastern market in past 3 to 5 months that sort of cont inued into first quarter and fourth quarter as well, is there any specific reason attributable to this? I mean, while other regions are literally struggling on any price changes, so what has helped pricing in Eastern market here?
Mahendra Singhi: Now, it looks like the demand is improving and there are good prospects as well, whatever, say, few problems, which were there in past in regard to the availability of slag that is also not there. So, in view of that we have experienced better demand and better price also and we hope that this will continue.
Prateek Kumar: And any major capacity which we have commissioned, I mean small capacity which we have commissioned during this quarter?
Mahendra Singhi: No, please.

Moderator: Thank you. The next question is from the line of Satyadeep Jain from Ambit Capital. Please go ahead.



Satyadeep Jain: Just a question, Mr. Dalmia mentioned Project Lakshya to strengthen the management team, I believe, earlier we were looking at succession planning and strengthening the second layer of management team as a potential succession team and then we had some exits, I believe, last year, what is the thought behind now looking at that succession planning again? And if there is, what is the progress on that?

Puneet Dalmia: Let me take that. We have to build a management team looking at our decadal vision. So, we are looking at like by FY31 to be 110 million tons to 130 million tons and by FY27 to 75 million tons. We have to look at what capabilities and co mpetencies we need internally to be able to achieve that vision in a sustainable manner. So, I think we need to look at what are the enablers to build the scale. We have to look at what will make our business even more sustainable and on the basis of that we are starting to plan today. So, as you know that a lot of new capacity is being added, we are also making a very major acquisition in a new market and I think there will be more such events in the next 5 to 8 years. So, looking at that, we are planning, how do we train our people to take more challenging roles? How do we assess them? How do we coach them? How do we support them? And on that basis, we are planning our internal human capital transformation. So, we are going to draw up a lot of metrics, which we will measure and on that basis, a lot of opportunities will be given to youngsters in the group. So, I think broadly, that is what I can say. We want to build capabilities for a scalable and sustainable operation of this size and we want to give a lot more opportunity to youngsters in the company. Rajiv, Mr. Singhi, you want to add to this?

Mahendra Singhi: No, I think this is what we are in the process and we are quite hopeful that in times to come also we will have a very strengthened team which will be able to achieve the vision of 75 million ton and 130 million t

on.

Rajiv Bansal: So, if I can just add to what Puneet and Mr. Singhi just said, this is part of the overall organization development and succession planning is a part of that. Succession planning is not only about one year or two years, but how do we create a set of leaders who can potentially take over a larger role at the drop of a hat. So, we have formed an Executive Council of 11 people, each one of them can potentially take the highest role in the company. We have identified 41 young leaders across different bands and different functions who are the high-potential leaders of the future. So, we are doing it in a very structured manner, in a right manner, keeping the next 10 years vision that we have in mind and I think succession planning is rolled up into all of that.

Moderator: Thank you. The next question is from the line of Anupama Bhootra from Arihant Capital. Please go ahead.

Anupama Bhootra: I have a question regarding carbon credits, since we target to become carbon negative by 2040, so how does it work? Do we collect any certificate or do we sell any certificate like any involvement there in the company with the carbon credit certificate?



Mahendra Singhi: Presently, there is no industrial carbon market except a little bit voluntary carbon market. So, on account of that this industrial carbon market has not got activated and as per this COP21 agreement, now industrial carbon market may get activated in a year or two. For that right type of mechanism is being worked out and at the same time, even in India also, now, the Indian government and Bureau of Energy Efficiency, they are exploring ways and means to create carbon market and once it happens, then definitely whatever projects we would be doing to bring down carbon footprints that will become eligible.

Moderator: Thank you. The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: I need a couple of data points, trade share for the third quarter, lead distance, premium share, fuel mix, so please, sir.

Aditi Mittal: Trade Share percentage for the quarter was 60%, lead distance was around 310 kilometers and on the fuel mix, we used about 70% petcoke and 16% was coal and what was the last part that you wanted to know?

Shravan Shah: Sorry, 70% petcoke, 16% coal.

Aditi Mittal: And then balance is a combination of lignite, muslate,and some alternate fuels.

Shravan Shah: And then, broadly, what is the TSR, Th ermal Saturation Rate for the third quarter?

Aditi Mittal: I will probably come back to you on that.

Shravan Shah: Just to again clarify in terms of the CAPEX for this year, we have Rs. 3,000 crore to Rs. 3,200 crore, for the next year, FY24, previously you mentioned Rs. 3,500 crore to Rs. 4,000 crore, so is it remains the same,

considering the current Jaypee expansion? So, out of this Rs. 3,230 crore
EV, how much are we planning to do through the date?
Dharmender Tuteja: See, the next year's numbers we will give you during the April Earnings call. I think right now, it is difficult because as Singhi Ji also said, the consummation of the transaction is subject to certain conditions and approval, which we don't know when it will happen though we hope it will happen in the next few months. So, for next year's CAPEX budget we will give you a better picture in April.
Moderator: Thank you. We will move to the next question which is from the line of Komal Ladha from YellowJersey Investment Advisors. Please go ahead.
Komal Ladha: Any price hike, plan for price hike in quarter four?



Mahendra Singhi: You know it all depends on how the demand is and how supplies are and of course, because of the high cost there is effort by us also and maybe as per the market also, but definitely at the end of the quarter only, we could share with you that yes, this is what the price has been.
Komal Ladha: And capacity utilization for the quarter?
Puneet Dalmia: 68%, Aditi?
Aditi Mittal: 68%.
Moderator: Thank you. The next question is from the line of Ritesh Shah from Investec. Please go ahead.
Ritesh Shah: Sir, few parts pertaining to the Jaypee assets. One is, are there any tax gains that one can actually look at on the back of the assets that we have bo ught? Second is, are there any liabilities, if any, and will the company be ring-fenced? And third is basically, what is the status on the balance assets?
Dharmender Tuteja: On the tax side, since it was a slump sale, so whatev er cost we incur, so that will be added to the assets and the recent acquisition. So, they are not carrying forward any losses on them because it was a slump sale transaction. And on the liability side, whatever is supply liability that we will take over and adjust in the consolidation and balance they will retain. So, we are not taking over the entire liability. This transaction, as Singhi Ji and Puneet Ji also told, the remaining transaction documentation is in advanced stage of finalization. We will get done it soon.
Moderator: Thank you. The next question is from the line of Nishant Bagrecha from InCred Equities. Please go ahead.
Nishant Bagrecha: Congratulations on a good set of numbers, so on this Nawalgarh limestone block, any update on the land acquiring there?
Mahendra Singhi: In fact, still, we have to get that required le tter of mine from the government and thereafter, we will start that activity. At the moment, there is no land acquisition on this Nawalgarh Mines.
Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor & Company. Please go ahead.
Saket Kapoor: Sir, one question on the general industry sentiment and capacity addition, so for the 9 months, industry as a whole, what have been the capacity addition in totality fo r the country? And how have the average utilization levels moved as per the increased capacity?
Mahendra Singhi: So, it looks like, though, exact number doesn't come up even from the government also, but it looks like that the capacity utilization for the year would be around, say, 64% to 66% and this is



also based on whatever, say, capacity additions which has happened or which would be happening.
Saket Kapoor: But the size, sir, can you give some color what it was for last FY21-22 and how FY22-23 will be closing in terms of the absolute numbers of the greenfield and brownfield both included?
Dharmender Tuteja: 40 million that is the forecast for the current year that we gave in the earning release.
Moderator: Thank you. We will move to the next question, which is from the line of Prateek Maheshwari from HSBC Securities. Please go ahead.
Prateek Maheshwari: So, I just wanted to check on two things, one is the lead distance hasn't changed materially quarter-to-quarter, but there is an increase of 8% freight cost, just wanted to understand what had led to that, was it any change in the rail share or something? And the other thing, just wanted to get an update on the Bihar expansion as well?
Mahendra Singhi: So, on freight cost, the major co st increase has come on account of imposition of busy season surcharge imposed by the Railways from October onwards. So, that is one of the major account on which freight cost has gone up. In fact, the various other initiatives which we have taken, so we have been able to contain our logistic cost to this extent.
Prateek Maheshwari: And sir, can you share the rail share at the company level?
Dharmender Tuteja: 17%.
Moderator: Thank you. The next question is from the line of Navin Sahadeo from Nuvama Institutional

Equities. Please go ahead.
Navin Sahadeo: Sir, just one quick question, sorry I got logged out and sorry if this question is repeated. It was about Jaypee acquisition. So ,

I am sure you would have done this due dili gence of these assets and hence arrived at this acquis ition number of Rs. 3,230 crores, my question is, does it require any more CAPEX on two counts: one is of course to scale, since I believe this clinker, we know these assets are slightly old, so does it require first of all, to get them at par to optimal utilization is one? And second, of course, is CAPEX required to bring the overall efficiency at par to the company benchmark?
Mahendra Singhi: As I said earlier, in regard to how to bring up operational efficiencies to our company or group's standard, we will share once we are able to take over and start the operations. At the same time, in regard to starting operations or startup ex penses, they will not be very significant.

Moderator: Thank you. The next question is from the line of Hitendra Gupta from Systematix. Please go ahead.
Hitendra Gupta: Congratulation on good set of numbers. So, my question is regarding freight cost, though I understand there was a busy surcharge by Railways, but the cost has increased from Rs. 600 crores to Rs. 700 crores, do you think it will be continuing going forward in the future also?
Dharmender Tuteja: Yes, freight cost would be around that number.
Hitendra Gupta: And going forward, the rail share would remain at 17%, sir, or it will increase?
Mahendra Singhi: Maybe I am just estimating, maybe 18%-19% only, not much because the rail percentage is higher in case of our East operations.
Hitendra Gupta: East operations and how much percentage of East operations we have right now in terms of dispatches over in that region?
Dharmender Tuteja: Region-wise, distribution we do not provide.
Moderator: Thank you. The next question is from the line of Surya Narayan from Sunidhi Securities. Please go ahead.
Surya Narayan: Recently the Newcastle Coal prices have dropped significantly, around 42% last week, so overall, 48% from the top, so my question is that, to what extent this coal will be dropping further so that the equilibrium with the petcoke will be available?
Mahendra Singhi: Whenever we decide about procurement of fuel, we do analyze the cost whether it is imported coal from any country as well as Indian coal and based on that, we take decision for each plant. So, at the moment, except in one plant, everyw here we do find that our petcoke is most economical and wherever there are short distance coal , which is available in India, we do procure that part, so at the moment, imported coal hardly economical.
Surya Narayan: That is correct, but on petcoke recently, Reliance has opted out to sell the petcoke to the local market, so cement companies have to possibly import. So, what is our case? Are we sourcing petcoke from local sources or we will resort to import altogether?
Mahendra Singhi: We do not buy petcoke from Reliance because of logistic distance and that is why we do import petcoke and at the same time 3% to 4% we do buy from the local refineries.
Surya Narayan: So, after this Reliance's announcement, any spike in the petcoke was seen?
Mahendra Singhi: Not to our knowledge.

Moderator: Thank you. The next question is from the line of Prateek Kumar from Jefferies. Please go ahead.
Prateek Kumar: My question is on your net-debt calculation. So, sir, basically you include the impact of investment in IEX, while we don't include the investments in Dalmia Bh arat Sugar and Dalmia Refractory in our net debt calculation, so while all of these three should be non-strategic or like co-investments only, so any specific reason there?
Dharmender Tuteja: Dalmia Bharat Sugar as well as Dalmia Bharat Refractories, so these being Group companies, so there is no intent to sell immediately and is especially the DBRL is part of the associates. So, that is not counted as a current inv

estment while IEX is current investment. That is why only IEXis counted for debt-to-equity and net-debt-to-EBITDA.
Prateek Kumar: Even Dalmia Refractories is not considered in it?
Dharmender Tuteja: Because of our stake being more than 20%, so it is just an associate. So, as an associate, it is not counted in that.
Rajiv Bansal: Prateek, if I can add, see, sugar is a strategic investment, so irrespective of the percentage stake that we have in sugar is a strategic investment because in Dalmia Group, we believe that cement and sugar are core businesses that we have. IEX is more of a treasury investment which was

done many years back and that is something we have discussed at length in terms of our intent to dilute over a bit of time. And third is the refractory and if you remember, we had said that as we come out of our non-core assets, in refactories we had actually done a structuring to consolidate all the assets, so that we can get a better value and that we have already done. So, again because of a more than a 20% stake, refractory is shown an associate and not considered in the Net Debt computation. But again, the inten tion is the same that we want to come out of the non-core assets.

Moderator: Thank you. The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: One data point, premium share, what was in the third quarter? Second, when we said our rail share is only up 17%, then the increase in busy season surcharge, how come that can increase overall logistic, that is the freight cost by close to 8% or maybe Rs. 82 per ton?

Dharmender Tuteja: Yes, so premium proportion in this quarter was 22% compared to 20% in the previous quarter. And with respect to the logistic part, as Singhi Ji explained, one major factor was busy season surcharge that extends about Rs. 65 per ton impact and balance is on account of the, we were having railway incentive till last quarter which finished in this quarter, so that base has slightly gone up.



Shravan Shah: And last, sir, in terms of the pricing schemes, December till now, have we taken price hike in any of the region? And the current pricing, is it lower than the average of the third quarter?

Mahendra Singhi: There is no price increase in the month of January, please.

Shravan Shah: And current price is at par with the average of the third quarter or is it lower?

Mahendra Singhi: Broadly, we are there.

Moderator: Thank you. Ladies and gentlemen, this was the last question for today. I would now like to hand the conference over to Mr. Puneet Dalmia for closing comments.

Puneet Dalmia: Thank you very much for all your participation and questions. As I said that we are at the cusp of inflection point at Dalmia, and we are very excited about the future of India and future of Dalmia, so look forward to your continued engagement and guidance and critique and thank you very much for your participation. Good day. Bye-bye.

Mahendra Singhi: Thanks, friends. Thanks everyone.

Moderator: Thank you. On behalf of Dalmia Bharat Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

## Call: Mar 2023

Dalmia Bharat Limited
11th & 12th Floors, Hansalaya Building, 15, Barakhamba Road, New Delhi-110 001, India
t 91 11 23465100 f 91 11 2331 3303 w www. dalmiabharat.com CIN : L14200TN2013PLC112346
Registered Office : Dalmiapuram, Dist. Tiruchirapalli, Tamil Nadu- 621 651, India
A Dalmia Bharat Group company, www.dalmiabharat.com

File No: 1010/2 March 31, 2023

BSE Limited P J Towers, Dalal Street, Fort Mumbai - 400001
Scrip Code: 542216 National Stock Exchange of India Limited
“Exchange Plaza”, Plot No. C-1, Block G Bandra - Kurla Complex, Bandra (East),
Mumbai - 400 051
Symbol: DALBHARAT
Subject: Transcript of Conference Call on Business Update of the Company.

Ref : Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
Dear Sir/Madam,

In terms of Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirement), Regulations 2015, please find attached transcript of the Conf erence Call regarding divestment of non-core refractory business by Dalmia Cement (Bharat) Limi ted, a material subsidiary of the Company, held on March 27, 2023.

The same will also be uploaded on Company's website: www.dalmiabharat.com.
We request you to please take the same on record.
Thanking you,
Yours faithfully,
For Dalmia Bharat Limited

Rajeev Kumar Company Secretary



“Dalmia Bharat Limited Conference Call .”
March 27, 202 3

MANAGEMENT : MR. PUNEET DALMIA – MANAGING DIRECTOR – DALMIA BHARAT LIMITED
MR. MAHENDRA SINGHI – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – DALMIA CEMENT BHARAT LIMITED
MR. DHARMEND ER TUTEJA – CHIEF FINANCIAL OFFICER – DALMIA BHARAT LIMITED
MR. RAJIV BANSAL – PRESIDENT AND CHIEF TRANSFORMATION OFFICER – DALMIA BHARAT LIMITED
MS. ADITI MITTAL – HEAD OF INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day and welcome to the Conference Call on Business Update of Dalmia Bharat Limited. Please note that this conference will be for 30 minutes and for the duration of this conference call, all participant lines will be in the listen -only mode. This conference call is being recorded and the transcripts of the same will be put -up on the website of the company. After the management discussion there will be an opportunity for you to ask questions. Should anyone need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone.

Before I hand over the conference to the management, I would like to remin d that certain statements made during the course of this call may not be based on historical information or facts and maybe forward -looking statements. These statements are based on expectations and projections and may involve a number of risks and uncerta inties such as the actual outcome that may differ materially from those suggested by such statements.

I now hand the conference over to Ms. Aditi Mittal, Head of Investor Relations. Thank you and over to you.

Aditi Mittal: Thank you Mike. Good morning, everybody. Thank you for joining in for our call today to discuss the divestment of our refractory business. I would request all the participants on the call to kindly restrict their questions to this subject and refrain from asking anything pertaining to our financial performance and earnings. We can take up all such performance related questions during our upcoming earnings call, which will be scheduled after our Board Meeting of FY '23.

With this I will now hand over the call to Mr. Dalmia for his opening r emarks. Thank you and over to you.

Puneet Dalmia: Thank you Aditi. Good morning, everyone. Thank you all for joining in at such short notice. Before sharing with you the details regarding the purpose of this call, I would like to spend a few minutes to rei terate our thinking and the context which I have shared with you earlier in several conversations.

We have deep conviction on the Indian growth story and are bullish that the cement sector would be a direct beneficiary of this for multiple decades. During and post -COVID, India has displayed its resilience and has come out stronger than all major world economies. And my conviction in the India growth story has only become stronger.

The Indian economy is undergoing a large -scale metamorphosis with millions of people coming out of poverty. A young, ambitious and massive middle class will drive a consumption and housing boom. Further, rapidly building world class infrastructure is a defining lever to achieve India's ambition of becoming the world's third largest economy during the Amrit Kaal.

We have seen the budget capex numbers of INR 7.5 lakh crores last year and INR 10 lakh crores this year. I believe that Infra and housing will drive a robust growth in cement demand over many decades.

We have already seen ou tstanding results by betting on the strategy that cement is a proxy bet on India's growth. Our capacity grew from 1 million ton in 2004 to 40 million tons in 2023.



Dalmia's growth will continue to accelerate as India accelerates. We have plans to be 75 mil lion by 2027 and in the next four years we will add almost what we added in the last 20 years.

To capitalise on this multi -decade growth in cement demand, we created a Vision 2031 for Dalmia Bharat and made a long -term capacity creation plan of 110 million tons to 130 million tons by 2031 which translates into a 15% CAGR.

As an entrepreneur, I am acutely aware that our strategy, like any other growth strategy requires strong discipline. Discipline in capital allocation and discipline in execution. We backed up our capex plan with

a very robust capital allocation framework, which was the first of its kind for an Indian cement company. This growth plan and capital allocation framework has three defining features.

One, Dalmia Bharat will be a Pan India pure -play cement company. Two, we will have significant presence in every market that we operate in. And three, that we will pursue this growth with a strong balance sheet, keeping net debt to EBITDA less than or equal to two. We could temporarily surpass this rat io for very strategic inorganic opportunities, but our company would make all efforts to bring it back to less than two over the next few years.

Along with the capital allocation framework, we had also committed that we will divest our non -core assets over time, primarily the stake in IEX, Hippo Stores and the refractory division. In line with this stated commitment of building a pure -play cement company and containing a net debt to EBITDA less than two, we started divesting our non -core assets. We began by divesting our stake in IEX and reduced our stake from 20% to about 15% and realized INR 614 crores.

We also divested Hippo Stores in December '21 through a slump sale to a promoter entity for INR 155 crores.

With a view to build scale, sharpen management focus and create value, we combined DCBL's refractory business, which we had received along with the acquisition of OCL, with a group entity called Dalmia Refractories Limited and created a pure -play refractory company in financial year '22, called Dalmia Bharat Refractories Limited, DBRL. This was done to create value by creating a pure -play company and building scale.
Our investment thesis indeed played out and backed by the terrific execution of our refractory team, we sold the India business of DBRL to RHI Magnesita in January '23 at an EV/EBITDA of 24x, which is one of the highest in the sector. The consideration for the same was received in the form of RHI shares and also some small portion of cash. The consideration received by DBRL in the form of RHI shares now constitutes about 14% shareholding of RHI India and is locked for a period of six months till about August '23.
Since DBL wants to finance its cement growth with a super -strong balance sheet and monetize its non -core assets, the Board of DCBL o n Saturday 25, March has approved the sale of its entire 42.36% holding in DBRL. Accordingly, DCBL has entered into a binding agreement to sell its entire shareholding in DBRL to a promoter group company called Sarvapriya Healthcare at a consideration of I NR 800 crores. The transaction will be consummated over the next 30 days in April 2023.


I will now hand over the call to Mr. Singhi, and our CFO to take you through the details of the transaction. Over to you Mr. Singhi. Thank you.
Mahendra Singhi: Thanks Puneet ji. Happy Morning friends. Continuing on what Puneet ji has said, we are fully committed to carry out our growth plan of 110 million tons to 130 million tons by 2031. We are very much confident that we will be able to achieve our target of 49 millio n tons by March '24, 75 million tons by FY '27.
Friends, I am very happy to share that we are not only meeting our first milestone of 49 million tons in time, but with the Jaypee acquisition, we will be exceeding it by reaching to almost 54 million tons by March '24.
Friends, we are in the midst of completing the formalities for the Jaypee acquisition, which marks our entry into the central region of the country. The agreement for the first tranche of Jaypee acquisition is already signed and we are now in t he advanced stage for completing the balance one.
We will also be formally sharing an update with you on the same as soon as we are able to close it. As we build our capacity to 110 million tons to 130 million tons, building up raw material security and fu el security will be another area o

f focus. During the quarter, we have won auction
for another coal block in Mandla North in MP and which when operational will add to both flexibility and supply and efficiency in the cost.
Friends, as we build a pan -India pure-play cement company, we will also ensure that our balance sheet remains always strong. The divestment of IEX, Hippo Stores and now the refractive business is a step in the right direction and this will help in financing our growth plan s.
Now I would r equest our CFO, Mr. Dharmend er to take you through the final details of the refractive business divestment. Thanks, all the best.
Dharmendra Tuteja: Thank you, Puneet ji, and Singhi ji. Good morning, everybody. As mentioned by Puneet ji, and Singhi ji, the Board of DCBL in their meeting held on 25, March has approved the sale of its entire shareholding in DBRL. Accordingly, DCBL has subsequently entered into a binding agreement to sell its 42.36% stake in DBRL to a promoter group company called Sarvapriya Healthcare Solutions Private Limited at a consideration of INR 800 crores.
The transaction is scheduled to be consummated over the next 30 days in April 2023. Further, the payment consideration for the same will come in as follows : i) 20% of the transaction value that is INR 160 crores will be realized by DCBL within April 2023. Ii) The balance consideration of 80% that is INR 640 crores will be converted into NCDs, which will carry an interest rate of 8.5% per annum. These debentures will be redeemable in two tranches.
The first one will be redeemed in December '23 and the remaining 40% will be redeemed in September '24. In December '23, when the first tranche of these debentures is redeemed, we will not only get cash inflow of INR 320 crores from DBRL shares divestment, but we will also be receiving the INR 120 crores which is due from the redemption of debentures of Hippo Stores.


Thus, the combined cash inflow to the company from both these divestments will look like as follows. INR 1 60 crores in April '23 for sale of shares of DBRL, INR 440 crores in December '23 from redemption of debentures issued against sale of DBRL shares and Hippo Stores

business and INR 320 crores in September '24 from the remaining debentures issued against DBRL shares divestment.
Additionally, you can expect that we will gradually be divesting our stake in IEX as has already been reiterated both by Puneet ji and Singhi ji. Our guidance given through the capital allocation framework remains our key guiding docu ment and we will continue on our capacity growth journey within the boundary conditions of the framework.
With this, I now open the floor for question -and-answers. Thank you very much.
Moderator: We have the first question of the line of Prateek Kumar fro m Jefferies.
Prateek Kumar: Congratulations for closing the deal. My first question is on, while we have highlighted the timeline of closure of this deal, is there any chance of this not getting terminated or not getting closed both in terms of payment upf ront as well as future , With any changes expected?
Dharmend er Tuteja: Sorry, can you repeat your question? What I understood was that is there any risk of this not happening? So, the answer is no.
Prateek Kumar: Risk of not happening both in terms of tim elines as well as in terms of payments?
Dharmendra Tuteja: No. I think the timelines of the execution which I said is 30 days from now is scheduled to happen as well as the payments as per the schedule which will happen. We don't foresee any risk on this.
Rajiv Bansal : So, Prateek, if I can just elaborate on the reason of this timeline to give you more comfort. I think the first tranche of 30 days is frankly because of the fact that we need to give prior intimation to securities exchange (SEBI) of four working days to enter into inter-se promoter sale and by the time th

at four days gets over, we get into a silent period for DBRL.
So I think the legal advice that we received was that we should not be doing transfer of shares during the silent period. So o nce the DBRL board meeting is over and the silent period is over, then we will be able to execute the transaction. So that is the reason why there is a delay.
The second tranche is finally because the RHI shares are lo cked in for six months till August and we hold almost 15% shares of RHI India. So again, it requires some time for the cash flow to be generated within the DBRL business . So I think the timeline has been designed based on that. So to ensure that there is enough cash flow in DBRL and the promoter entity which will have to be paying this money up .
So I think there is no doubt in our mind that this deal , which is being signed with the promoter entity , will not happen. , Earlier we had signed a deal for Hippo Store also and we have got all the interest payments and we are expecting the final t tranche of payment in December. So almost


I would say there is no doubt about it. This is a done deal. This is a signed agreement. This is a binding agreement. So, there is no question of not happening at all.
Prateek Kumar: My second, just one more question on valuation. How does the valuation of the three promoters compare to what we transferred at and what was the transfer of our Dalmia Cement to factory earlier and then to sale to RHI entit y? So how do you compare all these three valuations compare ?
Dharmend er Tuteja : So as you will recollect that Indian business of a factory was transferred or sold by DBRL to RHI on slum p sale basis and they got 2.7 crores shares of RHI and about INR 400 crores cash.
Now the remaining business left is small and subscale businesses in Germany and China which are also in the process of being divested. DBRL also holds about INR 125 crores worth of DBL shares and there are small assets as well as tax liability on the slum p sale transaction and other transaction costs and liabilities which have also been factored into while arriving at the value.
And DBRL ha d also given indemnities up to INR 500 crores for any unforeseen undisclosed liabilities to RHI .
The business indemnities are for a period of 27 months while tax related indemnities are for seven years and fundamental indemnities are for 11 years. So the board had appointed M /s. Finvox Analytics, a registered valuer to assess the fair market value of D BRL stake and we have also taken opinion from M /s. D&A Financial Services, a category 1 merchant banker on the fairness of value arrived at by the valuation firm. And the valuers have cons idered all these aspects which I described a short while back and valued the company at INR 1,876 crores based on which the management has recommended and the board has also decided to sell its stake at INR 800 crores, which is 42.36%.
Prateek Kumar: May b e we can also say at what business was it transferred when we created a pure play refectory company and what has been the growth since then?
Dharmend er Tuteja : So when we transferred it, it was at INR 356 crores and the current carrying value as of Decemb er end we are carrying value at about INR 402 crores after factoring in the pro -reta income earned by this company. So when we transferred our business to DBRL, it was at INR 356 crores as part of the slump sale or demerger or scheme which was done and the last carrying value of 31, December was INR 402 crores and against this now we are selling this as INR 800

crores.
Moderator: We have the next question from the line of Inderjeet Agarwal from CLSA.
Inderjeet Agarwal: Now as you mentioned there the carryi ng value is INR 400 crores and INR 800 crores is the realization. So is there will be a profit on the books of INR 400 crores? So what is the tax implication

both on P&L and also on cash flow because of this?
Dharmend er Tuteja : INR 800 crores minus INR 40 2 crores that is roughly about INR 398 crores will be the profit in March accounts, because now these investments will be held for sale and at realizable value and the tax implication on this gain will be close to about INR 50 -odd crores which will get pai d in the next financial year when the actual consummation of the transition happens. This will be long term capital gain.


Inderjeet Agarwal: The P&L and cash flow both impacts will be in FY '24 accounts, is that correct?
Dharmend er Tuteja : No, I will say that the P&L impact will come in the current year itself and the profit which we will recognize will be post tax, but the actual tax outflow will happen in the next financial year when the deal gets consummated but the impact has to be taken in the current year itself in our books.
Moderator: We have the next question from Viraj Kacharia from Securities Investment Manager.
Viraj Kacharia: Just two questions. The deal which we had with RHI, the book value was around INR 400 crores and upon the transfer, th e overall EV we put was around close to INR 2,100 crores including the debt of INR 440 crores, but when we are monetizing this particular stake in Dalmia Bharat refractories, the overall value we have put is somewhere around INR 1,876, why is there a diffe rence?
Rajiv Bansal : Let me take this question . Viraj, s ee what you have seen is INR 2,100 crores what we are talking about, it is my India business . On top of that, there is Germany business and China business. When you go to the total enterprise value , it is much higher than what we are talking about INR 2,100 crores. So, there are also tax liabilities. When we actually did a slump sale of assets to RHI, there is an income which is booked in the books of DBR L and the y have to pay taxes on that. So net -net we have looked at all the factors like those related to indemnities, the transaction cost, and after considering all the factors, it is how the valuation has been arrived . It is not that whatever you have earned by selling unit through a slump sale , it is your income . Then there is taxes, expenses, there is a merchan t bank ing cost , and there are many expenses when it come s to that. When you consider all of that, then the valuation is INR 1,876. It is a net value.
Viraj Kacharia: Two questions. Post this transaction, the way we have structured the deal, the funding for the deal will be realized by partial sale of shares of RHI, once the locking is completed, am I right in thinking that way?
Rajiv Bansal : No, the shares of RHI are held by DBRL. We hav e sold our stake in DBRL entity to a promoter entity. Now it is in the purview of promoter to finance this deal. And they will finance it from their sources. So they could do from partial divestment of RHI or may not do through a partial divestment of RHI. I think that is something which we will not comment upon . We are into a deal with a promoter entity. They have bought our entire stake in the DBRL the entity. We have a redemption schedule. And the money to DCBL will come from promoter entity, not from DBRL.
Viraj Kacharia: The reason why I am asking is, you post this, we will still be owning somewhere close to 58% in DBRL. So that is the reason I was asking how they are funding this? And second question I had was RHI recently did an announcement on QIP close to 10% or close to INR 1,500 crores. So in that sense, how are we looking in terms of our role for our stake in RHI? Because we would be one of the co -promoters in that entity?
Rajiv Bansal : I am a pure -play cement company. I have exited my stake in Refractory Business to a promoter entity. Now I have nothing to do with refractories business from today on wards . So what is the future prospe

cts of refractories business in India? How are RHI looking at it ? how promoters


will fund this ? How much stake th ey will sell? I am not concerned about that. I am running a pure-play cement company. I believe in the growth story of India. I believe in the future success of the cement sector. And that is what we are focusing on. So, all the questions about refractory , how promoters will fund, is not part of our consideration right now.
Dharmender Tuteja : Just to also add that we are not co -promoters in RHI. So it is just a financial stake which we got through the sale of business and we have no management rights there . We are not a strategic

player there. So, it is just a financial investment which will get divested in due course.
Moderator: We have the next question from the line of Vivek Kumar from Shiv Sagar Investments.
Vivek Kumar: I have two questions. First, we took 18% of stake in Indian firm RHI India. So, couldn't we have taken a similar stake in the parent because I think the parent is selling at a lower market cap than the Indian firm?
Rajiv Bansal : Again, Let me answer this q uestion. It is very difficult , when we are doing a clear divestment of the refractory business in India . There are many considerations which we have to look at. And it is not about what we want.
Vivek Kumar: But we could have bought 18% in the global co mpany, the parent?
Rajiv Bansal : I could say, I wanted the parent company, I wanted that in India, I wanted X, Y, and Z. it's a negotiated deal. Finally, there is a seller, there is a buyer. It is very easy to say that, why could we do this and why couldn' t we do that? Fact is, like Puneet was saying and M R Singhi said, you have got a fantastic deal. How many companies in refractory business today globally are able to divest the business at almost 24-25x in the EV/EBITDA multiple, hardly any. Even if you look at the Indian valuation of refractory business, its not that high. So you have to appreciate that, the management team of refractory business h as done a great deal.
Vivek Kumar: But we are getting the stocks o f RHI India. That could be inflated due to the market -- the stocks can fall so, it is actually a share stock…
Rajiv Bansal : But again, because it is a market, in the cement business, I am not taking the risk. We have exited the business. Now the risk is a gain, see, there is a buy and sell any transaction, we wanted to build on a pure -play cement company. We have exited the refractory business…
Vivek Kumar: I was just looking from the group point of view?
Rajiv Bansal : No, this is not group . See, we have sold this to the family entity. We are representing Dalmia Bhara t Limited only.
Vivek Kumar: No, the overall Dalmia Group, I was just thinking on that, why couldn't we take in RHI global company for the go?
Rajiv Bansal : Fair question, I thi nk we should, when we have a discussion on Dalmia Bharat Group, in a growth strategy and promoter strategy, we should definitely discuss that…


Vivek Kumar: Second question, sir. Why couldn't we have given the shares of RHI, this Dalmia Bharat Refractory an d get it listed to the shareholders of Dalmia Cement? Could this have been done, getting listed, the Dalmia Bharat Refractory company getting listed?
Rajiv Bansal : Multiple options were explored when we were looking at it. So, it's always a view, you can have a view that we should have given the shares. So, but we got advised it is not possible.. So, I think, best is , what is the purpose, purpose was not give the return to the shareholder, purpose was to gener ate enough cash to be able to flow back in the business…
Vivek Kumar: Yes, I got the point. You wanted cash in Dalmia Cement…
Rajiv Bansal : So, I want to grow the business. If I don't use up the cash, I wil

l give it back to the shareholders.
But if I have use of cash and I want to invest for the future, I would want to flow the money back into the DCBL balance sheet.
Vivek Kumar: So, any plan to list the Dalmia Bharat Refractory in later time, like in one, two years?
Rajiv Bansal : Again, Dalmia Bharat Refractory business is no w a promoter -owned company. I think, the question is not for us to decide whether, how they plan to run that company and how they plan to run. It's very difficult for me to answer this question.
Moderator: Thank you. That was the l ast question. I would now like to hand it over to Mr. Dalmia for closing comments.
Puneet Dalmia: Thank you very much for joining at short notice. We appreciate your interest, and we appreciate your feedback. Thank you very much. We look forward to talking to you again after the full financial year, '23 results are close d. And we can share our outlook for the whole year and the future in that call. Thank you. Have a good day.
Management: Thanks, everyone. Thanks.
Moderator: Thank you. On behalf of Dalmia B harat Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

# Call: May 2023

Dalmia Bharat Limited
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t 91 11 23465100 f 91 11 2331 3303 w www. dalmiabharat.com CIN : L14200TN2013PLC112346
Registered Office : Dalmiapuram, Dist. Tiruchirapalli, Tamil Nadu- 621 651, India
A Dalmia Bharat Group company, www.dalmiabharat.com

File No: 1010/ 02 May 02 , 202 3

BSE Limited
P J Towers, Dalal Street,
Fort Mumbai - 400001
Scrip Code: 542216 National Stock Exchange of India Limited
“Exchange Plaza”, Plot No. C -1, Block G
Bandra - Kurla Complex, Bandra (East),
Mumbai - 400 051
Symbol: DALBHARAT
Subject: Transcript of Q4 FY-23 & FY -23 - Earnings Conference Call

Ref : Regulation 30 of SEB I (Listing Obligations and Disclosure Requirements) Regulations, 2015.
Dear Sir/Madam,

In terms of Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirement), Regulations 2015, please find attached t ranscript of the Q 4 FY-23 & FY -23 Earnings Conference Call held on April 26, 2023 .

The same will also be uploaded on Company's w ebsite: www.dalmiabharat.com.
We request you to please take the same on record.
Thanking you,
Yours faithfully,
For Dalmia Bharat Limited

Rajeev Kumar
Company Secretary



“Dalmia Bharat Limited Q4 FY-23 & FY -23 Earnings
Conference Call”

April 26, 2023

MANAGEMENT : MR. PUNEET DALMIA – MD, DALMIA BHARAT LIMITED
MR. MAHENDRA SINGHI – MD & CEO , DALMIA CEMENT (BHARAT ) LIMITED

MR. DHARM ENDER TUTEJA – CFO , DALMIA BHARAT
LIMITED
MR. RAJIV BANSAL – PRESIDENT & CHIEF
TRANSFORMATION OFFICER , DALMIA BHARAT
LIMITED
MS. ADITI MITTAL – HEAD, INVESTOR RELATIONS ,
DALMIA BHARAT LIMITED


Moderator : Ladies and gentlemen good day and welcome to the Earnings Conference Call of Dalmia Bharat Limited for the Quarter and Year Ended 31st March 2023.
Please note that this conference call will be for 60 minutes and for the duration of this conference call, all participant lines will be in the listen only mode. This conference call is being recorded and the transcript may be put on the website of the company. After the management discussion there is an opportunity for you to ask questions.
Should anyone need assistance during the conference call, please signal an operator by pressing '*' then '0' on your phone.
Before I hand over the conference to the management , I would like to remind you that certain statements made during the course of this call may not be based on historical information or facts and may be forward -looking statements. These statements are based on the expectations and projections and may involve a number of risks and uncertainties such that the actual outcome may differ materially fro m those suggested by such statements.
On the call we have with us Mr . Puneet Dalmia – Managing Director , Dalmia Bharat Limited , Mr. Mahendra Singhi – Managing Director and CEO , Dalmia Cement (Bharat ) Limited , Mr. Dharm ender Tuteja – CFO , Dalmia Bharat Limited , Mr. Rajiv Bansal – President and Chief Transformation Officer and the other management of the company.
I would now like to hand the conference over to Ms. Aditi Mittal head Investor Relations. Thank you and over to you ma'am.
Aditi Mittal : Thank you Fa izan. Good afternoon, everybody. We welcome you to the Q4 'FY23 and FY23 Earnings Call of Dalmia Bharat Limited. Hope you've had a chance to go through our results which have been uploaded on the stock exchange.
Without much delay I'll hand over the call to Mr . Dalmia for his opening comments. Thank you.
Puneet Dalmia : Good afternoon, everyone and thank you Adit i for your opening remarks. It gives me immense pleasure to welcome all of you to the Q 4 FY23 and FY23 Earnings Call of Dalmia Bhara t Limited. Let me briefly share my outlook with you and after which Mr . Singhi and Dharmender will give you more details about our performance .
I continue to have deep conviction on the Indian growth story and would reiterate that the next two or three dec ades really belong to our country with GDP growth expected at 6.5% to 7% in FY24 and beyond. I think that for India to leverage this opportunity that lies ahead of it and for the government to generate employment opportunities for millions of people , who a re getting added to the workforce every year , the thrust on infrastructure development , increased public spending and augmentation of private CAPEX is imminent and c ement sector would be a direct

beneficiary of this. I strongly believe that Dalmia's growth will continue to accelerate as India accelerates. From the end of financial year 22 we have increased our capacity by almost 15% from 35.9 million tons to 41.1 million tons per annum at present.
Let me give you an update on the acquisition side of cement assets on Jaiprakash Associates Limited :
Yesterday we have signed the definitive agreement for the 2.2 million tons cement capacity at Bhilai along with 3.3 million tons of c linker including both at Babu pur and Jaypee Super. For the N igrie Cement capacity of 2 million tons we are proposing to enter into a long-term lease agreement , having a term of 7 years with an option to purchase the Nigri e unit anytime within the lease period for an enterprise value of R s. 250 crores. I'm very excited that this acquisi tion is coming at a time when India is at the cusp of a strong cement demand upcycle, starting with the pre-election year 2024 when the industry demand is likely to grow at almost 8% to 9%. In

April '21 when we had announced a capacity expansion plan and t he first milestone of 49 million tons, we were not aware of the opportunity of Jaypee acquisition. Now with the Jaypee acquisition being signed it was important to reassess and recalibrate the original expansion plan of 49 million tons. Accordingly , we hav e decided to defer the 2.5 million ton s Grinding unit

expansion in Bihar. Due to this the original capacity of the organic expansion changes to 46.6 million tons and the total capacity including Jaypee acquisition changes to 56 million tons by
end of financial year ‘24. Even if you look at the year gone by , the industry cement demand is
believed to have grown at 9% to 10% alongside an increase in prices on a pan India basis. As
Dalm ia Bharat is marching towards its vision to become 110 to 130 million tons company by
FY31, execution , excellence and financial performance are the two equal priorities of the
company.
During financial year ‘23, we have delivered an industry leading volume growth of 15.9% Y OY
and our revenue for full year has grown by 20% Y OY to Rs. 13,540 crore s. Through significant
improvement in multiple operating metrics such as increase in CC ratio from 1.63 in FY22 to
1.71 in financial year ‘23 or improvement in renewable energy consumption from 10% in FY22 to 21% in FY23 , I'm proud to say that our teams have not only been able to mitigate the adverse
impact of the inflation in the commodity prices but also been able to build on the sustainability quotient of our operations . On a full year basis , the carbon footprint of our company has furt her
come down from 489 kg per ton of CO
2 to 463 kg per ton of CO 2. Our organization is deeply
committed to all our environment related commitments under ESG whether it's R E100, EP100 ,
EV100 by 2030 and carbon negative by 2040 . And these commitments are an integral part of
my personal priorities too to deliver upon in a timely manner.
For next year FY24 some of our areas of focus for our company will be 1) timely completion of
the ongoing CAPEX and integration of the Jaypee Cement asset , 2) further improve our
manufacturing KPIs and build long term input security , 3) HR transformation with focus on
leadership development , 4) digital enablement of the company.

To add to the strength of our leadership and assist in driving the company in the next stage of its
growth , I would like to share with you that we have appointed a Chief Operating Officer in our
company, Mr. Sam eer Nagpal. Sam eer has already been with the Dalm ia Bharat Group as the
CEO of Da lmia Bharat Refractory and he was instrumental in growing the business bottoms up
and finally led the M &A transaction in which the refractory business was sold to RH I Magn esita.
Mr. Singhi will mentor Sameer in his new role and I'm excited about having him aboard. W ith
this I would now like to hand over the call to Mr. Singh for his opening remarks.
Mahendra Singhi: Thanks , Puneet Ji. Happy afternoon friends. Last year has indeed been a tough year
comp aratively as the industry continued to witness unprecedented rise in commodity pricing and
particul arly fuel. But a s Puneet Ji has mentioned that we are very optimistic about the year ahead
of us now and believe that the peak of cost is behind us. Besides the softness in the commodity prices , we are also witnessing a strong demand momentum.
During financial year ‘23, we delivered a volume and revenue growth of 15.9% at a volume of
25.7 million tons and 20% Y OY at Rs . 13,540 crores respectively. This growth of 15.9% is
maybe more than 1.5 x of all India demand growth. The growth is balanced wit h our regions -
east, northeast , west and south delivering a double -digit volume growth during the year. For the
quarter , we had the highest ever sales volume and absolute revenue in any quarter with volume
of 7.

4 million tons and revenue at 3, 912 crores respectively.
During the year , the NSR growth has been almost 4% , which was led by stability and
strengthen ing of prices in the East and Northeast states . While the increase in N SR at 4% been
higher than the long -term average price increase of 1.5% to 2% annually , it has not been
sufficient to offset the adverse impact of i nput price inflation. During the year , the average fuel
consumption prices spiked from equivalent petcoke price of US$ 141 in FY22 to US$ 198 per ton
in FY23 which was again a massive 40% inflation in fuel cost. However , the good part is this
inflation has started now subsidizing with the peak being $218 and now at $ 174 in Q 4. Further
good news is now spot prices of petcoke are around $140 per ton which can be effectively used
in second quarter . On a Q OQ basis, prices marginally softened in southern region but remained
stable in e ast, northeast and west.
During the quarter our variable cost was slightly impacted due to consump tion of high -cost
opening inventory of c linker and cement . In Q3 FY23 we had built up c linker inventory due to
the upcoming plant shutdowns and deb ottlenecking projects in ensuing Q4. Thus , while you may
see a variation on quarter -to-quarter basis but you will notice that during the full year there is
not much variation in the overall inventory level. Even in the past, we have seen that compan ies
undertake inventory planning basis number of factors such as seasonality , plant shutdowns,
repair work , new plant line , etc., w hich may lead to quarterly variations but on full year basis it
tends to normalize. Our EBITDA p er ton during the full year has been Rs . 900 a ton and our exit
EBITDA came in better in Q 4 at Rs. 951 per ton.

Like Puneet Ji was mentioning our people have been very proa ctive and as a team were successfully able to improve a lot of our manufacturing and sales KPIs which enabled us to mitigate the adverse impact of the in flation. Mentioning some of these during the year our blending ratio improved to 84% from 79% in FY22. In Q 4 we were able to take it to an all -time high of 88% with all regions showing progress and this high blended cement number would definitely further improve in quarters and years to come. Our renewable energ y capacity has increased from 17 MW in FY19 to now 166 MW by FY23 end which is almost 10 times increase in the last 4 years. During the upcoming year FY24 we are targeting to almost double the current renewable power capacity from 166 to around 324 MW.
Our sale of premium products has also improved significantly by 19% to 3.4 million tons during full year FY23 . As has been our commitment , we have been working on sustainability and reducing carbon footprints month to month basis and I'm very happy to again reiterate that our carbon footprint of 463 kg per ton is one of the lowest in global cement world. I would also like to highlight that 4 years back we had targeted that our carbon footprint in FY23 would be 480 kg per ton which our team has been able to im prove to 463 kg.
Moving on the regional performance ; if you look at regional volumes for our company , both in south and east markets we outperformed and delivered double digit sales volume growth. The performance in south is specifically encouraging where over the last couple of years we have continued to strengthen our market share without adding any capacity in the region. Another best part has been that in south also we have been able to further enhance the blended cement volume which would further help us in building up more blended cement volume in years to come. At the same time, our confidence in the east market potential remains intact. Basis all the capacity announcements made ; we believe that the bulk of it has already been commercialized and now from FY23 to FY26 the rate of increase in capacity may drop to 4% or 5% of CAGR with demand expected to outstrip it at 9% to 10% CAGR growth. This will lead to steady improvement in the utilization levels going ahead and we could expect a much stable pricing scenario on back of this and this would prove that our strategy for east has been right . For Dalmia , east is one of the most efficient areas in terms of cost and we are able to save 100% low carbon blended cement in this region.
On the expansion s ide while Shri. Dharmender will give you the detailed update on C APEX and cash outflow . I would like to update that during the year FY23, we have commercialized 2.7 million tons capacity in both east and north east region respectively. This has taken our closing cement capacity to 38.6 million tons. Recently in current month of April ‘23 we have commercialized the new cement line at Bokaro of 2.5 million ton s which takes our installed capacity to 41.1 million tons. Another good part is that now Bokaro is one of the biggest cement grinding capacity in the country. During the year our cli nker capacity has also increased from 18.9 million tons to 21.7 million tons by March ‘23. Now during FY24 we have another 2 million

tons clinker expansion to come up in addit ion to what would come along with Jaypee assets in central region.
Friends I'm happy to share that in M urli, basis the detailed exploration carried out by our team as well as revalidation of certain mining leases , we have been able to build limestone visi bility of 18 to 20 years. In time to come it would further go up. During March ‘23 our capacity utilization of the plant was around 52% and we are reasonably confident that during the current fiscal FY24 we should be able to reach more than 60% c apacity ut ilization .
On the cost side at Murli, we have also taken many initiatives such as commissioning WHRS of 7 MW , solar capacity of 4.5 MW which will give us full year benefit from this year onwards . The reviving of the coal leak age will also help further . Likewise , in Kalyanpur which was acquisition prior to M urli and the plant which was closed for a long time , the plant has successfully been turned around and it is now one of the highest profit -making plants in our eastern operations. In addition to stalling 4 MW of WHRS and first floating solar power plant of 4 MW , we have again taken many operating initiatives to optimize cost and improve the plant throughput.
In regards to Jaypee acquisition one of the initiative s which we took is how to enroll the exis ting dealers of Jaypee as well also to introduce brands well in advance in central regions where we are not present. I'm happy to share that our initiative has led to the enrolling of around 1, 000 dealers of Jaypee which in time to come would be very helpf ul in ramping up our capacity of selling more Dalmia Brand cement. In addition to this , we have been also able to operate with the support of Jaypee Group the plants which have been able to deliver the cement required.

Now for rest of the details and key financial updates , I would now request our CFO – Shri. Dharmender to share with you the figures and facts and thereafter I'll be very happy to answer all questions in the Q &A. Thanks and all the best.
Dharmender Tuteja: Thank you Singhi Ji. Good afternoon , all. As all the major business updates have already been covered by Puneet Ji and Singhi Ji , I'll quickly jump into the key financial updates . With regard to the incentives this quarter we have accrued Rs . 92 crores of incentives which takes the FY23 accrual number to about 272 crores. The collections during the quarter has been Rs. 96 crores and the total collection for the year has been close to 250 crores. The average receivable as of 31st March stood at 700 crores. Going forward including M urli we ex pect incentive accru als t

o
be around 275 crores to 300 crores for FY24.
Regarding other expenses ; sequentially we have seen an increase which has three large components. The marketing spends during the quarter increased by about 35 crores and also around 20 crore s each is on account of increase in the packing cost and Depot expenses because of the higher volumes . On the debt side , on full year basis our gr oss debt has increased by 623 crores and the closing debt as of 31st March to debt 3 ,763 crores . The net debt to EBITDA as of 31st March was 0. 29 times. Regarding C APEX we have spent close to 2 ,710 crores during the

full financial year FY23 . As mentioned by Singhi Ji we have closed this year with the capacity of about 38.6 million tons per annum and the capacity as on date when we are talking today stands at 41.1 million tons.
Our Budgeted CAPEX spend for FY24 is in the range of 5, 000 to 5 ,500 crores including the payment which is to be made t o Jaypee for the new acquisition in the central region. Of this , roughly about 3, 000 to 3 ,500 crores will be paid for the acquisition of Jaypee cement assets and balance 2,000 to 2,500 crores will be for the ongoing expansion project plus the other efficiency land maintenance CAPEX , etc., And p ursuant to aim of becoming a pure play cement player and as already informed to you earlier , the company had entered into a binding agreement to sell its entire investment of 1.8 crore s equity sha res of Dalmia Bharat Refr actory Limited at a consideration of Rs. 800 crores to M /s. Sarvapriya Healthcare Solutions Private Limited , a promoter group company. With regard to the same , I would like to update that out of the total receivable 20% which is 16 0 crores has been received in cash and for the balance 80% consideration NCDs have been all otted to DCB L.
And also, in line with the capital allocation framework the board has proposed a final dividend of Rs. 5 per share which is subject to the approval of the shareholders in the ensu ing AGM . This is in addition to the interim dividend of Rs . 4 per share which was paid out in the month of November. The total dividend declared for the year including interim is Rs. 9 per share which is same as declared and p aid in last year. With this I now open the floor for question answer s. Thank you very much.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of In drajit Agarwal from CLSA.
Indrajit Agarwal: Hi Good afternoon thank you for the opportunity I have two questions. First on the organic expansion, while you have deferred the Bihar Grinding Unit , the other s outh grinding units remain as is. If you can help us understand what is the status of land acquisition, ordering of equipment , etc., and if we are confident of commissioning it in by FY24.
Mahendra Singhi: Yes, First Expansion of our cement capacity is going to happen by June e nd this year which is near Tuti corin which we call Sat tur area. This will get completed well before time by June '23.
Second , two cement units which are being set up now in Ka dapa and Ari yalur. They are all expected to go by March '24. This is basically the 4 million tons. This will get added to the capacity in addit ion to some debottlenecking project. We are all on track and well within the
cost.
Indrajit Agarwal: What is the remaining CAPEX in the organic part now?
Mahendra Singhi: In totality we will be investing about 5 ,000 crores which would also include the CAPEX for Jaypee assets.

Indrajit Agarwal: That is you are saying for FY24. I'm saying what is that pending CAPEX just for the organic? So, after what we have spent a bout 2,000-2,500 crores for organic , will there be still some pending CAPEX for the organic part?
Mahendra Singhi:

Yes.
Rajiv Bansal : Indrajit we will not give a breakup between how much will be inorganic organic, what is the capacity for that. We are looking at spending roughly about 5 ,500 odd crores next year including Jaypee acquisition . Jaypee depending on how each of these are transactions get approved by the bank and the lender. But w e are looking at range of between 5 ,000-5,500 in the range right now.
Indrajit Agarwal: My second question is on Jaypee acquisition. We understand that you have signed a definit ive agreement and we have signed one earlier for the standalone Jaypee assets. So, w hat kind of timelines we can look at when those assets will be under our fold?
Mahendra Singhi: It is in the proc ess and now lenders are taking up this matter and within couple of months we should be able to operat ionalize .
Indrajit Agarwal: And we will need NCLT approval for this or that is not required?
Mahendra Singhi: May not be required.
Rajiv Bansal: Hi Indraj it, Rajiv this side This was not admitted by NCL T, so the NCLT approval is not required. This requires lenders approval and only for a S uper Dalla there are certain conditions precedent. So , there are two parts of it. One is the lenders approval , the second is the conditions precedent which is to be met but as Singhi ji was saying at least the transfer that he was speaking about we hope to close that in the next couple of months. The S uper Dalla the conditions precedent will be the closure of the arbit ration proceedings with Ultratech and once that is done only then this will be closed.
Moderator: The next question is from the line of S umangal Neva tia from Kotak securities.
Sumangal Nevatia: Good Afternoon and thanks for the opportunity m y first quest ion is on the cost. There was a sharp increase in raw material cost. I s it largely because of high opening cost inventory or also some other line items like fly ash, slag also saw some inflation ? If you could share some details there. Also , the second part is on the fuel cost. If we could share what is the coal cost in Q 4 and what is the guidance for Q 1?
Mahendra Singhi: Yes, to some extent the raw material cost has gone up on account of inventory . Second since our CC ratio has also gone up, so t o that extent raw material cost has gone up. Thirdly there has been little price increase in fly ash and slag, s o in totality that is the reason. But a t the same time there

has been substantial reduction in power and fuel costs. This will be again further visible in quarters to come.
Sumangal Nevatia: Is it possible to get some quantification at least on the power and fuel cost , in terms of dollar per ton what was the average in Q 4 and what's the current procurement levels?
Aditi Mittal: For the Q uarter 4, both the purchase and consumption has happened at about $174-$175 per ton. During Quarter 1, we believe the rate should be anywhere about $165 per ton. So, a nother $10 is what you can see. T he spot rate which Mr. Singhi had spoken about , the impact of that you can see Q uarter 2 onwards.
Sumangal Nevatia: Understand That's very clear. And one just last question. We are doing a great job on increasing the blending ratio. I heard i f correctly it was 84% in FY23. Just want to know what sort of near-term target are we looking for in FY24 -25 and if some comments on the acceptance of blended cement in non -trade segment .
Mahendra Singhi: So, let me answer the last question. You're fully aware of the commitment of Indian G overnment to go green by 2070 in tota lity. But a t the same time the various initiatives which the government has taken to encourage green products whether it's green cement or green steel or many other such products. So now various government departments have started accepting PPC or PSC in place of OPC and our team has been working very effici

ently on this. We are proud to say that in many projects including the project for tunnel , projects for road, projects for bridges , now Dalmia Infra cement which is a PPC product has been approved in pla ce of OPC and that would help us in a big way. Similarly , there has been now awareness in builders and the road contractors. They have also started now accepting PPC and there has also been force from NH AI also to go for more and more PPC. So, this is one part. Secondly in quarter -to-quarter our blending ratio will go up as we are fully committed that in a few years' time we should be producing only blended cement which is low carbon cement.
Sumangal Nevatia: From 84% any target we are looking at internally FY 24-25?
Mahendra Singhi: Internally yes but we'll share when we do it.
Rajiv Bansal: Sumangal, Ra jiv here w e don't want to put a number on a yearly basis or quarterly basis. I think our goal post is very clear , we want to be 100% blended cement . We've been saying that for a couple of years now. I think the roadmap and the trajectory is very clear. We have been increasing year by year. The thing is it's very difficult to put a number on a quarter or a year because every market operates differently . So, we will have to keep looking at it and tweaking it and recalibrating it. At this point in time the goal is very clear. I think we have been showing consistent improvement and that journey will continue.

Mahen dra Singhi: I may also add that even on total all India basis also , the low carbon cement percentage in India is going up and this is the highest percentage of low carbon cement in the world. It may be today around 71% -72%.
Sumangal Nevatia: Got it Thanks Singhi ji, Thanks Rajiv .
Moderator: The next question is from the line of Pinakin Parekh from J .P. Morgan.
Pinakin Parekh: Thank you So, I have two sets of questions. The first is on the JPA cement acquisition. Now given that JPA the parent entity is in the IBC and sanctity of timelines on any resolution over there has in the past across the board not been respected , is it fair to say that till Dalmia has clarity on the JPA acquisition it will not go ahead with any organic expansion plans beyond the 46.6 million tons?
Mahendra Singhi: Let me first clarify that Jaypee Asset was not admitted in IBC. Secondly now even in court also where the petition was put up, even banks are also requesting high court that since resolution is happening so they would not like to proceed ahead. Because of that reason we are fully confident that in a couple of months we will be able to get this acquisition in p lace.
Pinakin Parekh: Agree. But i f it gets delayed beyond a couple of months , I'm just trying to understand that the next phase of organic expansion beyond 46.6 million tons when should we see visibility on that? It's only after JPA gets done whatever th e time frame would be or during FY24 that we can see that.
Rajiv Bansal: Let me answer that question. See we have guided everyone to 75 million tons by FY27 . That plan and that goal remains intact. What we have done is 49 million ton is what we're committ ed by FY24. We're likely to go up 56 million tons including Jaypee acquisition. We are absolutely confident about Jaypee acquisition being closed in the next couple of months. In the next couple of months , hopefully the next quarter we will start giving you roadmap for the next leg of expansion from 56 to 75. There is nothing being stopped or pending Jaypee. I think we are committed to building 1 10 and 130 million tons company by FY31 and we will achieve the milestone of 7 5 million by F Y27.
Pinakin Parekh: Secondly just trying to understand the final cost of the Jaypee acquisition. So, the company mentioned that 5,000 crores of spending in FY24, it includes 2,600- 2,700 crores of organic CAPEX, the rest

is JPA. So is this the final cost t o ramp up the assets or will there be an additional cost over the 2,000- 2,500 crores. What will be the total cost for that 9.4 million tons given now that you have signed the definitive agreement, you will be in a better position to answer that?
Rajiv Bans al: If you remember when we had made the announcement about the Jaypee acquisition, we had said the total consideration is about 5,666 crores and we had also said that we will probably

spend about 800 to 1,000 crores additional to bring the plants to the s tate-of-the-art like to operate including WHRS , solar and everything else. Now only the third tranche of Super Dalla is likely to be dependent on the closure of the arbitration proceedings between Jaypee and Ultratech . Other than that, if you look at the balance amount again, we will be spending roughly about 700 odd crores on improving them. So, the total cost would still be about $70 odd per ton. I think it’s a great asset and as Singhi ji was saying we have also started the tolling agreement, we have started enrolling dealers, we have started understanding the market, we have started building the brand so that the moment these transactions are cl osed we can hit the road running.
Pinakin Parekh: So, it’s fair to say that there will be another equally large amount of spending related to Jaypee in FY25 as well, beyond the 2,500 crores this year?
Rajiv Bansal: Yes absolutely. We had already guided that when we acquire, talking about the number will be 800 to 1,000 crores on the overall Jaypee acquisition.
Pinakin Parekh: And my second question just trying to understand the power and fuel cost. So, $175 in Q 4, $165 in third quarter, $140 per ton at the spot market; so, to that extent at this point of time the power and fuel decline so far did not flow through to the EBITDA line. Going forward at least in the first half of the year do we expect pricing to hold up and hence the full benefit of lower power and fuel cost would flow through the bottom line or pricing is expected to remain soft?
Rajiv Bansal: Difficult to predict pricing. As you know there are too many moving parts, the pricing, the region, state, market but I would not like to look at pricing on a quarter -to-quarter basis. If you look at on an annual basis, I think we have been getting around to 1.5% to 2.5% increase on an average. Last year we have seen 4% price increase. So, power and fuel cost had gone up dramatically. As you all know we keep certain stock, we have certain spot prices Aditi and Mr. Singhi had shared a few minutes back . So, definitely our ability to purchase power and fuel and petcoke at lower cost will flow into the EBITDA and how much we decide to invest back , as we

are buil ding a business for generations, we are building business for decades. So, there will be certain investments in different markets in terms of brands. As we are becoming a larger company, we also invest money on brand, we're getting into newer market so we will have to balance this out. We would like to build a sustainable -scalable business model; for that we may have to invest certain amount of money but yes that the petcoke price is coming down is a huge boost for us to invest money in the market, and buil d a sustainable -scalable business.

Mahendra Singhi: And let me just add that yes whatever you are thinking, power and fuel cost, it will come down in the Quarter 1 and Quarter 2 also.

Moderator : The next question is from the line of Prateek Kumar from Jefferies.



Prateek Kumar: My first question is on the fuel cost again. So , has this 7Fs impact not been there? So, what c ould be the power and fuel cost benefit which we could have realized on a per ton basis during the quarter?

Aditi Mittal: Every $10 change Prateek in terms of pricing

leads to about 30- 35 bucks of per saving, to that extent, it has flown in . What we've also seen during the quarter that our renewable power capacity has gone up on consumption basis. That has also led to some benefits. Li ke Mr. Singh i had mentioned in his opening remarks in the last Quarter 3 and Quarter 4 , there has been a little bit of anomaly because of the opening and closing stock. Otherwise, as the markets are seeing the benefit and the industry is witnessing that a decline in power and fuel cost flows into the numbers, it does into our numbers as well. On a n annual basis, the inventory impact is actually almost negligible. Going forward, since this will normalize, you will see that to the extent of softness in the power and fuel cost , it will directly flow into the P &L.

Moderator : We'll move on to the next question from the line of Rajesh Kumar Ravi from H DFC Securities.

Rajesh Kumar Ravi: Good afternoon, first question pertains to the fuel cost. Could you give us on per kilo Cal what was the costing in Q 4 and what is expected , what is the current trend in Q 1 and secondly pertaining to the same what you have mentioned that the blending ratio has increased to 88%. It was close to 83%. Significant savings should have come in even from your raw material . So on a per kilo Cal basis the fuel cost should have come down. What is the per kilo Cal cost and with the increase in blending ratio from 83% to 88% even the total variable cost should have come down but as you have reported, even the variable cost has gone up Q -on-Q . So, what explains that?

Aditi Mittal: The kc al rate for the quarter is 2. 06 and on the raw material Rajesh, I think what everybody is doing while calculating the VC is taking the full impact of the change in stock of inventory and which is why you are seeing an increas ing trend on a quarter -on-quarter basis. But if we were to remove the impact of the opening high-cost inventory , the decline in raw material or power fuel is visible and more so because the bl ending has definitely gone up between Quarter 3 and Quarter 4 from 83% to 88%. But I think it is only because we have a high stock up of opening inventory which is at a higher cost also has certain fixed expenses allocated in to it, it is showing an increasing trend when you club all four -line items and do a VC per ton. I think next quarter onward you'll get a lot more clarity as this inventory line normalizes. But if you were to take the VC ex of this, the benefit is visible in the raw material and power a nd fuel cost respectively .

Rajesh Kumar Ravi: From 2 .43 in Q 3 we have already come down to 2. 06 sort of and there you are further expecting it to come off in Q 1 and that with the increased blending and no anomaly on the inventory side, we should see boost to the numbers assuming prices remain stable on the cement side, right?

Rajiv Bansal: Yes. The inventory line , you look on a year -on-year basis there's actually no impact . On a quarterly basis you do see the impact of opening stock and closing stock depending on



production shut down. We also did some debottlenecking because we had to take shutdown in some of our plants. This is a quarterly anomaly which keeps happening depending on when there's so much volatility in the input cost the opening stock or the closing stock valuations will be very different. So, I think if you look at on annual basis, I think generally you see over the years the trend for opening stock and closing stock does not really make any impact . I think I just want to make that point that yes, on a quarterly basis you will see aberration s here and there depending on schedules and everything else but on an annual basis we don't see that making an impact .

Rajesh Kumar Ravi: For full year what would be your per kilo Cal costing ?

Aditi Mittal: Full year will be 2.21

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Rajesh Kumar Ravi: And closing is 2. 06 so good saving here on.
Aditi Mittal: Yes.
Rajesh Kumar Ravi: Second on the acquisitions and CAPEX . First around Jaypee 's acquisitions which was announced was 3 ,200 crore s and the current announcement which came which would another sum up to another 2, 300 and 2, 500 crore s, is that understanding right?
Aditi Mittal: Yes, absolutely .
Rajesh Kumar Ravi: And additionally, we would be doing another 1, 000 and 800 crore s additionally you said 1 ,800 crore s is total to make ….
Aditi Mittal: 800.
Rajiv Bansal: If we go for the entire 9.4 million tons, we may spend between 800 to 1,000 crores.
Rajesh Kumar Ravi: These 5,500- 5,600 total acquisition costs will go in FY24 itself?
Rajiv Bansal: No, it will happen over . See that the additional 800 to 1,000 crores is which spread depending on when each of these plants and the b ranches have closed. The thing we were saying may take a couple of months. So, the initial money which we need to pay to Jaypee and the bank will happen immediately in FY24. The expansion that we're talking about or the modifications and the refurbishment everything else would generally happen in the subsequent year. Even if you look at on the 5 ,666 crores of consideration, the Jaypee Super which is the separate Tranche III would happen only when that is closed, which is subject to the co ndition that we are speaking about Ultr atech and arbitration with Ultra tech and Jaypee. And that consideration is 1, 690. Out of 5,666 if we take out 1,690 we're talking about total of about 4, 000 odd crores and on 4, 000

crores we are talking about 800 to 1,000 crores more which is total consideration of 4,500 crores for the 9.4 million tons of capacity .
Moderator : The next question is from the line of Shyam from Franklin Templeton .
Shyam: Hi Good afternoon, thanks for taking my question I hope I am audible . On the geography mix perspective, we do hear that Southern region was particularly quite strong in the fourth quarter. How has the geography mix changed when we look at sequentially and did that have any impact on the EBITDA per ton or the sprea d that we saw on a quarter -on-quarter basis? That's the first part of my question.
Mahendra Singhi: Geographically it has not much changed but at the same time when we look at increase in prices then in East prices had gone up to some extent , whereas in th e Southern part of India prices either were stable in one or two state and had gone down also. So, from mix point of view, not much change but from pricing point of view it has changed and that has got us some price increase.
Shyam: Just a follow up on this . Now given that we are seeing Southern pricing weaker . Now with the cost curve shifting down meaningfully from the second quarter F Y24, do we see sharing some of these benefits with the customers until we reach a certain hurdle rate of E BITDA per ton? How do we think about the sharing of these cost benefits that we would likely see in the second half of F Y24?
Rajiv Bansal: When the input cost went up so much, the question came to us was why we are not able to share it with the customers a nd why we 're not able to pass it on the consumers. And when the input costs have coming down, the question is how much of it will be shared with the consumers? I think there will be volatility in the prices. As I told you, there are multiple factors which define how the prices move by regions, by state, by different product lines. On an average if you look at it, our prices do increase year -on-year between 1.5% to 2.5%. Last year was 4% in spite of all this stuff, people who had concerns about the entry of Adani in the sector, what will happen to the pricing environment and other things. But if you look at it on an average, we got about 4% price increase. The demand environm

ent was very good last year. As Singhi ji was saying we had almost 9% -10% cement demand for the industry as a whole last year and we expect that to continue in next year as a pre-election year. Now with such a great demand that we're talking about for industry, I would expect that the input cost going down. I would expect the pricing performance to be stable and I would also expect the EBITDA performance will better for everybody, I'm not talking about it specifically but for the industry as a whole, I think next year is very well.
Shyam: I was trying to get it from more from an industry perspective as well. One last point from an expansion per se , in FY24 our Southern cement grinding capacity goes up by roughly 4.9 million

tons, including the debottle necking in Belg aum. I'm trying to understand from supplying of clinker to th ese units, how does that arrangement work, if you can just help us understand that?

Mahendra Singhi: That arrangement works very well because if we have sufficient c linker to support th is production of cement and as you also know that once we put up a capacity of (+ 4 million ), immediately we would not be working on 100% but at the same time the math which we have done, the blending ratio which we have done, we have sufficient c linker to serve full capacity of cement in Southern India.
Shyam: Just to clarif y, this is from the Ka dapa unit and existing in Ariyalur clinker that will support this , just to understand?
Mahendra Singhi: We have four plants in Southern India which produces c linker which is Dalmiapuram and Ariyalur in Trichy district, then Ka dapa in And hra and then Belgaum in Ka rnataka. These all four plants produce c linker and cement so all these c linkers of these four plants will be able to serve the cement capacity which we are putting up.
Rajiv Bansal: If I can just add here when Singhi ji in his opening remarks spoke about the c linker debottlenecking and how we're going to increase in the next financial year , almost I think 0.9 to 1 million tons is coming from South. There is almost a 0 .9 to 1 million ton s of clinker debottlenecking which is happe ning in South and in addition to what Singhi ji was talking about Kadapa. I think we are pretty comfortable about th e clinker balancing and as Singhi ji also said that we are increasing our blending in south in a big way I think it's a very impressive result/output and we hope to continue with that.
Mahendra Singhi: Another 1.2 million tons capacity of clinker would also be added through bottlenecking in South .
Moderator : The next question is from the line of Pulkit Patni from Goldman Sachs .
Pulkit Patni: Continuing with what Shy am was asking, if we look at bulk of our expansion next year is happening in South India, in light of that how do we expect blending ratios to go up? I mean, our understanding was that acceptab ility of blended cement in South is st ill not as high as it is in East. If you could highlight what is the strategy there?
Mahendra Singhi: I would say that there was apprehension in the mind of many people 2 years back -3 years back and little bit in our mind also but then whatever say perform ance we could see, whatever the success we could see of last 1 year, we do see that there's a full acceptability and second there is 100% blended cement usage in retail market trade sale and our trade sale is going up there. In addition to this in the inst itutional sales also more and more acceptability has been coming which I had shared earlier also that government is also working on it. The prudent developers , prudent contractors , are now also accepting PPC. This is the trend which will ultimately prevail.

Aditi Mittal: Pulkit if I were to just add a few numbers to it. I think in FY19, 5 years back, our

blending in
South was almost 40% -45%. It increased to 50% in FY21 and on a full year,65 % in FY23. Quarter 4 the blended cement percentage was highest ever at about 75% in South . So, I think as Mr. Singh i was saying when there is an effort on both the side of the government and the companies altogether in the sector, I don't think there's a problem in terms of a cceptability and it's actually showing up in the numbers also now . Year -on-year it is getting more and more accepted. 75% for South it is actually pretty high and encouraging .
Mahendra Singhi: If required at any point of time, our team can share that how a cceptance of PPC has come up in various very important critical projects of the country.
Pulkit Patni: Can you split the volume growth between South and East maybe for the quarter or for the year?
Rajiv Bansal: Pulkit, we don't give regional numbers. I'm s orry about it. We feel as Singhi ji said we have seen double digit volume growth in every region that we operate and I think we want a very stable growth in every region. Unfortunately, we don't share numbers.
Moderator : The next question is from the line of Ritesh Shah from Investec Capital .
Ritesh Shah: Couple of questions First is with respect to the Jaypee assets, can you please give some color on the limestone results , that's one. Second is the growth opportunity on the asset s and third is incentives if any related to the assets we can enjoy going forward. So that's the first question in three parts .
Mahendra Singhi: There's a sufficient quantum of limestone in the lease area and we have done some study and more study would be done as well. You can also be confident of Dalmia's history of getting limestone everywhere, whether it's Kalyan pur, whether it's M urli or any other. We have seen Jaypee area and there's sufficient limestone. This is how we have gone ahead so this is on limestone part .
Ritesh Shah: The second question over here was growth optionality? Can we increase the capacities over here and the third question over here was on the incentive if any corresponding to the Jaypee assets ?
Mahendra Singhi: Now are you confident of limestone availability then I can talk of the expansion.
Ritesh Shah: Yes, I will go by what you say sir.
Mahendra Singhi: Yes. Once we acquire this asset then definitely, we will come out but then definitely there are possibilities. There are good possibilities. One , on account of good plant of Jaypee as well as the s lim estone reserve as well as the increasing demand in central region and particularly to some

extent in part of North also.

Ritesh Shah: Possible to quantify somethi ng like we can double the cement capacity, double the clinker capacity? Any numbers over here?

Rajiv Bansal: As I said earlier, we would share the plan s beyond 56 to75 MnT hopefully in the next earnings call. We'll have to unfortunately wait till then. On ce we are closing the Jaypee acquisition, we will have opportunity in central region, we have Satna mines there . We are looking at each of the plants , debottlenecking opportunities, the expansions that we can look further. These are all work in progress and I would not want to jump into it and commit some numbers. I think we will have to do our homework properly and then come to you and report the numbers. I think we will wait for another 3 months. Hopefully, we sh ould be able to announce in the next earnings call.
Mahendra Singhi: There are good opportunities everywhere.
Ritesh Shah: Just last question. What is the status of East India Energy? I think these 180 MW , is it also part of the transaction? That's one and the second question over here is basically how critical is Super Dalla to us and the value that you have indicated of 5 ,600 crores, does it include or exclude that? If it excludes what 's the quantum correspondi

ng to that particular asset?
Rajiv Bansal: As I said also in the last question , 5,666 crores that we spoke about include s the value for Super Dalla of 1,690 crores so that is including 1690 without that is about 4,000 odd crores.
Mahendra Singhi: This power plant is part of the deal.
Moderator : Ladies and gentlemen, due to paucity of time, we will take the last question from the line of Shravan Shah from Dolat Capital.
Shravan Shah: First, on the costing front just to clarify , the other expenses that we mentioned, 75 odd crores higher. So, from t he Q 1 FY24, will this number will remain so that in totality or in per ton in terms of the other expenses, will it remain same or can we see a sizable reduction there?
Aditi Mittal: As Dharmender had mentioned the sequential 80 crores increase that you've seen in the other expenses, 40 crores which pertains to the bags and the depot expenses is semi variable in nature so it depends upon the volume and the 35 crores that we have spoken about pertains to advertisement expenses because we are adding capacity . On a per ton basis, the costs have been relatively stable. So going forward also I think on a per ton basis we should expect stability . This sequential increase that you saw was mainly to do with an increased volume. I think on a per ton basis, the costs are expected to remain stable at the current level .

Mahendra Singhi: And otherwise also if you look at fixed cost per t on, we would find that Dalmia Cement’s fixed cost per ton would be one of the lowest in the industry .
Shravan Shah: Secondly on the kcal basis we mentioned that for Q 4 it is 2. 06. In Q 1, this current quarter how much we are expecting the kcal?
Dharmender Tuteja: About 5% reduction we can expect 5% to 6% .
Shravan Shah: And net-net if we look at the let's say if we assume this $165 petcoke on the full year basis, if we have to look at so how much more reduction?
Dharmender Tuteja: That will go down further so let’s say Q2 another you can expect fall of about 10% as the prices have come down . So Q2 improvement of 10% over Q 1 and Q 1 itself will be improvement of 5% or 6% improvement over Q 4 of this year . As the factors move, it will move.
Shravan Shah: Have we seen any price increase in this month April ?
Mahendra Singhi: We wanted to see but we couldn't see.
Moderator : Thank you. Ladies and gentlemen that was the last question for today. I would now like to hand the conference over to Mr. Puneet Dalmia for closing c omments .
Puneet Dalmia: Thank you all for your interest in us and we ended a very volatile year with great performance. I look forward to staying in touch and I'm very confident that there are good times ahead. Thank you.
Mahendra Singhi: Thanks everyone.
Moderator : Thank you sir. Ladies and gentlemen on behalf of Dalmia Bharat Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

## Call: Aug 2023

Dalmia Bharat Limited
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File No: 1010/02 July 27, 2023

BSE Limited P J Towers, Dalal Street,
Fort Mumbai - 400001
Scrip Code: 542216 National Stock Exchange of India Limited
“Exchange Plaza”, Plot No. C-1, Block G
Bandra - Kurla Complex, Bandra (East),
Mumbai - 400 051 Symbol: DALBHARAT
Subject: Transcript of Quarter Ended June 30, 2023 - Earnings Conference Call
Ref : Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
Dear Sir/Madam,

In terms of Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirement), Regulations 2015, please find attached transcript of the quarter ended June 30, 2023 - Earnings Conference Call
held on July 21, 2023.
The same will also be uploaded on Company's website: www.dalmiabharat.com.
We request you to take the same on record.
Thanking you,
Yours faithfully,
For Dalmia Bharat Limited
Rajeev Kumar
Company Secretary



“Dalmia Bharat Limited
Quarter Ended 30th June 2023 Earnings Conference
Call”
July 21 , 202 3

MANAGEMENT : MR. PUNEET DALMIA – MANAGING DIRECTOR –
DALMIA BHARAT LIMITED
MR. MAHENDRA SINGHI – MANAGING DIRECTOR AND
CEO– DALMIA (CEMENT ) BHARAT LIMITED
MR. DHARMEND ER TUTEJA – CHIEF FINANCIAL
OFFICER – DALMIA BHARAT LIMITED
MR. RAJIV BANSAL – PRESIDENT AND CHIEF
TRANSFORMATION OFFICER – DALMIA BHARAT
LIMITED
MS. ADITI MITTAL – HEAD, INVESTOR RELATIONS –
DALMIA BHARAT LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Earnings Conference Call of Dalmia Bharat Limited for the quarter ended 30th June 2023. Please note that this conference call will be for 60 minutes and for the duration of this conference call, all participant lines will be in the listen only mode. This conference call is being recorded a nd the transcript may be put on the website of the company. After the management discussion there is an opportunity for you to ask questions. Should anyone need assistance during the conference call please signal an operator by pressing star then zero on y our touchtone phone. As a reminder, all participant lines w ill be in the listen only mode.

Before I hand over the conference to the management, I would like to remind you that certain statements made during the course of this call may not be based on historical information or facts and may be forward -looking statements. These statements are based on expectations and projections and may involve a number of risks and uncertainties such that the actual outcome may differ materially from those suggested by such statements.

On the call we have with us Mr. Puneet Dalmia, Managing Director, Dalmia Bharat Limited. Mr. Mahendra Singhi, Managing Director and CEO, Dalmia (Cement ) Bharat Limited. Mr. Dharmend er Tuteja, CFO, Dalmia Bharat Limited. Mr. Rajiv Bansal, President and Chief Transformation Officer and the other management of the company. I would now like to hand the conference call over to Miss Aditi Mittal, Head , Investor Relations . Thank you and over to you.

Aditi Mittal: Good morning everybody, welcome t o the quarter one earnings call of Dalmia Bharat Limited. The earnings release has been uploaded on our website today morning so in case you've not had a chance to look at it you can download it from our website. With th is I will hand over the call to Mr. Da lmia for his opening remarks Thank you.

Puneet Dalmia: Thank you, Aditi . Good morning, everyone. It gives me immense pleasure to welcome all of you to the Q1 FY24 earnings call of Da lmia Bharat Limited. Let me briefly share my outlook with you and after which Mr. Singh i and Dharmend er will give you more details about our performance. As I have been sharing with you over the last few quarters, the economic environment in our country has been resilient, our se ctor is doing well with the cement demand being robust and the cost curve is m oving in a favourable direction.

But this quarter, the operating performance of our company has been below my expectations. We are introspecting and working diligently to impleme nt improvements. During the quarter, our sales volume has grown 12% on a Y -o-Y basis. But we believe that we could have done much better. And while we remain one of the lowest total cost producers of cement in the industry, I also believe that there's a lo t more headroom to improvise on the cost front as well. So, this quarter has been a learning for us in terms of performance, and we will take it up ve ry seriously amongst ourselves.

On the capacity growth front, we have delivered on the committed expansion numbers and added 3.1 millio n tons in east during the quarter. We have commenced the trial run production at the Sattur plant in Tamil Nadu, which adds another 2 million tons to our capacity. We are on track



to complete the organic expansion target of ce ment capacity and reach 46.6 million tons by March 2024. With regards to the acquisition of J aypee in the central region, I would like to share with you that we are awaiting certain external approvals which are taking slightly longer time than we had orig inally anticipated. And considering the external exigencies, we will try and close the transaction before the end of this financial year. Nevertheless, we will ke

ep you posted in the interim for updates with regard to the same. This excludes the J aypee Super Dalla tranche, which is entirely dependent upon the outco me of arbitration between UltraT ech and J aypee . As was mentioned by Singhiji during our last earnings call, we have started the tolling arrangement from some of the plant locations of J aypee in central regions so that we do not lose time and make some headway into building the Dalmia b rand in the region. We have started empanelling dealers, and this also gives us an opportunity to gradually establish our market share in the region.

On the overall cement industry outlook, the demand growth looks robust. Prices remain range - bound, and costs are coming down in line with the fall in fuel prices. The cost will further show a positive delta due to the implementation of our ongoing levers of l ong-term cost savings such as renewable power, low carbon cement and recycled fuel amongst others. With this, I would like to hand over the call to Mr. Singhi for his opening remarks. Thank you.

Mahendra Singhi: Thank you, Puneetji. Happy morning, friends. As Puneetji has mentioned, the cement demand in the country is growing at a very healthy rate. For Q1, we do expect that the demand on all India basis may be between 8 % to 10 %. During the quarter, we delivered a volume growth of 12% on Y -o-Y basis to 7 mi llion tons. The growth was visible across regions, the performance in South region was better and continues to be encouraging where we have been strengthening our market share over the last couple of years. In fact, our low carbon cement percentage is also growing in South at a healthy rate with last quarter being at 75%. For the company as a whole, our low carbon cement percentage for the quarter has gone up to 88%.

Revenues for the quarter improved by 10% Y -o-Y to INR3,624 crores led by volume growth, but adversely impacted by lower prices. From the exit price of June '23, prices to some extent, has weakened as the seasonal factors have started to set in.

In terms of the cost, our raw material cost has increased by around 9% on a Y-o-Y basis to INR768 per ton of cement production, which is primarily due to increase in rates of Slag and Fly ash and some transportation cost, which has gone up by almost 20% and 9% respectively.

The purchase of stock in trade goods has shown an increase during the quarter as this item captures the cost of cement purchased, which is being manufactured under the agreement with JP, and that cost too is coming in is at a rate which is slightly higher than our existing cost of producti on.

Coming to the power and fuel costs. During the quarter, our power and fuel cost has marginally increased by 1% on a Q -o-Q basis to INR1,293 per ton of cement production. As mentioned in the previous earnings call, our fuel cost has realized the benefit of around USD10 per ton of petcoke reduction during the quarter. However, it may not be visible on a sequential basis due to increase in power rates in few of the states where the fuel surcharge has gone up . We also had to go for grid power in place of CPP power because the CPP power became expensive at that



time on account of higher fuel rates . There has been also the change in CC ratio, which is driven by change in the regional mix.

To give you some colour on the ong oing fuel prices, the current spot rates are now hovering around USD115, and the benefit from such reductions should start reflecting from the mid of quarter 3. With a reduction in the fuel costs, now our CPP will also become viable, and we are now able to switch to our captive power plant from the grid power. We will also see the benefit of this in coming quarters.

With regards to the freight cost, the cost has increased by 6% on Y -o-Y basis to INR1,156 per ton primarily due to a levy of busy season surcharge by Rai

lways and some inter regional clinker movement because of some planned stoppages. Friends, our EBITDA per ton during the quarter has come at INR872 per ton.

On the growth side, our CFO, Dharmender, will give you the detailed update on capex and cash outflow. I would like to update that during the quarter, we have commercialized the new cement line at Bokaro, Jharkhand, of 2.5 millio n tons and also successfully debottlenecked our facility at Bengal by 0.6 million ton, which too k our East region capacity to 21.1 millio n tons and overall capacity to 41.7 million ton.

As Puneet Ji has already mentioned, we have also commenced the trial runs at our 2 millio n tons grinding plant at Sattur in Tamil Nadu, which was a green fi eld grinding unit project of the company. With regard to proposed growth in Northeast, we have received the necessary statutory approvals and have mobilized the field contractors and have also placed major orders with top technology suppliers for the equipments. We are targeting to complete this project by FYFY25 -FY26 .

During the quarter, our RE capacity has increased to 170 megawatts, which is 10 times of the capacity we had in FY '19. Friends, for the rest of the details and the key financial updates, I would now like to hand over the call to our CFO, Mr. Dharmender, and I'll also be happy to answer all questions in the Q&A following this -- following his remarks. Thank you and best wishes.

Dharmender Tuteja : Thank you, Singhi Ji. Good morning, everyone. Let me quickly get into the key financial updates before we open the floor for Q&A. With regards to the incentives, we have accrued INR77 crores of incentives during the quarter. The collection during the quarter has been INR39 crores. The average receivable on this account as on 30th June stood at INR7 40 crores. For FY '24, we expect incentive accruals to be around INR275 crores to INR300 crores.

Moving to the fixed costs, our employee cost has increased by INR24 crores to INR222 crores on a Y -o-Y basis primarily due to annual increments and increase in number of headcounts on account of adding new capacity at differ ent locations. Other expenses have increased by INR51 crores to INR515 crores on a Y -o-Y basis, primarily on account of plant shutdown costs, increase in Depot expenses and sales commission increase. Our depreciation during the quarter has increase d by INR87 crores on a Y -o-Y basis. Let me explain to you why is that.

See, as part of our overall debottlenecking projects to increase cement and clinker capacities, certain components of plant and equipments will be replaced. Accordingly, an accelerated depreciation of INR57 crores has been charged on these components during this quarter. This is basically a one -off expense with another about INR54 crores of charge to be taken on this account in the next 2 quarters. Excluding this onetime charge, the regular annual depreciation for the year will be higher by about INR120 -150 crores on account of recently added capacity and new capacity to be further capitalized during the rest of the year.

On the debt side, our gross debt has inc reased by INR623 crores and the closing gross debt as of 30th June stood at INR4,386 crores. The net debt -to-EBITDA ratio as of 30th June was 0.52 times.

With regard to the capital expenditure, we have spent INR907 crores during the quarter. As mentioned b y Singhi Ji, we have closed this quarter with the capacity of about 41.7 million tons and have recently commenced the trial production at the new split grinding unit at Sattur in Tamil Nadu. Within next 1 to 2 months, we expect to commence the commercial p roduction of this unit also. For the full year, we expect the capex to be about INR6,300 crores, including acquisition of J aypee plant s.

With regard to the recent divestment of the noncore businesses, as you'll remember, t

he company had entered into a binding agreement to divest its equity stakes in the refractory company at a consideration of INR800 crores.

With regard to the same out of total receivable, 20%, that is INR160 crores has been received in this quarter as part of the transaction and for the rest of 80% consideration, NCDs have been allotted to DCBL. These debentures will be redeemed in 2 equal tranches with the first o ne to be redeemed in December '23, and the remaining 40% will be redeemed on September '24.

Beside this, we will also be receiving the INR 120 crores, which is due from the redemption of debentures of Hippo stores by December '23.

With this, I now open the floor for question and answer. Thank you very much.

Mod erator : Thank you very much. We have a first question from the line of Indrajit from CLSA. Please go ahead.

Indrajit: Hi, good morning. Thank you for the opportunity. Can you help us understand the cement tolling operations with J aypee once again, what was the volume? What kind of revenue we have generated? And is it sold under Dalmia brand itself?

Puneet Dalmia: We have a tolling arrangement currently with J aypee , where they are doing contract manufacturing for cement for us, and we are selling it under the Dalmia brand. So, we are setting up our distribution , we are establishing our brand, but the manufacturing is currently being done by Jaypee . So, I think, this gives us headroom in the market to establish ourselves before the acquisition is completed because, as you know, this is a new market for us. And we are in the process of establishing the distribution network, establishing the brand and esta blishing the full logistics infrastructure to service the market. So, broadly, that is the arrangement. And I think it is helpful for us that we can do this even before the deal gets done.



Indrajit: And what is the kind of volumes we have done and any outlook for the year as a whole? How much we can do?

Puneet Dalmia: So, we are not sharing our regional numbers. Right now, we share numbers on an aggregated basis. But all I can say is that this will help us ramp -up this capacity faster compared to if we would not have done tolling.

Indrajit: Sure. A nd secondly, in the opening remarks that you mentioned, you could have grown faster barring some issues. So, if you can elaborate on it, what were those issues? And are those now behind us? And have we lost market share as a result of those issues?

Puneet Dalmia: Yes. So, we did an experiment in Eastern India to improve price discipline amongst our deal ers. And I think, it has not worked to the extent that we wanted it to. And we have learnings from this experiment, we have definitely lost market share in that region. And I think, it will take us some time to correct it, but we are very clear about what we have to do. During the year, I think we are definitely going to take corrective measures. And I'm absolutely confident that we are going to see a rebound in our volumes to the expectations that we have.

Indrajit: So, is it fair to assum e that, that led to the decline in CC ratio?

Puneet Dalmia: Yes, absolutely, because our regional mix changed.

Indrajit: Did that have any impact on the power cost as well? Sorry, that's my last question. And because of the mix?

Puneet Dalmia: I just want to say one more thing since we discussed th is. I think, our performance in South and Northeast has been exceptional. We are very happy with the growth there. On all parameters, whether it is our trade mix, whether it is our premium product mix, whether it is our Y -o-Y growth, I think it is really ver y encouraging. I think if there's one region that we have to focus

more on, which is East. And all hands -on deck, we are completely focused on it.
Singhi Ji, over to you on the power cost.
Mahendra Singhi: So, because of chang

e in power rates and lower CC ratio, it has affected to some extent. on that
account, power and fuel cost is seeing a higher number.
Indrajit: Sure. Thank you so much for your answer. I'll join back with you.
Moderator: Thank you. We have our next question from the line of Rajesh Ravi from HDFC Securities.
Please go ahead.
Rajesh Ravi: Yes, hi, sir, good morning. First question pertains to this incentive that you announced that we
have won again from Court regarding the West Bengal incentives. So, would you suggest this
plant is still accruing an incentive in your total number?
Mahendra Singhi: No the incentive period has already expired. It is a pending amount, which was due for which
Honourable High Court has given orders to pay t his amount to us.


Rajesh Ravi: Okay. So, is there any other incentives approval, which is happening from West Bengal
government?
Mahendra Singhi: No.
Rajesh Ravi: coming to this J aypee tolling arrangement, out of this purchase of traded goods number for last
two quarters, INR46 crores and INR96 crores, do they pertain mostly to the J aypee or are there
other products also which you are reflecting in purchase of goods?
Mahendra Singhi: It is only from J aypee .
Rajesh Ravi: And coming on the fuel cost, could you share on the per kilo cal what was the average costing
in Q1? And how was it in Q4?
Mahendra Singhi: Yes. So, per kilo calorie it was INR1.98 and last quarter, it was INR2.06.
Rajesh Ravi: Okay. INR2.06. And how are the numbers looking at the current stock and price basis?
Mahendra Singhi: So, we expect that, yes, this quarter, there should be a benefit of USD 20 on pet -coke basis. And
in future also, maybe around USD 5 to USD 15.
Rajesh Ravi: Okay. So, on a quarter -on-quarter basis, you're looking at a fall of USD 20?
Mahendra Singhi: Yes.
Rajesh Ravi: So around 15% savings is what could get reflected?
Mahendra Singhi: Yes.
Rajesh Ravi: Okay. A nd this freight cost al so, is there any one -off in this quarter and hence, you see that the
normalization of the current freight cost would be more normalized number?
Mahendra Singhi: One, on the rate increase, which is on account of busy season surcharge by Railways, that is still
continuing ., They used to discontinue in rainy season, but this time, it is continuing. So, from
that point of view, th is cost will be there. But then whatever is an extra cost, which we have
incurred on some inter regional movement of clinker that will come down.
Rajesh Ravi: Okay. And lastly, on the depreciation part, which DT sir was explaining, I missed it, this quarter,
there is a INR57 crore s additional because of the accelerated depreciation on kil ns or plants with
equipments which you're replacing?
Mahendra Singhi: Yes.
Rajesh Ravi: And similar number, you're looking at each of Q2 and Q3?
Dharmender Tuteja: Not similar number, the total INR54 crores should come in the next two quarters, INR40 cro res
in Q2, another INR14 crores in Q3.
Rajesh Ravi: Okay. Understood. And thereafter, it will be normalized level...


Moderator: Sir, I request you to join back the queue for follow -up questions.
Rajesh Ravi: Sure. That’s all from my end for now. Thank you.
Management: Thank you.
Moderator: We'll take our next question from the line of Amit Murarka from Axis Capital. Please go ahead.
Amit Murarka: Hi, thanks for the opportunity. So just on J aypee again. So, you are not sending clinker to them
for grinding, right? Just buying cement straight from them and selling it in the market? Just to
clarify.
Mahendra Singhi: Yes.
Amit Murarka: Okay. So, the inter unit clinker freight that has increased, so that would b e on account of what
reason then?
Mahendra Singhi: Mainly it comes when one unit, which is under

shutdown because of the either debottlenecking
or otherwise, and if there is some shortage of clinker, then from one unit to another unit, this

clink er is being sent. So that we can continue to serve that market.
Amit Murarka: That's temporary only, then, right?
Mahendra Singhi: Yes. And sometimes because of some rake shortage s in the area.
Amit Murarka: Okay. And J aypee deal completion in March '24 is for entire 9.4 million tons or the 5.2 million tons in the first Phase 1?
Mahendra Singhi: As Puneet Ji has highlighted , other than the JP Super, which is under arbitration, the rest would come.
Amit Murarka: Righ t. And I just had one more question on the Northeast expansion. So, it's coming in FY '26, but I was just looking through the numbers. So, you seem to have 5.8 million tons capacity in Northeast and broadly, the volume would be like closer to 2.5 -2.6 million tons. So, is there any need to expand right away, given that it's almost a 50% or lower utilization right now?
Mahendra Singhi: Yes, like Northeast, if you look at GDP growth of Assam state, itself, then that is going more than, I think 15% or so, as well the cement demand which is expected in Northeast , it may also be around 20 - 25%. So, to capture the market in right time, we are preparing ourselves for the capacity so that we can capture more market share. And this is a good market to be ready with the capacity.

Amit Murarka: Sure. Thank you.
Moderator: Thank you. We have our next question from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.


Sumangal Nevatia: Yes, good morning and thanks for the chance. The first question is continuing on this Jaypee acquisition . Is it a delay in both the tranches? I mean the initial 5.2 -, and the next one. And do we see any risk in the entire deal because of these delays? Or these are just purely regulatory delays and eventually we are confident of closing the acquisition?
Puneet Dalmia: I think, these are regulatory delays. It takes time for us to get approvals from banks and the various authorities, which are internal to them, they have to do a lot of compliance -related stuff. And I think, we are quite confident that we should be able to get this done during this financial year. But a little bit of delay here and there because of how the process works cannot be ruled out. But it doesn't risk the deal itself.
Sumangal Nevatia: Okay. Got that. Sir, second question is with respect to our FY '27 target of 75 million tons. Is it possible to share some more colour from 55 million tons to 75 million tons journey? What could be the potential mix of greenfield, brownfield, inorganic? And any new regions, we'll be seeing some increase?
Rajiv Bansal: Sumangal, at this poi nt of time, we are still detailing it out. So, at this point of time, unfortunately, we are not able to give any colour .
Sumangal Nevatia: No worries. And just one last clarification. I mean overall, if you see last few years, we've cleaned up most of our non -core assets. So, there is still one or two quoted investments in our balance sheet. So, any timeline towards divesting journey of these non-core assets?
Dharmender Tuteja: So, in the IEX also, as we have said in the past, this will remain a noncore and will be divested. Of course, we cannot give a timeline , but should happen sooner than people may expect.
Sumangal Nevatia: Got that. Thank you, and all the best.
Management: Thank you.
Moderator: Thank you. We have a next question from the line of Pinakin Parekh from JP Morgan. Please go ahead.
Pinakin Parekh: Yes. My first question is going back to Puneet's comments on the loss of market s hare in Eastern India. And Dalmia's volume growth of 12.4% is materially lower than some of the industry leaders that we have seen. Going forward, how do we plan to address thi

s in terms of regaining the market share? Is the company willing to trade cement prices to regain couple of market share, especially in Eastern India?
Mahendra Singhi: So, we have taken certain steps as well as we have done certain restructuring in our marketing strategy in our team but definitely, at the same time, we would not be compromising on prices.
Pinakin Parekh: Sure. So just to understand that historically, Dalmia has grown sharply faster than the industry, will that trend continue? Or given the preference of pricing over volume, Dalmia's volume growth should be more in line with industry volume growth going forward?
Mahendra Singhi: Yes. Our growth for the whole year would be in compar ison to the leaders of the industry. So, we would be definitely growing around, say, 15% to 17%.


Pinakin Pare kh: Sure. And the last question is on leverage. So, the gross debt over the last one year has gone

from roughly INR3,000 crores to INR4,300 crores. We have the J aypee acquisition, which should have come through. So, what is the target debt for the exit March '24? How high will this number go?
Dharmender Tuteja: This may touch close to about INR6,500 crores to INR7,000 crores, depending upon timing of the acquisition.
Pinakin Parekh: So, this INR7,500 crores would inc lude the J aypee related costs and the organic capex, whatever the company incurs, both of them?
Dharmender Tuteja: That's everything.
Pinakin Parekh: Understood. Thank you very much.
Moder ator: Thank you . We have our next question from the line of Saty adeep Jain from Ambit Capital. Please go ahead.
Satyadeep Jain: Hi, thank y ou. F irst question, a follow -up on the market share loss. So, to clarify the strategy of maybe more discipline in dealers was t ried in East. If I understand, has Dalmia lost some share in Tamil Nadu, Kerala markets as well or is it mainly East for now? And what is the strategy to gain market share without disrupting pricing? That's the first question.
Mahendra Singhi: First, I would like to say that we have gained the market share in South as well as in Northeast also. And in terms of East, we would not definitely compromising on pricing front again . And we have some strategies which definitely cannot be s hared on this call.
Satyadeep Jain: Okay. Secondly, on cash on taxes, the cash taxes for Dalmia have been low for the past few years is obviously due to acquisition of all these assets - OCL then Mur li. Just want to clarify, is there any other reason apart from this , maybe 80IA or any other incentives that also needs some lower cash taxes and with J aypee also coming in would also bring some losses on its own? So maybe some clarity on the taxes for the next couple of years.
Dharmender Tuteja: The current quarter current tax rate is higher because of the recognition of the tax on the sale of DBRL shares, so about INR50 crores. So, this was already provided in March accounts as deferred tax liability when we kept this asset as held for sale. So, the deferred tax liability was created.
So, this quarter, it moves to cash and reversal in the deferred tax liability. So, on the whole, in the current year, the cash taxes , apart from the sale of investments , should be around 10%. And in DCBL, we have not claimed 80IA benefits because we were always in the losses due to the merger of the units and the losses arising out of the depreciation.
Satyadeep Jain: And tax losses on JP, any guidance or numbers?
Dharmender Tuteja: Yes. The current year, of course, we'll have the advantage of the past brought forward losses, which should continue partly in the current and next year also. Thereafter, we can presume to be normal tax rates.


Satyadeep Jain: Just one more quickly, if I can squeeze in on the grid power and

CPP, CPP was more expensive,
so switched to grid power. Was that also specific to certain r egions or was it across the region that you saw that trend?
Mahendra Singhi: Mainly, that was in South. So again, because of softening of prices of South African coal or International coal, now CPP have become viable, and we have reduced the power consumption of grid power and started CPPs.
Satyadeep Jain: Thank you.
Moderator: Thank you. We have a next question from the line of Prateek Kumar from Jefferies. Please go ahead.
Prateek Kumar: Hello. Yes, good morning, sir . My question is also on J aypee transaction, last quarter we said that we are looking to complete this transaction by first quarter .
Moderator: I'm sorry, you're not audible, sir. Please use your handset mode.
Prateek Kumar: Yes. So, my question is, in the last quarter, we did say that we are looking to complete the transaction like in first quarter of '24. And now we're talking about like completing by end of FY '24. So, I just wanted to understand what has come that we are delaying th e deal's closure timeline by nine months for this transaction?
Puneet Dalmia: There's a delay on the bank side. There are compliances that they have to do. And there are 35 banks involved. So, it just taking some time to get that process in place.
Prateek Kumar: So, these are like general delays or there were any specific lender approval or some regulatory approval, which is pending because last time I remember, you were saying like lender's approval was pending?
Puneet Dalmia: I think, it is lender's approval.
Prateek Kumar: While last quarter, you were expecting some volumes to flow from this deal in this year, what would be the volume expectation from this deal for like FY '25 from JP overall 9 million tons?
Puneet Dalmia: Let us come back to you . I don't think, we will share numbers on a region -by-region basis.
Prateek Kumar: Okay. And I missed your capex for the current quarter and the FY '24 outlook. Can you just

repeat that again?
Dharmender Tuteja: Yes. Full year will be about INR6,300 crores. And current quarter Q2'F Y24 should be around INR600 -700 crores. Previous quarter was INR900 crores, the quarter 1.
Prateek Kumar: Fine. Thank you.
Moderator: Thank you. We have our next question from the line of Rashi Chopra from Citigroup. Please go ahead.


Rashi Chopra: Thank you. Just on pricing, you indicated that the exit prices are weaker. Is that across regions?
Mahendra Singhi: Mainly, it's in east and in some part of south.
Rashi Chopra: And are you expecting any sort of reversal because your press release says that you're expecting stable prices through the year. So, from here on, what do you expect them? This trend t o continue or some sort of an increase post the monsoon?
Mahendra Singhi: It should be better post monsoon .
Rashi Chopra: Okay. Then on the cost side, just to be clear, you said that, this is the part I missed , that while your fuel consumption cost was actually lower, the benefit was invisible because of lower CC ratio and you had some power rates go up in some states, is that correct?
Mahendra Singhi: Yes, it is.
Rashi Chopra: Okay. And what was the lead dist ance during this quarter?
Dharmender Tuteja: 284 kilometres
Rashi Chopra: So, the lead distance actually fell sequentially, but your freight costs got impacted because of the inter -unit clinker transfer?
Mahendra Singhi : Yes, and Railways ' busy season surcharge
Dharmender Tuteja: Which were not there in the corresponding quarter last year.
Rashi Chopra: No, I'm talking sequentially.
Mahendra Singhi: Yes. Sequentially, it was not because of busy season surcharge.
Rashi Chopra: Right. And last question for me. What was the proportion of trade volumes during the quarter?
Dharmender Tuteja: 63%.
Rashi Chop

ra: Thank you.
Moderator: Thank you. We have our next question from the line of Shravan Shah from Dolat Capital. Please go ahead.
Shravan Shah: Yes. Thank you. Sir, just to understand further in terms of the pricing, when you say, it has weakened from the June. So broadly, if you can help us whether it is INR5 for that kind of a decline and related to that, considering when we say a 15% kind of a power and fuel cost benefit to come in the 2Q, is it fair to assume that, the Q2 FY '24 that this quarter, profitability on Q -o-Q basis likely to be INR100 kind of improvement?
Mahendra Singhi: So, yes, it's around INR5 and that too in East and some parts of South. Yes, and there would be benefit on account of lower power and fuel cost.


Shravan Shah: So, we mentioned a 15% kind of a benefit on Q -o-Q. So, is it fair to assume that the Q -o-Q profitability to improve in the second quarter by a decent number?
Mahendra Singhi: We don't give any guidance on specific improvement in EBITDA or as such.
Shravan Shah: Directionally, I'm not saying any specifics, but directionally, this INR872 EBITDA. So, when we say a 15% decline in power and fuel costs in Q2. So that s hould be close to INR240 kind of a decline. So just trying to broadly understand the Q -o-Q profitability to improve.
Mahendra Singhi: So naturally, it will be better, on quarterly basis .
Shravan Shah: Okay. And I needed a number on the CC ratio, railroad mix and the premium mix for this quarter?
Mahendra Singhi: The premium product has been 21% of total trade sales. And trade sales has been 63%.
Shravan Shah: Yes. CC ratio and railroad mix?
Mahendra Singhi: CC ratio 1.71.
Shravan Shah: Okay a nd rail mix? Railroad ?
Dharmender Tuteja: 84% road, 16% railway.
Shravan Shah: And broadly, the capex for FY '25, if you look at the INR6,300 crores this year, then the next year should be close to INR3,500 odd crores for FY '25?
Dharmender Tuteja: Yes, actually around INR3,000 -INR3,500 crores . Balance of course depends on to announcement .
Shravan Shah: Yes, definitely. But considering that, when we say that our gross debt by end of FY '24, likely to increase to INR6,500 crores to INR7,000 crores. So are we not factoring the I EX to dispose off currently. So, without that, we are saying that our gross debt likely to increase to that?

Dharmender Tuteja: I will not specifically comment on that, whether it is including I EX or excluding I EX. Broadly whatever guidance I give, we should be able to achieve it.
Shravan Shah: Okay. Thank you, sir. All the best .
Moderator: Thank you. We have our next question from the line of Jashandeep Chadha from Nomura. Please go ahead.
Jashandeep Chadha: Hi. Thank you for the opportunity. Yes. Hi sir, just wanted to ask you our view on the trade sales. We understand that you said your experiment of maintaining price discipline in east sales. Sir, does that indicate that the demand from the trade segment is weaker than what we wer e expecting? Because a lot demand push dictates pricing. So, if you were not able to maintain pricing there, it means that, trade volumes are lower and with erratic and unseasonal rainfall



happening that might continue into the quarter 3 as well. Just wa nted to understand your view on that.
Mahendra Singhi: To some extent, yes, in the Eastern part, it had impact on our trade percentage but as far as the future is concerned, and monsoon is concerned, it would be better.
Jashandeep Chadha: Okay. And sir, just related to that, you said you gained market share in the southern market. Just wanted to understand, what portion of that incremental volume is to non -trade segment? And how much of the trade demand you saw in that Directionally ? I know you don't give specific numbers, but direc

tionally will also do?
Mahendra Singhi: So mainly our trade percentage has gone up,
Jashandeep Chadha: Okay. And lastly, sir, can you please provide the breakup of INR6,700 crores capex that you have guided for FY '24? How much of that will be for related to J aypee ?
Dharmender Tuteja: Up to about INR3,500 crores out of INR6,300 crores.
Jashandeep Chadha: INR3,700 crores?
Dharmender Tuteja: About INR3,500 crores.
Jashandeep Chadha: Thank you so much. I will join in the queue.
Moderator: Thank you. We have our next question from the line of Vishal Biraia from Bandhan AMC . Please go head.
Vishal Biraia : Thanks for the opportunity So, on the non -trade segment, could you give some perspective as to how have been the realizations and how has been the profitability in first quarter?
Mahendra Singhi: We don't share specific numbers.
Vishal Biraia: No. I agree. But even at least qualitati vely?
Mahendra Singhi: Qualitatively non -trade prices were better. It had not fallen to that extent.
Vishal Biraia: So non -trade prices would have been flattish quarter -on-quarter?
Mahendra Singhi: Yes.
Vishal Biraia: Your profitability in the non -trade segment would have been better than the trade segment. Would that be a fair understanding, at least for the southern region?
Mahendra Singhi: So, like on Q -o-Q basis if we look, it is almost same in trade and non -trade.
Visha l Biraia: Fair enough, Thank you.
Moderator: Thank you. We have our next question from the line of Mudit Agarwal from Motilal Oswal Financial Services.



Mudit Agarwal: Good morning sir, My question is related to the alternative fuels . So, what is the current alternative fuel share and your thoughts on how it will be improved going forward?
Puneet Dalmia: We don't share that data on regular basis .
Mudit Agarwal: Okay, Thank you.
Moderator: Thank you. We have a next question from the line of Atharva Bhutaba from Punartha Investment Advisors.
Atharva Bhutaba: So, my question was that in the last con call, it was mentioned that PPC has been approved by NHAI. And according to my research, PPC and OPC are the most used cement in construction activities. So according to the quarter 4 FY '23 segment data that was given, we have only the 60% revenue coming from these segments. So, what are our plans to increase this in the near future?
Mahendra Singhi: Sorry, I could not get your question, please.
Atharva B hutaba: Sir, PPC and OPC is only contributing 60% in segment revenue, right?
Mahendra Singhi: Yes, yes.
Atharva Bhutaba: So, it is the most used cement in construction activities. Are we going to increase this in the near future?
Mahendra Singhi: In fact, now NHAI and other various important projects in the country have also started using

blended low-carbon cement on account of carbon awareness . And at the same time, we are going
to increase our share only in blended low-carbon cement.
Atharva Bhutaba: Okay. And there was some data that there was a pledge by Smt. Chandra Singhi . why was this done?
Mahendra Singhi: She must have the requirement of fund for some other purpose .
Atharva Bhutaba: Okay, Thank you .
Moderator: Thank you, We have our next question from the line of Navin Sahadeo from ICICI Securities.
Navin Sahadeo: Good Morning and thank you for the opportunity Two questions. One, on the tolling
arrangement with J aypee . So is it fair to assume that of course, you clarified that the deal will
happen more towards end of the fiscal. But through the year, the volume intensity of that will
only increase as we like create a dealer network and a brand presence there.
So, is it fair to assume that the volume intensity from JPA will only increase through the quarters
Contributing to overall volume growth ? even though the contribution at the EBITDA level -
because of high c

ost of production or maybe a little low prices that we get in the market since
we are a new entrant there - will be low, but volume contribution could intensify quarter -on-
quarter.



Mahendra Singhi: Yes. Volume will slowly grow up.
Navin S ahadeo: Correct. So, if you could have -- it will really help because in the current quarter, the 12% volume growth that also includes share from this tolling arrangement. So, you could have just given
some indication that how much run rate roughly -- because these assets initially are operating at
very low utilization of sub 20%, 25%. – (give) some colour on Jaypee volumes would really
help here.
Mahendra Singhi: As we have highlighted earlier, it won't be possible to share a separate number or region -wise number.
Navin Sahadeo: Sure, sure. My last question was about the southern markets. If you could just help us understand what is the total volume share that Dalmia had broadly in states of Tamil Nadu, Kerala, because
as we understand, pricing seemed to be severely impacted there, if I'm not wrong, Chennai prices
are now almost at par to Hyderabad. Usually, they are INR30, INR40, INR50 higher.
Also, the gap between the Andhra players and the large players like you in the region has
narrowed down considerably to just about INR10, INR15. Normally, it is much higher.
So how should one look at competition in these two markets? Is it fair to say that structurally
now while volume growth will continue, but pricing this sort of thing is the new normal here?
Mahendra Singhi: One, we don't share specific market share number of any state. But at the same time, I think the prices should be better in South again after some time because it has been at such a low price on
account of whi ch, these prices may not be viable for few companies .
Navin Sahadeo: Yes, exactly. So, it's gone so low that it's unviable now for Andhra players to come into that
market, which is great for us. But I think it also dents the profitability comparatively. In the past,
these were high -margin markets for us. So, is that a fair thing to say that this is the new normal,
as in profitability will be a little bit impacted but volume continues?
Mahendra Singhi: No, it's not new normal, but things do change, and it's just not 1 quarter or 2 quarter s that decides whole thing. It's not new normal. Things should come back. Prices will come back.
Moderator: We have a next question from the line of Raghav Maheshwari from Asian Market Securities.
Raghav Maheshwari: Singhi Ji, can you please share the number for the trade volume and the CC ratio for the Q4 FY '23?
Dharmender Tuteja: Last time it was 64% trade sales and CC ratio was 1.74.
Raghav Maheshwari: And sir, what is the company's strategy for the Bhilai, Babupur complex, which has the stake of SAIL as well . What our view on that?
Puneet Dalmia: I think let the deal get done and then we will talk to you about it. We think it's an attractive
region that we are entering in. And I don't think we are going to give plan t by plan t strategy.



Raghav Maheshwari: Okay, sir. Sir, last question is from my side, what is the realization drop, the primarily thing was because of the higher infra demand in the non -trade segment? Or because of the lower prices of
Tamil Nadu, Kerala this time on the sequential basis?
Mahendra Singhi: I would say lower prices of Tamil Nadu, and some part of East well as .
Raghav Maheshwari: Okay sir , Thank you
Moderator: Thank you We have a next question from the line of Bhavin Chheda from Enam Holdings.
Bhavin Chheda: Good morning sir, So in the initial opening remarks, you said we were looking at 14% -15%
volume growth. I assume that includes Jaypee assets volume in your volume, which you will be

contracting?
Dharmender Tuteja:

No. That will be an addition .
Bhavin Chheda: That will be an addition. So basically, organic, you are looking at 14% -15% and whatever you plan to get it from J aypee that would be over and above that number?
Mahendra Singhi: Yes, I said about 15% to 17%, yes.
Bhavin Chheda: 15% to 17%. Sorry, 15% to 17% is your organic and over and above that, contracting volumes?
Mahendra Singhi: Maybe.
Bhavin Chheda: Sure. Second, we are not though sharing the J aypee volumes, but can you roughly share what would have been a cost or EBITDA impact due to contracting volumes of Jaiprakash in order to understand how we will benefit in future as the Jaiprakash volumes, operational efficiency improves over future? Any ballm ark number in percentage term, Rs per number you would like to share?
Mahendra Singhi: So presently we would not be able to share these numbers because it's just the activities which we have started.
Bhavin Chheda: Right. Because on the higher volumes, your EBITDA per ton has given a negative surprise in this quarter, and I'm assuming this would have partly been because of the contracting volumes of Jaiprakash so it has a lot of sensitivity when we try to compare it with peers. So, any clarity on the sa me would be highly appreciated.
Mahendra Singhi: There's not a major impact on account of that part. This is what I can say.
Bhavin Chheda: Sure, Thanks A lot
Moderator: Thank you, We have a next question from the line of Kamlesh Bagmar from Lotus Asset Managers. Please ho ahead
Kamlesh Bagmar: Yeah thanks for the opportunity Sir, one question on the Bhilai J aypee , acquisition. So, is it required that the clinker should be sourced from that Babupur clinker unit?


And secondly, how much dues we need to pay? Like say, I believe INR500 to INR600 crores odd dues are there, which are to be paid by this unit to SAIL for th is. So, is the INR666 crores the acquisition price includes those? And secondly, on the clinker supply, is it required to have the supply from the Babupur clinker unit?
Mahendra Singhi: So, like we have said that we would be sharing the details once we complete the deal .
Dharmender Tuteja: This acquisition price is on a zero working capital basis. So, if any negative capital is there, that has to be subtracted?
Kamlesh Bagmar: Okay. And if any dues, those dues, would those need to be paid over and above the INR666 crores or not?
Dharmender Tuteja: As I said, it is on zero debt and zero working capital.
Kamlesh Bagmar: And secondly, with regard to that Babupur clinker unit, would that grinding unit need to be sold only the clinker through Babupur or you can supply it from other clinker units, like say, Super Dalla or anywhere?
Mahendra Singhi: So, all these details, we'll be able to share once we conclude the deal and then we can share our strategy that what it is.
Kamlesh Bagmar: Thank you sir
Moderator: Thank you, We'll take our last question from the line of Ashish Jain from Macquarie.
Ashish Jain: So, sir, my question was on the volume growth. You know, if I look at last, let's say, 4 - 5 years, we have grown our capacity, from 25 million tons to 40 million tons, which is, let's say, 50%, 60% capacity growth. But our volume growth in the same period has lagged quite substantially, right?
We used to sell 17 -,-18 million tons in 2018 -19. Today, we are doing 24 million, 25 million tons. And in this period, we have also went into newer regions like West and all. So, what is, let's say, 2-year 3-year outlook in terms of new growth.
Because now again, we are looking to add capacity in Northeast where I see merit in North growing faster, but we have substantial excess (capacity) even today. So, let's say, from a 2 - 3-year perspective, what kind of volume target or utilization number do you have? A nything you want to comment on that?
Mah

endra Singhi: One, I would say that we have grown better than the industry in the last 3 years also. And at the same time, for FY '24 also our growth would be what the growth would be of industry leaders, and we would also be growing higher than the overall India average.
Moderator: Thank you, I would now like to hand the conference over to Mr. Puneet Dalmia for closing comments.

Puneet Dalmia: Thank you very much. I really appreciate all of you taking time to join this call and thank you for your support as always. Have a great day.
Moderator: Thank you. On behalf of Dalmia Bharat Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

# Call: Oct 2023

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File No: 1010/02 October 20, 2023

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Scrip Code: 542216 National Stock Exchange of India Limited
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Subject: Transcript of Q2 FY-24 & H1 FY-24 - Earnings Conference Call
Ref : Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
Dear Sir/Madam,

In terms of Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirement), Regulations 2015, please find attached transcript of the Q2 FY-24 & H1 FY-24 Earnings Conference Call held on October 16, 2023.
The same will also be uploaded on Company's website: www.dalmiabharat.com.
We request you to take the same on record.
Thanking you,
Yours faithfully,
For Dalmia Bharat Limited
Rajeev Kumar
Company Secretary



“Dalmia Bharat Limited Quarter -Ended 30th September
2023 Earnings Conference Call ”

October 16, 202 3

MANAGEMENT : MR. PUNEET DALMIA – MANAGING DIRECTOR ,
DALMIA BHARAT LIMITED
MR. MAHENDRA SINGHI – MANAGING DIRECTOR AND
CEO, DALMIA CEMENT (BHARAT ) LIMITED
MR. DHARME NDER TUTEJA – CFO, DALMIA BHARAT
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LIMITED

Dalmia Bharat Limited
October 16, 2023

Moderator : Ladies and gentlemen , good day and wel come to the Earnings Conference Call of Dalmia Bharat Limited , for the quarter -ended 30th September 2023.
Please note that this conference call will be for 60 minutes. And for the duration of this conference call, all participant lines will be in the listen -only mode. This conference call is being recorded and the transcripts may be put on the website of the Company. After the Management Discussion there is an opportunity for you to ask questions.
Should anyone need assistance during the con ference call, please signal the operator by pressing '*' then '0' on your touchtone phone. As a reminder, all participant lines will be in the listen - only mode.
Before I hand over the conference to the Management , I would like to remind you that certain statements made during the course of this call may not be based on historical information or facts and maybe forward -looking statements. These statements are based on expectations and projections and may involve a number of risks and uncertainties such that the actual outcome may differ materially from those suggested by such statements.
On the call we have with us Mr. Puneet Dalmia – Managing Director, Dalmia Bharat Limited ; Mr. Mahendra Singhi – Managing Director and CEO, Dalmia Cement (Bharat) Limited; Mr. Dharmender Tuteja – CFO, Dalmia Bharat Limited; Mr. Rajiv Bansal – President and Chief Transformation Officer , Dalmia Bharat Limited and the other management of the Company.
The "Earnings Release" has already been uploaded on the Company's website.
With this, I will now hand the conference over to Mr. Dalmia for opening remarks. Thank you and over to you, sir.
Puneet Dalmia: Thank you and good afternoon, everyone. I want to start by wishing all of you and your family members a very Happy Navratri. It give s me immense pleasure to welcome all of you to the Q2 Financial Year '24 Earnings Call of Dalmia Bharat Limited.
After almost a decade of reforms under the leadership of the current government , our country is transitioning from a reformed stage to a growth stage. As the GDP of India expands, Cement and the Building Material sector will automatically become a direct beneficiary . The Indian economy is undergoing a large -scale metamorphosis and a young, ambitious and massive middle -class is already seen to be driving the much -needed consumption story. I am glad to say that we were one of the first ones to foresee this upcycle in the industry , as we started building our capacity ahead of time.
In the last three and a half years, we ha ve added about 17 .2 million tons per annum of Cement capacity, which is about 65% growth over the Financial Year '20 Cement capacity . With the



ongoing Cement expansion and the acquisition of J aypee Associates ' Cement assets, we are expected to reach 56 mil lion tons by the end of this fiscal .
You are already aware that Singh iji has successfully completed his decade long tenure as CEO and Managing Director a t DCBL . And after 8th December, he will continue with us as a Director , as well as a Strategic Adviser to me , in our growth and profitable journey w hich is lying ahead.
In the last 10 years, we have witnessed incredible growth and have laid a strong foundation for future growth and profitability. We are now steering our Company's transformational journey Dalmia 2.0. In the past month I have had the opportunity to engage with most of our leadership team. And together we have started brainstorming on how we should navigate the future.
Collectively, we have all reiterated that we have a clear mission to build a scalable, sustainable, predictable, and a consistent organization , Dalmia 2.0. We have categorized our priorities into four buckets of Growth , Financial Performance , Sustaining T

rust and Organization Building .
This includes a deep focus on leadership deve lopment, and digital transformation.
Now coming to the Financial Performance of our Company during H1 of Financial Yea r '24:If I break the earnings into revenue and costs, I would like to say that the first half of the year was a bit soft in terms of volum e and revenue growth. But on the cost side, I am pleased that our variable cost performance is in line with our expectations.
With a softening fuel prices to the tune of around $60 on a YoY basis , we have seen that delta flowing into our variable costs , including savings coming in from our sustainability efforts , such as increase in R E power consumption, and some positive movement in our other manufacturing KPIs.
With this, I would now like to hand over the call to Mr. Singhi for his opening remarks.
Mah endra Singhi : Thank you Puneet ji Happy afternoon, friends. Starting with our Operating Performance : During the quarter we delivered a volume of 6.2 million tons and revenue of Rs. 3149 crores which translates to a YoY growth of 6.6% and 6% respectively. Like the previous quarter, weakness in south price s has persisted which led to a slight drop in the rea lization for our

Company . Having said so the trade sales for the Company improved during the quarter to 68% which was primarily driven by Southern region, and that too with a complementing increase in the low -carbon cement sale.
For the last three quarters our low -carbon cement mix has consistently been at a healthy rate of 88%. In fact, Q2 of last year, it was 83%. For the last five quarters our CC ratio has been at 1.71 on average . We will continue to follow this path in order to enhance our resource efficiency and reduce our carbon footprints further.

On the cost side, our raw material costs have increased moderately by 2% YoY to Rs. 785 per ton of Cement production due to an increase in slag and fly ash rate by almost 10 % and 5% respectively. This is also , somewhat increasing the raw m aterial cost on account of higher low carbon Cement consumption. However , since this line item also includes purchase of stock in trade goods under the tolling arrangement from J aypee you will see that the increase in the financial as a much higher number of Rs. 928/ton.
Coming to the power and fuel cost :
During the quarter, o ur power and fuel cost declined to 26% on a YoY basis to Rs. 1,140 per ton of Cement production. As Puneet ji mentioned, our fuel costs de cline d due to $60 per ton of petcoke correction and fuel consumption cost compared to Q2 FY'23. But as you all know, the fuel prices have inched up again from the set bottom of about $105 to $110 to now the spot being $130 to $135.
Other Items, which majorly added to our cost efficiency is the increase of renewable energy consumption to 29% from 18% in Q2 FY'23. During the quarter, our sales team has been able to bring down lead distance from 308 kilometer to 277-kilometer YoY, but most of it got offset by the levy of busy season surcharge for the month of July , and some one-time railway incentive which were there in Q2 FY'23, but not in this quarter. Sequen tially under the freight costs we saw the benefit of lead distance reduction ., and the upliftment of the levy of busy season surcharge in August, September . And also, in the last quarter , there was an inter-regional movement due to planned shutdowns, which was much lower this quarter and hence a cost reduction from Rs. 1,156 a ton to Rs. 1,024 QoQ. As a result of all the above , our EBITDA per ton during the quarter improved 46% YoY t o Rs. 955 a ton from a low figure of 655 a ton in Q2 FY'23.
Friends on the expansion side while Dharmender , will give you the detailed update on CAPEX and cash flow I would like to update that during the quarter we have commercialized 2 million tons ne

w g rinding cement capacity at Sattur, Tamil Nadu and also have debottlenecked our clinker capacity by 0.5 million tons of clinker in Ariyalur in Tamil Nadu . Going forward we have ongoing work for 2.9 million tons Cement g rinding capacity in the South which in totality will come by March '24. A nd we are expecting 0.9 million tons Cement grinding capacity shortly. 2.4 million ton in northeast by FY'26 also would be coming up.
In addition to this the Board of Dalmia Cement (Bharat) Limited has approved the proposal to adding 0. 5 million ton of capacity in Ro htas Cement Works in Bihar. We already have a click er capacity of 1 million ton in the state which will cater to the increasing grinding capacity. This expansion will help us to improve our volumes in the high contributing state of Bihar. The work with regard to the acquisition of Jaypee Cement assets is underway. And we are expecting to complete th e acquisition before the end of this financial year.
I wish all of you friends Happy Navratra , as well in advance , Happy Dussehra and Diwali.

Now, I would like to hand over the call to our CFO – Mr. D harmender Tuteja for key financial updates. And we will be happy to answer all your questions in the Q&A following his remarks.
Dharmender Tuteja : Good afternoon, everyone. Let me quickly give you t he key financial updates before we open the floor for questions and answers .
With regards to the incentives the accrual during the quarter is Rs. 63 crores while collections during the quarter is Rs. 25 crores . For H1 FY'24 the total accrual stands at Rs. 141 crores and collections at Rs. 64 crores . The incentive receivable as of 30th September stand s at Rs. 785 crores . For FY'24 we expect the total incentive accruals to be around Rs. 2 75 crores to Rs. 300 crores .
Moving to the fixed costs :
Our employee costs have increased by Rs. 37 crores to Rs. 226 crores on a YoY basis , primarily due to the annual increments and increase in the number of headcounts owing to the addition of new capacities across different locations. The other expenses have however remained flattish at

Rs. 47 2 crores on a YoY basis.
Our depreciation during the quarter has increased by Rs. 69 crores on a YoY basis . Of this total increase , Rs. 40 crores pertain to certain components of plant and equipment which are being replaced as part of our overall debottlenecking projects. I mentioned this during our Q1 Earnings Call as well as in that quarter there was an additional de preciation impact of Rs. 57 crores this is a one-off charge and around Rs. 15 crores additional de preciation charge will be taken in the next quarter .
On the debt side :
Our gross debt has increased by Rs. 907 crores during the quarter . And the closing debt stands at Rs. 5,294 crores as on September 30th. At the same time, the cash and cash equivalents have incre ased by Rs. 615 crores . As a result, the net debt of the Company has increased by Rs. 292 crores to Rs. 1,500 crores . The net debt to EBITDA is 0.59 times as on 30th September.
With regard to the capital expenditure, we have spent close to Rs. 611 crores during the quarter and Rs. 1,517 crores during H1 FY'24 . With the commercialization of our 2 million Cement plant at Sattur, Tamil Nadu our grinding capacity has increased to Rs. 4 3.7 million tons while our clin ker capacity has also increased by 0.5 million ton to 22 .2 million tons.
Our total budgeted CAPEX spends during the Financial Year '24 could be around Rs. 6,500 crores of this about Rs. 3,500 crores for Jaypee and the balance Rs. 3,000 crores for the organic expansion , including the expansion pr ojects at Northeast and RCW. The Board has declared an interim dividend of Rs. 4 per share .



With this I would now open the floor for questions and answer s. Thank you very much .
Moderator : Thank you very much, sir. We will now begin the question -and-answer session. We have the first question from the line of Indr ajit from CLS A. Please go ahead.
Indrajit : Hi Thank you for the opportunity I have two questions first Singhi ji thank you for your contribution to the sector not just to the company we have learned a lot from you . I just want to understand the management structure post these changes. So, Mr. Dalmia currently holds the MD position in both the entities. So, would that be the structure or are we looking to make some more hires, or we will continue with the current st ructure ?
Puneet Dalmia : Can you please repeat the question?
Indrajit : So, as you w ould be taking over , Mr. D almia as the MD of the operating unit DCBL as well. So, would we continue with that structure? Or are we loo king to hire externally for the MD?
Puneet Dalmia : No, this is going to be the structure. Mr. Singh i is transitioning and he will continue to be associated as a Strategic Adviser to me in the group. So, there will be complete continuity. And this is the structure where I will be the MD and CEO of the operating company as well.
Indrajit : My second question is on the J aypee acquisition. Now, this has been delayed a couple of times. So, what is the current status now ? Where is it exactly stuck? And how confi dent are you to complete it within this fiscal year ?
Puneet Dalmia : So, as we told last time also, we have to get approval from several banks for closing this transaction . And I think there are about 35 banks to process this. And that is taking a little bit longer than what we expected. We are quite confident that we will be able to conclude this transaction by the end of this fiscal year.
Moderator : Thank you. We will take the next question from the line of Sumangal Neva tia from Kotak Securities . Please go ahead.
Sumangal Nevatia : Good Afternoon and thanks for the opportunity my f irst question is on the volumes if you could share what is the tolling volume in this , the number which we have reported ?
Mahendra Singhi : It’s a to tal 3 lakh tons in the quarter .
Sumangal Nevatia : So, continuing on the volume part, I mean, this looks like the second quarter where we have lost market share, whereas in the last call, we did share that there is some strategy which did not work out and we are kind of changing and from say Q 2 onward s we will kind of recover the losses. So, if you could just explain a little bit on these three parts , one, what has gone wrong or what is not working ? What are the change s we are doing it ? And the third part is from next



quarter onwards can we expect to continue or going back to old ways of growing at least one and a half times the market which has been guided in the past quarters?
Puneet Dalmia : So, I think we already exp lained in the last earnings call that we took certain pricing decisions in East which we think it did not work out as we had planned . We have already made corrections and I think we are going to start seeing results of that from Q4 onwards . We expect that we will continue to grow faster than the industry in the coming year despite the short -term blip . And I

think we are very confident about our own marketing and sales strategy. We are also going to invest in a brand building campaign, and you will see that in the coming quarters .

Sumangal Nevatia : So, when we say Q4 onwards that means this year, we will continue to kind of underperform and then maybe from next year we should kind of expect the recovery ?

Puneet Dalmia : Well, I mean, I spoke specifically about the Eastern market . In rest of the markets we are gaining share. And like, for example, in Central India, we had literally no presence our brand has already started gaining very good acceptance. And I think we will

continue to further build on this. It's a market which is quite attractive , in the Northeast we are doing very well. So, there are some pockets where we have already taken steps which will impact sales, and I think you will start seeing that result s from Q4 onwards in those markets.

Sumangal Nevatia : Understood . Just one last clarification I missed the opening remarks , is there any one -off element , any write back or anything in the cost items ?

Dharmender Tuteja :: In the current quarter as well as the previous quarter we have got a buildup of the inventory. So, that, as per the accounting policies, includes the fixed cost buildup in the inventory, so which will get corrected in the coming six months which may have an impact of about Rs. 2 5 per ton. Besides that, I think the rest of the transacti ons are normal and very small impact will be there of any reversal of provisions .

Sumangal Nevatia : Got it. Thank you and all the best

Moderator : Thank you. We will take the next question from the line of A mit Murarka from Axis Capital . Please go ahead.

Amit Murarka : Good Afternoon thank you for the opportunity So, my first question is on incentives. So, in the last two quarters, at least the incentives receivable has been moving up. So, is there any specific plant on which you are accruing incentives and receipt is getting delayed?

Dharmender Tuteja : Yes, see it normally depends on the allocation of the budget by the concerned state governments. But we expect that it will catch up in the coming second half . So, for the year as a who le, we expect that whatever accruals will happen will also get collected .



Amit Murarka : Sure, a nd freight c ost dropped quite sharply this quarter w hat is the reason for that? I am looking at a QoQ basis , is there any one -time railway freight incentive or anything that came through ?

Dharmender Tuteja : As Singhi ji explained in his remarks that we have reduced the lead distance to 277 kilometers compared to about 300 plus in the corresponding quarter last year . And there is no railway incentive impact, where as it was there in the corresponding period last year.

Amit Murarka : I was looking at per ton i t has dropped 13% QoQ on a per ton basis. So, is the lead distance reduction that sharp in this quarter compared to Q1?

Mahendra Singhi : One more thing was that in the first quarter there was a busy season surcharge whereas in the Quarter 2, it was only for July so that is also one of the reasons . And as well there has been a reduction in the lead distance also.

Amit Murarka : Okay Sir, one last question on capacity utilization, your utilization seems to be at only 60% currently, it's like wh ile we are expanding capacity the ramp up seems to be a bit slower than what one would have expected to see . Why is it that the ramp up is taking so muc h longer?

Mahendra Singhi : Like we have explained , in the East, we are ramping up our volume s in time to come . From Q4 you would see better capacity utilization and better market share but otherwise there is no problem as such in terms of production, there is no problem in terms of now expanding in other regions.

Moderator : Thank you. The next question is from the line of Pra teek Kumar from Jefferies . Please go ahead.

Prateek Kumar : Good afternoon, my first question is on your leverage expectations so if you are able to close the JPA deal in FY'24 versus Rs. 1,500 crores kind of net debt , do we expect our net debt to cross like Rs. 5,000 crores or what is that number which we are looking at in terms of net debt?

Dharmender Tuteja : Yes, net debt will cross let's say the current limit which you are seeing a t Rs. 1,500 crores , but of course we still expect net debt to EBITDA to be at least 1 :1 in the current year.

Prateek Kumar : 1x?

Mahendra Singhi : Yes.

Prateek Kumar : So, th

at would mean like the net debt to EBITDA, so net debt around maybe something in the range of Rs. 3,000 to Rs. 4,000 crores which the peak net debt which you are expecting?

Dharmender Tuteja : Yes, please.

Prateek Kumar : And regarding freight costs, is there any element of freight subsidy in Northeast which is also part of cost and which is like changing on a quarter to quarter basis or there is no component there?

Mahendra Singhi : No component of freight subsidy is there .
Prateek Kumar : Last clarification on Northeast like we will be increasing stake in Cal com with additional investment , how do we value such kind of investments like when we are taking st ake from 75% to 95 %? Also, is there an update on legal dispute with the promoter s there ?
Dharmender Tuteja : See this is the rights issues , rights issue is given to all the shareholders in the same proportion. So, it is valued at par. So, there is no valuation required for this. And secondly , the arbitration, which was deci ded in our favor , finally, it was shut down by the High Court. So, other Group has gone to the Division Bench, and that is still pending. So, currently the High Court has decided in our favor.
Prateek Kumar : Okay In regards to the investment structure, so right s issue so the other investor would not have thought of participating at all in this , that's why our sta ke goes up significantly?
Puneet Dalmia : Very few investors participated in the rights issue, it was a small participation. So, that's why our stak e has gone up because many people did not participate.
Prateek Kumar : Sure, Thank you.
Moderator : We will take the next question from the line of Satyadeep Jain from Ambit Capital . Please go ahead.
Satyadeep Jain : Hi Thank you just couple of questions, f irst a clarification question , considering the volume growth that we have seen for Dalmia in this quarter is it fair to say that Dalmia did lose market share in some of the markets it operates in just clarification on that.
Mahendra Singhi : It may be in ju st two states of East where we might have lost but otherwise our market share has gone up in South and it has gone up in Northeast and the Central definitely, we have taken up 3 lakh tons share.
Satyadeep Jain : Second ly, on power and fuel cost there is obviously moderation in fuel costs this quarter. Where is the fuel cost inventory right now compared to spot? And is it possible to see more fuel costs moderation in the coming quarters?
Dharmender Tuteja Yes, currently the rate is about 1.58 which has gon e to the consumption this is the blended rate . And we expect some m arginal reduction in the coming quarter sequentially also. But that would be around 3% or so.
Satyadeep Jain : So, you are saying the consumption cost has go ne to 1.58 this quarter.
Dharmender Tuteja 1.58 Rs per Mn K cal rate.



Moderator : Thank you. The next question is from the line of Jashandeep Singh from Nomura. Please go ahead.
Jashandeep Singh : Thank you for the opportunity, I just wanted to ask you that since now we will be adding another 2.9 million tons so what is the new CAPEX for our total organic expansion? And also, if you can provide , if there has been any update on the FY'24 and FY'25 CAPEX guidance?
Dharmender Tuteja First part question, can you repeat?
Jashandeep Si ngh: So, what is the total CAPEX for our organic expansion now from 43 .7 million ton t o 49.5 million ton?
Dharmender Tuteja I will come back to you, but on the second part of the question the current fiscal year guidance is about Rs. 6,500 crores total CAPEX including about Rs. 3.500 crores for Jaypee acquisition .
Jashandeep Singh : And on this second question, s o, we have seen strong price hikes in the South and some reversal in East, so if you can give a sense on how

the current prices are, that would b e great ?
Mahendra Singhi : So, one I w ould say that the East for us price have not slide d down they are holding, and we are able to see about Rs. 40 to Rs. 50 price increase . And at the same time in the South yes price increase has happened because now demand is improving. So, we are quite hopeful that we will be able to get that benefit also .
Jashandeep Singh : And last question, if I may, there was a news article on a legal dispute in the Jaypee Bhilai plant that JV wit h SAIL . So, anything that will impact our takeover of that?
Dharmender Tuteja That news item which came I think it pertains to an old development about two years back, because there is nothing new development all this was already known to us when we (entered into the agreement to) acquire . So, this withdrawal of the claim by SAIL from NCLT is one of the preconditions of the acquisition.
Mahendra Singhi : So, it won't impact our deal .
Jashandeep Singh : Thank you Sir
Moderator : Thank you . The next question is from the line of Shravan Shah from Dolat Capital . Please go ahead.
Shravan Shah : Thank you, I have three questions, so everything is interrelated. So, just trying to ask, so on the volume front for this year FY'24 previously we talked abou t our 15% to 17% kind of growth for this year. So, in the first half, we are already 9.6% and we are expecting that volume to improve

in the second half. So, broadly what would be the, at consol level one can think of the volume growth ?



Second, considering as you mentioned the price hike in East Rs. 40 to Rs. 50 and in the South if you can specify w ould be great if our channel checks rates are Rs. 30 kind of price hike i s already kind of getting implemented. So, just trying to connect if we can think of at least for us in the third quarter we should be seeing Rs. 15 to Rs. 20 kind of per bag so that is a Rs. 300 to Rs. 350 kind of realiz ation increase should be there. And considering the volume increase though the cost would be marginally declining is it fair to say that from Rs. 955 EBITDA per ton one can easily see a Rs. 1,200 to Rs. 1,300 kind of EBITDA per ton.

Mahendra Singhi : First I must complement your whole analysis exercise and you are generally right that yes prices have gone up in the South , and we are quite hopeful that it will continue . And based on this definitely there will be a positive impact on EBIT DA on Q3 performance, but at the same time it wouldn't be right to predict any number.

Shravan Shah : But on the volume front broadly any broad range or where one can think of this FY'24 in terms of the growth for us ?

Mahendra Singhi : I feel that we will be better than the industry.

Shravan Shah : Okay , got it the other thing is in terms of the CAPEX for FY'2 5 would be Rs. 3,000 crores to Rs. 3,500 crores ?

Dharmender Tuteja Close to be around that level the firm numbers we will be able to share maybe in the coming call.

Shravan Shah : And sir has mentioned 2.9 million tons will be starting in the second half . So, 0.9 million tons will be coming in the third quarter and r est Tamil Nadu and AP 2 million ton will come in t he fourth quarter?

Mahendra Singhi : You are very right.

Shravan Sha h: And what w ould be the premium for this quarter and the consumption costs in terms of the fuel , broadly, it w ould be $ 135 odd for this , Kcal we have mentioned but in terms of absolute , is it a $135 odd?

Mahendra Singhi : So, the premium product s ale is about 22% of trade sale

Shravan Shah : Okay sir a nd the fuel consumption cost for this quarter w ould be $ 135 odd?

Mahendra Singhi : $127

Shravan Shah : Got it, is it possible to s hare the total other operating revenue for this quarter and maybe 1Q FY'24, incentive we have s hared but just trying to get a broader sense , will it be Rs. 30 crores to Rs. 4

0 crores kind of extra other operating revenue for this quarter and maybe for 1Q?



Mahendra Singhi : No, it wouldn't be like that.

Shravan Shah : Okay, Thank you sir

Moderator : Thank you. The next question is from the line of Rajesh Ravi from HDFC Securities . Please go ahead.

Rajesh Ravi : First question pertains to the fuel cost which you mentioned 1.5 8 is for the Q2 in kcal?

Dharmender Tuteja : Yes, it is . This quarter , yes 1.58.

Rajesh Ravi : Yes, this was in the second quarter, right?

Dharmender Tuteja : Yes.

Rajesh Ravi : And Q3 numbers are the y similar to Q2 or there is some softening which is possible ?

Dharmender Tuteja Marginal softening, you can expect on the consumption side.

Rajesh Ravi : And coming to the demand , in the first half, we have grown by around 10% and if we exclude the Jaypee contribution, the volume growth would be close to a 7% to 8%. So, for the full year you are saying that you will look to grow higher than the industry and for sub -industry growth would be north of 10%. So, are you looking at a strong volume growth in the second half? And if that happens, how would the pricing scenario be there?

Mahendra Singhi : Now, you see, that overall demand of the cement is also going up in almost all regions and we are quite hopeful that in Q4 our growth would be quite better , and we will have also the extra capacity in the market also . So, we are quite hopeful that we should be able to do better.

Rajesh Ravi : And what was the incentive received in H1, Dharmender sir, mentioned ?

Dharmender Tuteja Total accrual was 141 and Received was Rs. 64 crores .

Rajesh Ravi : H1?

Dharmender Tuteja Received is Rs. 64 crores in H1.

Rajesh Ravi : Because , Q1 you had mentioned around Rs. 39 crores received

Mahendra Singhi : 25 was re ceived in Q2.

Moderator : Thank you. The next question is from the line of Aman Agarwal from Equi rus Securities . Please go ahead.

Aman Agarwal : Good Afternoon everyone and congratulat ions on good set of numbers, My First question from my end on the Eastern market again so, just wanted to get an update on the end market consumption since a peer of ours has been highlighting subdued demand from two major states mainly West Bengal and J harkhand. So, is that also impacting our growth in the Eastern state?
Mahendra Singhi : To some extent, yes.
Aman Agarwal : So, any kind of update or any kind of expectation when do you expect a good growth coming in from those markets ?
Mahendra Singhi : We h ave observed that normally after the puja festival, etc ., it should be brighter . We have seen it and our assumption is that the same will continue .
Aman Agarwal : And secondly, in terms of regional expansion, while we are expanding materially in the Easter n and S outhern region, no further expansion plans are yet planned in the West region, even after Murli having achieved a healthy utilization level for us. So, going on to our next expansion plan maybe , do we remain open for further expansion to the Western market or maybe via inorganic route in the Western market itself ?
Puneet Dalmia : We already have said that we have ambition to be a pan India player. And we will look at all markets in terms of demand supply and in terms of market structure and based on that we will make our decision to expand in terms of where to expand , and when to expand. You will hear about this more in the coming quarters as we f irm up our plans.
Aman Agarwal : I was just asking really because we are not seeing material additions, maybe planned in the Western market. So, that can shape up well for our company as well , but got the point , got your point. Thank you sir
Moderator : Thank you. The next question is from the line of Jyoti G upta from Nirmal Bang. Please go ahead .
Jyoti Gupta : So, I ha

d two questions. One was on market share and second on the Jaypee deal which you have already answered. But my question is can you give us numbers on region wise growth rates for Dalmia? I know we have lost market share in Bihar, what is the other state we have lost market share ? Correct me if I am wrong . And YoY, we still growth YoY basis for the second quarter ?
Mahendra Singhi : We do not share market share region wise and state wise.
Jyoti Gupt a: Okay you don't share but what are the two states that we have lost market share ?
Mahendra Singhi : Little bit in West Bengal and, North Bihar .
Moderator : We will move on to the next question which is from the line of A mit Murarka from Axis Capital . Please go ahead.

Amit Murarka : Continuing with my earlier question, given the capacity utilization is only 60%. And I believe there was an interim target of 75 million tons by FY'2 7 can we expect a rethink on that expansion plan now, given that the current capacity itself is taking time to ramp up ?
Puneet Dalmia : We take these decisions based on our long-term conviction about growth in the Indian market. And I don't think a few quarters of lower utilization has changed our fundamental conviction about the I ndian opportunity in this decade. So, I do not think that we are going to make long-term decisions based on a couple of quarters. So, no, this is not going to impact our thought process.
Amit Murarka : Thanks for clarifying that a nd also, any update on the East mining land, I believe you were adding onto the surface right s by acquiring more land over there.
Mahendra Singhi : Presently we have sufficient limestone deposit also the process which we started for acquiring additional surface rights , is going on.
Amit Murarka : Thank you.
Moderator : Thank you. The next question is from the line of Saket Kapoor from Kapo or Company . Please go ahead.
Saket Kapoor : Firstly, about this other income component , it's regarding the dividend received from your subsidiary . So, if you could explain the nature which subsidiary we have received this dividend ?
Dharmender Tuteja You are talking about the receipt of dividend in Dalmia Bharat Limited?
Saket Kapoor : Yes, the other income component I needed the granular detail for the income component of Rs. 85 crores for the quarter.
Dharmender Tuteja : This is at the consol level. So, consol level includes dividend from Dalmia Bharat Sugar, and also the treasury income o n our treasury investments and including whatever NCDs are recoverable from Hippo Store as well as Sarvapriya , so, the interest on that .
Saket Kapoor : And the major component from D almia Sugar dividend income?

Dharmender Tuteja That is a small component , that's very small component .
Saket Kapoor : On the cost of material consumed Q -on-Q we have seen an increase. So, what explains th is 3% increase on Q-on-Q and for the first half at 5%?
Dharmender Tuteja There are two components , one is there have been higher rates of slag and fly ash but major increase is because of the increase of the blended percentage also .
Saket Kapoor : And going ahead this is going to be consistent, how are the slag prices currently trending?



Dharmender Tute ja So, they remain volatile but yes, we expect it to be around similar levels.
Saket Kapoor : And we are exp anding majorly in the Southern part. But Southern markets have always been lackluster historically also. So, what gives us the confidence that here t he markets are going to improve substantially and thereby our expansion would com mensurate going ahead, capacity expansion?
Puneet Dalmia : I think most of our expansion is in Tamil Nadu , it's a deficit market in terms of demand supply. And I think we have a very strong presence in that market. So, I think we are very confident that

this expansion is very healthy and going to give us good returns. There is some expansion in Karnataka , in Bel gaum, which is also for North Karnataka and the Western Maharashtra market, I think, there is also a big opportunity as markets are growing and economies are growing. So, I think, the challenge in the Southern market is Telangana and North Andhra Pradesh and that's not a place where we are investing. So, we are investing in that part of the market, which has opportunity, and which intersects with our strengths.
Moderator : Thank you. We will take the next question from the line of Ra ashi Chopra from Citigrou p. Please go ahead.
Raashi Chopra : Thank you, you had mention ed that you are focusing on a branding exercise. So, with that what kind of volumes are you targeting one for FY'24 and subsequently for FY'25 ?
Puneet Dalmia : I think we will share with you this guidance once we are ready, I think right now it suffices to say that we are looking at increasing our utilization and growing faster than the industry.
Raashi Chopra : On the pricing aspect what is the quantum of the price , in the East you mentioned i t's 40 to 50. South is about 30 to 40. Is that c orrect ?
Mahendra Singhi : In the South the trend is Rs. 30 at the moment.
Raashi Chopra : And in your opinion in both the regions how sustainable are the increases given that they have come after a while?
Mahendra S inghi : Let us wait and watch only.
Raashi Chopra : Also , what was the lead distance during this quarter?
Mahendra Singhi : 277kms.
Raashi Chopra : Thank you.
Moderator : Thank you. The next question is from the line of Vish al Biraia from B andhan AMC. Please go ahead.



Vishal B iraia : Could you give us a perspective of the trade demand and the non -trade demand , how the infra and real estate is panning out across th ose East and South ? And also, how is your profitability between trade and non -trade moving?
Mahendra Singhi : I would say that our trade volume has grown and more p rofitable in the S outh we have been able to grow to 68%. And profitability definitely is always a bit lower in institutional sales , that's what I can explain to you.
Vishal B iraia : How much lower would that be ? What w ould be the current difference between trade and non - trade for you?
Mahendra Singhi : It varies from place to place, and those numbers cannot be shared please.
Moderator : Thank you. We will take the next question from the line of Sanjay Nandi from VT Capital. Please go ahead.
Sanjay Nandi : Thank you for the opportunity Can you please put some colors on investments in this RHI Magnesita ? What are we thinking as of now ?
Puneet Dalmia : We have no investment in RH I Magnesit a in Dalmia Bharat Limited.
Sanjay Nandi : But we are holding a significant stake in th at company , right?
Puneet Dalmia : It's not a part of this company.
Sanjay Nandi : So, can you please throw any lights on our RHI business , what is the outlook and what we are thinking on that ?
Dharmender Tuteja We had divested the DBRL shares so currently our stake in RHI is zero. So, DBRL holds the economic stake in RHI.
Sanjay Nandi : Yes, from a company perspective asking you that what is the overall like view from th e top

Management's perspective ?
Dharmender Tuteja Let us not discuss in DBL Call.
Moderator : Thank you. The next question is from the line of Amish T hakkar from Sigul er Guff India Advisor Private Limited . Please go ahead.
Amish Thakkar : Congratulations on great set of numbers Mr Dalmia, just want to understand Dalmia has always been a cost leader in all the micro market that we operate in and there are multiple factors that drive that. So, when you think about from your medium -term perspective, next two to three years to your long-term guidance that you have given up being 100% renewable, where you are 29%

today . Similarly for lead distances and energy consumption per ton of cement and power cost,

electricity cost per unit of electricity, any medium - and long -term target that you are working with, given that you r blending ratios and rates need to be capped out.
Puneet Dalmia : So, I don't think we can share any target right now on thi s call, but all I can say is that our renewable mix will expand in the total mix. Secondly, I think we have won some coal mines in auctions, and I think our fuel cost as those mines come into production will become less volatile. Currently, we are very exp osed to imports and the Rupee /Dollar exchange rate . You know, as these mines come into production our coal prices will go down ; will go down in the short term, given where we are today, but it will become less volatile, for sure.
And I think, finally, we a re just looking at how to optimize our logistics cost and the segment mix. And over the long term, there are multiple levers on these costs which we will work upon. So, I think there is still juice left in becoming more efficient as we build scale. But I am unable to give any guidance on what those numbers could be on th is call .
Amish Thakkar : And can you explain the drivers behind the reduction in lead distance , is it the more digitizing the supply chain, any other initiatives that are driving this 10% red uction in lead distance this quarter and how sustainable this is ?
Puneet Dalmia : I think some of the markets which are closer to our plants, our service levels are much higher . And our sharp focus on those markets has led to this reduction in lead distance. So, we are continuing to think about which markets are core to us in terms of where we have a competitive advantage in which micro markets. And I think in those markets, we w ill just plan to increase our share.
Amish Thakkar : And lastly, on the share of DSP in your trade mix, where your realizations are significantly higher, and it's a 30% in South , 20% in East and 10% in Northeast so any guidance going forward in terms of share of premium Cement in your overall trade mix ?
Puneet Dalmia : We don't give breakups of our premium product mix by region. But I think, again, as a part of our strategy we want to increase our premium product mix. And I think our branding exercise will be a step in this direction. But this is a long-term plan so this is not something which will give us results quarter after quarter. But over the next two to three years, I feel that it should help us in increasing our premium Cement mix, in a reasonably significant way.
Amish Thakkar : And one final question f rom my side is green fuel price competitive with traditional fuels, or is this again a long-term investment that you are making ?
Puneet Dalmia : It just helps us become more environmentally friendly, because it is, we are recycling waste from other industries. And second ly, it gives us a hedge against volatility in fuel price. So, I think from both the eco -friendly perspective and a cost perspective, it is beneficial. But, again, as I said that markets change from time to time and we want to create maximum flexibility in our process, that we can use the most cost efficient and the most eco -friendly fuel in time s to come.

So, we want our process to be so flexible that it can use all kinds of fuel and tha t gives us the best commercial negotiation power. And that gives us the maximum hedge against cost volatility.
Amish Thakkar : Thank you and all the best for your tenure as MD and CEO
Moderator : Thank you. The next question is from the line of R aghav Mahes hwari from Asian Market Securities . Please go ahead.
Raghav Maheshwari : What is our current product mix between the PPC , OPC , PSC and PCC at a company level because this time in the annual report

you have not given this number?
Puneet Dalmia : I think we have already sha red that our blended cement mix is 88%. And we have also said that over the next few years we want to move to an even higher percentage and hopefully 100% low carbon cement . So, I think that is the guidance that we can give as of now.

Ragha v Maheshwari : As far as a product mix it is you will not give for the future prospects between t he products PPC and PCC and PSC at the blended level, so that's why ?
Aditi Mittal : So, Raghav, we have given this number previously on an annual basis you will get the number from us. But quarter -on-quarter, it's not possible to share it over the call.
Raghav Maheshwari : This time the lead distance it's a 277 kilometer, it's something which we are doing for our market reorganization thing, or this is the sustainable number for the future also or this time, it is because of the low volume and the seasonality ?
Puneet Dalmia : I think we will have to manage this dynamically. And when the volume growth is low, we try to optimize our costs and when volume growth is higher th an we may have to choose longer lead markets also. So, I don't think that this should be taken as a permanent structural reduction. But all I can say is that we will optimize our profitability and we will look at which are the core markets where we want to really compete . And at the same time, we want to look at volume growth as well. But if you want to look at our five-year average, the five year average lead distance is somewhere between 280 t o 290 kilometers.
Raghav Maheshwari : Last one question from my side, what's our thought process behind the remaining stake of the Dalmia Refactories and IEX, what's the timeframe we are looking to divest?
Dharmender Tuteja See DBRL stake is already diveste d whatever proceeds will come, they will come as per the schedule, partly in December and partly September next year . And IEX also will get disposed off, it's already been considered a s a non-core investment so that timelines we cannot share, but it should be soon.

Moderator : Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Puneet Dalmia for closing comments. Over to you , sir.
Puneet Dalmia : Once again I thank all of you for joining this call and your interest in D almia Bharat Limited. I wish you and your famil ies a very Happy Dussehra and a Happy Diwali in advance . And look forward to continuing our interaction in the next year. And once again, thank you for your interest.
Moderator : Thank you very much, sir. Thank you, members of the management . Ladies and gentlemen, on behalf of Dalmia Bharat Limited that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

## Call: Feb 2024

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File No: 1010/02 January 30, 2024

BSE Limited P J Towers, Dalal Street,
Fort Mumbai - 400001
Scrip Code: 542216 National Stock Exchange of India Limited
“Exchange Plaza”, Plot No. C-1, Block G
Bandra - Kurla Complex, Bandra (East),
Mumbai - 400 051 Symbol: DALBHARAT
Subject: Transcript of Q3 FY-24 & 9M FY-24 - Earnings Conference Call
Ref : Regulation 30 of SEBI (Listing Obligation s and Disclosure Requirements) Regulations, 2015.
Dear Sir/Madam,

In terms of Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirement), Regulations 2015, please find attached transcri pt of the Q3 FY-24 & 9M FY-24 Ea rnings Conference Call held on January 25, 2024.
The same will also be uploaded on Co mpany's website: www. dalmiabharat.com.
We request you to take the same on record.
Thanking you,
Yours faithfully,
For Dalmia Bharat Limited
Rajeev Kumar
Company Secretary



“Dalmia Bharat Limited .
Quarter Ended 31st December 2023 Conference Call ”
January 25, 202 4

MANAGEMENT : MR. PUNEET DALMIA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – DALMIA BHARAT
LIMITED , DALMIA CEMENT (BHARAT ) LIMITED

MR. DHARMEND ER TUTEJA – CHIEF FINANCIAL
OFFICER – DALMIA BHARAT LIMITED

MR. RAJIV BANSAL – PRESIDENT AND CHIEF
TRANSFORMATION OFFICER – DALMIA BHARAT
LIMITED

MS. ADITI MITTAL – HEAD OF INVESTOR RELATIONS
– DALMIA BHARAT LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Earnings Conference Call of Dalmia Bharat Limited for the Quarter Ended 31st December 2023. Please note that this conference call will be for 60 minutes and for the duration of this conference call , all participants line will be in the listen -only mode. This conference call is being recorded and the transcript may be put up on the website of the company. After the man agement discussion there is an opportunity for you to ask questions. Should anyone need assistance during the conference call please signal an operator by pressing star then zero on your touchtone phone.

Before I hand over the conference to the managemen t, I would like to remind you that certain statements made during the course of this call may not be based on historical information or facts and may be forward -looking statements. These statements are based on expectations and projections and may involve a number of risks and uncertainties such that the actual outcome may differ materially from those suggested by such statements.

On the call, we have with us Mr. Puneet Dalmia, Managing Director and CEO, Dalmia Bharat and Dalmia Cement (Bharat ) Limited; Mr . Dharmender Tuteja , Chief Financial Officer, Dalmia Bharat Limited; Mr. Rajiv Bansal , President and Chief Transformation Officer; and other management of the company.

I would now like to hand the conference call over to Ms. Aditi Mittal , Head, Investor R elations. Thank you, and over to you, ma'am.

Aditi Mittal: Good morning, everyone. Welcome to quarter 3 Earnings Call of Dalmia Bharat Limited. We announced our results yesterday, and the presentation and the results have all been uploaded on our website a nd can be downloaded from there.

I now hand over the call to Mr. Dalmia for his opening remarks.

Puneet Dalmia: Thank you, Aditi. Good morning, everyone. Last week, I was at Bharat Mandapam with our entire Dalmia leadership team, and I was brimming with pride to be standing in that iconic structure, which probably is one of the finest in the world. I can confidently say to all of you that India around us is changing. And you will agree that our government has played a defining role to shape our developmen t agenda and ensure that we soon become the world's third largest economy by ' FY28 .

Our country has undergone a huge metamorphosis with a lot of reforms in the last decade. Steps, whether in form of banking reforms, GST, IBC or direct benefit transfer, have given a rock -solid foundation to India and the much desired immunity from adverse global economic events. And the beauty is that the impact of most of these reforms is irreversible in nature.

All these reforms have placed India on the world map and attracted substantial international investors and investments. The base for sustainable growth has been set , the momentum is



clearly built, and we are now transitioning from a reform phase to a fast growth phase. The world looks up to India, not only for its political significance, but also for the large economic benefits where India can make a significant contribution to world growth. With growth slowing down the world over, India's demographic dividend will help us shine for not only this decad e, but many, many decades to come.

The government's continuous t hrust on infrastructure has led to the turnaround in the real estate sector and the private capex has started to kick in. Recently, there are some reports that the government may taper the in frastructure budget allocations to control fiscal deficits. However, I personally believe that infra development and job creation will remain 2 key focus areas for the next 7 to 8 years. And foreseeing this massive growth opportunity, we remain committed t o our plan of 110 million to 130 mil

lion tons by 2031.

With general elections around the corner, there could be some temporary cyclicality, but the long term looks very, very promising.

Cement, as a sector, will be a direct beneficiary of the India growth story, and cement demand should continue to grow higher than the GDP growth rate. Within the sector, the barriers to entry has gone up, and economy of scale is beginning to play a big role. Large companies with robust supply chains and strong brand presence will continue to gain market share. And the pace of consolidation will increase further.

We were the first ones to reinitiate the conversation around consolidation. And if you look at the last 10 years, the demand share of top 4 companies has inc reased from about 46% in FY13 to almost 57% in FY23 . Going forward, with large capacity announcements by the top 4

companies, the pace of consolidation could be much faster.
This is indeed one of the best times for our sector, and increasing consolidation will potentially lead to a more stable pricing scenario in the sector. While the pricing could be volatile for a few quarters, I believe prices will grow 1.5% to 2% CAGR on an average over the long term as we have seen over the last two decades.
As a company, growth for me is not simply adding capacity, but also building an organization which rests on the four pillars of scalability, sustainability, predictability and consistency. As I look forward, my emphasis will be on building deep organizational capabilities to deliver on each of these four pillars.
As I was mentioning, we continue to work firmly on our vision of building a pan -India pure - play cement company of 110 million to 130 million tons by 2031, with an inter im milestone of 75 million tons by FY27 . While we would take an additional quarter to announce the details of the 75 million ton plan, we are on track to deliver our first milestone of 49 million tons by March '24. We will complete 46.6 m illion tons by this March. And we are working on closing the proposed Jaypee acquisition within this quarter.
While Dharmender will elaborate on our financial performance, I wanted to share certain highlights. I am pleased to share that we have grown fast er in our core markets after two quarters of subdued performance. We will build further on this momentum.


We continue to learn, expand our reach and invest time and money to deepen the relationship with our distributors and our institutional customers. While this is a continuous journey, this gives me the confidence that next year, we should grow in line with our aspirations and deliver a mid -teens volume growth.
During quarter 3, we achieved 8.1% Y -o-Y volume growth and delivered a volume of 6.8 millio n tons. Our revenues also improved in line with the volume growth. There was a marginal price improvement in both East and South, which led to a 4% price increase sequentially. However, during the quarter end, we have noticed some weakness in the prices, a nd the exit prices are closer to the September quarter exit prices.
On the cost side, stabilization of commodity prices has given some headway in margin recovery. From almost a 27.5% EBITDA margin in Q1 of financial year '22, we hit a low of 12.8% in Q2 of financial year '23. And we are now back to 21.5% in Q3 of FY '24. It has been a very volatile journey over the last 2.5 years, but that has made us more cautious about identifying and investing in levers of long -term cost sustainability and predictabilit y.
The average fuel purchase price hovered around $115 to $125 per ton during the quarter, with spot also at about similar levels. The EBITDA per ton was INR1,138 in Q3 of FY '24, which has risen from the low of INR656 per ton in Q2 of FY '23. Nex t year, we believe that the EBITDA per ton for the sector could be in the range of INR1,100 - -1,200 unless there is som

e
unforeseen eventuality.
I would now like to hand over the call to Dharmender for an update on the financial performance. We will answer your questions as Dharmender will open the floor for Q&A after that. Thank you.
Dharmender Tuteja: Good morning, everyone. Let me take you through the details of our financial numbers. During the quarter, our sales numbers increased 8% Y -o-Y to 6.8 million tons, and during 9 months by 9% Y -o-Y to 20 million tons. This includes Jaypee plants volume of about 0.4 million tons in Q3 and 0.9 million tons in 9 months FY '24.
Our revenues during the quarter increased by 7.3% Y -o-Y to INR3,600 crore s and in 9 months by 7.7% Y -o-Y to INR10,373 crores. The trade sales during the quarter improved to 63% from 60% in the same quarter last year.
On the low -carbon cement, we remain committed to enhance our resource efficiency and reduce our carbon footprin t further. During the quarter, our blended cement was 84%, which is marginally lower than the previous quarter, but we are working to increase it in line with our long-term commitment to become 100% low -carbon cement producer over the next 3 years .
On the cost side, we continue to be one of the lowest cement cost producers. Our total cost during the quarter declined INR4,147 per ton. Breaking into each head, our raw material costs remained flattish at INR781 per ton of cement production. However, since thi s line item also includes purchase of stock in trade goods under tolling, the increase in the financials appears much higher at INR939 per ton. Power and fuel cost declined 23% Y -o-Y to INR1,102 per ton of cement production, mainly due to the $53 per ton d ecline in the fuel consumption cost on a Y -o-Y basis.

Our blended fuel cost during the quarter stands at about INR1.50 per million kcal. As Puneet Ji had mentioned, fuel costs have now largely stabilized. We may only expect margin reduction of around 3% in fuel consumption cost in Q4 FY'24.

Our renewable power consumption marginally dipped to 25% from 29% in the last quarter due to an unplanned stoppag e at WHRS facility at one of our plants. However, it has been resumed since then. We expect our RE percentage to now be back to the normal levels in Q4. The freight cost declined by 2% Y -o-Y to INR1,091 per ton with reduction in lead distance to 2 83 kilometer Y-o-Y.

On the fixed cost side, employee costs have increased by INR28 crores to INR221 crores, primarily due to annual increments and increase in number of headcounts due to addition of new capacities at different locations. Other expenses have a lso increased by INR27 crores on a Y -o-Y basis, mainly due to higher shutdowns with additional capacities in this quarter compared to the last year's same period. Overall, our EBITDA during the quarter improved by 11% Y -o-Y to INR1,138 per ton, which is th e highest in the last nine quarters.

Regarding incentives, we have accrued INR69 crores of incentive during the quarter. The collection during the quarter has been INR153 crores. For the nine -month period, the total accrual stands at INR217 crores, and col lections at INR216 crores, almost similar. The average receivable as on 31st December stands at INR718 crores. For FY'24, we expect the total incentive accruals to be around INR280 crores to INR300 crores.

Moving on to balance sheet items. Depreciation dur ing the quarter has increased by INR45 crores on a Y -o-Y basis. Of this total increase, INR9 crores pertains to certain components of plant and equipment, which are being replaced as part of our overall debottlecking project. This was a one -off charge, whi ch we had shared with you earlier in our calls.

Coming on to the expansion. Our cement debottlenecking project of 0.9 million tons in Belgaum has been commissioned during the quarter. Our expansion at Kadapa and Ariyalur for 1 million tons ea

ch are also pr ogressing well and will be completed by March '24. With these expansions, our cement capacity in South will reach 17 million tons and total capacity of 46.6 million tons by end of this fiscal year. This excludes 9.4 million tons capacity coming from Jaypee .

Regarding our other expansions beyond FY'24, we have ongoing work for 0.5 million tons in Kalyanpur and 2.4 million tons in Lanka, Northeast, which are expected to be commissioned in the second half of FY'25. Capital expenditure spent during nine months of the current year was INR2,1 42 crores. Our total capex spend during the year FY'24, excluding the Jaypee plants, is estimated around INR3,000 crores. This includes expansion projects in Northeast and Bihar. The cash outflow for Jaypee plant is expected around INR3,300 crores whenever it gets consummated in June'24.

During the quarter, we have received a final tranche of INR120 crores from the divestment of Hippo Store business to promoters. With respect to refractory assets, we had already received INR160 crores in April this year. The next installment of INR320 crores is also received during the current quarter. The balance INR320 crores will be received in September '24.



Since we had a cash inflow of INR 440 crores, we have repaid some of our short -term debt during the quarter. The closing gross debt now stands at INR4,928 crores. Our treasury balance has also increased by INR704 crores, primarily with the MTM gain booked for our holding in IEX by INR476 crores.

As a result, the net debt of the company has decreased by INR1,069 crore to INR431 crores in this quarter. Net debt -to-EBITDA multiple materially improved to 0.16x as on 31st December '23. We believe that even after the acquisition of Jaypee Plant, our net debt -to-EBITDA will remain comfor tably below our target of 2x.

With this, now I open the floor for question -and-answer. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Amit Murarka from Axis Capital.

Amit Murarka: The first question is around the capacity utilization and your expansion plan. So based on current volume, it seems to be at 60% utilization with expanding capacity. And I believe we are still...

Moderator: Amit, sorry to interrupt you. Can you p lease speak a little louder?

Amit Murarka: Yes, I hope this is better. So I was asking that the capacity utilization seems to be like under 60%, and the expansions are quite steep from here, and there's expectation of 75 million tons as well by FY27. So wh at's the plan like to take the utilization up like because the implied volume growth will actually be upwards of 15% if the current expansion plan need to come through?

Rajiv Bansal: Amit, Rajiv here. As Puneet said in his opening remarks, we had slight softness in our volume growth in the first two quarters, but now with a lot of initiatives that have been taken during the quarter, we have seen good growth this quarter. And building on the momentum, I think we feel pretty confident that we will deliver a mid -teens growth in volumes next year. And that is in line

with our long -term thinking , in terms of the volume growth - it should be in mid -teens.
So, there would always be – when you look at it, 7 -10-year plans of expansions and the India story and how the sector will play out, I think it's important to keep this role in place and probably tweak a little bit here and there as we go along, right? So we have put an in termediate milestone of 75 million ton for FY27. And we also have put a guardrail of 2x net debt to EBITDA for ourselves.
And given that we saw a slight weakness in the volumes, we have delayed expansion plan by a quarter. So we are back to the drawing boar d. We are looking at how we are seeing the next few year's initiatives p laying out. But ha

ving said that, I think our long -term story is intact. We
continue to believe in the sector, in the momentum that we created, the beneficiaries of the sector , of all the India growth and infrastructure growth – it is going to come.
So long -term vision and strategies remains intact. There could be a few tweaks here and there as we go along. But I believe that mid -teens growth for the top players is going to happen.


Amit Murarka: Got it. I just wanted to understand like that in this whole process when you go about capacity mapping, like what comes first? Like is the capacity goal comes first? Or is it like the current volume and market share that you 're carrying is based on which you'll d erive the capacity expansion plans? Like how are you going about it?
Rajiv Bansal: So it's a mixture of both. See, so far, the first milestone of 49 million tons was mostly in our existing locations, right? So there we want to gain on the market share although there's competition happening and the competition is expan ding. So we wanted to increase our footprint there an d also ensure that we have a good market share there.
The next set of growth is going to come in new regions. As Puneet also said that we have a pan - India vision. So as we look at expanding in newer regions, any volume that we get is going to be increment al for us. So from that extent, I think it's a mixture of both . We believe in the India story, we believe in a 15% CAGR volume – and the capacity growth. We want to be 110 million to 130 million tons player by 2031.
At the same time, we are taking a lot of initiatives, Puneet was addressing about how the dealer networks are being build, dealer initiatives are being done, how we are looking at a branding and everything. So we believe that volume will catch up. Last yea r, we grew at 16% volume, our revenue growth was 20% in line with what we had guided for. And this year the volumes are slightly lower , but next year we should catch up.
So I think there are always blips in th e journey because it's very difficult to predict quarter -on- quarter, year -on-year, market by market. I think we are not seeing anything in the macro scenario , in our market s that makes us believe that this is not good.
Amit Murarka: Right. And lastly, like what is the interplay between volume and pricing when you go about that 15% plus volume growth expectation?
Rajiv Bansal: See, as Puneet also was saying, when you look at the data for the last 10 years, 20 years, prices are always volatile quarter -on-quart er, right? There's seasonality, there's a geo mix, and there's a competition mix and new capacities coming out. There are many, many factors which impact the prices for the quarter. But if I look at the long -term 10 to 15 -year pricing, it has always gone up between 1.5% to 2%.
Some years, it goes up by 3% - 3.5%, some years it goes up by 0.6%, but on an average, 1.5% - 2% pricing is in check. So I think when you are modelling for the future for the next seven, eight years, we are tracking in about 1.5% to 2 % price increase, right? So I think the pricing and volume, I think we are assuming it's 1.5%, 2% price increase, and then we are assuming a mid - teens volume growth, which we need to deliver.
And again, it may differ by region to region. But again, we want to grow at mid -teens volume for the next seven, eight years.
Moderator: Next question is from the line of Rajesh Ravi from HDFC Securities.


Rajesh Ravi: Sir, first question pertains to what is the clinker production in Q3 or nine months? And second, could you elaborate on the JPA deal? And what was the volume from the Jaypee in this quarter?
Dharmender Tuteja: Rajesh, clinker production, we don't share separately. And the Jaypee volume, as I mentioned in my opening rema

rks, in this quarter was abo ut 0.4 million tons.
Rajesh Ravi: Sir, what is your status on the deal completion? Could you share some insights– and what is your progress?

Dharmender Tuteja: Yes. As it is linked to certain approvals by third parties, so it is taking longer than what we had expected initially. So we expect to complete this in the next couple of months only.
Rajesh Ravi: Okay. So first round you're expecting to be completed by March, right?
Dharmender Tuteja: We are trying our best, yes.
Rajesh Ravi: Okay. And sir, what is your thought process on business expansion in the central market? What sort of dealer network we're able to execute so far?
Dharmender Tuteja: That is progressing well. So that is the result that the volumes have been progressing every quarter higher. And we expect that in the coming quarters, this will progress much further.
Rajesh Ravi: Okay. And full year, any volume growth in the guidance which you want to look at? 10% to 11% for full year? Is that a reasonable number, sir?
Dharmender Tuteja: For th e next year, Puneet Ji has already mentioned that it will be around mid -teens, and the current year and– quarter you've already seen, and we are on a recovery path. So in line with the industry, they should be improving.
Rajesh Ravi: Okay. And some housekeeping numbers. Trade, nontrade and blended cement production share, if you could share please?
Dharmender Tuteja: The trade, in this quarter is 63%. And the blended percentage of 84%.
Rajesh Ravi: Premium cement in trade sales? Percentage of premium cement?
Dharmender Tuteja: Premium is 21% this quarter.
Rajesh Ravi: And sir, I missed this per kcal number, fuel cost. If you could repeat that, p lease?
Dharmender Tuteja: Yes, 1.50.
Rajesh Ravi: 1.50. Now this is almost a bottom with what you're looking at, right?
Dharmender Tuteja: Yes. As the prices have stabilized and marginal softening is there, so we expect 2%, 3% drop in the coming quarters.
Moderator: Next question is from the line of Indrajit from CLS A India. Please go ahead.


Indrajit: I have a couple of questions. First, going back to your volume growth expectation of mid -teens. What kind of industry growth are you expect ing?
The reason I ask is most of the consolidation in the sector is now done. I mean I don't see – capacity is being added by the same 5 - 6 players. So it is unlikely to increase further. So what is the kind of market share gain you are penciling in?
Rajiv Bansal: No. See, if you look at what we have been saying that GDP will grow about 6.5% - 7%. We expect cement sector to grow about 1.3x GDP over the next 5 to 7 years, which would mean the cement sector would grow about 8%, 8.5%. If you look at the data of the last 5 - 7 years, as Puneet and Dharmender was saying in the opening remarks, almost 100% of the incremental demand has been coming to the top 4 - 5 players.
So, if you factor in the cement sector growing at about 8%, 8.5%, and put this in an Excel spreadsheet , the whole 8%, 8.5% are coming to the top 4 or 5 players, that means the top 4 - 5 players will grow about 13% - 14% year -on-year, on an average.
Within that, given that we have a more headroom to grow, we're getting in to newer markets, our utilization is on the lowest in the industry as someone of you rightly pointed out. We believe that given our initiati ves that we have taken into many things in organization building, in terms of market reach, in terms of dealer network, in terms of new market developments, we believe we should grow about 15% - 16%. That's the reason we believe that we'll grow in the mid -teens.
Indrajit: So mid -teen is more like a medium -term number, not like an FY '25 guidance as such? Is that correct?
Rajiv Bansal: No, no, no. – see, what we are saying is that we believe that given all the stuff we a

re seeing, we
should grow be tween 15% to 16% year -on-year. That's what we've been saying for the last 2 years now. Last year, we did grow 1 6% volume, revenue was about 20%. This year, it has been slightly subdued. We still have this quarter, and we are hopeful that this quarter will do exceedingly well, but we'll have to wait for how the numbers play out. But again, the idea is that on an average, we should grow 15%, 16% year -on-year for the next 3 to 4 years.
Indrajit: Sure. That's helpful. Second question actually coming back to this quarter, right? If I strip out JPA tolling volumes, our volume growth is close to 2% to 3%. Do you think it is in line with the industry? Or you would have lost market share again i n this quarter?
Puneet Dalmia: I think we would have gained market share in most of our markets.
Rajiv Bansal: Indrajit, when you look at 2% to 3% volume growth, excluding JPA tolling , given that we are predominantly in East and South . East market, this quarter has been very soft. We believe we have gained market share, especially in East.
Indrajit: And JPA tolling profitability will be significantly lower than our regular core business profitability, is that correct?

Rajiv Bansal: That is true. That is too small, right? At a 400k volume, it's still in the investment phase, right? We are still developing dealer network, we are still investing in the brand. So of course, anything that you do new, for the first 18 - 24 months, it's an investment phase and the margins will be lower than the average.
Puneet Dalmia: Also just to add to what Rajiv is saying . We still don't have full control of the manufacturing operations. So the cost structure of these plants is also quite high. And I think to bring them to the Dalmia cost structure, it can be done only once we complete the acquisition. So we are working with a high cost facility, but it is helping us establish ourselves in the market ahead of the deal.
Indrajit A garwal: Sure. That is understandable. One last housekeeping question. I missed the capex guidance for this year and next year.
Dharmender Tuteja: Yes. This year, other than Jaypee, we expect the capex to be about INR3,000 crores. The Jaypee cash outflow, w e expect around INR3,300 crores. And next year guidance is around INR3,000 crores to 3,500 crores.
Indrajit Agarwal: This includes any incremental capex in Jaypee? Or it is just on the organic current business?
Dharmender Tuteja: It includes Jaypee also.
Moderator: Next question is from the line of Rashi Chopra from Citigroup. Please go ahead.
Rashi Chopra: Just taking on the question on the volume growth, you mentioned that you gained market share in the East , given the softness we saw in the Eastern marke t. So I understand that we're working on a strategy to kind of recover what we've lost in the last 2 quarters. But you also mentioned that in the fourth quarter, you're expecting to grow in line with the industry.
So I mean, how do I read into this? Is it because of the election? Or how do you and how does one think of at least the fourth quarter?
Dharmender Tuteja: So we are trying to gain market share in quarter 4 also. But just to be conservative, we said that at least it should be in line with the industry or slightly better.
Rashi Chopra: Okay. I mean in your estimates for India as a whole, what was the demand growth in the third quarter as well as in the 9 months?
Rajiv Bansal: Rashi, you will have better numbers than we'll have. You talk to all the companies in all the different industries. So I think that's a question which I wanted to ask you when I meet you next time. But honestly, we believe that this year, whatever we believe, industry will probably grow at about 8.5% - 9% odd.
It's different region by region, very difficult to put those numbers right now. And we see everybody announ

cing the number. But I think industry as a whole should grow at about 8.5%, 9%.



Rashi Chopra: On the capex, the next year c apex is about INR3,000 crores to INR3,500 crores. So what is the pending capex that is remaining until the first phase of expansion gets completed, as in until you get to 49.5 million tons? What is pending till then?
Dharmender Tuteja: The two expansions ongoing, which is one in the Northeast and second is in Bihar, Rohtas, 0.5 million. So these two are included in this.
Rashi Chopra: I just wanted the amount actually. So individually for each of them, what is pending?
Dharmender Tuteja: That br eakup I'll be able to share separately. Overall the capex over these two plants was INR3,750 crores. And roughly about 80% to 90% is still to be spent.
Rashi Chopra: And what would you count as maintenance capex within this INR3,000 to INR3, 500 crores?
Dharmender Tuteja: The maintenance capex is close to about INR250 crores.
Rashi Chopra: Okay. One last question just on the cost side. Did you mention that costs should decline by 2 - 3% in the next quarter? Or power cost to decline? I'm sorry, I didn't get that.
Dharmender Tuteja: The fuel cost should soften by about 2% to 3%. And power costs also will go down as we increase our RE power percentage back to the normal level of 29% - 30%.
Rashi Chopra: So some amount of the weakness in pricing should get offset by this cost improvement in the next quarter?
Dharmender Tuteja: That's true.
Moderator: Next is coming from the line of Shravan Shah from Dolat Capital. Please go ahead.
Shravan Shah: Thank you, sir. Sir, the first qu estion is, as you mentioned that in the next quarter, whenever we announced next expansion to reach 75 MTPA, will this include the expansion to the north, so that we become a pan -India player? Or that will be in the next post that?
Puneet Dalmia: You have to wait until we make the announcement.
Rajiv Bansal: As Puneet said in the opening remarks, we are still working on it. We are still on the drawing board. The final digits is yet to be finalized. But again, definitely things that we said as part of our strategy and vision. We want to be a pan -India player. We want to be a pure pan -India player.

And we want to have a significant presence in every market that we operate.
We don't want to spread ourselves to o thin in every market just because we want to be a pan - India player. And it's not that we will achieve pan -India in the next 1 year or 2 years. By 2031 is when we said we'll achieve. We have to wait and see. But we'd like to go region by region, market by market, get significant market share in each market and then go deeper into the country. So we'll just have to wait and see how it plays out.



Shravan Shah: Okay. And next, again, coming back to the volume growth. So when we say 15% - 16% volume growth, so let's assume we will be able to complete Jaypee by March. So for next FY '25, how much volume one can look at from Jaypee?
Dharmender Tuteja: We don't give the regional numbers separately. So collectively, you can expect a round 15%, 16% growth.
Shravan Shah: Okay. And when we say the next year, industry EBITDA per ton would be INR1,100 -, INR1,200 -odd, considering 1.5% - 2% price increase. So for us, will it be a kind of a 10% higher profitability fo r us?
Dharmender Tuteja: You can consider the same numbers, reason being that we'll be also stabilizing and ramping up the Jaypee operations. So currently, we'd like to be around the same numbers.
Shravan Shah: Okay. And a couple of data points. First is C C ratio for this quarter. Rail -road mix for this quarter. And is there any scope of further reduction in lead distance to as it has increased by 6 - odd kilometer Q -o-Q?
Dharmender Tuteja: So CC ratio in

this quarter was 1.66. And lead distance , I'll expect may not fall much for now and should be around similar levels.
Shravan Shah: Okay. The rail -road mix and the fuel mix for this quarter?
Dharmender Tuteja: 86% is the road, and 14% is rail, and fuel mix is 54% petcoke .
Shravan Shah: 54%. And coal would be how much? Hello? Sir, coal and green , sir, for this quarter was how much?
Dharmender Tuteja: The green power, we mentioned, is about 25%.
Moderator: Thank you. Next question is from the line of Devesh Agarwal from IIFL Securities. Please go ahead.
Devesh Agarwal: Sir, firstly, could you explain the sequential increase in the freight cost that we saw in the quarter?
Dharmender Tuteja: That is primarily due to the busy season surcharge which got added in the third quarter, which was not there in 2 months in the previous quarter.
Devesh Agarwal: Okay. Because the increase I see is 6.5% on a Q -o-Q basis, while our rail mix is only 15% ?.
Dharmender Tuteja: Partially, there is also increase in the lead distance and some increase in the L2 movements also would be there.
Devesh Agarwal: Okay, okay. And secondly, sir, you did mention in your opening remarks that prices have been weak and have again fallen back to the September end exit prices. In fact, our channel suggests prices have further declined in Jan. And with limited opportunity in terms of cost optimization



for the fourth quarter, are we expecting EBITDA per ton to decline in the fourth quarter versus 3Q?
Dharmender Tuteja: We do not expect because partly it will get corrected by the cost offsets. And secondly, of course, industry will be trying for correcting the prices back. So we hope that whatever drops may have happened in January should come back.
Rajiv Bansal: Rajiv here. It's very difficult to give you numbers every quarter on EBITDA per ton. That's the reason if you look at what Puneet said in his opening remark. We expect the EBITDA per ton from here on to stay between INR1,100, INR1,200, right. But quarter -on-quarter, it is very volatile. On an average, we get 1.5%, 2% price increase. But if you look on a quarter -over- quarter basis, the prices are volatile. So very difficult to give a number on a quarter -to-quarter basis in this industry.
Devesh Agarwal: All righ t, sir. And sir, one final question. CC ratio for the quarter, you said 1.66x. Incrementally, is there any targeted ratio that you have, given that we will be pouring into other regions where blended cement is not as much a proportion of the overall volume ? So is there any thought process around what would be the targeted CC ratio? And any plans to add more clinker compared to what we are adding on the cement side?
Rajiv Bansal: Again, when you ask questions about lead distance, CC ratio these are the leading indicators of how do we like the business to grow. But these are not decision -making points. We have to grow at a certain volume there to get a certain market share, we have to come at a certain price, we

have to look at what the dema nd environment is. And then we have to optimize our KPIs in all the leading indicators and see how best we can deliver to the customer, what is required to be delivered.
So it's again, as Dharmender said, we aspire to have 100% blended ceme nt, right? Today, we are about 8 4-odd-percent, right? So definitely, situation will improve. But if you ask me, will it happen in the next quarter, it all depends on the demand environment, region by region, the product mix, which is getting sold.
First objective is to ensure that we get leading volume growth, right, industry -leading volume growth. We deliver in the least possible cost. We are customer -centric. We deliver the customer what is required with the best quality product . And then we have to optimize many of those things. So I think what you have to look at

is we plan our future, we plan our numbers, and we plan our delivery models. We focus on these things first. And then everything else is how we try to optimize them. It' s very difficult to put those as the leading thing and then plan numbers.
Moderator: Thank you. Next question is from the line of Jashandeep Singh from Nomura. Please go ahead.
Jashandeep Singh: My first question is regarding demand and the performance in both South and East region in the third quarter. So how did you see the region South and East perform in the third quarter? And we saw some moderation in d emand in the second half of third quarter. So have you seen any recovery in both the regions in the first 25 days of January? My first question is this.


Puneet Dalmia: I think on the price side, as I told you, we see more weakness only i n January. And I think on the demand side, the first 15 -17 days is Pongal in South and the demand usually recovers after that. So I think it's just been a week after that, and we will know a little bit better in the coming days.
But usuall y, this quarter is a better quarter from a seasonality perspective. And this quarter, volumes are likely to be higher than the December quarter. So I think on the pricing side, we think that there is weakness. Maybe it will recover a little bit from here, but it's hard to predict prices quarter -on-quarter in this industry.
Jashandeep Singh: Sure, sir. My question was mainly in terms of volume only. My second question is, on raw material costs, especially slag and fly ash. So Y -o-Y, how much escalation or increase have you seen in especially in slag? Because I'm seeing that most of your power and fuel cost benefit has been offset by other raw material cost. So just wanted to understand how much slag cost and fly ash cost has increased on a Y -o-Y basis?
Dharmender Tuteja: In the earnings release, we have mentioned the overall total raw material costs. So I think the breakup beyond that we would not like to share. So the overall 9 months, it was a drop of about 3%. And quarter -on-quarter, it's almost flatti sh.
Jashandeep Singh: Okay. Understood. And sir, my last question is regarding the green power mix. So in FY '25, I believe you will be adding around 120 megawatt of green power capacity. So can you please give a breakup of how much will be WHRS and how mu ch will be solar and wind? And what will be your green power mix by the end of FY '25?
Dharmender Tuteja: So majority of that will be solar, and we expect, the year end to be close or upwards of 35%.
Moderator: Next question is from the line of Sa tyadeep Jain from Ambit Capital. Please go ahead.
Satyadeep Jain: Thank you. First question on market share. Obviously, we've seen some market share erosion in the past few quarters. Puneet, you're mentioning a strategy to gain market share and taking some initiatives. Can you elaborate on what kind of initiatives or change in course of action you've taken so far or planning? Is it change in some mix or maybe targeting more nontrade also or change in incentive structure?
And also tied to Jaypee acquisition. It's been few quarters of tolling , not a meaningful bump up in volumes there. Have there been any surprises on either side now that you've seen this asset? And what is stopping from increase in tolling volumes till we complete the deal? that's the first one on overall volumes.
Puneet Dalmia: I think the initiatives that we are taking in terms of expanding our volume is that, one, we are expanding our reach, we are recruiting new dealers. We are also investing time and money and deepening the relationship wit h our existing dealers and also our institutional customers . So we are also looking at how we can invest more in demand generation. And you will see more of this in the coming quarters.


As regards to Jaypee, I think as I said that the plant needs more investments. There has not been any material surprises so far. But I think it's operating at a high cost right now. And that high cost structure prevents us from expanding our reac h beyond certain markets. Also it's running at low utilization right now because initially in the earlier few quarters, there was a lot of transition - related issues where the dealers needed confidence to work with the company.

And I think now slowly, we are ramping it up. it's a new region for us. So we've also made investments in more brand awareness. And all these things take time. So we have inherited a high-cost structure plant as of now, and we don't have full control over the asset. So that's why there is some limitation and constraints under which we are working. But the good part is that we have spent this 1 year learning a lot about the market, learning a lot more about the pla nt, and we have a full plan ready so that we can hit the ground running as soon as the acquisition happens and bring it to the Dalmia cost structure.

Satyadeep Jain: The acquisition completion is largely the approval from lenders that is taking time?

Puneet Dalmia: Yes, yes, absolutely. It's a lender approval process. And I think we are quite confident that we should consummate the deal this quarter.

Satyadeep Jain: Okay. Just one more question on the capacity expansion. Obviously, you're reiterating 7 5 million tonnes by '27. is the company fairly ahead in the planning process because '27 means you need to start looking at maybe ordering in the next few months. So have these sites been identified? And can we expect ordering for this expansion in the next few months?

And another one that would be, there is a peer who is talking about expansion in Northeast by setting up a subsidiary. Could that be a risk for competitive intensity in Northeast?

Puneet Dalmia: I think we feel that there will be continuous expansion in this business because just like us, everybody sees the India opportunity. And I feel that to remain competitive in this industry, we have to have a low -cost structure on which we have done a lot of wor k, and we'll continue to deepen that journey. And I think secondly, we have to invest in market -facing functions like sales, distribution and also delivery time and brand.

So my personal view is that, in the long term, the entry barriers in this business are rising. And I feel that there will be periods of high competitive intensity. But we feel that consolidation is inevitable in this business. And eventually, this business will definitely offer volume growth, and we are modelling a low pricing growth.

But if consolidation reaches a certain level, there could be upside in terms of prices over the next 5 to 10 years, I don't know how to predict it. But I think we are not taking a short -term view on this business. We have benefited from taking a long -term view, and we will continue to be consistent in our investment strategy by looking at this business in the long term.

Satyadeep Jain: Can we expect equipment ordering in the next 6 months or the next leg of expansion?

Puneet Dalmia: Yes, we are doing very detailed planning side by side. So you will see a very clear announcement with very clear timelines from us.



Rajiv Bansal: In addition to this, if I add Jaypee, we have already announced roughly about 59-odd million tons already, right So this is incremental 16 million tons is what we're talking about. To a large extent, the planning is done. There are some final details to be done, but to a large extent the planning is done.

So I think we're just delay ing the announcement by quarter because this year, the volumes have been slightly muted . We are just waiting for a lot of initiatives taken. We have also seen this quarte

r, how the performance is coming. See, once we commit to the things we are allocating capital and we're committing to spending the capital. So we just wanted to see for one more quarter and also look at the Jaypee acquisition getting consummated this quarter and then probably be able to be more confide nt in terms of rolling out the 75 million ton plan. So it's just a delay of 1 quarter because we also want to just check a few things before we roll it out.

Moderator: Thank you. Next question is from the line of Ritesh Shah from Investec.

Ritesh Shah: I have 3 questi ons. Sir, first is on the industry side, you indicated price growth of around 2%, cost inflation of 1.5%, and EBITDA in the range of INR1,200. Would it be possible for you to give a sense on what is the threshold ROC E that you look at, at the industry leve l?

The reason to ask this is, basically, we are looking at both attractive volume growth as well as pretty decent profitability. So what is the ROE estimate that you are looking at? Or are we calling that the profit pool will shift from like small cap toward the larger top 4, top 5 ?

Dharmender Tuteja: Gradually, you can expect that all leading players, they should be able to earn about 15% return on capital employed. But of course, this will be on a mix of the old assets as well as the new assets. And new assets normally take a couple of years before they start earning 15% ROCE. But on a blended basis, you could expect that the leading players should be able to earn ROCE of 15%.

Ritesh Shah: I would presume this is po st tax and excluding incentives?

Dharmender Tuteja: Incentives are included. But yes, it will be post tax.

Ritesh Shah: Okay. That was helpful. Sir, my second question is on, I think, the next phase of expansion. I was just looking at the milestone options . I think company has done phenomenally well to augment results upward of 1.3 billion. However, we posted an average premium also is upwards of 50% . So for the next phase of expansion, how should we look at the incremental capex intensity, which I presume would be largely greenfield? And the cost curve for the next phase of expansion versus the current assets, are we looking at a steeper increase ? so more of opex and capex inflation ?

Dharmender Tuteja: On the capex side, I think that you can expect average cost of the capacity is close to about $70 to $80 per ton basis, blended, because there'll be a couple of brownfield opportunities also and greenfield also. And if any acquisition happens, it could be in range of $ 80 to $100 per ton. And of course, on the opex side, fuel remains uncontrolled element. But as more and more coal mines are being auctioned, industry will have more control on their key cost structures.



Ritesh Shah: And sir, I was referring to limestones.

Dharmender Tuteja: Limestone auctions, of course, it will be through auctions only and marginal increases you can expect going forward.

Ritesh Shah: Okay. And sir, the last question, sir, how do we see flyash & slag inflation. And Dalmia has been up on the curve when it comes to ESG. So are we looking at a launch of calcined clay LC3 anytime soon? I think most of the players have indicated that they are already ready with it . So is this also something which i s there when you say within three years, 100% blended cement?

Dharmender Tuteja: 100% blended cement is one of the stated objectives. And of course, the specific details of product elements that, of course, we'll not be able to share right now.

Moderator: The next question is from the line of Prateek from Jefferies India. Please go ahead.

Prateek: Yes, good morning, sir. My question is on JPA volume. So when you say 15% volume growth, so you are expecting how much for the JPA volumes in FY25? And do we expe ct the cash outflow related to JPA in FY24 or FY25?

Dharmender Tut

eja: So we do not share the region -specific volume separately. And as we said, that is expected in the next couple of months, we are targeting that it is closed within March. So if it happens within March, our cash outflow will also happen in March. But it could be one month here or there.

Rajiv Bansal: Prateek, Rajiv here. I think on JPA volumes, why we have been sharing the JPA volumes in this quarter is because they started tolling from Q4 of last year. And this is why we have share the JPA volumes separately so that you get a sense of how we are doing in our core markets. But having said that, I think once we already completed four quarters of shaping JPA volumes, there is no reason because nobody gives numbers separately in terms of how much they're doing by each asset.

So I think the JPA will become part of our core assets, right? And then giving those segmentation would become difficult. I think we'r e targeting a mid -teen growth, we're factoring in all the assets that we have, including JPA, which will become an integral part of our asset base. And on the next question, on the cash flow part, I think we are hoping to close this by March end,

But by the time it gets closed and the placing's has to be done. To a large extent, the cash outflow will only fit probably a month, 1.5 months after the confirmation to a large extent

Moderator: The next question is from the line of Prateek Maheshwari fro m HSBC. Please go ahead.

Prateek Maheshwari: Hi, sir. Thank you so much for the opportunity. Sir , my question was in JPA. So sir, as the deal is close to completion, I wanted to understand, sir, at 9 million tons of grinding? Would you might face problems in completely utilizing the asset because probably so far the clinker is available at next 4 million tons? And also looking at it from the perspective that the markets that you're entering are probably more PPC orien ted. So obviously, the clinker to cement ratio will come down. That's my first question.



Another question is, I just wanted to kind of just squeeze in. What could be the expansion opportunity on the clinker side at the Jaypee plants?

Dharmender Tuteja: So when we acquire, let's say, 9.4 million, definitely some clinker will be short. But of course, the ramp -up of these plants may take time. So till that time, we'll have whatever required clinker is there that is available with us. And there'll be opportuni ties for expansion both for the clinker as well as the cement capacity in the central region within the same assets.

Moderator: Next question is from the line of Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo: Thank you for the opportu nity. Just one question on the renewable power front. So in the nine months, there has been a very small just about 11 megawatts sort of an addition in the solar power front, whereas bulk of it is left for Q4. So my question is, is there a reason why the

progress is slow?
And in the same brea dth then, what is the target next year, which you answered in the previous
question, the bulk of the addition for the target of 328 -megawatt of total renewable power, bulk
of it will be solar. So will that also be back ended? Thank you.
Dharmender Tuteja: See, the technology on the RE front has been evolving. And of late, let's say in recent months,
when solar panel prices have reduced significantly, which translates to a lower cost of RE power.
So had we contracted this power contracts, let's say, six months before, we would have lost the
opportunity of contracting much lower rates, which we are able to do now currently. So you can
expect that, of course, bulk of this may come, let's say, around mid of the year or maybe just the
third quarter of the coming year. But subsequent announcements now will be much faster.
Moderator: Thank you. Ladies and gen tlemen, due to constraint

of time, we'll take that as a last question. I
will now hand the conference over to Mr. Puneet Dalmia for closing comments.
Puneet Dalmia: Thank you very much. I appreciate all of you taking interest in us and sharing feedback wi th us
on this call and off the call. This is our first call in 2024 so I take this opportunity to wish you
and your families a very happy and prosperous 2024. And look forward to connecting with you
again in the next conference call. Thank you.
Moderator: Thank you very much. On behalf of Dalmia Bharat Limited, that concludes this conference.
Thank you for joining us. You may now disconnect your lines. Thank you.

## Call: May 2024

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Subject: Transcript of Q4 FY24 & FY24 - Earnings Conference Call

Ref.: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")

Dear Sir/Madam,
In terms of Regulation 30 of the Listing Regulations , please find attached transcript of the Q4 FY24 & FY24 Earnings Conference Call held on April 25, 2024 for the quarter ended March 31, 2024.

The same will also be uploaded on Company's website: www.dalmiabharat.com

Kindly take the same on record.

Thanking you,
Yours Sincerely ,
For Dalmia Bharat Limited

Rajeev Kumar
Company Secretary
Encl: a/a


"Dalmia Bharat Limited
Quarter and Year Ended March 31, 2024 Conference
Call"
April 25, 202 4

MANAGEMENT : MR. PUNEET DALMIA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – DALMIA BHARAT
LIMITED
MR. DHARMEND ER TUTEJA – CHIEF FINANCIAL
OFFICER – DALMIA BHARAT LIMITED

Dalmia Bharat Limited .
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Moderator: Ladies and gentlemen, good day, and welcome to the Earnings Conference Call of Dalmia Bharat Limited for the Quarter and Year Ended March 31, 2024. Please note that this conference will be for 60 minutes and for the duration of this conference call, all p articipant's lines will be in the listen only mode. This conference call is being recorded, and the transcript may be put on the website of the company. After the management discussion there is an opportunity for you to ask questions. Should anyone need assistance during the conference call please signal a n operator by pressing star then zero on your touch tone phone. As a reminder all participant lines will be in the listen only mode.
Before I hand over the conference to the management, I would like to remind you that certain statements made during the co urse of this call may not be based on historical information or facts and may be forward -looking statements. These statements are based on expectations and projections and may involve a number of risks and uncertainties, such that the actual outcome may di ffer materially from those suggested by such statements.
On the call, we have with us Mr. Puneet Dalmia, Managing Director and CEO, Dalmia Bharat Limited; Mr. Dharmender Tuteja, CFO, Dalmia Bharat Limited; and the other management of the company. The earn ings release has already been uploaded on the company's website.
With this, I will now hand the conference over to Mr. Dalmia for opening remarks. Thank you and over to you sir.
Puneet Dalmia: Good morning, everyone. I will begin with an overview of our p erformance, and then Dharmender will provide a more detailed explanation of our operational and financial aspects.
During the quarter, we have delivered a healthy volume growth and have regained our market share. If you recall, we had lost market share in the first half of the year. We undertook some corrective actions and subsequent volume recovery during the last 2 quarters makes us believe that the whole issue is now behind us. While we have regained market share, the volume growth has come at a higher c ost.
During the quarter, the prices in our key markets declined. And due to lower realizations and higher cost, our EBITDA per ton declined to INR743 per ton. The price drop in Q4 is far more than what we have seen in similar periods in any previous year. Prices on an average declined by 7.5% Q -o-Q, while exit prices in March were lower by 9% to 10% compared to Q3 average. Generally, Q1 sees a price increase across the markets. However, we have not seen it so far. I believe that the prices may remain soft in the first 2 quarters. And price increase, if any, may happen from Q3 this year onwards. During Q4, to regain market share, we have incurred some incremental costs, some of which we believe would be corrected over the next few quarters. Dharmender will take you through the details in his opening remarks.
Coming to the outlook for the sector. I continue to believe in the India growth story, and we believe that we will continue to see the GDP growth upward of 7% in the coming years. Since cement would pla y an important role in the India growth story, led by all round infrastructure development, housing and private capex , I believe that the cement demand should grow between 8.5% to 9%.


I believe that we can deliver a volume growth of 1.5x of the sector, excluding sales from the Jaypee assets. The additional volumes from Jaypee should give us an incremental 4% to 5% growth on an overall basis. During the year, financial year '24, we have added 6 million tons of cement capacity and reached closing capacity of 44.6 million tons. Our 1 million ton expansion at both Ariyalur and Kadapa is under trial run production. We have also added 0.9 million tons of clinke

r capacity in South during the year.
The Jaypee transaction has taken longer than we anticipated, bu t it is progressing in the right direction. As you all must have read in the papers, NARCL has put in a bid to buy the entire debt of Jaypee and it is under evaluation by the current lenders. We understand that the lenders are keen to create lending capaci ty on their balance sheet by transferring this debt to NARCL, but there are procedural delays, which are beyond our control and the transaction closure may get pushed out to Q2 of this year.
We continue to establish our brand and distribution in MP and UP through the tolling arrangement with Jaypee. In Q4, we sold 0.6 million tons from Jaypee. And in financial year '24, we sold 1.4 million tons through this tolling arrangement. Some questions were raised regarding our limestone reserves. We have already clarified that we have sufficient reserves, and there have been some gaps in the information that resides in the public domain, which is in th e process of getting corrected.
For example, in cas e of our Murli plant, the updated records now show that our limestone reserves are up from 3 years to 22 years. We are very excited about the promise that this sector

holds. We remain convinced about the structural trends that support secular demand growth , rising entry barriers and further consolidation in the sector. While prices may remain under pressure, we will continue to invest in our brand, deepen our cost leadership and focus on organization building.

Now I will request Dharmender to take you thro ugh the detailed financial performance for the year and the quarter gone by. Thank you.

Dharmender Tuteja : Thank you, Puneet. Good morning, everyone. Let me take you through the key aspects of our performance. During the quarter, we delivered a healthy vol ume growth of 18.5% Y -o-Y and sold 8.8 million tons. On a full year basis, our volume growth was 11.8% Y -o-Y and sales volume was 28.8 million tons. Our overall trade mix has improved to 65% during the year from 63% last year. Our revenues during the quart er increased by 10% Y -o-Y to INR4,307 crores and full year by 8.4% Y -o-Y to INR14,691 crores. However, NSR declined 7.5% Q -o-Q to INR4,891 in Q4 as prices declined in our key operating markets.

During the year, we launched a new brand campaign, "RCF Strong toh Ghar Strong", and repositioned Dalmia as Roof, Column, Foundation Expert. That is our RCF Expert. We have invested about INR70 crores during the quarter in marketing, which is an increase o f about INR30 crores on a Q -o-Q basis. Our raw material costs during the quarter has increased by 4% Y-o-Y to INR771 per ton of cement production with about 2% to 6% increase in slag and fly ash costs. If you add purchase of stock -in-trade goods under toll ing arrangement with Jaypee



Group, the increase in the financials would appear much higher as our volumes from Jaypee plants are increasing quarter -upon -quarter.

Power and fuel costs declined 21% Y -o-Y to INR1,018 per ton of cement, mainly due to $48 decline in the fuel consumption cost on a Y -o-Y basis. With this, our blended fuel cost during the quarter stands at INR1.45 per Mn Kcal rate . Besides the correction in fuel prices, our efficiency parameters like usage of re newal power improved to 27% from 21% in FY '23. Bring about more predictability and sustainability in our costs, we'll continue to invest in renewable power and operationalize our own coal mines during the year.

During the quarter, in order to regain mark et share, we have incurred additional logistic costs and as a result of which, our logistic cost increased by 4.7% Y -o-Y to INR1,158 per ton. We believe that a large part of this increase will be corrected in the coming quarters. During the quarter, our fi nished WIP and stock -in-trade inventory declined by INR137 crores.

This also led
to increase in cost of goods sold by about INR40 per ton and the fixed overheads, which are inventorized came as a ch arge to P&L.

This will reverse in coming 2 quarters when inventory levels rise and on a full year basis, such effects get neutralized. Most of the charge coming in Q4. Other expenses like sales commission, depot related expenses, coupled with increase in repair costs, material handling and packing expenses have increased by INR92 crores on a Y -o-Y basis due to higher volumes. Overall, our EBITDA during the quarter declined by 7.8% Y -o-Y to INR654 crores. This translates t o an EBITDA of INR743 per ton. On a full year basis, EBITDA increased by 13.4% Y -o-Y to INR2,639 crores with INR917 per ton of EBITDA.

On incentives, we accrued INR93 crores during the quarter and collected INR98 crores. On a full year basis, our accrual and collections are also largely the same. Accruals were about INR298 crores, while collection has been INR314 crores with closing outstanding of INR701 crores. For financial year '25, we expect the total incent ive accruals to be around INR300 crores.

The other income during the quarter has increased by INR82 crores on Y -o-Y basis to INR120 crores, primarily due to higher treasury income, coupled with increase in dividend income by INR14 crores , receipt of inte rest subvention, incentive income of INR22 crores, about INR11 crores interest on income tax refunds for earlier years and the realization of insurance claims of INR9 crores.

During the quarter, we have reviewed our accounting policies and practices with leading industry players and make changes in few of these to align with industry practices. Due to the certain line items and the reported financials for previous years has also been restated. While we have made the appropriate disclosures in the resu lts released yesterday, let me briefly take you through these changes.

First is we have revaluated the economic benefits derived from property, plant and equipment of our Northeast units and decided to change the method of providing depreciation on PPE fr om written down value method to straight line method with effect from January 1, 2024. Now we are providing depreciation on SLM method across the company. Further, we have also

reassessed the salvage value of the building and other plant and equipments fro m 1% to 5% of the cost with effect from January 1, 2024. Consequent to both these changes, the depreciation during the quarter was lower by INR46 crores and INR14 crores, respectively.
Secondly the classification of unwinding of income on interest free loan from state government has now been reclassified to other operating income from other income. Consequently, our revenue from operations has now been restated. The impact of reclassification is included in our financial reports. With above changes, the depreciation during the quarter declined by INR8 crores on a Y -o-Y basis.
However, it has increased by INR193 crores for financial year '24 when compare d to financial year '23. Of this increase, INR108 crores pertains to components of plant and equipment, which were replaced as part of our overall debottlenecking projects. We expect depreciation to be in the range of INR1,350 cro res to INR1,400 crores in FY '25, excluding the impact of Jaypee plants depreciation.
Our profit after tax for the company stands at INR853 crores during the year against INR1,079 crores in FY '23. If you recall, we had a gain of INR554 crores in share of profit in associate, INR125 crores tax thereon and INR144 crores loss in exceptional items last year, which was primarily due to the recognition of sale of our refractory business. Same is not there in the c urrent year or current quarter.
Our planned capacity expansion at Kadapa and Ariyalur for 1 million ton, each is under trial run and will be

commissioned in the current quarter. We are also progressing well on 0.5 million ton expansion in Rohta s and 2.4 million tons in Lanka, Northeas t, which is expected to come by end of FY '25. Considering all organic and the proposed Jaypee acquisition, we are likely to close this year at 58.9 million tons of cement capacity.
The capital expenditure during the full year FY '24 was INR2,827 crores against our expectations of INR3,000 crores. We expect capex spending of about INR3,500 crores to INR4,000 crores of capex in FY '25, which will largely include spends towards Northeast expansion projects, Rohtas Cement plant in Bihar and als o certain ROE and maintenance capex . This will be besides the outflow for Jaypee assets, which is expected to be around INR3,500 crores for 5.2 million tons, cement capacity of Rewa, Churk, Chunar, and Sad wa, and 2.2 million tons for Jaypee -SAIL assets. With this capex , we expect our peak gross debt to be about INR9,000 crores and net debt of about INR5,000 crores to INR5,250 crores by year -end.
As of 31st March, our gross debt has increased by INR887 crores, and the closing debt stood at INR4,651 crores. At the same time, our net debt declined to INR484 crores, resulting in a net debt to EBITDA of 0.18x as of 31st March.
Lastly, in line with the capital allocation framework, the Board has proposed a final dividend of INR5 per share, which is subject to the approval of the shareholders in the ensuing AGM. This is in addition to the interim dividend of INR4 per share. A total dividend declared for the year, including interim, is INR9 per share.
With this, I now open the fl oor for question and answers. Thank you very much.


Moderator: Thank you very much, sir . We will now begin the question -and-answer session. The first question is from the line of Ritesh Shah from Investec.
Ritesh Shah : Sir, I had 2 questions. First was on Jaypee. How much money did we make on a per ton basis on the tolling that we did, 0.6 million tons for the quarter and for the fiscal? That's one bookkeeping. And the second question is, would it be possible for you to actually bifurcate the entire 9.4 mil lion tons? So we understand that 5.2 million ton part of the kitty is pretty much clear. So how should we look at it?
So you indicated Rewa, Chunar, Churk as one. Then there's the Bhilai facility, which is there. So what is the sort of clarity that we have on this particular asset when it comes to procurement of the clinker? Likewise, on Nigrie and lastly on Super Dalla. So if you could please provide some clarity from a legal aspect as well as the process. I understand timelines will be tough, but would be interested to know the process, sir.
Puneet Dalmia: So I think on the Rewa package, we have already said that this requires NOC from the banks. The banks , –as we understand that they're trying to sell their loan to NARCL so that we don't have to deal with 35 banks to get an NOC, but it is only from 1 person who holds the loan. I think this process is undergoing and progressing quite well, although t here are some procedural delays, and we expect that this should get consummated in the second quarter of this year.
As regards to the SAIL package, this requires SAIL to take a view as they're a joint venture partner, whether they want to buy, hold or sell. So they have a right of first refusal. And so either they can buy the shares or they can sell the shares to us or they can continue to remain a joint venture partner. So I think SAIL is still evaluating the proposal. And I think, again, once the

SAIL has evaluated the proposal, they will come back to us. I think this is the legal process in
both the packages. Dharmender, you want to add anything?
Dharmender Tuteja : The capacity breaku p, this 5.2 million is one consolidated transaction, Rewa, Chunar, Sad wa, so all of this comes t

ogether. And the second separate transaction is Nigrie plus BJCL which has
4.2 million of cement and 1.1 million of clinker.
Ritesh Shah : All right. Sir, you in dicated that the lenders will need a NOC over there. Who's the lead banker
over here? Have the banks already approved it or the consortium still needs to approve the bid?
And is there scope of some probability for a re -auction over here? Or should we assume that we
should roll it out?
Puneet Dalmia: I think until the company goes into NCLT, there is no -- banks are not driving the process. This
sale process is being driven by the Jaypee Board and the Jaypee shareholders have to approve
it. and the Jaypee shareholders have already approved the transaction. Board has already
approved the transaction. We already have CCI approval for the transaction, and all we need is
the bank's NOC because the company is in default of the loans.
Ritesh Sha h: Okay. Lastly, Jaypee profitability on the tolling volumes?
Dharmender Tuteja : So on profitability, we would not like to share currently.


Puneet Dalmia: We don't share regional breakup of profitability.
Ritesh Shah : Thank you so much sir.
Moderator: The next question is from the line of Rajesh Kumar Ravi from HDFC Securities.
Rajesh Kumar Ravi : My first question is on this Super Dalla, what is the status on the same? And then a few
housekeeping questions, vis -a-vis trade, non -trade and the blended cement, which I'll come
back?
Puneet Dalmia: As we've said earlier, also Super Dalla, Jaypee is in arbitration with UltraTech. And I think our
transaction is subject to the outcome of that arbitration. So that arbitration is going on right now.
And ti ll we know the outcome of that arbitration, I think this deal cannot be done till the
arbitration is concluded.
Rajesh Kumar Ravi : Okay. And this INR3,500 crores, which you are targeting for the acquisition, that is only for the
Phase 1 acquisition or that includes even the 4.2 million tons?
Dharmender Tuteja : It includes BJCL, SAIL also, and Nigrie will be on the long-term lease.
Rajesh Kumar Rav i: Okay. And coming to th ese housekeeping question s, what was the blended cement , trade share
and premium share in this quarter?
Dharmender Tuteja : Trade sales were 65% for this quarter. Premium products were 21%, and the blended sales for
this period is , 87%.
Rajesh Kumar Ravi : And sir, green power share and fuel mix?
Dharmender Tuteja : Green Power for this quarter is 28% and fuel mix, pet coke is about 56%. Beyond that, we don't
share.
Rajesh Kumar Ravi : And CC ratio?
Dharmender Tuteja : CC ratio for the quarter is 1.67 .
Rajesh Kumar Ravi : Okay. Sir, one last question. In this quarter, we have seen very strong volumes, but the margins
have taken a significant beating. So what is the outlook in terms of these margins whenever we
see like yo u targeting 1.5x industry growth? So will that growth come at a significant lower
margins or INR1,000 EBITDA margin, which the company has historically delivered? That is
not a pipe dream or a distant dream for the place like you and for the industry in general, will
this -- should we be factoring decent margins when we are targeting strong volumes?
Dharmender Tuteja : So basically, as you also heard from Puneet -ji and in my opening remarks that this additional
cost also entails some of the incremental co sts on the logistics, on the branding and some of the
other things. So a couple of these things will definitely be reversible. They'll get neutralized or
corrected in the next couple of quarters. So we expect this margins recovery to happen. But of
course, the selling prices also play in an important part, which we expect that in the first 2


quarters, they may remain soft. And in third or fourth quarter once the prices improve, defini

tely,
the profitability margins will be healthier.
Moderator: The next q uestion is from the line of Satyadeep Jain from Ambit Capital.
Satyadeep Jain : Just first on the depreciation, change in depreciation policy. I know about 4 - 5 years ago, the
company had changed the depreciation policy to WDV for Northeast assets. So what is leading
to all these changes? What was the rationale back at that time to change to WDV given you had

an outlier at that time?
Dharmender Tuteja : Yes, Satyadeep, you are right. The earlier change when we did at that time, we had benchmarked the Northeast plants to the Northeastern players. Like Star and other players in Northeast, most of them do WDV method of depreciation. But currently, now when we have realigned it, we have realigned to the national players, all leading players, most of them, they have SLM method. So the entire company now we have moved to the SLM method.
Satyadeep Jain : Okay. Just on the other expenses, you mentioned about INR30 crores is reversible. Is that right, from the current quarter because other expenses did increase ?
Dharmender Tuteja : No, when I said the INR30 crores has increased, and we also continue to focus on our branding and activities. So this INR30 crores may not reverse soon in the current year, the focus on branding will remain. But the other things which I said, the inventory depletion had an impact of about INR40 per ton of overhead s getting charged , that is reversible because first 2 quarters inventory build up and rather th ere will be negative charge of fixed overheads and the increase in cost on account of logistic or depot expenses or sales commission, etcetera, which went up in the quarter 4 , these will normalize in the coming quarters. And also one more thing, logistics cost also is going to normalize. So t hese things will happen, which will be taking it to normal positions.
Satyadeep Jain : Okay. Fair. Just one clarification. Just one question on the timeline for the medium -term capacity expansion that you had outlined. When are you thinking of putting it up?
Puneet Dalmia: We are still debating that within our management team and our Board. I think we will take a few more quarters before we can come back to you with a plan for the further expansion.
Moderator: The next question is from the line of Nikunj Mandowara from UBS Securities.
Nikunj Mandowara : Just wanted to get more color on how do we see the volume growth year -over-year for the next years, and we are seeing 8.5% to 9%. But how do we see this playing out quarter -wise? But I expect H2 will have to do the heavy lifting in the volume growth here? And sir, secondly, related to this, what is giving us confidence that pricing should bounce back in H2? Because if I look, I think there is a lot of fresh capaci ty, which is going to come in H2 by UltraTech by Shree and even if the Jaypee acquisition is completed than even for us. So what has given us confidence that pricing should bounce back in H2?
Puneet Dalmia: No, I think nobody can forecast prices. All I sa id was that I don't see any strong momentum in the market right now. And if at all, the prices correct, they will correct in H2 because the first



quarter is election. Second quarter is monsoons. And if at all, there's so me recoveries likely to happen post the monsoon quarter and the election quarter.
Nikunj Mandowara : Okay. And sir, on the volume growth question?
Puneet Dalmia: So I think we have said that we think we can grow at 1.5x industry and Jaypee assets can further add 4 to 5 percentage points in terms of volume growth. So I think it's hard for us to give quarter -by-quarter forecast on volumes, but I think we are giving a general guidance on how we think we can grow on a sustainable basis.
Moderator: The next question is from the line of Indrajit Agarwal from CLSA.
Indrajit Ag

arwal : Sir, I have a question, which is more on a strategy or a medium -term viewpoint, not just on this quarter. So what role does operating leverage play in our business? We understand variable cost is one part, which is ma ybe power and fuel , freight etc. But even after such strong volume growth, we have not really seen the benefits of operating leverage in the last few quarters. So going ahead, where do we thi nk we can really beat the Street on costs, particularly not on volume growth, but on fixed cost recovery ?
Dharmender Tuteja : See, the fixed costs have been created for a much larger capacity in the coming years. So when we envisaged that we'll be growing capacity to about, let's say, 25 million tons. But anyway, so even the medium -term plan for the next year is about 58- 59 MnT . So the costs have largely been created. And now I think as we improve the capacity utilizations, so this operating leverage will definitely come into picture.
Puneet Dalmia: Having said that, I think we will invest some amount of it into br and building. So part of it will come as an expense on our P&L, but we think it's a long -term investment and it will help us in the longer run with better margins. So I think some of it will show up as operating leverage as fixed cost gets am ortized over a higher volume as we utilize our capacity. But part of that we will reinvest back into building our brand.
Indrajit Agarwal : When you say brand building, is it more of advertisement or more of dealer incentive and dealer discounting? How should we look at ?
Dharmender Tuteja : So it is mainly the brand as well as the activities which we do around dealer shops marketing activities, technical services activities, customer relationship management activities, not the discounts, because once the marketing expand and brand strength improves, discounts will go down. You don't require discounts to push up your sales volume. So that was the idea that there

should be a demand pull through brand, better strength of the brand r ather than need to push
sales through discounting.
Indrajit Agarwal : And my last question is on power and fuel. Any further reduction expected in the sense, what is the spot cost versus what we have booked in fourth quarter?
Dharmender Tuteja : So basically , the next quarter, you can expect another reduction of about 1% - 2% because pet coke prices have largely stabilized in the last couple of months. In the first quarter, rates are already contracted. So you can expect about 2% drop from the current quarter level.


Moderator: The next question is from the line of Sumangal Nevatia from Kotak Securities.
Sumangal Nevatia : First question is, is it possible to give the breakup of Jaypee and organic volumes in fourth quarter? And I want to understand basically on a year -on-year basis, how much ex of Jaypee has the volume grown?
Dharmender Tuteja : So out of 8.8 million total sales, 0.6 million is on account of Jaypee and rest is on account of for existing plants volumes. So ex of Jaypee, I think the growth is about 12%.
Sumangal Nevatia : Okay. And last year, fourth quarter, it was 0.1 or something, Jaypee volumes?
Dharmender Tuteja : That was, yes, 0.1.
Sumangal Nevatia : Okay. Got that. I mean, just from a strategy point of view. I mean, if you look at FY '24, a few quarters, you lost volumes. Now we've regained volumes at the cost of margins, which is not -- I mean this kind of a volatility in performance is not there with peers, right? So I mean, from an FY '25 point of view, how should we look -- I mean, for the management, what is the priority? Is it earnings? Is it market share volumes or m argins? Some thought process if you could share?
Dharmender Tuteja : Thurst on the market share regaining will continue. But of course, as I said, our costs, which got increased in Q4, will get normalized.

So the quality of sales also will improve. But definitely, the volume improvement will remain the #1 priority.
Sumangal Nevat ia: Okay. Okay. And I mean, directionally, is it possible to share? I mean, in the contribution from tolling, is it a negative contribution? And just to, I mean, penetrate new markets, are we doing the sacrifice till we get these assets under our u mbrella. I mean just directionally, is it possible to share how the margins or contribution is comparing versus organic volumes?
Dharmender Tuteja : The current, we'll not like to share the separate profitability of Jaypee operations, but you can expect that we'll bring these plants to our normal cost structure of Dalmia in about 2 years. So in the third year, we can expect similar profitability as we get in the rest of the group. But 2 years to gradually improve the profitability.
Sumangal Nevatia : Okay. Got it. And just one last thing on the prices in the opening remarks. Did we confirm that we've not seen any price increase in East and South in our core markets in the month of April because there are a lot of reports suggesting an attempt of a big hike. But can you just share what's been the on -ground situation in the last few weeks?
Dharmender Tuteja : Yes. In the April month also, we have not seen a ny improvement. So we are close to the exit levels of March, which is about 9% to 10% lower than the Q3 levels.
Sumangal Nevatia : Okay. And what would be the exit level versus 4Q average?
Dharmender Tuteja : Compared to Q4 average, it will be a bout 2% lower.

Moderator: We'll take the next question from the line of Pulkit Pat ani from Goldman Sachs.


Pulkit Pat ani: One question. I mean, you yourself said in your opening remarks that this is unprecedented in terms of the price action that you have seen. Could you highlight why these kind of price correction happened? Is it just because in a pre -election period, everyb ody wanted to get to volumes, which is why price wasn't a consideration? And if you could also get a sense of why this should change given everybody is adding capacity because it's pretty worrisome in terms of the way price action had happened in the secto r in this quarter.
Puneet Dalmia: I think, as I said, it is hard to forecast prices in our commodity business. And we personally think that in the next 2 quarters, this is an election quarter and the next quarter is a monsoon quarter. So I think it will b e hard for us to believe that there will be a significant upswing in prices. Although I think there will be -- everybody will report some margin drop, how much, et cetera, needs to be watched. So it's hard to predict by when and how much prices will rise. A nd while capacity addition continues, I think the rate of capacity addition is lower than the rate of demand growth. So utilization levels should go up gradually. I think that is what we are seeing. However, there is excess capacity in the industry, that' s a reality. And as long as there is new capacity addition and there is a quest for higher growth, prices could be under pressure. Having said this, we have seen this industry -- it goes through ups and downs in terms of margins. We

still believe that ther e is a structural trend of higher consolidation and there are rising entry barriers. So even if, let's say, margins are under pressure, it may enhance and accelerate consolidation as well.

So I think it's hard to forecast prices on a quarter -on-quarter ba sis. But all I can say is that we remain convinced about our investment thesis in this sector and driving consolidation is a trend that we continue to see.

We are already seeing 3 transactions, which are in the works. UltraTech is buying Kesoram. Ambuja i s buying Sanghi, and our transaction with Jaypee is under process. These 3 are large transactions. There are some small transactions, which were

announced recently in terms of grinding units, which were bought by UltraTech and Ambuja. Ambuja bought My Home Cement grinding unit in Tamil Nadu and UltraTech bought the Parli cement unit of India Cement in Maharashtra. So I think the trend for consolidation will continue. And over a medium term, margins should normalize in my view.

Moderator: We'll take the next question from the line of Mohit Jain from Tara Capital Partners.

Mohit Jain : I just wanted to have a view on the expansion plan. You said that the Board is looking into it and maybe in couple of quarters, it will come into effect. Have you said th at, is it likely that the 75 million tons target of FY '27 is likely to push back because I think it already has to start soon if we want to achieve that timeline. So how do you look at that, sir?

Puneet Dalmia: I think we will comment on this over the nex t few quarters. As I said, we are working on it with the management and with the Board, and I think we will share with you whenever we are ready.

Moderator: We'll take the next question from the line of Ra hul Gupta from Morgan Stanley.



Rahul Gupta : Sorry t o ask similar question like other participants, but in a different way. Puneet, you have been bullish on medium -term India story for some time. And hence, demand for cement will remain strong over medium to longer term, righ t. But given seasonally next couple of quarters is going to be weak for the industry, what's the risk of demand not improving in second half or getting pushed out to next year? That's it.

Puneet Dalmia: Look, it's hard for me to forecast demand on a quart er-on-quarter basis. But I think if GDP growth continues at 6.5% - 7%, we think that this is a phase of India where it is infrastructure -led growth , and the cement demand is likely to be 1.2, 1.25x GDP growth. So if GDP growth gets hit on account of geopolitical factors, which as of now, it seems that India is reasonably insulated. Other than that, I don't think that the structural demand story is under pressure in any way. But quarter -on-quarter, sometimes things get pushed out. But we've seen that e ven if there is 1 year of lower demand growth; next year, it catches up. Projects sometimes get pushed on the ground for a few quarters, but they don't get completely abandoned.

So I think it's hard for me to forecast quarter -on-quarter. And I think the structural demand story is quite strong. But if there is any macro global shock, which impact GDP growth, then I think it may impact cement demand as well.

Moderator: The next question is from the line of Navin Sahadeo from ICICI Se curities.

Navin Sahadeo: Puneet, just in the previous question comment, you mentioned that there is consolidation on the rise. More recently, there has been a couple of grinding units, especially let's look at, My Home, who sold a Tuticorin unit . While consolidation is definitely a good thing but should not one look at it this way that these promoters look at like prices being vary in these markets for a slightly more prolonged period of time? And hence, they are giving up on these assets rather than keep incurring losses or not really operating these utilized units to the fullest. So is that not an indication of a prolonged price weakness also when these companies are looking at sales of grind ing units?

Puneet Dalmia: I think they still have all their assets in these markets. So if it was a decision which was driven by a view of prolonged price pain and structurally lower margins, then they should divest more assets rather than a few assets because all their assets are in these markets only. So I think it is more driven by some maybe need to improve the balance sheet strength as opposed to a long -term view of structural weakness in the market.

Navin Sahadeo: Helpful. Sir, s econd question was on the non -trade segment, . So i

s it safe to say that at Dalmia in March quarter, our exposure towards non -trade would have gone up and hence, a slightly more amplified impact on realizations? That's just 1 pa rt of the question.

The second is in the same breadth. At a broader industry level, do you see demand in general tilting or shifting towards non -trade segment and hence, industry as a whole and companies are increasing their exposure towards non -trade where the price gap, I think, has gone up materially?

Dharmender Tuteja : In the last quarter, our non -trade sales have gone down. In fact, the percentage has gone from 63% to 65%. So that means there's a 2% drop in the non -trade sales. Our focus continues to be to build a good brand and also to gain further improvement in the trade share but definitely non -


trade being a significant portion of the total market that cannot be neglected. So gradually, we'll keep improving the t rade, but also keep using the non -trade segment for utilization of our capacities. And then some of the markets, as you rightly said, the prices have improved. So prices and profitability is similar as we are in the trade segment.

Navin Sahadeo: That's gr eat. Just that at a broader industry level, some color or some thoughts on the exposure to non -trade. I mean, while it's great to know that in a quarter like March, when everybody was focusing on volume, Dalmia did a commendable job of trade going up, in fact, from 63% to 65%. But at the industry level, are you seeing some chang e that non -trade as a segment is getting more share now?

Dharmender Tuteja : Overall, of course, demand in the urban areas or the RMC sector is leading to a slight increase in the non -trade segment, including the infra spending of the government. However, a ll the big players, I think they continue to focus on their brand strength and also on the trade segment but there are some other players, which cater to the non -trade segment, so their share in the non - trade may be going up. But overall industry leve l, yes, the non -trade segment continues to be strong.

Moderator: We'll take the next question from the line of Jashandeep Chadha from Nomura.

Jashandeep Chadha: I would like to understand, given that this quarter, your volume g rowth from the core assets have been around 11% to 12%. So is South accounting for the majority of the growth? And if yes, how much market share gain you would have in South?

And also for a couple of quarters now, we are seeing that whatever the reduction of the increase in realization has been there, the EBITDA per ton follow that. So there is no question from the cost savings. So is it safe to say that Dalmia has reached its lowest cost? And if not, what is the delta you see for the next coming year? And from here, these cost savings will be coming? This is my first qu estion.

Dharmender Tuteja : we don't give the regional breakup of the market share or the profitability, et cetera. So that I'd not like to comment but we have not reached the lowest level of the cost, what we plan. We are amongst the low est cost players in the industry, but there's further room to improve the costs in terms of the RE power will continue to increase. The coal mines, which will be starting in the current year, that will bring down our costs. Then, of course, there will be a lot of ROI projects. And logistic cost, we see a lot of room to improve in terms of cost, both in terms of lead distance as well as the right mix of the usage of the rail and road. So sequentially rationally, the cost will continue to drive, and we contin ue to aim to be the lowest cost producer in the industry.

Jashandeep Chadha: Just a follow -up on this, if you can directionally provide that, was South doing better than East, just a directional thing. And second on cost, I see you have earlier planned to have 130-megawatt of solar, but

you ended up at 113 megawatts . So what was the reason for the delay?

And second, what was the lead distance for this quarter because your logistical cost also you're saying has increased. So how much sequentially your lead distance has increased?



Dharmender Tuteja : So lead distance for the current quarter is 2 89, which is an increase of 2 kilometers from the last quarter. And directionally, we would not like to comment on the regional profitability. And in terms of the RE power, see the delay was when we are noticing the negotiations of this RE power projects, w e saw the technological changes are also coming to play, and that was driving the cost down.

So instead of contracting earlier, whether we waited and ultimately whatever orders we have finalized, they're much, much lower compared to what we would have con tracted earlier. So maybe there was a saving of about INR0.60 per unit kind of thing had we contracted it 6 months earlier. So currently, we are at around 185 -megawatt RE power capacity. We expect that by the end of the FY '25, we'll be touching about 350 or so and again, go up significantly in the FY '26, for which we'll give you our exit capacities in subsequent quarters.

Jashandeep Chadha: And my next question is on Jaypee. So we have seen historically, whenever a company is under NPA and any Asset Reconst ruction Company overtake that, normally, that overrides any management decision. So in light of that, how confident you are that the binding agreement that you have signed with the management will stay? And also, even if it stays, you have not -- if I'm not wrong, we have not signed binding agreements for the complete 9.2 million tons. So once NARCL comes in the picture, how confident you are of acquiring complete asset because this will also lure your peers to make bids for the remaining assets?

Dharmender Tuteja : See, lenders assume control of the company when the matter is referred to NCLT, not under the normal transfer of the debt to NARCL because NARCL remains as a lender compared to, let's say, the current set of 35 lenders. So management controls and decision making remains with the company and its Board. So that doesn't change.

And in terms of the binding agreements, the binding agreements already signed for this 5.2 million capacity of Rewa, Churk, Chunar, and Sadwa plus this 2.2 million of BJCL with SAIL JV. And the understanding is clear for the 2 million also that it will be on a 7 -year lease. And within that period, we can always buy. And this is, of course, linked to the BJCL. So as and when we get this closure, that can be signed immediately and implemented. That is not stuck for any other reason.

Puneet Dalmia: I just want to add to this that the Jaypee Board and the shareholders have already approved the transaction.

Dharmender Tuteja : There's a binding agreement for that.

Moderator: We'll take the next question from the line of Da rshan Mehta from Axis Capital.

Darshan Mehta : Sir, since you mentioned about the prices . We have elections on the corner. And hence, it would be difficult for us to take price increase. But sir, if we see the last general election, I am talking about April to May '19. While the industry volumes were muted, it was able to take fair amount of price increase. So what is it that is different this time?



And my second question is while you said that we are not seeing any price increase in April. Is it for Dalmia or we can say the industry itself has not seen any price increase in April, especially in South and East? Yes, that is it.

Puneet Dalmia: I think the price decline is not just for Dalmia, it is for the whole industry. And as regards whether price increases can happen in the election quarter, the answer is that, yes, it can happen . However, I t

hink given the momentum that we are seeing in April, we feel that the price increases are unlikely to come through this quarter. That's what we feel. But again, who knows, hard to forecast how things will behave.

Moderator: We'll take the ne xt question from the line of R aashi Chopra from Citi Group.

Raashi Chopra : Just on the margins. In the last call, you indicated that the EBITDA per tons for the next year or so should stabilize at about INR1,100 to INR1,200. And given there, what has come th rough in the fourth quarter and given where prices are, that looks a little bit sort of stretched at this point. And Puneet, you had also indicated that margins should stabilize in a quarter or so in the medium term. So when we are talking about stabilizin g and talking about near term, are you suggesting that INR1,100, INR1,200 is no longer the normal and it should likely lower? That's my first question.

Puneet Dalmia: No, I think, as I said, that the -- there has been unprecedented price drop during this quarter. And I think it is for the whole industry. As far as Dalmia is concerned, there were some incremental costs that we incurred this quarter in our quest to gain market share. Some of those costs are going to get corrected. They are one -offs, and they will get corrected over the next few quarters. And some of them will continue because we will invest in marketing and building our brand. But having said that, I think there will be price volatility. And if the prices remain subdued, the margins can th en only come from cost control.

So I think our focus will continue to tighten costs further. Our focus will be to invest in our brand and invest in distribution and improve our util ization and gain market share. But as far as the overall pricing environment goes, we will swing with the industry. And I think as our brand gets stronger, as our distribution gets stronger in the new markets that we are entering, I think we should be able to reposition Dalmia in some markets where we are weak in terms of our prici ng compared to our competitors. And even if price goes down, part of that can be hedged by improving our brand mix and improving our price positioning in some markets.

Raashi Chopra : Okay. Are you able to quantify the one -off costs in this quarter? As in li ke what kind of a reversal can we see going forward?

Dharmender Tuteja : Yes., as I said earlier in the call, that this inventory depletion in the current quarter, which was INR137 crores. So this embeds the fixed overheads, which also gets charged off. So when this gets normalized, it's improvement of INR40. And by the second quarter when the inventories get built , it will be saving in the fixed cost portion. Besides that , the increase in the logistic cost, we expect that this is going to be normalized in the next 2 or 3 quarters itself.

And the fixed cost overheads increase in terms of the marketing will continue, we'll continue to spend. And the othe r expenses, like comm ission or depot expenses there also, I think we expect



some savings will come in the coming quarters. And as we ramp up the Jaypee operations, there

also, we should improve.
Rashi Chopra : Got it. So okay. And so the logistics cost quantum would be how much?
Dharmender Tuteja : INR70 increase in the current quarter.
Rashi Chopra : So that's the whole thing you're saying should reverse ?...
Dharmender Tuteja : Majority of this.
Rashi Chopra : Okay. The another point was, I think you mentioned that as the marketing spend increase, the idea is essentially to build brand, and that's how the volume push happens and dealer discounts don't really need to be hiked. Or is that the same situation in this quarter, i.e. th at the kind of realization pain that you have seen that should be felt by competition as well? Or did you have to kind of increase these discounts to be abl

e to get these volumes?
Dharmender Tuteja : Over the year, we have been able to reduce the discounts marginally, but we see more scope as we spend more on the branding, we see more scope to reduce the discounts.
Puneet Dalmia: And I think overall, the realization of competitors will depend on the market mix and their brand mix and their trade segment, trade and non -trade mix as well. So I think let's see. We are the first ones to declare results. I think over the next 30 days, we should get more visibility on this.
Raashi Chopra : Got it. Just one last housekeeping question. What was your consumption cos t of fuel on a per kcal basis?
Dharmender Tuteja : Yes, INR1.45.
Moderator: The next question is from the line of Aman Ag rawal from Equirus Securities.
Aman Agrawal : Sir, just wanted to understand on the captive coal mine that you have mentioned in the presentation. So what kind of output are you looking out of this? And maybe what kind of a share -- would this mine be able to meet of our overall coal requirem ent and the cost that you expect per kcal, maybe if you can share such detail?
Dharmender Tuteja : The specifics, I will not be able to share, but it is the Jharkhand mine, Brinda -Sasai , which we have got. So that will get operationalized in the current yea r. And the next year, Mandla coal block also will get operationalized. Mandla will not come int o operation this year. So this Brinda -Sasai will cater to part of our requirement in the East and will definitely bring down the cost significantly. But exact sp ecifics, I would not like to share right now.
Aman Agrawal : Understood, sir. Understood. And sir, just lastly, if you can -- sorry for the repetition, but if you can share the peak debt numbers and maybe the expected depreciation number that you shared earlier?


Dharmender Tuteja : Yes, please. Depreciation, we expect to be about INR1,350 crores to INR1,400 crores for the coming year. This is without Jaypee assets. And peak debt to be about around INR9,000 crores and net debt around INR5,000 crores or so b y end of the year.
Moderator: We'll take the next question from the line of Ashish Jain from Macquarie.
Ashish Jain: I had a couple of basic questions. Like on tolling, when we send the clinker, that is not recorded as a sale in our case. Is that right? O r we are recording both clinker and cement sale as volumes?
Dharmender Tuteja : No, Only when cement is purchased by us from Jaypee, it is recorded as a purchase of stock -in-trade. And when it is sold, it is coming in the sales. So movement of clinker from Rewa to Chunar, it is within the Jaypee system. So that is not recognized as purchase volume.
Ashish Jain : Okay. Okay. Got it. Sir, secondly, the freight cost increase that you spoke about quarter -on-quarter, can you give some more color on that? Like was it a factor of regional mix? Or what was the main reason for that?
Dharmender Tuteja : Multiple factors are there, including movement of the clinker , – 2-kilometer increase in the lead distance, some PTPK increases. Many of these things will normalize . Regional mix also is important in this.
Ashish Jain: Okay. Okay. Got it. And lastly, this question is for Puneet. So Puneet, in the last, say, 3, 4 years, we have spoken a lot about growth and a certain long -term number. But in terms o f execution, we have clearly been behind the curve. Like we also expected Jaypee to come through much sooner. Now it has seen delays. And September also, I guess, is more a hope at this moment rather than a high conviction time line. And even on the organi c expansion, now like you highlighted earlier in the call that we are revisiting at a board level. So what has really changed? Because we were clearly very aggressive in terms of our long -term volume targets and all. And now there seems to be a lot of 2 steps forward, 1 step

backward kind of thing. What has really changed in our thought process? Or is it something else which we should be aware of?
Puneet Dalmia: I think the long -term story is still intact. I think there have been some delays in the Jaypee acquisition, for sure. And I personally also think that I still remain convinced that it is progressing in the right direction. I think no question about the fact that we were quite confident in the last call that the transaction should get consumma ted before March, but it didn't happen.

So there is a procedural delay. And I think whenever you do an acquisition like this, it is -- the company is under stress from -- because it has defaulted. So it sometimes takes longer than you expect. But it is als o giving us time to establish ourselves in the region. So there is a lead time that we get to establish distribution, brand and volume in that region.
So I would say that, yes, some of the things don't pan out as you expect, but that's a part of life. And I think, overall, we are quite happy that we have grown to 50 million tons or close to 50 million tons without adding any debt on our balance sheet. I think that's a very impressive achievement in the last 3, 3.5 years. We've doubled our capacity without a dding debt on our balance sheet. There has been some up and down with respect to our volu me growth and our market share.


But I think we did try some experiments, which didn't work. We have learned very quickly. We have demonstrated our ability to regain ma rket share in 2 quarters itself. And I think the cost is not fully optimized yet, and that's okay. We will optimize costs as we go along in the coming year. And I think we just want to make sure that we think through our next phase of expansion and announc e it when we are ready.
And as I said, I remain highly convinced about the fact that there will be more consolidation, entry barriers are rising and demand growth will continue in the sector. In a long -term story, a couple of quarters here, there mix is so mething that we have to be prepared for and we can adjust for -- but I think overall, in terms of capacity growth, I'm pretty impressed with what we have done in the last 3 years.
Ashish Jain : So if I can just ask one follow -up. Like the reason -- so one t hing is when you come back, let's say, 2 or 3 quarte rs after discussing internally . Will the 75 million ton by 2027 number can change materially. If you can give some thought on that?
Puneet Dalmia: I will let you know once we have discussed it internally, and we will make the announcement when we are ready.
Moderator: Ladies and gentlemen, we will be taking only 2 last questions from the participants now. And the next question is from the line of Shravan Shah f rom Dolat Capital.
Shravan Shah : Yes. Sir, continuing the previous question, so that's the reason if we, as you mentioned, even if we decide to take a couple of quarters to decide for 75 MTPA. Let's say, 3 quarters down the line even if you say we want to reach to a 75. Then also, is it possible to reach 75 million tons by FY '27 because then you have only 2 years, 2.2 years, only 2 years and 3 months. So is it possible even if we decide 3 years for this down the line, can we reach 75 million ton by FY ' 27?
Puneet Dalmia: I think greenfield projects may take 2 - 2.5 years. We are seeing it in our Northeast project. It will take probably 2 years and 3 months to commission. So I think commissioning new projects in this time line is not difficult based on our own execution track record and what we are seeing recentl y. The other thing is that there could be possibilities of inorganic growth also. So that could get done faster. So I think 2 - 2.5 years is still a reasonably good time for us to expand.
Shravan Shah : Okay, okay. Second, sir, when we say that we expect 8. 5% to 9% kind of a demand growt

h in
FY '25 and we want to grow at 1.5x of the industry growth. So that comes closer to a kind of a 12.75% or 13% versus last quarter, we were saying that for next 6, 7 years, we can look at a 15% to 16% kind of CAGR. So does that mean that in the start of this 15%, 16% CAGR is on the lower side. Your ask rate to achieve this will be higher? Or will this growth of 15% to 16% CAGR for the next 6, 7 years can lower to 12%, 13%?
Puneet Dalmia: I think we said we can do 12%, 13% without Jaypee assets, and Jaypee assets can add another 4%, 5% to our growth. So I think that 15%, 16% CAGR, including Jaypee, will continue.
Shravan Shah : Okay. Second is in terms of the capex . Is it possible, any broad idea, though. I know we haven't finalized to reach to 75 MTPA. But for FY '26, what number one can look at in terms of the capex ?


Puneet Dalmia: I think we have already commented on it on both the Jaypee transaction and the fact that we are going to announce our 75 million whenever we are ready for the next phase of expansion. So I think there's nothing more to share at this moment.
Shravan Shah : Okay. And on the employee cost, this quarter, it has come down from the last Q3 from INR221 crores to INR202 crores. So is there any one-off? Or is this sustainable? Or when can we see normal increment for the employees? And how one can look at the quarterly employee cost from the Q1 FY '25 onwards?
Dharmender Tuteja : See, Mr. Singhi earlier was on the roles of the company , and he moved as a strategic adviser. So his cost has, under the new agreement, has moved to other expenses from the employee cost. So

that is one significant change.
Moderator: The next question is from the line of Jyoti Gupta from Nirmal Bang.
Jyoti Gu pta: Good morning sir, So my channel check suggest that the prices have been dropped specifically in the South and East, and the drop has come from you and the peers. And of course, that is basically to maintain market share. And as you said, in a subtle way to maintain market share, the prices may not improve. So because the companies are increasing their capacity, they have to show a minimum utilization, 70%, which means will the prices continue to take that beating just to maintain market share?
And second is, I see that the raw material costs for all, for the last 3, 4 quarters have not improved. It continues to be at the same level or higher. And if that is so the case, then your EBITDA per ton for the next 3 quarters are not going to improve. I just want to understand your point of view on that.
Puneet Dalmia: I think on the price side, I would say that we have not led the price drop. And I think there is unprecedented drop in the last quarter, which we are not a significant player in each of these markets. And like, for exam ple, even in Andhra Pradesh, et cetera, we are not a very significant player, but it witnessed a significant price drop. In Chhattisgarh, we are not a significant player. It witnessed a very significant price drop, too. So I think it is not about Dalmia leading the price drop. Also, we can say in the Central region, where we are ramping up Jaypee volumes, we are a very small player in that region. Ev en that region had price drops.
So I think this is not about Dalmia's quest to increase market share and consequently causing prices to drop in the market. I think there is a gen eral tendency what I believe that whenever new capacities get commissioned, there is some turbulence in the market. And even though utilizations are gradually likely to improve, if demand growth grows at 9% and supply growth is at 6% to 7%, I think when ne w capacity comes in, there's some turbulence in the market. The question for me is that over the long term, how is the industry structure going to look like? Over the long term, what are the structural demand drivers? And who are the

people who are
invest ing in this sector? So I think the encouraging trend that I see is that the incumbents who have the maximum exposure in this sector are investing more in this sector. So I think that's a clear indication for me that they see a long -term promise and they se e high returns. Otherwise, they would not be spending so much money.


Now the question is that, will that return come in a few quarters? Will that return come in a few years? Or you have to be patient for 3 to 5 years to get those returns? I think that is the answer. Nobody knows what the answer is. But we truly believe we have seen sector after sector after sector, whether you see steel or banking or telecom, as consolidation happens, industry structure becomes more attractive and margins improve. And peop le who have built scale before that consolidation get a disproportionate rewards.
So I think this journey requires some patience. This journey requires a slightly more longer -term view as opposed to a quarter -on-quarter view. And I think you have to keep your head to the ground when prices are low and you have to not fly higher when prices are high. You have to just remain grounded. You have to remain focused on execution. And I think if you're focused and disciplined on execution, ultimately, you will get margins and good returns in this sector. At least that's our conviction.
Let us see how it plays out. Nobody knows the future, but we are investing based on this thesis. We are betting on India. We are betting on an improving industry structure. We are b etting on an industry where incumbents are investing more, and that makes us believe that our conviction is not shaken by just a few quarters of weak profitability or volatility in prices or costs.
Moderator: Ladies and gentlemen, as that was the last ques tion for today, I would now like to hand the conference over to Mr. Puneet Dalmia for closing comments. Over to you, sir.
Puneet Dalmia: Thank you very much. I greatly appreciate your interest in us. And again, as I said, this was a quarter with good volumes, but we also had severe price drops and higher costs. I think our cost structure should improve as we go forward. And we look forward to interacting with you more in the coming quarters. Thank you.
Moderator: Thank you, members of the management. L adies and gentlemen, on behalf of Dalmia Bharat Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

# Call: Aug 2024

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P J Towers, Dalal Street,
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“Exchange Plaza”, Plot No. C -1, Block G
Bandra – Kurla Complex, Bandra(East),
Mumbai – 400 051
Symbol: DALBHARAT

Subject: Transcript of Q 1 FY25 - Earnings Conference Call

Ref.: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”)

Dear Sir/Madam,
In terms of Regulation 30 of the Listing Regulations , please find attached transcript of the Q1 FY25 Earnings Conference Call held on July 19 , 2024 for the quarter ended June 30 , 2024.

The same will also be uploaded on Company's website: www.dalmiabharat.com
Kindly take the same on record.
Thanking you,
Yours Sincerely ,
For Dalmia Bharat Limited

Rajeev Kumar
Company Secretary
Encl: a/a


“Dalmia Bharat Limited
Q1 FY25 Earnings Conference Call ”
July 19, 2024

MANAGEMENT : MR. PUNEET DALMIA – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – DALMIA BHARAT LIMITED
MR. DHARMENDE R TUTEJA – CHIEF FINANCIAL OFFICER – DALMIA BHARAT LIMITED
MR. RAJIV BANSAL – PRESIDENT AND CHIEF TRANSFORMATION OFFICER – DALMIA BHARAT LIMITED
MS. ADITI MITTAL – HEAD INVESTOR RELATIONS – DALMIA BHARAT LIMITED

Moderator: Ladies and gentlemen good day and welcome to the Earnings Conference Call of Dalmia Bharat Limited for the Quarter Ended 30th June 2024. Please note that this conference call will be for 60 minutes and for the duration of this conference call all participant lines will be in the listen only mode . This conference call is being recorded and the transcript may be put on the website of the company.
After the management discussion , there is an opportunity for you to ask questions. Should anyone need assistance during the conference call please signal an operator by pressing star then zero on your touch tone phone. As a reminder all participant lines will be in the listen only mode.
Before I hand over the conference to the management I would like to remind you that certain statements made during the course of this call may not be based on historical information or facts and may be forward looking statements. These statements are based on expectations and projections and may involve a number of risks and uncertainties such that the actual outcome may differ materially from those suggested by such statements. On the call we have with us Mr. Puneet Dalmia, Managing Director and CEO, Dalm ia Bharat Ltd, Mr. Dharmend er Tuteja, CFO, Dalmia Bharat Ltd, Mr. Raj iv Bansal, President and Chief Transformation Officer and the other management of the company .
I would now like to hand the conference over to Ms. Aditi Mittal, Head Investor Relations for her opening remarks. Thank you and over to you ma'am.
Aditi Mittal: Good morning everybody. Welcome to Dalmia Bharat Earnings Call for Quarter 1 FY25. We declared our results yesterday and the presentation and the results have been uploaded on our website and can be downloaded from there.
With this I will now hand over the call to Mr. Dalmia for his opening remarks.
Puneet Dalmia: Good morning everyone. I will begin with an overview of our performance and then Dharmende r will provide a more detailed explanation of our operational and financial aspects. In line with our expectations, Quarter 1 of FY25 being an election quarter, we saw a moderation in cement demand across all markets in the country.
Some other factors such as heat waves , water shortages and floods in certain regions further added to the slowdown. Based on all these, we believe that the sector demand grew in the range of 2% to 4% on a Y -o-Y basis. However, these were only temporary setbacks and the continuity of the incumbent government manifests stability in policies and doubling down on the infrastructure spent.
This bodes well for the cement sector in the long term. While cement demand was weak during the quarter, what has been surprising is the continuous weakness in prices over the last 7 -8 months. On average, PAN India cement prices were softer by 2 %-3% Q -o-Q, while exit prices in June were lower by another 3% compared to the Q1 average.
I believe that the prices may remain soft until the monsoon quarter and thereafter price increase could happen from Q3 onwards this year. Coming to Da lmia Bharat, during the quarter we delivered a volume growth of 6.2% and an EBITDA of IN R901 per ton. Even though there is



softness in earnings due to weaker prices, the counterbalancing and improvement in EBITDA is largely on account of reversal of certain cost inefficiencies which we had last quarter and partly on account of better input pricing.
Dharmender will further elaborate on this. While I talked about the promising cement demand environment in the country, the industry supply is also getting consolidated at a faster pace than anticipated. If you look at 2013, the capacity share of the top 4 cement companies was about 36%, which increased to 48% by the end of FY23.
i.e. it took almost 10 years to increase this share b

y 12 percentage points. However, it has now increased to 55% in a period of just 15 months, demonstrating that the consolidation is accelerating. Against this backdrop, we aspire to increase our capacity and volume share faster than the industry.
We are committed to becoming a Pan India player by 2031, having a cement capacity of 110-130 million tons . While we had given an intermittent milestone of 75 million tons by FY27, but given that Ja iprakash Associates has entered into the insolvency process, we believe that we should now be able to achieve this milestone by F inancial Year 28. We had earlier guided the street that we will deliver 1.5x of the industry growth and we reiterate our guidance.
In spite of the recent development on J aypee, we believe that we can deliver 1.5x of the industry growth in this financial year. We have delivered a robust EBITDA performance this quarter, despite a challenging price environment. We have also identified levers for sustainable cost reduction, and we believe that we will be able to reduce our cost to the tune of IN R150 -INR 200

per ton in the next three years.
With regards to our organic expansion, we are currently at 46.6 million tons, and we will reach 49.5 million tons by the end of F inancial Year 25. We are on track to complete the North -East and Bihar expansion as per the earlier committed timelines. Now I will request Dharmender to take you through the detailed financial performance for the quarter gone by. Thank you.
Dharmender Tuteja: Thank you, Puneetji. Good morning everyone. Let me take you through the key aspects of our performance. During the quarter, we delivered a volume growth of 6.2% Y -o-Y and sold 7.4 million tons. This includes a tolling volume of 0.4 million tons from the J aypee assets. Our overall trade mix remained at about 64% during the quarter.
Our revenues during the quarter were flattish at IN R3,621 crores on a Y -o-Y basis, while our volumes grew by 6.2%. The NSR has declined by a similar percentage, keeping the revenue flattish. On a Q -o-Q basis, while prices for the sector have declined in the range of 2 %-3%, our NSR declined marginally by 0.3% in Q1 of FY25 because of our initiatives to improve brand mix, price positioning and rationalization of discounts. From early June 24, the cement tolling operations at J aypee plants are being done on a job-work basis.
Accordingly, the cost of material purchases forms part of the cost of raw material s consumed and not purchase of stock in trade. Excluding the cost of these purchases, raw material cost in Q1 FY25 was IN R729 per ton of cement production, which is lower by 5% Y -o-Y. The reduction


in raw material cost has been contributed by our mining cost optimization and usage and procurement efficiencies, which we feel are sustainable.
The power and fuel cost declined by 22% Y -o-Y to INR1,003 per ton of cement production, mainly due to a $46 decline in the fuel consumption cost from $152 to $106 on a Y -o-Y basis. Another reason for steady decline in this cost line item is our increasing usage of renewable energy as compared to last year. Our RE share has increased to 35% during the quarter.
Our fuel cost during the quarter stands at IN R1.38 per Kcal. We continue to be one of the lowest cement cost producers in the industry. We are working to improve cement to clinker ratio and increase the share of renewable power, among other things.
In the past few months, we have entered into multiple renewable power agreements under the Group Captive Arrangement, which will secure 127 MW of renewable power through solar and wind energy. The commissioning of these renewable power plants is expected t o be in FY25 and FY26. We expect to reach about 50% of the RE power share by the last quarter of FY25.
During the quarter, our logistic cost decreased by about 3.4% Y -o-Y,

to IN R1,117 per ton. On a
Q-o-Q basis also, the cost has declined by 3.5% as we had incurred additional logistic costs last quarter which, as indicated in our last call, were expected to be reversed. The employee and other expenses were largely flattish in absolute terms on a Y -o-Y basis.
With improvement in sales volume, we got some positive operating leverage, benefiting the per -ton profitability. Overall, our EBITDA during the quarter increased by 9% Y -o-Y to IN R669 crores, which translates to an EBITDA of IN R901 per ton. We accrued IN R74 crores of incentive during the quarter and collected INR45 crores, with closing outstanding of IN R734 crores.
For FY25, we expect the total incentive accruals and collections to be around IN R300 crores.
Our other income during the quarter declined by IN R4 crores to IN R50 crores on a Y -o-Y basis, but by INR70 crores on a Q -o-Q basis, as the previous quarter had dividend income and also some one -off incomes. The depreciation dur ing the quarter declined by INR82 crores to INR 317 crores on a Y -o-Y basis in spite of taking depreciation of new capacities commissioned in last one year.
There are two key factors leading to this reduction. Firstly, Q1 last year had accelerated depreciat ion impact of INR 57 crores on equipment being replaced in our debot tlenecking projects which is no longer there. Second in Q4 FY24 we realigned our method of depreciation in North-East plants to straight line method to align with the practice followed by leading cement
players.
This contributed to reduction in depreciation by INR 47 crores in this quarter. We expect FY25 depreciati on to remain in the range of INR 1,350 crores to INR1,400 crores. As you are aware, Jaiprakash Associates Limited has been referred to CIRP proceedings . While we have filed our claims to IRP. W e have considered the provision for potential loss that may occur on account of amount recoverable from JAL. This provision amounting to INR 113 crores at the PBT level has been considered an exceptional item. Our capital expenditure durin g the quarter stood at about INR660 crores.

We have commissioned 1 million tons of cement capacity each at Kadapa and Ariyalur which
takes our total capacity in the South to 17 million tons. We are also at the advanced stage of
completing our 2.9 million tons of cement expansion in Assam and Bihar. During the full ye ar,
we expect to spend about INR 3,500 to INR 4,000 crores largely towards organic expansions,
efficiency improvement, land and maintenance capex.
As of 30th June , our gross and net debt remained range -bound at INR 4,613 crores and INR445
crores respectively. Hence, our net debt to EBITDA also remained stable at 0.17 times. Our
strong balance sheet position is quite well for the next phase of expansion. With this, I now open
the floor for questions. Thank you very much.
Moderator: Thank you very much sir. We will now begin the question -and-answer session. The first question
is from the line of Amit Murarka from Axis Capital. Please go ahead.
Amit Murarka: Hi thanks for the opportunity. So my first question is around JPA. So with this development of
it going into NCLT what will be the tolling arrangement going ahead? Will you continue with it
and will the terms be the same t hat is the fir st thing I wanted to understand?
Dharmender Tuteja: See we are in discussion with the IRP on the modalities of the tolling operations and we are hopeful that
we will continue to serve and rather improve our presence in the central markets
from JPA plants as well as our plants in the E ast.
Amit Murarka: And also on the expansion program so you have a capacity target of – interim target of 75 and
long-term of 110 - 130. So by when do you expect, or can we think of more announcements on
the expansion from now?
Puneet Dalmia: Look we are very committed

to our long -term roadmap of 100 million ton plus by 2031 and we
are doing very detailed work on this, and we will give a very clear -cut timeline along with the
locations of where we are going to expand after 12 months.
Amit Murarka: Oh after 12 months. Okay nothing this year then. Okay. Sure I will come back in the queue.
Thanks.
Moderator: Thank you. The next question is from the line of Rajesh Kumar Ravi from HDFC Securities.
Please go ahead. Mr. Kumar Ravi I have unm uted your line. Sir please proceed with your
question. As the current participant is not answering, we will move on to the next question which is from the line of Aman Ag
rawal from Equirus Securities. Please go ahead.
Aman Agrawal: Yes. T hank you, sir. Thank you for the opportunity and congrats on a good recovery in margin.
Sir with respect to the cost reduction target , if you can just elaborate on the 150 to 200 per ton
reduction that you are expecting over three years one was that. And second if you can provide
some more details on the captive coal mines that we have been highlighti ng?
Dharmender Tuteja: See basically this will be contributed by our VC reduction which will come from the improvement in the
RE power share as well as we will be also using our captive coal mines. And
we are also committed to reduce our logistic costs which will be through redu ction in the lead
distance as well as other initiatives like direct dispatches improvement etc.


Aman Agrawal: And the captive coal mine, if you can just provide additional details when are we expecting that
and what kind of output can we expect out of the same?
Dharmender Tuteja: See Brinda - Sisai coal block we will be commissioning in the current year while the Mand la
coal block will be commissioned in the next year. And of course they will contribute to t hese
regional profitabilities wherever this fuel will be supplied.
Aman Agrawal: And lastly with J PA now more or less out of the scope now on the alternate expansion strategy
if you can just highlight the region-specific with existing limestone mines which region can we
potentially look at for further expansion?
Puneet Dalmia: I think I have already said that we have scope for Brownfield expansion in a few of our plants.
And we have mines in Central India as well as in North India which means in Madhya Pradesh
and Rajasthan. We are preparing a full blueprint. We will come back to you with a very specific
timeline along with all locations after 12 months.
Aman Agrawal: Understood sir. Thank you.
Moderator: Thank you. As the current participant is not answering, we will move on to the next question,
which is f rom the line of Sumangal Nevatia from Kot ak Securities. Please go ahead.
Sumangal Nevatia: Good morning sir. Thank you for the chance. My first question is on the realizations. So we are
expecting realizations to be weak based on the dealer feedback and in your opening remarks also
you said Q 1 was down 2% odd, but that's not visible in our results. So is there any one -off or
how should we see the reported revenue or realization for this quarter?
Dharmender Tuteja: There's no one -off, but as indicated in the opening remarks there have been improvement s in the
brand positioning. Whatever marketing spend we have done, has also started yielding results.
There have been improvement in the product mix and also there has been some rationalization
in the discount schemes which have all contributed to negate the impact of the price fall in the sector.
Sumangal Nevatia: Okay, I understand. And for next quarter can you guide what sort of current trends of realization versus

average of las t quarter? I miss ed those numbers?
Dharmender Tuteja: For the current quarter already we are seeing that the prices are lower by about 3% or so compared to the previous quarter a nd we don't expect these to im

prove in the current quarter.
Hopefully from Q3 onwards we should start seeing the recovery in the prices.
Sumangal Nevatia: Understood. Thank you. And with respect to cost , do we expect any near -term cost levers or cost reductions because of commodity deflation which is continuing? I f you could quantify for the next one or two quarters, what could be the energy price trend?
Dharmender Tuteja: The RE power share which is 35% will be of course increased and the major impact will come in Q4 . Which by then will reach about 50%, b ut we will see a steady improvement in our power and fuel cost s which I said about 1.38 per Kcal in Q1. It should go down steadily to about 1%, 2% improvement in the coming quarters.


Sumangal Nevatia: So 1% to 2% improvement sir?
Dharmender Tuteja: Yes. And the raw material savings which I've indicated that we feel are sustainable.
Sumangal Nevatia: Understood. And one just last quick question. This tolling arrangement with JPA, I mean, what is the risk of it being now discontinued? And if you could just share what would be FY24 volume and EBITDA contribution from this arrangement?
Dharmender Tuteja: As I said earlier we are in discussion with the IRP a nd we are hoping that, of course, we'll be continuing to serve this market and rather improve our presence. And, of course, more details we cannot give until modalities get firmed up.
Sumangal Nevatia: Understood. Is it possible to share what could be the EBITDA contribution from tolling?
Dharmender Tuteja: Breakup of the profitability we don’t share.
Sumangal Nevatia: Understood. All right. Thank you so much, sir a nd all the best.
Dharmender Tuteja: Thank you Sumangal.
Moderator: Thank you. The next question is from the line of Rahul Gupta from Morgan Stanley. Please go ahead.
Rahul Gupta: Yes. Hi. Thanks for taking my question. So a couple of questions. First, taking the point forward of cost improvement by INR 150 to INR200 over the next three years. Just want to understand your view - how this number or this range changes as you are expanding and becoming a Pan India player. Is there a drag to this number or you have taken that into consideration that you becoming a Pan India player would also drive INR 150 to INR 200 cost improvement? So that 's my first question?
Puneet Dalmia: I think right now we are lo oking at our current footprint , and this cost improvement is based on our current footprint only. I think as we look at the expanded footprint and announce the specific locations, these numbers would change with that mix, b ut in the current footprint, we are very confident that we will deliver INR 150 to INR 200 per ton over the next three years.
Rahul Gupta: Great. Thanks for the clarification. My second and last question is you talked about INR 113 crores of one -time provisions against your receivables from JPA. Can you just help me understand what is the overall outstanding and what is the risk of this provisions increasing in the future?
Dharmender Tuteja: While whatever risk we considered as of da te has been fully provided for. W e hope to mitigate part of this. But of course, things will be reviewed from quarter -to-quarter. Hopefully, we don't foresee this should increase.
Moderator: Thank you. We'll take the next question from the line of Indraj it Agrawal from CLSA. Please go ahead.


Indrajit Agrawal: Hi, thank you for the opportunity. A couple of questions from my side. First, sir, on the pricing outlook for the industry, while you highlighted that consolidation has picked up meaningfully, but still we see pricing outlook to be fairly negative. And if I were to look at how the prices are trending currently, even for a flattish Y -o-Y pricing for FY ’25, we need close to 6% to 8% price increase in second

half ?
So with that backdrop, over the next two, three years, do you think that pricing growth would be much lower than the last 15 years which has been 3% - 3.5%? Can we see a much lower price increase or maybe a flattish price increase? And all profitability increase will be driven by cost savings?
Puneet Dalmia: I think it is hard for us to predict exactly how much price increase will happen and how long it will sustain. I think this is a very important question that consolidation is happening and when will pricing power come back? I personally think that there is still some time to go before the consolidation fully plays out.

And I think it is hard to predict as to how long it will take to fully play out. I think we can just say that the trend is towards greater consolidation, faster consolidation, and even large part of the organic growth being captured by the top players because of their stronger balance sheet and their ability to execute projects. So I would just say that I think on a trend line perspective, we can say that consolidation will accelerate and how quickly will that tr anslate into earnings power, I think it is hard for me to predict.

But we have seen in sector after sector, whether it is telecom, whether it is steel, whether it is banking, consolidation plays out and eventually margins improve. We have also seen it in cement sector around the world. But in India, I think it is still a very fragmented market and top 4 is 55%, but there are still 20 -25 players in this market. So I think it is going to play out over the medium term, but how will it translate into pricing power is hard for me to predict.

Indrajit Agrawal: Sir, on that front, how do we see our inorganic aspirations? What kind of assets would you be evaluating? Is there any regional or IRR criteria in mind before you go ahead and bid for it? Because clearly balance sheet is much stronger for us as well.

Puneet Dalmia: I think we have said this earlier too. I think we have an ambition to be a pan-India player. And we will look at acquisitions from a strategic attractiveness which fulfils our strategy. We also will look at our hurdle rates of return and it has to meet our financial criteria.

I think in the past also we have seen that there are acquisitions which we have done which meet our criteria and we have successfully integrated them and turned them around. And there are acquisitions which we have either walked away from or not been able to do because they did not fit in our criteria.

So it may be more attractive for someone else but less attractive for us. So I would say that we will evaluate it on two parameters. One is the strategic criteria which helps us diversify our footprint or increase our share in our present market and obviously something which is at a price where we can justify the risk -return trade -off.



Indrajit Agrawal: Okay, thank you. I have two housekeeping questions. Can you give us the lead distance for this quarter?

Dharmender Tuteja: 272 kilometres .

Indrajit Agrawal: So sharp decline Q -o-Q. And secondly, what is the current booking cost of fuel? I understand 1.38 is what we have booked in Q 1. So are the current spot prices much lower than that?

Dharmender Tuteja: Around similar levels .

Moderator: We will take the next question from the line of Satyadeep Jain from Ambit Capital. Please go ahead.

Satyadeep Jain: Hi, thank you. A couple of questions. Puneet, on that 75 million target, just want to understand, you mentioned you will share more details 12 months from now which will be almost mid-FY ‘26. So if we keep inorganic growth aside, that would imply almost 25 million ton ordering and execution within two-year time frame from mid -26. Is that realistic? What is the strategy and are these numbers making sense about 25 million ton ordering and executi on within a frame of two years given the executi on and balance sheet at the end? That's the first question.

Puneet Dalmia: And what's the next question? I'll answer both of them together.

Satyadeep Jain: So on the cost also, the INR 150 to INR 200 per ton target that you outlined, is it possible to break it into various buckets on how much savings you're looking at, RE, how much from captive coal and other variables? And if I may add just one quick question to this, when you look at Central India, what has been your marketing spend so far? And let's say if JP doesn't come through in the NCLT route, would you look to accelerate your greenfield plant there? What would be the thought process in Central India? So those are the questions.

Puneet Dalmia: So I think on the first question, as I said, we are very committed to our long- term roadmap of 100 million tons plus by 2031. I will share a very, very concrete roadmap along with timelines in 12 months. We can assure you that a lot of work is being done a nd we have a scope for expansion in our current locations, as well as we have mines in Central India and North India.

So whether inorganic happens, doesn't happen, I think we have a backup where we can do organic expansion for sure. And I would say that project execution time is something also we are looking at very carefully. We have commissioned all our projects ahead o f the promised timelines in the last 10 years, except one which was Bihar grinding unit, which took a little longer and then we just scrapped it because we thought we had better opportunities.

So I would say that overall in all the projects that we have executed, we have executed them ahead of time, barring one. And we are very confident that we will be able to execute the projects on time, on cost. The issue is that there is some delay.

We acknowledge that and we recognize that. But when you are looking at a long-term growth plan, sometimes a year here or there does happen. But I can just say that we are absolutely committed, given the opportunity and our own execution capability and our strong balance sheet, that we will deliver on this growth.

The second point I want to say is that in terms of INR 150 to INR200 per ton cost targets, we are not breaking it down by bucket because the spread might change in terms of the fuel cost versus our captive coal, depending upon how fuel prices behave. The spread might also change on power.

But we have on these three areas, which are renewable power, our own coal mines and logistics cost, I think no matter what happens, we are fairly confident that we will deliver INR 150 to INR200 per ton saving s in the next three years. And I think regarding the Central India marketing spend, I think we do not share so many granular details about each regional market. So, please bear with us on that.

Moderator: Thank you. We will take the next question from the line of Amber Singhania from Nippon India AMC. Please go ahead.

Amber Singhania: Hi, thanks for taking my question. I just wanted to understand one thing. A few years back or almost three years back, we mentioned our intention to reach around 100 million ton by FY '30 post that JP happened. JP almost, it has been like 2- 2.5 year. But JP was just 10 million ton. JP would not have helped us to achieve or reach our target completely.

There could have been more expansion, which should have been announced or planned earlier. Last quarter also, we mentioned that in another two quarter time, we will give the clear roadmap. This time, we are saying another one year.

So, I mean, just wanted to understand, was there ever a plan B or the other plans, or we were like too, too much dependent on JP, knowing fully that JP alone will not suffice for us to reach that 100 million target. And now the asking rate is too high as the previous participant also asked. So just wanted to under

stand your thought and the Board's thought process on that line. Where are we missing out on the planning and execution on that?

Puneet Dalmia: I think there are two things. I think one is, first of all, I completely acknowledge the fact that there has been a delay from our side on this issue. I think there are two issues which we have been grappling with.

I think one is that we were fairly confident that the JP transaction will get consummated this year and I have myself guided on that. But the fact that they got pushed into insolvency was a huge surprise for us. So I think there has been definitely some delay and uncertainty on account of that, which we did not anticipate it.

The second thing is that we are not announcing the exact locations because it takes time to buy land. And when you announce exact locations, sometimes people front run the land and land prices go up and the uncertainty gets heightened in terms of executing the project. So our view is that announcing all locations ahead of schedule until we are fully secure just increases the execution risk.



So while there has been a delay from our side on a little bit of land acquisition on our si te, and there has been uncertainty in Jaypee which we did not anticipate as much as we should have, I think these are the two reasons why there is a delay. And there is always a plan B. these are long - range targets.

We might be plus one year here or there, but I can just say that we are fully committed to our expansion plan, and we will demonstrate very strong execution as we have done in the past. We have gone from 1 million to 50 million tons with a strong balance sheet and no dilution in equity. I think we can go from 50 million to 100 million tons, and we will give you a very concrete roadmap about it.

Amber Singhania: Got it. And secondly, to achieve this target, are we still open for inorganic acquisitions in future on that line or are we changing our strategy towards more of organic growth?

Puneet Dalmia: No, I think we have always maintained it will be a mix of inorganic and organic. There are uncertainties in inorganic, so it is hard to commit what will happen, what will not happen. But there will be a mix of organic and inorganic as it has been in the pa st. And I think we will continue to look at assets which fit our strategic footprint and our financial attractiveness criteria.

Amber Singhania: Got it. And lastly, if I may ask, after providing this INR 113 crore s, what is the pending amount invested or put in Jaypee as such ?

Dharmender Tuteja: As I said earlier also, practically whatever exposure we considered has been fully provided for. So hopefully, we do n't see any further cost coming and we are working on mitigating part of these so that some reversal we can see in the coming quarters.

Amber Singhania: Got it. Thank you.

Moderator: We will take the next question from the line of Rashi Chopra from Citigroup. Please go ahead.

Rashi Chopra: Thank you. Just on the volume growth for the industry, what kind of volume growth are you

expecting this year?
Dharmender Tuteja: Close to about 8%.
Rashi Chopra: So for yourselves, it would be double -digit growth, right, based on the 1.5x growth?
Dharmender Tuteja: Yes, 12%..
Rashi Chopra: 12%. And within the 12%, are you taking some tolling volumes as well?
Dharmender Tuteja: So when I say it is including the tolling volume last year, so on that also 12%, at least we should clock.
Rashi Chopra: Okay. So this year's tolling volume, are you like assuming a similar level as last year ?
Dharmender Tuteja: As I said, we are in discussion with the IRP and we are hopeful that both from the Jaypee plants as well as our own Eastern plants, we should be able to cover this volume.


Rashi Chopra: All right. A nd

just on the limestone reserves, is any lease expiring in 2031 in terms of like, you addressed this the last time as well, but just kind of reiterating it, in terms of limestone sufficiency from a number of years perspective, what are the timelines?
Dharmender Tuteja: On the limestone, I think we are pretty covered, but of course, the timeframe of this will be clearly visible in a couple of quarters, because some of the things in the IBM data are being updated. And you'll see that should not be a concern for the limesto ne security point of view.
Rashi Chopra: Okay. Just some bookkeeping questions again. What was the percentage of blended cement in this quarter?
Dharmender Tuteja: 86%.
Rashi Chopra: And CC ratio?
Dharmender Tuteja: CC ratio is 1.67.
Rashi Chopra: Okay. And just two questions, I think I missed -- just to be doubly sure, you said Q 1 capex was INR660 crores?
Dharmender Tuteja: Yes.
Rashi Chopra: And tolling was 0.2 million tons?
Dharmender Tuteja: 0.4 million tons .
Rashi Chopra: 0.4 million tons . Okay. Thank you.
Dharmender Tuteja: Thank you.
Moderator: Thank you. The next question is from the line of Prateek Kumar from Jefferies. Please go ahead.
Prateek Kumar: Hello. Good morning, sir. Congrats for good results. Yes, so my question is on the volatility in the results, while the performance was very good, but most investors actually complain about the performance being extremely volatile in the past, turning from very subpar versus peers to above par versus peers on a quarter -to-quarter basis. How do we explain this, as well as is there anything we can do to address this kind of volatility? Thank you.
Dharmender Tuteja: Yes, Prateek , I think you raised a valid question. In the last financial year, many of our plants had debot tlenecking projects. So it led to shutdowns and the planning of materials. So there was some L2 movement, which we call, that means supply from a longer distance, costlier source, as well as stocking of inventory. So, our mo vement of inventory was more fluctuating compared to the rest of the peers. So when you increase the inventory, some of the overheads get loaded into the inventory, and that doesn't show up in the same quarter.
When that inventory gets released, it comes in the cost. So that contributed significantly to our fluctuations in the cost. Going forward, since both these factors and these debot tlenecking


projects are over, we expect you'll see much more normalized growth in line with the industry parameters.
Prateek Kumar: Sure, okay. And the second question is on your marketing costs. Last time talked , because of the hiring of a brand ambassador, there was an increase in marketing cost s. Is it already now part of the other expense, or is there some elevation which we can expect there?
Dharmender Tuteja: It is part of the other expenses, and we are committed to keep our brand building efforts strong. And you'll see the results in the sales also. And that is already part of the cost structure, which is already reflected in the first quarter results.
Prateek Kumar: Sure. Thank you, sir, and all the best.
Moderator: Thank you. The next question is from the line of Jashandeep Singh Chadha from Nomura. Please go ahead.
Jashandeep Chadha: Thank you for the opportunity. There are two questions. Firstly, I just wanted to understand your view on the Southern market. So we have seen a lot of consolidation as well as expansion happening in South India. And volume push is one of the reasons why the prices of the earlier higher -priced market is quite low. So do you see any price recovery coming from there? And your view on how the pricing of the Southern India will remain? I just wanted to look at that,

because Dalmia also has a large share of its volume coming from South India. So I wanted to understand your view of

this.

Puneet Dalmia: As we said, South is a very fragmented market and there is increasing consolidation. But some of these plants which are being bought over were underutilized. And with a stronger promoter, the utilization will go up. So I would say that there could be short -term pressure on prices till utilization of some of these underperforming assets goes up. And over the medium to long term, as consolidation enhances, prices should stabilize or go up. That's my view. But I think we'll have to wait and watch as to how things shape up.

Jashandeep Chadha: Okay. Thank you for that. My second question is more on Dalmia. So if we see from the core markets, that's excluding tolling volume, this quarter also it was 2% growth. And in fact, in the last year as well, we saw from the core markets, the volume growth is lagging in the street. So is there a structural issue going on in your core markets? And given the fact that you will announce your expansion after 12 months, is there a chance that Dalmia might lose some market share in its core markets? Just wanted to understand that.

Puneet Dalmia: I think we are running at 65% utilization. So we have huge scope to grow. And I don't think we're going to lose out in terms of volume growth as the demand in our core markets grow. Our headroom for growth is very high.

Jashandeep Chadha: Okay. And just one last question. It makes me feel quite uncertain with Jaypee. And you might not have decided on whether to do tolling or not . Will you get similar acceptance from dealers also if you start or continue without tolling? Because dealers might want to sell unit s of established players there , because Dalmia will be using a lot of shelf space. Or will it be required



that you have to give extra commission to dealers? Just wanted to understand the dynamics of how this will work.

Puneet Dalmia: Sorry, your question, your voice was a little muffled. Can you repeat?

Jashandeep Chadha: I'll repeat. So Dalmia started doing tolling because there was certainty, or you were going to take over Jaypee. Now there's a lot of uncertainty over there. So how much does that tolling agreement or continuing the tolling agreement still make sense for Dalmia? And will there be some resistance from the dealer as well? Because since you have not announced any extension to our dealers might want to keep the products of the establish brands over there. instead of Dalmia. Just wanted to understand that.

Puneet Dalmia: I think we are not seeing any such situation in the marketplace. And irrespective, I think we have the ability to supply to that region from our Eastern plants as well. So we are not seeing any resistance from the dealers. In fact, we are seeing a lot of acceptance.

Jashandeep Chadha: Okay. T hank you so much . I'll join back the queue.

Moderator: We'll take the next question from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Yes, thank you. I just wanted to first clarify when we say 12% volume growth for FY '25. So this is on 28.8 million ton volume console that we have done in FY '24. On that we are seeing 12% volume growth?

Dharmender Tuteja: Yes, your calculation is right.

Shravan Shah: Yes. So that means for next three quarters, we need to do 14% kind of volume growth and we are confident that we can do that.

Dharmender Tuteja: Yes, we are confident.

Shravan Shah: Okay. Yes, that's great. I understand that we will take one year to announce the expansion plans. But broadly, trying to understand in terms of the capex that 25 million tons if we take it will be broadly 15,000 crores odd kind of that means we will spend broadly INR4000 crores to INR5 000 crores every year from next year onwards . So these are also 3 500 to 4000. So how do we see the net rate?

Moderator: I'm sorry, sir, your voice is breaking, M

r. Shah. Your voice is breaking, sir. You'll have to repeat your last line again, please.

Shravan Shah: Yes. So I'm trying to understand how one will look at in terms of the net debt given the capex for next four years and maybe even going forward also would be close to INR 4000 crores. Will our Cash Flow from Operations will be sufficient? So how one can get increase in the net debt?

Dharmender Tuteja: Yes, while we announce these expansions, of course the financing and the net debt gross debt positions will be duly factored in and we would like to remain within our announced capital allocation policy guideline that our net debt to EBITDA should not cross 2:1 because the safety of balance sheet, I think that will be also paramount while we plan these expansions.

Shravan Shah: Okay. And then is it fair to say, let's say this INR 150 to INR 200 cost reduction over three years? Broadly, one can look at INR 50, INR70 every year ?
Moderator: Mr. Shah, I would request you to kindly rejoin the queue as your audio is not clear, so there is a network issue on your end.
Shravan Shah: Yes, so I was just trying to understand this cost reduction.
Moderator: Mr. Shah, I'm sorry, I'll have to interrupt again and again but your audio is not clear. Please rejoin the queue. Thank you. The next question is from the line of Ravi Sodah from Elara Capital.
Please go ahead.
Ravi Sodah: Sir, can you help me with the net debt reconciliation from the March quarter till now? Broadly, I see that there has been a INR 600 crores gain booked for mark to mark for IE X, but our net debt numbers have remained unchanged. We might have also made cash profits. So I just wanted to understand from that perspective.
Dharmender Tuteja: Yes, primarily in this industry in the first quarter, you end up increasing the working capital because at the year -end the dealer discounts get paid off, the GST liabilities or the TDS liabilities get paid off in the first quarter and also the inventories are almost at a year -end low at the March position. So there's an increase in working capital and secondly, the capex of INR 660 crores has been primarily funded by internal accruals. So you see that the working capital got consumed and that deficit has been made good by the I EX improvement. So more or less the net debt has remained the same.
Ravi Sodah: Okay, sir. And the INR 650 crores spend has been primarily on the Northeast expansion that we are doing, or it is on the cost -saving initiatives that we are doing?
Dharmender Tuteja: All of them, as I said, mainly of course the organic expansion of Northeast as well as Bihar and also our efficiency projects, maintenance capex and partly land also.
Ravi Sodah: Okay, thank you.
Dharmender Tuteja: Thank you.
Moderator: Thank you. The next question is from the line of Rajesh Kumar Ravi from HDFC Securities .
Please go ahead.
Rajesh Kumar Ravi: Yes, hi, sir. While some of my questions have been answered, I just wanted to get some more colour on this volume growth guidance of 1.5x industry growth. Even last year, you were looking at similar growth trajectory and on core volume growth, we landed up in a single digit. So given that, we are still confident that next nine months, we would be able to deliver 14% volume growth. Shall we assume that our realizations, again the discounting structure may need to increase, which we have seen normalization in Q1? And second, your thoughts on the IEX s take sale?
Dharmender Tuteja: See, on the volume front, 14% growth, we feel that it's possible. Of course, last year there were a couple of issues that we had shared in the investor calls also whatever experiment we did in



the first quarter this had some impact and took a couple of quarters for us to come back and those is

sues are behind.
And secondly, the brand positioning has been improved and we are seeing that action coming. So, all these initiatives, we are sure will lead to better results. And I don't think we'll have to increase the discounts to gain the volumes. In the first quarter also, we have seen that the discounts have been rationalized and still, we have been able to at least meet or slightly exceed the industry volume growth.
And on the IEX, we continue to maintain our stand that yes, it will be a short -term investment. And of course, exact timelines I cannot give but we'll be looking to sell this to meet our funds' requirement for the expansions.
Rajesh Kumar Ravi: Okay. And this 150 to 200 per ton, I understand that if I look at your green power mix for FY '24 this will be close to 26, 27%, which in FY '26, you would be close to on an average 50%. Is this understanding correct?
Dharmender Tuteja: That's right. The 50% we plan to reach by Q4 of FY '25 and in ' 26 to improve further on this.
Rajesh Kumar Ravi: So at least a full year, you will have 50% green power, renewable power, and green power available to you. So that saving if I factor in given that a good chunk of that may also come in from Grid power, you may save incremental INR2 to INR3 per unit. So that would give another INR40, INR50 versus I'm looking at FY '24 versus FY '26.
So are you also building in the cost reductions coming in from the fuel prices? Because per Kilocal costing on FY '24 versus FY '25 that number is down by almost INR 30, INR35 paise basis current price. So is that also weighed in this INR 150, or they are over and above the fuel cost reductions?
Dharmender Tuteja: See, we are factoring in the current level of p etcoke international prices. If any moment there happens, of course that I have not factored in but there'll be further savings in the fuel cost

coming from the use of our captive coal mines. And of course, some efficiency improvements will come.

Rajesh Kumar Ravi: No, what I was referring to was this INR150 to INR 200 per ton reduction in opex, which you're referring to that includes the fuel, or this is over and above the fuel changes?

Dharmender Tuteja: That includes the fuel but not coming from the drop in the international petcoke prices. So current international prices should be the base.

Rajesh Kumar Ravi: Great, sir. Thank you. I'll come back and thank you.

Dharmender Tuteja: Thank you, Rajesh.

Moderator: Thank you. The next question is from the line of Dishant Rakesh Jain from Quasar Capital. Please go ahead.

Dishant Rakesh Jain: My questions have been answered. Thank you.



Moderator: Thank you. We'll take the next question from the line of Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo: Right. Thank you for the opportunity. Two quick questions and sorry if it's a repeat but just as to build more conviction into our numbers is it still possible to give a little more specific breakup of this cost cut that we are talking about 150 - 200/T? It's definitely encouraging, and several large companies are talking about it. So a broad breakup like let's say about INR 50, INR60 from renewable, 30 - 40 from mining, some broad breakup will really help us factor in our forecast. Thanks.

Dharmender Tuteja: So that will be shared with all the investors. But of course, as I said it is primarily coming from renewable energy going up to at least 50% by this year -end and going further to hopefully about 60% in the coming year -end, next FY'26 year -end, and use of the captive coal mines, which should reduce our fuel cost. And of course, besides VC, there'll be savings in the logistic cost where we see the scope of about INR 50 to INR 100 coming from there also.

Navin Sahadeo: And second, in your key markets, could you please tell us , what is the difference in the current trade and non -trade prices , that will really help in key markets of your South and East trade and non-trade prices? Thank you so much.

Dharmender Tuteja: Of course, it varies, but exact numbers, we'll not like to share at this call. Kindly bear with us.

Navin Sahadeo: Sure. Thank you.

Moderator: Thank you. Next question is from the line of Nirav Bhanushali from Groww Mutual Fund . Please go ahead.

Nirav Bhanushali: Yes. Hi, sir. Congrats on good set of numbers. I just wanted to understand how is the demand scenario you're seeing post the election and whether is it improving in your key markets as well as in the central region?

Dharmender Tuteja: Of course, post elections, the monsoons have started and of course, the monsoons have been quite uneven at certain places. The impact is quite high, certain places it's low. So, the volumes have started coming back, but of course, not with the full intensi ty. Of course, we remain hopeful that the overall thrust of the government to sup port the Indian economic growth.

That will continue and that will translate to good demand growth because all sectors are actively firing the real estate demand on the household, both in the urban as well as the rural areas is good. Infrastructure spending is also good. So, we don't fores ee that the overall demand for the full year should be less than 8%.

Nirav Bhanushali: As we are seeing demand is improving, but still the price hikes have not been susta ined in the last couple of months .

Dharmender Tuteja: Yes, the price has not been sustained because there is a market share game by all the players. People are hungry for their market share and of course, that is one of the key reasons why prices have not improved.



Nirav Bhanushali: Thanks a lot.

Moderator: Thank you, sir. The next question is from the line of Ashish Jain from Macquarie. Please go ahead.

Ashish Jain: Sir, my question, again pertains to the growth outlook and, I have three parts to it. One is, you highlighted that you are not sharing the details at this moment from a competition point of view.

So, shall we assume that in 12 months when you come out with a detailed plan, you would have progressed a fair bit in terms of the resource access on land, limestone, all of that, and hence the execution time would be much shorter. That's the first thing.

Second thing, you would be factoring in some inorganic growth as well, like you alluded to earlier. Given there are a lot of large companies that are still fairly active in terms of acquisition

of assets. Can you give some colour of how much acquisition-led growth you would be looking at?
I know it's impossible to give a right number to it, but just, in terms of the proportion, how much intuitively you are factoring from acquisition. And thirdly, if I look at fiscal 24 plus 25 put together, we are effectively guiding, for a capex both put t ogether of around INR7,000 crores, INR8,000 crores. But in terms of incremental capacity in this period, we are barely adding 7- 8 million ton s of capacity .
So, can you also elaborate a bit more on, where is the balance capex going? Is it future preparedness or a lot of cost -savings initiatives? And if yes, then what is the quantum of cost savings we can expect from these specific projects?
Dharmender Tuteja: See, on the roadmap, when we announce the expansion roadmap, you'll have clarity about the sites, about land procurement or the limestone reserves, et c. So that full clarity will be available when we announce this expansion in the next 12 months. Regarding inorganic growth, I think it's not possible to share any specific details, which mar kets, which kind of players, et c.
So it all depends on the strategic fit which develops between the two players and the fairness of the evaluation, et c. But of course, that will remain as part of the

overall expansion strategy. If
any such opportunity comes, the balance expansion can be modulated accordingly to fit our balance sheet size and expansions.
And with regard to the capex expansions in the last 2 years, of course, the bulk of this has gone for the organic expansions, but also for a lot of efficiency improvements, which will definitely translate to the improvement in the variable cost. And part of that has also started showing in the results.
And in the next 3 years, when we say that we will translate to INR 200 per ton saving, so part of that will also come from efficiency improvements. So when we say that RE power, et c. All these are part of the efficiency improvements, so the ROI projects, which you call it. And partly, of course, the money has been spent on the maintenance capex, as well as some land purchases to prepare for our future expansions also.


Ashish Jain: Sir, can you give some breakup of this capex under the headings that you just mentioned?
Dharmender Tuteja: I think that we would not like to share. Please bear with us.
Ashish Jain: Okay. Thank you so much.
Dharmender Tuteja: Thank you.
Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor Company. Please go ahead.
Saket Kapoor: Namaskar, team, and thank you for the opportunity. Sir, you mentioned about INR 600 crores being spent on capex. So what have we outlined for the entire year? I missed the number?
Dharmender Tuteja: Yes. Full year, we expect it to be about INR 3,500 crores to INR4,000 crores.
Saket Kapoor: Okay. And on the non-core asset parts, what did you mention about the IEX sale? I missed that point also?
Dharmender Tuteja: Yes. We remain committed to sell this share because we consider this as a short -term investment only. But of course, the exact timelines, I cannot share. And the money will be definitely used for funding our expansions.
Saket Kapoor: And a small point, sir. When we mentioned about 100 million ton at exit of 2031, what kind of market share are we eyeing at that time? And what do we envisage in terms of the total cement industry size, say, 7 years to 8 years down the line when we are mentioning our number? And currently, what is our blended market share for the country as a whole?
Puneet Dalmia: So currently, our blended market share for country as a whole would be around 7.5%, to 8% .
And I think, if we look at financial year 31 and if you take an 8% demand growth, our capacity share will be higher than 7.5% . So it will probably be just under 10 % or close to 10%.
Moderator: Thank you, sir. Ladies and gentlemen, we will take that as the question for today. I will now hand over the conference to Mr. Puneet Dalmia for closing comments. Over to you, sir.
Puneet Dalmia: I would just say again, thank you very much for your questions and thank you very much for your interest. We look forward to continuing this journey. We continue to be very optimistic about the future and, a lot of potential ahead and a lot of exciting tim es in our sector with a lot of action. So thank you for your interest and look forward to continuing our communication going forward. Thank you.
Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Dalmia Bharat Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

# Call: Nov 2024

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Subject: Transcript of Q2 & H1 FY’25 - Earnings Conference Call

Ref : Regulation 30 of SEBI (Listing Obligation s and Disclosure Requirements) Regulations, 2015.
Dear Sir/Madam,

In terms of Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirement), Regulations 2015, please find attached transcript of the Q2 & H1 FY’25 Earnings Conference Call held on October 21, 2024 for the quarter & half year ended on September 30, 2024. The same will also be uploaded on Company's website: www.dalmiabharat.com

This is for your information and record.
Thanking you,
Yours Sincerely, For Dalmia Bharat Limited

Rajeev Kumar Company Secretary Encl.: a/a



“Dalmia Bharat Limited
Q2&H1 FY '25 Earnings Conference Call ”
October 21, 202 4

MANAGEMENT : MR. PUNEET DALMIA – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – DALMIA BHARAT LIMITED
MR. DHARMEND ER TUTEJA – CHIEF FINANCIAL OFFICER – DALMIA BHARAT LIMITED
MR. RAJIV BANSAL – PRESIDENT AND CHIEF TRANSFORMATION OFFICER – DALMIA BHARAT LIMITED
MS. ADITI MITTAL – HEAD INVESTOR RELATIONS – DALMIA BHARAT LIMITED



Moderator: Ladies and gentlemen, good day, and welcome to the Earnings Conference Call of Dalmia Bharat Limited for the quarter and half year ended 30th September 2024. Please note that this

conference call will be for 60 minutes and for the duration of this conference call, all participant lines will be in the listen only mode.
This conference call is being recorded, and the transcript may be put on the website of the company. After the management discussion, there is an opportunity for you to ask questions. Should anyone need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone.
Before I hand over the conference to the management, I would like to remind you that certain statements made during the course of this call may not be based on historical information or facts and may be forward -looking statements. These statements are based on expectations and projections and may involve a number of risks and uncertai nties such that the actual outcomes may differ materially from those suggested by such statements.
On the call, we have with us Mr. Puneet Dalmia, Managing Director and CEO, Dalmia Bharat Limited; Mr. Dharmender Tuteja, CFO; and Mr. Rajiv Bansal, Presiden t and Chief Transformation Officer; and the other management of the company.
I would now like to hand the conference call over to Ms. Aditi Mittal, Head of Investor Relations. Please go ahead.
Aditi Mittal : Thank you so much. Good morning, everyone. Welcome to Dalmia Bharat's Earnings Call Quarter 2 and H1 FY '25. We declared our results on Saturday, and the presentation and the results have all been uploaded on our new website and can be downloaded from there.
With this, I will now hand over the cal l to Mr. Dalmia for his opening remarks.
Puneet Dalmia : Thank you, Aditi. Good morning, everyone. Let me begin with an overview of the quarter and then Dharmender will take you through our operational and financial metrics. India remains the fastest -growin g economy in the world, and I'm confident that as India grows, cement sector, being a proxy, will continue to flourish. While the industry's long -term prospects are promising, there have been some short -term blips as the demand in the first half of this fi scal '25 has been quite muted and below our own internal estimation.
While H1 growth in the cement sector is expected to be around 2% to 3% based on analyst estimates, I believe that H2 will see a good bounce back and could grow around 8% Y -o-Y with a ful l year growth of around 6%. The reason for the same, in my view, are as follows:
Infrastructure spending of the government is only at 27% of the budgeted allocation till August 2024. This percentage in FY '24 was at 39% for the first 5 months.
There is no reason to believe that the government will not spend the budgeted amount given the robust collections. This would mean almost double the monthly run rate of infrastructure spending by the government as compared to the first 5 months. The pent -up demand be cause of slower -than-expected demand in H1 for reasons already discussed earlier are also likely to add to the demand growth being better in H2.


The real estate cycle is on a multiyear upswing, and we expect a strong pickup in the construction activity in H2. Private capex has also started to gain momentum and is expected to pick up further. I continue to believe that the larger players would outperform the other players in terms of growth as we have seen in the last many years. This will only accelerate fu rther given that there is consolidation in the sector.
We, at Dalmia, have laid a strong foundation to grow volumes by at least 1.5x of the sector. Since the industry witnessed a weak demand environment in the first half of the year, it led t

o a
decline i n the overall industry utilization, which was already running at 67% in FY '24. As a result of this, the industry saw a weak pricing environment and saw prices come down.
I believe that with the expectation of a strong demand revival in H2, prices should start moving up from hereon, though the competitive intensity may not allow much gains on this front. On the cost side, we continue to be one of the lowest cost producers in the sector.
Coming to the quarterly performance of our company during Q2 of FY '2 5, I believe we have delivered a healthy volume growth of 8.4% Y -o-Y in spite of the discontinuation of the Jaypee tolling arrangement. On the capacity side, we are currently at 46.6 million tons and on track to reach 49.5 million tons by the end of financial year '25. Our 2.4 million tons of North East and 0.5 million tons of Bihar expansion should get commissioned in H2.
With regards to our future expansion of reaching 75 million tons by FY '28, I committed in the last earnings call that we will detail out the plan in the next 12 months. We are actively working on several plans and would announce that within the next 9 months.
I will now request Dharmender to take you through the detailed financial performance of the quarter gone by . Thank you.
Dharmender Tuteja : Thank you, Puneetji. Good morning, everyone. Let me take you through the key aspects of our performance. As Puneetji has mentioned, our volume grew by 8.4% Y -o-Y to 6.7 million tons during the quarter. However, revenues have declined by 2% Y -o-Y to INR3,087 crores due to a

sharp decline in cement prices. Our overall trade mix stood at about 63% during the quarter.
The cement prices declined during Q2 due to weak demand scenario, particularly in South and Eastern markets. T hese markets saw a decline of 5% to 7% Q -o-Q and about 10% to 12% on Y -o-Y basis. Decreased trade mix also contributed to fall in NSR. As Puneetji said, we expect these prices to improve in H2 with rebound of demand, though the competitive intensity may ca p any significant gains on this account.
Moving on to the cost items. Our raw material costs during Q2 increased marginally by 0.4% to INR789 per ton of cement production on a Y -o-Y basis. As we have discontinued the cement tolling operations at Jaypee, our overall cost now doesn't include any cost of purchase material.
The power and fuel cost declined 11.3% Y -o-Y to INR1,012 per ton of cement production, mainly due to a $26 decline in the fuel consumption cost to about $101 on a Y -o-Y basis. On a Q-o-Q basis, it declined by about $5 per ton.


Fuel costs during the quarter stood at INR1.36 per kcal. Our share of renewable energy has also improved to 39% during the quarter. We are working to get additional cost savings of INR150 to INR200 per ton fr om our different initiatives. In line with this, we continue to put renewable power capacities across our various locations.
We have commissioned 16 -megawatt captive solar power plant at Sattur, taking our total RE capacity to 202 megawatt. As we speak, some smaller captive RE capacities are also under execution. Besides this, we have entered into multiple renewable power agreements under the group captive arrangement, which will secure about 151 -megawatt capacity of renewal power through solar and wind energy. This is in addition to 127 -megawatt capacity signed earlier and as already mentioned in our Q1 Earnings Call.
In total, we have signed 278 megawatts of long -term renewable power agreements under the group captive arrangement so far. The commi ssioning of these renewable power plants is expected to begin from next quarter onwards, and by end of FY'25, we should have operational RE capacity of 341 -megawatt, including 128 -megawatt from group captive arrangements. With this, we expect to exit FY'25 with about 45% RE power share i

n our overall power mix on a
consumption basis.
During the quarter, our logistic cost increased by about 7.6% Y -o-Y to INR1,102 per ton since we started servicing central markets from our Eastern plants. The quarter also had only 1 month of busy season surcharge waiver as against 2 months in the same quarter last year.
The employee cost during the quarter declined by 3% Y -o-Y to INR219 crores. However, other expenses rose 15.7% Y -o-Y to INR546 crores, primarily due to higher number of shutdowns of plants and increase in packing and material handling costs linked to the increase in sales volume.
Our EBITDA during the quarter declined by 27% Y -o-Y to INR434 crores, which works out to INR650 on a per ton basis. We accrued INR61 c rores of incentives during the quarter while our collection during the quarter was INR20 crores. However, in early October, we have received incentive of about INR46 crores.
Our incentive outstanding on 30th September was INR779 crores. For FY'25, we expec t total incentive accruals and collections of INR300 crores. The depreciation during the quarter declined by INR65 crores to INR336 crores on a Y -o-Y basis as previous year had additional depreciation of INR40 crores pertaining to certain components of pla nt and equipment, which were replaced as part of our overall debottlenecking projects.
The FY'25 depreciation is expected to be in the range of INR1,300 crores to INR1,350 crores.
Our capex during H1 stood at about INR1,386 crores. During the full year, we expect to spend about INR3,000 crores to INR3,300 crores, which is largely towards capacity expansion, including land for future projects and certain cost reduction projects, including renewable energy and coal blocks.
During the quarter, we have received a final tranche of INR320 crores, along with interest from the divestment of DBRL shares. As of 30th September, our gross and net debt marginally increased to INR4,784 crores and INR644 crores, respectively. Hence, our net debt to EBITDA


stood at 0.25x. We believe that our strong balance sheet positions us well for the next phase of expansion. Lastly, the Board has declared an interim dividend of INR4 per share.
With this, I would now like to open the floor for questions. Thank you very much.
Moderator: Our first question comes from the line of Shravan Shah from Dolat Capital.
Shravan Shah : Yes. Sir, in the opening remarks, we have said that in the second half, we are looking at 8% volume growth for industry. Just trying to understand for us in the H1, we have done close to

7.2%. But for us, how we look at the second half in terms of the volume growth because if we now remove the Jaypee volume, which was there in last year in the second half, is it fair to say that we will be just doing a 1% or 2% kind of growth in the second half? So net -net for FY'25 we will be having a close to 3.5% to 4% max kind of volume growth.

Puneet Dalmia : We have already said that we have laid a strong foundation to grow at 1.5x industry growth, and I think we stick to that guide .

Shravan Shah : Okay. And in terms of the pricing, sir, so currently the prices, if one looks at versus the Q2 average, how much they are up?

Dharmender Tuteja : The month -to-date October prices are on the same lines as the Q2 average.

Shravan Shah : Okay. And on the capex front, so particularly the capacity. Sir, just trying to understand that we are sticking to 75 million tons by FY'28. So additionally, close to 25 million tons. So roughly, if somebody looks at in terms of broadly even if $60, $70, then also INR14,000 crores, INR15,000 crores kind of capex. So if you can help us, so from FY'25, you have already mentioned '26, '27, '28 also, we will most likely to see the similar kind of capex of INR3,500 crores and ultim ately that will keep on increasing our net debt. So is it a fair unders

tanding?

Dharmender Tuteja : See, we are planning that our net debt to EBITDA should not cross 2:1. As we detail out the plan for the 75 million capacity location by location, we'll also give clear guidance on the debt levels. But I don't think that should be a concern as we have articulated our capital allocation policy that we'll try to keep our net debt to EBITDA up to 2:1 only.

Shravan Shah : Just last data point, if you can share our premium share, blending ratio, CC ratio, railroad mix and lead distance for Q2?

Dharmender Tuteja : Okay. Our CC ratio is, for this quarter, 1.64. The blended cement sale is 82.7%. The lead distance this quarter is 280 because we increased supplies from Eas tern plants to Central region. And railroad mix is 15% rail and 85% road.

Shravan Shah : And in the premium share?

Dharmender Tuteja : Yes, premium is 22.4%.

Moderator: The next question is from the line of Amit Murarka from Axis Capital.



Amit Murarka : My first question is on capex. So I believe you have cut down your capex guidance from about INR3,500 crores to INR4,000 crores earlier to INR3,300 crores now. I mean, the H1, you spent even lower than that run rate. Now my understanding is that in North East, the guided capex is about INR3,600 crores with commissioning of Q4 FY'25. So are we running behind schedule on the North East project? And could you refresh the timeline of both grinding and clinker commissioning in North East?

Dharmender Tuteja : Yes, clinker, as we said, will come in FY'26, we expect it around September of next year. And the grinding also will be coming in this current financial year in H2, most likely around December or January.

Amit Murarka : How much is already spent on the project ?

Dharmender Tuteja : So out of the current year, as I said, about 70% is towards this. So close to about INR1,000 crores are already spent on the grinding side in the current year.

Amit Murarka : And nothing spent on clinker yet, is it?

Dharmender Tuteja : Yes. Clinker is also in process. So both combined, I'm saying last year also we spent something and the current year is about INR1,000. So it is on track, in line with what we had planned.

Amit Murarka : Okay. And on t he expansion side, like debottlenecking projects of 0.9 million ton on clinker, I think, are still pending. I believe it was expected or guided that by Q2, I think, the East will come in. So by when now can we expect that to come in by Q4 or something like that?

Dharmender Tuteja : Yes, that is planned in H2. Work is already in process.

Amit Murarka : Sure. Lastly, just in the Central region, while the tolling is over, so I believe you've gained certain footprint already. So will you continue to service that market with the dealer network you've built or what's the plan there?

Dharmender Tuteja : Yes, we'll continue to serve this market because whatever network has been created, that we'd like to maintain. And ultimately, in the medium term, we should have our own capacity even if the Jaypee plants are not there.

Amit Murarka : How much would be sold in that region right now?

Dharmender Tuteja : The regional data, we are not sharing. So please bear with us.

Amit Murarka : All right. And there was no tolling of Jaypee, right? Zero tolling in Q2?

Dharmender Tuteja : In this quarter, yes.

Mod erator : The next question is from the line of Sumangal Nevatia with Kotak Securities.

Sumangal Nevatia : I just want to know what was the fuel cost in rupees per kal? And what is the guidance given pet coke, coal prices are on a declining trend, how much of further reduction are we expecting in the coming quarters?

Dharmender Tuteja : So Sumangal, this quarter we had a consumption of about $101 per ton and the purchase is also on the same levels. And as we speak, the

spot levels are slightly down, closer to about $93. So we may expect a marginal reduction in the coming quarters. And blended fuel cost dropped ou t to INR1.36 per kcal.
Sumangal Nevatia : Understood. Understood. And on the overall renewable power mix, I read we reach ed 39%. Is it possible to share what sort of expectation do we have for, say, FY '26, '27 individually? And what sort of cost savin gs should we build in given the higher share of renewable?
Dharmender Tuteja : See, currently, we are at 39%. By year -end, we expect it to reach closer to about 45%. And next year we should be about 50% or so. And about INR150 to INR200 savings, whic h we are targeting from various cost initiatives. So that targets about what savings (we will realize) from the VC as well as logistics . And VC savings primarily come from renewal power as well as coal blocks. So we can expect about INR50 per ton savings in the current year, another INR50 savings in FY '26 and another INR100 or so in FY '27. By then all the coal blocks will be operational.
Mod erator : The next question is from the line of Ritesh Shah with Investec.
Ritesh Shah : Couple of questions. First is, in the initial remarks, you indicated that we expect pricing to inch up in the second half, subject to competitive intensity. The question is, what is our strategy to combat competitive intensity?
Dharmender Tuteja : See, basically, it's aligning our goals with the goals of the dealers. So it's all about relationship management with the dealers. Market continues to remain dynamic and competitive. So our response time to the market dynamics will be very fast so that we continue to do this.
And also , we'll be continuing to increase our share in the premium segment and we thought pricing the products to the customers will ensure that it takes into account the final nuances of the dealer mix as well as the incentive strategies.
Puneet Dalmia: I think long term, we want to maintain our cost leadership. We want to invest in our brand. We want to deepen our distribution. And we want to improve our service. So these things will be a continuous journey throughout no matter what happens because it will just improve our ability to service our customers and add value to their businesses.
So I would just say that there will be times when industry prioritizes market share over margins. And there will be times when industry will prioritize margins over market share. This happens in every industry. Our industry is no exception. And I think this is the time to improve our efficiencies and just stay very, very focused on execution and invest in brand and distribution. So I think that's just going to be our strategy market by market and put our heads down and continue to execute well. That's it.
Ritesh Shah : Just a related one. You indicated we will align ourselves with the d ealers. I think it's probably visible given the discount increase that we have seen in FY '24 annual report or FY '23, it's a pretty steep bump, almost 7%. And it stacks up in line with the highest in the industry. And if I look at the same variable it's l ike 13% CAGR over the last 5 years.



So when we say basically focus will be on cost, how should we look at incentives and discounts because this number has been ballooning up very, very sharply, impacting profitability. So , are we saying that we will scout for market share in the interim, if it means playing along with the dealers to ensure that we maintain our market foothold?
Puneet Dalmia: I think this strategy will be different market by market. And I think the re are markets where our cost to serve is very low, and our market share is not very high. So I think in those markets, we will prioritize gain of market share.
There are markets where we serve, but in the long term, we may not be that competitive. But in the short term, we ma

y be serving those markets. In those markets, we may just look at optimizing prices a little bit more rather than just go all out for market share.
So I think there will be a strategy, which will be different market by market, micro market by micro market. And I think we are looking at what's the best way to balance volume gains, while preserving our margins.
Ritesh Shah : Sure. That's useful. And if I just take one more. Sir, you have indicated INR 150 to INR 200 per tonne. I think in S umangal's question, you did dissect it broadly for renewable coal and logistics. Is it possible to give exact numbers over here?
Dharmender Tuteja : Logistics will be about INR50 and balance INR100 to INR150 will come from coal blocks as well as renewables.
Mod erator : The next question is from the line of Satyadeep Jain with AMBIT Capital.

Satyadeep Jain : Just first question would be on the medium -term growth. You outlined 75 million tons by '28. Just wanted to see if you're going to announce the expansion i n 9 months ? In 9 months , can we assume that the entire land acquisition approvals , all will be taken care of ? So it's just ordering ? how are you thinking of de -risking from here to ordering in the next 9 months?
Puneet Dalmia : I think I told on the last earnings call also , we are in the process of getting permissions and buying land and this is a parallel process , work is going on. And we will detail out the plan site by site, location by location along with time lines within the next 9 m onths. So the work is on. I think that's the best way to derisk it, get permits by land and make sure that we prioritize our sites based on strategic attractiveness and long -term IRR.
Satyadeep Jain : Just a second question on the central strategy . You're c atering to this market, I believe all the way from Odisha . Are there any particular pockets that you're catering to and the strategy would be to continue to incur marketing expense, look at building out the entire network there for the next 2, 3 years unti l you set up your own plant there. Is that fair to assume? And these markets have been catered to all the way from Odisha right now?
Puneet Dalmia : Yes, I think it's fair to assume that. Dharmender, do you want to add to this?
Dharmender Tuteja : Yes. Earli er, we had built network in UP primarily, closer to Allahabad as well as Varanasi. So those markets are continuing to be served . And of course, the expenditure of the marketing,


brand building, etcetera, is in line with the volume of sales, which we are in curring there, so that the costs are in line with the revenue growing up from these regions.
Moderator: Thank you. The next question is from the line of Pavas Pethia with Aditya Birla Mutual Fund.
Pavas Pethia : Sir, I just wanted to understand how sacrosanct is the 75 million ton number for you? And what will make you change this or postpone it,given the utilization still remains at sub-70% for the entire firm?
Puneet Dalmia : I think I have already shared that, we think that we are going to build 100 million tons by financial year '31. Our medium -term plan is to build 75 million tons by financial year '28. And if, let us say, there is some massive blip in the industry, either upside or downside, we will always review our plan and pace it along with how we see the industry shaping up. So these plans are more or less firm. But I think if there is a massive shock, macro shock, we'll have to adjust to those shocks and pace the plan accordingly.
Pavas Pethia : Sure. And secondly, on this INR3,000 crores, this capex number for this year, should a similar trend continue in FY26, FY27 and beyond?
Dharmender Tuteja : So, with the announced expansion plans, the next year, capex should be about INR2,500 crores or so. And of course, when we announced the next line of growth capex , then we'll give

more
visibility about next 2 years capex guidelines.
Pavas Pethia : And if I have to strip out the maintenance part, what will be that number?
Dharmender Tuteja : It's cl ose to about INR250 crores to INR300 crores per annum.
Pavas Pethia : Thanks that’s all from my side.
Moderator: The next question is from the line of Prateek Kumar with Jefferies.
Prateek Kumar : My first question is on the pricing. So we reported around 5% - 5.5% drop in pricing quarter -on-quarter . Do you think is this worse than industry markets? Or is it in line because your volume growth is faster than industry probably, so the higher volumes come at the expense of much worse pricing?
Puneet Dalmia : I think it's hard for us to say because there are areas where we've repositioned our brand, and we are able to charge a higher price. But this quarter, our non -trade mix has gone up, which typical ly sells at a lower price than the B2C business. So there is a definite impact because of volume , because of the segment mix. But overall, I think in many markets, we have been able to reposition the brand and get a slightly higher price than what we were getting earlier in the trade segment. Dharmender, please, do you want to add to?
Dharmender Tuteja : Yes. Our decline is in line with the market decline of prices. South and Eastern markets have shown much bigger declines. That has translated into our overa ll NSR decline.


Prateek Kumar : Okay. So in a market environment where generally the government demand has gone down, we are trying to increase market share in non -trade segment. That is also probably wei ghing on prices. Would that be right ?
Dharmender Tuteja : See quarter -to-quarter, it may have some changes, but we continue to remain focused on increasing our trade mix. And gradually, of course, you'll see that traction rebuilding.
Prateek Kumar : Okay. And one other question regarding , one of the remarks earlier you said about market share over margins quarter -to-quarter or year -to-year. A few quarters back, we talked about EBITDA

margin of around INR1,100 -INR1,200 /T . We're currently a t INR650 /T in this quarter. What are the kind of margins (are you looking at?) at least for near term , when we talk about this market share versus margins? This year, what kind of margins you might be looking at?
Puneet Dalmia : Quarter -to-quarter, i t's very hard to predict. But if you look at H1, it's somewhere in the region of INR750 - -INR800 /T. And I personally believe that prices should move up a little bit gradually. I would think that maybe this INR900 -INR1,000 /T should be sustainable.
Prateek Kumar : Sorry, your voice was inaudible. What should be sustainable?
Puneet Dalmia : I'm saying that if you look at H1 numbers, H1 EBITDA per ton is somewhere around INR 782 /T. So quarter -to-quarter numbers could be volatile, but we think the prices may be slightly better in H2. And I think INR900 to INR1,000 /T at least this year should be sustainable. And again, it depends on how the demand also behaves. So we think that in the long term, the guidance that we've giv en of INR1,100 to INR1,200 should be doable unless there are some really macro shocks and there is like a very intense competition for market share.
Prateek Kumar : Sure Sir, I'll get back in the queue.
Moderator: Thank you. The next question is from the li ne of Raashi Chopra from Citigroup.
Raashi Chopra : I'm just taking on from some of the earlier questions. So what was the industry volume growth for this quarter. Not the half, just in the second quarter?
Puneet Dalmia : I think the numbers have not been re ported, but we think it will be low single digit. Last quarter was 2.3%.
Raashi Chopra : Yes. Okay , so similar.
Puneet Dalmia : Well, I don't know, I mean, low single digit is what we think.
Rashi Chopra : All right. And you'v e managed to ob

viously grow at 8 % and you've also kind of indicated that your realizations -- given the regions, should be similar to the rest of the peer group. So what is -- and I would imagine that this will be one of the stronger growth rates within the industry at least for this quar ter. So if it was not for pricing, what has been different for you?
Puneet Dalmia: Sorry, can you just repeat that question, please?


Raashi Chopra : You mentioned that the price decline in the South and the East is 5% to 7%, which is in line with the general peer group that everyone in the South and the East should have seen similar price declines. And the industry growth is so muted. What have you done differently if not for kind of reducing prices further?
Puneet Dalmia: As I said, in many markets, w e have repositioned our brand and we are able to charge higher prices. We are also focused on improving our premium mix. It will be a journey. And again, market -by-market, we are reviewing our strategy. And I think we are also looking at which are the best markets that we should serve and just increase our share in those markets. These are the three things that we are looking at market -by-market.
Raashi Chopra : And you also mentioned that Dalmia will grow at 1.5x the industry. So you are confident of getting to a 9% volume growth for the year, given the 6% growth (for the industry)? .
Puneet Dalmia: Yes.
Raashi Chopra : And just one last question. The EBITDA per ton, like you said, quarter -to-quarter is hard to get, but you mentioned that this year, INR1,000 /T should be doable. Was that for the second half? Or is that for the average for the year?
Puneet Dalmia: I'm saying the first half is INR780 /T. So we expect prices to move up a little bit in H2 compared to H1. So the blended number should be probably in the range of INR900 /T to INR1,000 /T is what I think, but it depends on how demand behaves and what is the competitive intensity in the market.
Moderator: The next question is from the line of Pulkit Patani with Goldman Sachs.
Pulkit Patani : Just one question in terms of that Central India expansion, whatever we had invested now that the tolling arrangement is off. Is there any possible write -offs that we may have to take in the future? Or because we are trying to expand that organically, we don't think there should be any need for us to make any of those adjustments to our books?
Dharmender Tuteja : See, last quarter, we have done some im pairment of exposure, which we had on Jaypee. That is, I think, about INR113 crores. So we had taken the full impact, which we thought could have arisen. So I don't think anything further should come.
Pulkit Patani : In terms of the manpower we hired there, etcetera, etcetera. So they'll all be used organically for us to grow in that region. Is that the right way to understand?
Dharmender Tuteja : That is right.
Moderator: The next question is from the line of Indrajit Agarwal with CLSA.
Indrajit Agarwal : Sir, at 49 -odd million tons, even if you grow 1.5x industry, by FY '26 we will have closer to 66%, 67% utilization. So do we think the focus should be to get the utilization up first before focusing on the next leg of capex because the industry anyway we can still grow 1.5x industry with the current capacity at least for the next three , four years or so. And secondly, on the same ,

would we be losing a reasonably high amount of money in Central region right now? Broadly, what proportion of your volumes would ha ve been Central in this quarter?
Puneet Dalmia: So I think there are markets in which our capacity is almost sold out, and I think we'll have to add new capacity. There is also a lead time in adding capacity and it could take around two years -plus. And fin ally, I

also think that there will be , as we have an ambition of being a Pan -
India player , So we might add capacity in new regions where we don't exist today. So I think this decision will be taken in -- keeping in mind where our utilizations are higher and our ambition to be a Pan -India player.
And I think secondly, in terms of regional volume s and how much we are selling in which market and what's the profitability, please bear with us. We don't share that data.
Indrajit Agarwal : Sir, lastly, given the current rate of expansion gets over, let's say, by mid -FY '26, so would we have sufficient c linker if we want to operate the entire at 49 million tons at 100% utilization?
Puneet Dalmia: Yes, we do, and we'll have to increase our CC ratio in some markets, which we are already doing.
Moderator: The next question is from the line of Rahul Gupta fro m Morgan Stanley.
Rahul Gupta : Sir, I have just one medium -term industry question for you. You have talked about industry prices being weak, not just now but for some time now. If industry prices don't move up steadily given competitive intensity , does that risk capacity expansion for the industry? Or do you think that capacity expansion could come, but at the expense of ROIC ? Any views over here?
Puneet Dalmia: Look, I think at current prices, no investments can be justified. And whether you look at organic or inorganic growth, if you believe that the prices are going to remain at this level, we can't justify any investment. I think we all believe that structurally, the industry is very positive in the medium to long term and -- which we have outlined like we believe that India will grow. And if India grows, construction will grow and there will be demand for cement.
And I think the demand -supply equation, while there are short -term headwinds, I think long term, demand should grow at a higher CAGR than this capacity CAGR. So we think that demand could grow in the range of 7% to 8% in the long term and capacity probably will grow at 5% to 6%. So therefore, there will be a slight uptick in capacity utilization over the lon ger term.
We also think that the top players are expanding faster than the smaller players and there is increased M&A in t he sector. So the share of top four will go to 60% by financial year '27. And I think just with increasing consolidation and a very go od long -term demand -supply scenario, I think the entry barriers are rising in this business, so we can expect better pricing. But it's very hard to predict what will happen in the short term.
And we've even seen if we look at our last 10 years, 20 years of history, there has been -- it's a cyclical business and prices are very volatile. But if you take a five- to seven -years view, it all evens out. And this business requires patience. This busi ness requires not being disappointed


when chips are down and not being too exuberant or arrogant when you are making too much money.
So I think you have to keep balance and you have to keep the conviction, at least that's what we've benefited from in the p ast. And we think that the structural positives in the sector are far better than what they were 10 years ago. So we believe that It’s a very attractive time for the industry. And I think without stretching the balance sheet, expansion is the right way to go, while using this opportunity to tighten your belt and become more efficient .
While not losing sight of long -term investments in brand building and distribu tion.
Rahul Gupta : So just to understand this better. So at what capacity utilization levels, do you think that pricing power comes back materially? Or how should we look at -- what prices it makes sense for the industry to add capacity, not thinking about near-term headwinds? Or do we just forget about near-term headwinds and think about medium -term and long -term

outlook for the industry and
not think about ROICs in the near term?
Puneet Dalmia: I think you can do the math yourself if like the capacity cre ation cost and M&A cost is in the range of, let's say, $90 to $120 per ton. Let's say, an average of $100. I think the EBITDA has been the range of, in my view, INR1,500 per ton in the long term.
Moderator: The next question is from the line of Navin Sahad eo with ICICI Securities.
Navin Sahadeo: Yes. Good morning and thank you for the opportunity. My question was in the earlier comments, you said there was increase in the non -trade share in the quarter. So could you just give details

as to how much was the sequential increase in non -trade over previous quarter?
Dharmender Tuteja : Yes. Previous quarter we had 64% a nd this quarter we had 63%. So there's a -- trade has gone down by 1% and non -trade has gone up by 1%. On a Y -o-Y basis, this is about 5% because last year we had 68% trade mix, now we are just 63%. On a Y -o-Y basis 5% increase, o n a Q -o-Q basis 1% increas e in the non -trade portion.
Navin Sahadeo: Sure. The reason why I'm asking this is because in the second half, if the government demand is expected to come back which is the re the infrastructure -led demand will bounce and lead to overall industry volume gr owth, is it fai r to assume that this shift or tilt in favor of non -trade can only go up for you in the same rate, is there a possibility or a rethink on our plan to venture into the OPC market of non -trade?
If I'm not wrong, we are not selling OPC in the East ,. I think we hardly sell in the OPC market at all and maybe in the South overall blending being at around 87% -odd. So is there an expectation that non -trade will go up and our share of OPC will rise?
Puneet Dalmia : So I think in the short t erm, it's hard to predict. We are running at low capacity utilization right now. And we will see whatever is best don e to maximize our contribution, b ut I think in the long term, we are more committed to blended cements. And I think we are more committed t o increasing our share of trade.


Navin Sahadeo: Understood. Helpful. My second and last question is on the capex. So when we're looking -- I mean, when you're giving a target of 75 by '28, so roughly 25 million tons is what we are likely to add with the current expansion which are on hand from 50 million to 75 million. So is it fair to assume that from '26 to '28 a s in in 3 years, the capex because it's -- I'm assuming it will be a mix of Greenfield and Brownfield. So our capex over th ese 3 years could be around INR 18,000 crores to INR20,000 crores. Is that the way to look at it?
Puneet Dalmia : I think we don't want to give any numbers right now. We are still working on exact plans in which market, how much and what capacity. So I think you'll have to wait until we announce the plans.
Navin Sahadeo: Appreciate. Thank you so much.
Moderator: Thank you. Th e next quest ion is from the line of Sake t Kapoor from Kapoor & Company . Please go ahead.
Saket Kapoor: Thank you for the opportunity. F irstly, sir for the EBITDA per ton number, you mentioned the number of INR650 also. INR650 is for the second quarter or if you could just correct me there. INR782 is for the H1 ?
Dharmender Tuteja : Yes. Q 2 is INR650.
Saket Kapoor: Okay. And average is INR782. So that was significantly higher for the first quarter?
Dharmender Tuteja : Yes. That's right. First quarter was INR900.
Saket Kapoor: Okay. Sir, when we look at our other expenses line item, that has been steadily -- steady up for this quarter also. So can you explain the nature of this other expense line item of INR546 crores?
Dharmender Tuteja : So this has gone up from t he last year or maybe from year -to-year also because of the higher number of shutdowns of the plants. So the repa ir cost or c

ontractor costs, et c comes in this line.
And when I say la st -- year-on-year, then since the volume has gone up. So , there are some volume -linked cost like packing bag costs, commissions, et c. So these costs also go up accordingly.
Saket Kapoor: Okay. Can you quantify the one -off line item for the repair part that was included for this quarter?
Dharmender Tuteja : So that would be about INR40 crores, INR 50 crores or so, but there could be shutdowns in Q3 also, but bulk comes in Q2 and then Q3 is the next one and Q4 actually comes down very signif icantly.
Saket Kapoor: And, sir utilization level s for the entire entity was 65% for the first half?
And for the industry also what was the number a nd taking into account the anticipated capex spend from the government for H2, what should be likely ending the H2 in terms of capacity utilization level?


Dharmender Tuteja : for this quarter we had a capacity utilization of 58%, but we expect it to go up in the coming quarters because this was a seasonally weak quarter. Industry is also I think currently about 67% or so.
Saket Kapoor: 67% is for the industry?
Dharmender Tuteja : 67% or so.
Saket Kapoor: Come again, sir. 57%?
Dharmender Tuteja : No, 67.

Saket Kapoor: Sir, taking into account our - capex that we envisage and also the other aspect of the weak market, it is always good that you share your profit with your investors, b ut coming out with dividend payout at this point of juncture when we are having strained cash flow, can you please explain what's the thought process to return cash right now when that could be use for a much better use than re turning that to your investor?

Dharmender Tuteja : For the full year, we don't think that the outlook has diminished. That is why we have not changed the trajectory of the dividend payouts. Still hope that the growth trajectory of the volume as well as prof itability should continue. And accordingly, we have not downgraded the payout of the dividend.

Puneet Dalmia : Our capital allocation policy says that up to 10% of our free cash flow, we will distribute as dividends. And I think it's in line with our capital allocation policy which we have already outlined.

Saket Kapoor: And lastly, sir, on the waste heat recovery and the alternate fuel part, what is our current fuel mix and going ahead for say, 1 to 2 -year time line, how will this numbe r shape up for waste heat recovery of alternate fuel?

Puneet Dalmia : I think we don't share that data granularly, but we've given you our RE power mix and we've also shared our overall fuel cost.

Dharmender Tuteja : On the RE power, I said that we are currently at 39%. By year -end, we expect to go to about 45% a nd by next year end by about 50%.

Saket Kapoor: Right . And lastly, sir, on the 113 exceptional line item part, can you explain the nature and any more amount that we need to cl assify under exceptional going ahea d? If you can explain the Jaypee issue in a bit detail?

Dharmender Tuteja : Since we have done the tolling operations in the last 1.5 years, so we had to give some advances to Jaypee for clearing the past defaults of taxes , etc or power payments, et c without which the plant could not have started. So since we could not recover, that money was to be adjusted in the acquisition of the assets. So since the company has gone into IBC, considering the uncertainty of realization of this amount, we have taken impairment in the last quarter about INR113 crores.



Saket Kapoor: And that i s the full and final fee there, n o further?

Dharmender Tuteja : Yes. We covered whatever exposure we had, so we don't expect to have any further increa se in this.

Saket Kapoor: Yes, sir definitely. For Murli, if you could share your thoughts, how has the integration been

and that's all from my side and sir Happy Deepavali to the team.

Dharmender Tuteja : So Murli also we are continuing to improve our positioning in the market and successfully we'll ensure that this becomes a very profitable plant as already it has crossed the break even points .

Moderator: Thank you. The next question is from the line of Yash Darak with RSPN Ventures . Please go ahead.

Yash Darak: So my question is that the other expenses has sort of increased at 18% of total revenue, which is generally at 15%. So are we expe cting this run rate to continue or there would be decrease in the other expenses?

Dharmender Tuteja : Other expenses has 2 components. One is, of course, the fixed and second is on the variable part. So variable part goes up in line with the volume increas e, which is the packing cost and some of the cost like in depot expenses or commission, etc. But the fixed expenses had bumped up in the current quarter because of the higher plant shutdowns. So this should go down somewhat in Q3 and mainly in Q4. But other fixed expenses should remain the same.

Yash Darak: Okay. And lastly, the capex seems to be around INR 3,000 crores will be capex for the entire year. So how much capex has been done by now, if you could share?

Dharmender Tuteja : Yes, close to about IN R1,386 crores in the first half .

Yash Darak: Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka : So I remember earlier you had mentioned that 1,000 dealers of Jaypee had shifted to Dalmia in the Central market. So how many of them would still be associated with you?

Dharmender Tuteja : I think most of them, are still continuing when we are currently doing the operations through our Eastern plants.

Amit Murarka : And are you expanding the network further in Central or planning to maintain the dealer network?

Dhar mender Tuteja : Of course, we have to see the profitability as well as the market growth we'll try to increase. But considering the long distance, which we have to cover, so we have a limitation of all the markets which we can cover. So we'll gradually see how quarter -by-quarter we are able to improve on it.

Amit Murarka : And also, what would the cost of slag that you're incurring now?

Dharmender Tuteja : There is a small increase over the previous quarter.
Amit Murarka : How much would it be if you can ballpark also?
Dharmender Tuteja : In the range of about INR1,000 to INR 1,500. It keeps moving from quarter -to-quarter depending on the auction prices.
Amit Murarka : Okay. Thank you.
Moderator: Thank you. Ladies and gentlemen, we take the last question from the line of Shravan Shah from Dolat Capital. Please go ahead.
Shravan Shah : Sir, just wanted to understand the 8% growth that we are looking at for industry in second half, and so for us, we have already said that we are looking at 9% volume growth for FY '25. So broadly, is it fair to say that in the second half for us, South would be growing better than the East?
Puneet Dalmia : I don't think we can give regional numbers. And I think we've already said that our est imates for industry growth are better in H2 because H1 -- Q1 was an election quarter and Q2 was a monsoon quarter. So we think there is pent -up demand in housing, which could come back. We think government spend on infra will gather more momentum. We think real estate and private capex will also contribute to this.
So our best estimate is that this can go to 7% to 8% in H2. And we think that based on this, maybe prices could be marginally better, although it will depend on competitive intensity also. So gi ven that, we think that Dalmia can continue to grow in the range that we have guided for.
Shravan Shah : And lastly, sir, pet coke share and domestic coal share in the fuel mix in Q2 was how much?
Puneet Dalmia : I don't think we will give that data here rig ht now.
Shravan Shah : Thank you.
Moderator: Thank you. Ladies and gentlemen, this concludes our question -and-answer session. I will now hand the conference over to Mr. Puneet Dalmia for his closing comments.
Puneet Dalmia : I think this was a weak quarter f rom a pricing standpoint, but our volume growth was quite healthy. We are still very bullish on the long -term prospects of the industry, given the great demand outlook and the consolidation that is happening. We will continue to build Dalmia to be more eff icient. We will continue to look at our expansion plans in line with our long -term guidance of Pan India footprint , as well as adding capacity where we think we are sold out, and we need more market share.
So I would just say that I still have great conviction and great belief in the long -term story, and cement is a proxy growth for the India long -term story. Thank you for your interest in us, and wish you and your families a very happy Diwali. Look forward to seeing you in 2025. Take care, and have a great day. .



Moderator: Thank you, sir. On behalf of Dalmia Bharat Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

## Call: Feb 2025

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A Dalmia Bharat Group company, www.dalmiabharat.com

1010/02 January 24 , 202 5

BSE Limited
P J Towers, Dalal Street,
Fort Mumbai -400001
Scrip Code: 542216 National Stock Exchange of India Limited
"Exchange Plaza", Plot No. C -1, Block G
Bandra – Kurla Complex, Bandra(East),
Mumbai – 400 051
Symbol: DALBHARAT

Subject: Transcript of Earnings Conference Call for the quarter and nine months ended on December 31, 2024

Ref.: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")

Dear Sir/Madam,
In terms of Regulation 30 of the Listing Regulations , please find attached transcript of the Earnings Conference Call held on January 22, 202 5, for the quarter and nine months ended on December 31, 2024.

The same will also be uploaded on Company's website: www.dalmiabharat.com
Kindly take the same on record.
Thanking you,
Yours Sincerely ,
For Dalmia Bharat Limited

Rajeev Kumar
Company Secretary
Encl: a/a


"Dalmia Bharat Limited
Quarter and 9 Months Ended 31st December 2024
Conference Call "
January 22, 202 5

MANAGEMENT : MR. PUNEET DALMIA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – DALMIA BHARAT
LIMITED
MR. DHARMENDE R TUTEJA – CHIEF FINANCIAL
OFFICER – DALMIA BHARAT LIMITED

Moderator: Ladies and gentlemen, good morning, and welcome to the Earnings Conference Call of Dalmia Bharat Limited for the quarter and nine months ended 31st December 2024. Please note that this conference call wil l be for 60 minutes and for the duration of this call all participant lines will be in the listen -only mode. This conference call is being recorded, and the transcript may be put up on the website of the company.
After the management discussion, there is an opportunity for you to ask questions. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch- tone phone. As a reminder, all participant lines will be in the listen -only mode.
Before I hand over the conference to the management, I would like to remind you that certain statements made during the course of this call may not be based on historical information or facts and may be forward -looking statements. These statements are based on expectations and projections and may involve a number of risks and uncertainties such that the actual outcome may differ materially from those suggested by such statements.
On the call, we have with us Mr. Puneet Dalmia, Managing Director and CEO; Mr. Dharmender Tuteja, Chief Financial Officer ; and the other management of the company. I would now like to hand the conference call over to Mr. Dalmia, Managing Director and CEO. Thank you, and over to you, sir.
Puneet Dalmia: Good morning, everyone. Let me begin with an overview of the quarter, and then Dharmender will take you through our operational and financial metrics. India continues to stand out globally as we remain one of the fastest -growing economies. However, the start to the year has been slow, with general elections in quarter 1, heavy monsoons in quarter 2 impacting overall economic activities and output. As a r esult, GDP growth dropped to a 7- quarter low of 5.4% in Q2. Despite this slowdown, I belie ve India's structural growth drivers are strong and that the real GDP growth should bounce back from here.
We are just a few days away from the announcement of next year's budget. While I feel that this year may experience some slippage in the budgeted capex spending, I remain optimistic that our government will double down its focus on the investment -driven growth and fiscal consolidation while supporting private sector investments. These efforts are crucial to steering back India towards a robust growth traj ectory of 7% to 8%.
During the quarter, cement demand growth in India fell short of our expectations due to lower -than-expected government spending, state elections and unseasonal rains. As for various macro data points and the reports estimate, cement demand grew modestly by low single digit in Q3 of FY '25.
In November, the government capex has increased by 21% Y -o-Y, utilizing 46% of the budgeted capex till November. Typically, government spends about 40% of the allocated budget in the last 4 months. Even after assuming this run rate, capex spending should improve by about 20% on a Y -o-Y basis in December to March period.


With this, along with the seasonally strong quarter for construction activities, we believe that the cement demand can grow at a 6% to 7% rate on a Y -o-Y basis during Q4, which translates into a full year growth of 3% to 4% Y -o-Y.
During quarter 3, our volumes de -grew by 2% on a Y -o-Y basis, primarily because in the same quarter last year, we had 0.37 million tons of tolling volume from JP plants. Sales from Dalmia plants grew 3.7% on a Y -o-Y basis in this quarter.
If I talk about cement prices, there is a growing sense of optimism. We have seen some price improvements in December and expect further increases in Q4, driven by stronger demand. However, increasing c

ompetitive intensity may cap any significant gains on this front. while prices remain market -driven, we are working consistent ly on the cost reduction front.
While we are one of the lowest cost cement producers, we are committed to further deepen our position by realizing the cost savings of INR 150 to INR 200 per ton through internal measures by financial year'27. We are on advanced stage to reach 49.5 million tons of cement capacity by end of financial year '25. We will further announce our Phase 2 expansion to reach 75 million tons by financial year'28 within the next 6 months.
I'm also proud to share that to commemorate our 75 years in Odisha, we have inaugurated a Badminton Academy called the “ Shuttle ” in Bhubaneswar. This academy will provide world-class coaching to deserving young athletes from Odisha and help them shine on the world stage.
This is a joint initiative of Dalmia Bharat, the government of Odisha and National Badminton Coach and Padma Shri, Mr. Gopichand. This initiative embodies our values to give back to the communities that we serve.
Now I will request Dharmender to take you through the detailed financial performance for the quarter gone by. Thank you.
Dharmender Tuteja: Thank you, Puneet -ji. Good morning, everyone. Let me take you through the key aspects of our

performance. As Puneet -ji mentioned, our volumes de -grew by 2% Y -o-Y to 6.7 million tons during the quarter, but sales from Dalmia plants grew 3.7% Y -o-Y.

On a Y -o-Y basis, revenue declined by 12% Y -o-Y to INR 3,181 crores due to a sharp decline in cement prices on a yearly basis. However, on Q -on-Q basis, since there was a reasonable price improvement in the month of December, our revenues improved by 3%.

In January too , the prices seem to be holding up so far. We were able to improve our trade mix to 66% from 63% last year, while premium product mix improved to 24% during the quarter from 21% in Q3 FY '24.

Moving on to the cost line items. Our raw material costs during Q3 marginally declined by 2% to INR765 per ton of cement production on a Y -o-Y basis due to reduction in input costs, mainly fly ash and limestone raising costs.

Power and fuel cost declined 9% Y -o-Y to INR1,005 per ton of cement production with $26 decline in the fuel consumption cost on a Y -o-Y basis, an d improvement in RE from 30% to



33%. During Q3 FY'25, the fuel consumption cost was $96 per ton as against $101 per ton in Q2 FY'25 and $122 per ton in Q3 FY'24.

Fuel costs during the quarter stood at INR1.31 on Kcal basis. However, on a quarterly basis, our benefit of lower fuel prices was largely offset with the reduction in RE shares as we had a shutdown in few plants impacting WHRS output. It is now up and running, and therefore, RE Power should improve from this level.

During the quarter, we have commissioned 4 megawatts of solar power capacity at Medinipur, West Bengal. Total 46 megawatts of RE capacity is also commissioned under group captive arrangements during the quarter. This takes our total operational RE capacity to 252 megawatts.

We continue to enter into multiple renewable power agreements under the group captive agreement. We have additionally signed group captive agreements for 21 -megawatt capacity of RE Power in Q3 FY'25. This is in addition to 278 megawatt capacity signed till H1 FY'25.

In total, we have signed 299 megawatts of long-term renewal power agreements under the group captive arrangement so far. By end of FY '25, we should have total operational RE capacity of 267 megawatts, including 57 megawatts from group captive arrangements and other smaller captive capacities. We expect to exit FY'25 with about 40% to 45% RE power share in our overall power mix on consumption basis.

Coming to the logistic cost. During the quarter, our logistic cost increased by about 2.7% on a Y-o-Y basis to INR

1,120 per ton due to supply to central market from Eastern plants upon discontinuation of JP tolling arrangement and also high clinker movement costs due to plant shutdown amidst debottlecking activities done during the quarter. Having said that, we were able to optimize our lead distance, which reduced from 2 87-kilometer in Q3 FY '24 to 269 kilometers in Q3 FY '25.

Our EBITDA during the quarter declined by 34.5% Y -o-Y to INR 511 crores, primarily due to weak cement prices. This works out to INR 765 on per ton basis. During the quarter, we accrued INR102 crores in incentives with collections totaling INR 122 crores. Also, in the quarter, we have received an extension of incentives for one of our plants for an additional 2 years e ffective from 1st April '24.

Consequently, an additional incentive of INR 14 crores has been accrued for the previous 2 quarters in this current quarter of Q3 FY '25, which is included in INR 102 crores. We are expecting total incentive accruals and collections to be around INR 325 crores for the full year. Incentive outstanding on 31 December declined to INR 760 crores.

The depreciation during the quarter was flattish on a Y -o-Y basis, but increased by about 8.3% Q-o-Q to INR 364 crores as certain equipments were replaced during the debottlenecking exercise, on which an accelerated appreciation was charged during the quarter, which led to this increase.

Full year depreciation for the current year is expected to be around INR 1,330 crores to INR 1,340 crores. Coming to the ongoing projects. We have increased our clinker capacity to 23.5 million



tons through debottlenecking at Kadapa and Rajgang pur. We are near commissioning our 2.4 million tons grinding unit in Northeast and 0.5 million tons in Bihar. Our clinker unit in Northeast is also in advanced stage, and we expect it to commission in Q2 of FY '26.

During the quarter, we have incurred capex of about INR 657 crores, with the majority being spent on the before mentioned projects. we expect capex for FY '25 to be about INR 3,000 crores, which is largely towards Northeast and Bihar capacity expansions, lands for future projects, and some cost reduction projects, besides the maintenance capex .

With regards to debt, as of 31st December, our gross debt increased to INR5,457 crores. Net debt also increased to INR 1,242 crores, resulting in a marginal increase in net debt -to-EBITDA at 0.55x. Our comfortable leverage ratio positions us well to initiate the next phase of expansion.
With this, I would now like to open the floor for questions. Thank you very much.
Moderator: Thank you. The first question is from the line of Rajesh Ravi from HDFC Securities. Please go ahead.
Rajesh Ravi: My first question pertains to the volumes. Sequentially, the volumes are flattish. Could you throw some light that given that seasonally, Q3 is expected to be better than Q2, why we haven't been able to deliver volume growth. And while the to lling arrangement with the JP has been stopped, but we are still shipping volumes from our East plants, so how much is the volume? And why should we not -- when we are already underutilized, why should we see that Y -o-Y we have still grown except tol ling?
Puneet Dalmia: I think as we said that the market growth has been in low single digit in our view. And if we look at this quarter, the sales volume from Dalmia plants has been around 3.7%. We are serving some of the central markets, but we are not serving all markets fro m Dalmia plants. And I also think that if I look at the 9 -month performance, our growth is ahead of the industry growth. So I think overall, there has been a macro slowdown. And that macro slowdown has definitely impacted overall growth for every company. However, I think on a 9-month basis, our growth has been faster than the industry.
Rajesh Ravi: Okay. And in terms of w

hat would be your clinker utilization for the 9-month period at least or maybe Q3?
Puneet Dalmia: I think we don't give our clinker utilization numbers. We share our cement volume numbers and our CC ratio keeps changing, depending upon what's the demand in the market and what product mix we sell.
Rajesh Ravi: And lastly, Dharmender, could share some of the housekeeping numbers like blended cement, traded cement, premium sales, the fuel mix and the CC ratio, please?
Dharmender Tuteja: Sure. CC ratio for this quarter improved to 1.7 0, which was 1.64 in the previous quarter. And trade sales, I already covered in my remarks, it improved to 66%. The premium product also has improved from 22.4% in the last quarter to 24.2% this quarter. The blended ratio has also improved to 85.1%, which was 82.7% in the preceding quarter.


Rajesh Ravi: The fuel cost?
Dharmender Tuteja: Per K caL was 1.31, which I covered in my opening remarks. And the road percentage is 87%.
Moderator: The next question comes from the line of Indrajit Agarwal from CLSA.
Indrajit Agarwal: My first question is on the accident at Rajgangpur. So what is the kind of impact? Is the plant up and running now? And what kind of maybe a volume or profitability impact we can see in 4Q?
Puneet Dalmia: I think, first of all, we have received the first assessment report, and it's a very unfortunate accident. Board has also acknowledged it, and we are taking action, and we fully remain committed to safe working environment. This accident happened in our power plant, which is a captive power plant. And that power plant is shut for now until we take all the corrective measures. It is not going to impact production in any way, but it may increase our power cost slightly because we'll have to pur chase power from the grid instead of supplying it from a captive power plant.
Indrajit Agarwal: Any quantum that you can highlight now?
Puneet Dalmia: No, I don't think we can highlight a quantum right now.
Indrajit Agarwal: Okay. My second question is on the management bandwidth and the transitions that we have seen of late, the recent one being of Mr. Bansal. So how are we rebuilding the team? Are we in advanced stages of hiring people? How do you see that pl anning out in the next couple of years?
Puneet Dalmia: I think Rajiv has been with us for 4 years. He had built a very strong team and a very strong process , internally. And I think our team is fully geared up to take forward the agenda that he started along with me and along with our entire leadership team. We are fully equipped to handle it. I think overall, as I said a few quarters ago, we are looking at su ccession planning in every role. We started this exercise with I taking over from Mr. Singhi.
And in all critical roles, talent is being mapped, and we are looking at proper succession planning and ensuring that we give opportunities to our internal people as well as wherever needed, we can -- we'll also recruit people from outside. So I think this is a full detailed planning, which is being done. And over a period of time, we will continue to give you more color on it as and when situations evolve. But I can say that in the last 12 months, I have personally gone very deep into the organization.
And I'm happy to see that there are a lot of committed and sincere people here. And we have been in this business for 80 years, and we have large ambitions to grow in line with the

opportunity that India offers. We have a very strong team. And wherever we need to further
strengthen it, we will strengthen it, and we will deliver on the ambitions that we have. We always
have delivered on the growth aspirations that we took. And I think now we are in a much stronger base with a much stronger foundation, and w e will deliver on the growth aspirations that we've
outlined for ourselves.



Indrajit Agarwal: Sure. And one last question, if I may. If I look at the monthly demand trajectory based on your on-field experience, has December been meaningfully better than October, November? Or is it more like well spread out through the quarter, whatever the demand i mprovement we have seen?

Dharmender Tuteja: It has been better. Of course, the overall quarter -to-quarter increase was not much, but definitely, things have started improving because the government spending till I think October had not picked up at a reasonable pace or rather there was a deceleration . And november onwards, spending has increased, which I'm hoping that should reflect in . December also has been somewhat better, but Jan, Feb, March should show better improvement.

Moderator: The next question comes from the line of Amit from Axis Capital.

Amit: On volumes, just wanted to check, like while you mentioned that you grew 3.7% on your own plants, how much of that would have gone to Central India? That was one as against, let's say, the 0.37 million tons that was from tolling? And was there any market share loss for you in any region?

Puneet Dalmia: I think, as I have said earlier, we don't share region -by-region data. But I can only say one broad point that we are not serving all markets of Central India from Dalmia because it is not long - term viable. Those are not the core markets. Some markets we are serving.

And I also want to say that the JPA tolling arrangement was in a more spread out market in both UP and Central India, which, from Dalmia plants, we cannot serve and will not serve. So I think to that extent, the addressable market is slightly less, but we can't share with you the regional numbers in state by state.

Amit: And earlier, I think you've been mentioning multiple times that you would be growing at 1.5x the market. So would you still hold on to that? Particularly given that last couple of quarters actually given it's been a tad weaker than that?

Puneet Dalmia: I think that's a great question. If I look at our 9-month performance, our belief is that the industry has grown around 1.5% to 2%, maybe and Dalmia growth on a 9- month basis has been around 4%.

Dharmender Tuteja: So that's entire trajectory remains on these lines, but of course, quarter -on-quarter, these changes may be there.

Amit: And the last question is on Northeast, how much capex would have been spent by now?

Dharmender Tuteja: The remaining capex to be spent in Q4 and the next year is about INR 1,800 crores.

Moderator: The next question comes from the line of Ritesh Shah from Investec Capital.

Ritesh Shah: Sir, a couple of questions on Northeast. I appreciate we don't give region-wise profitability, but if you could give some sense of utilization levels or directionally on the profitability and how much it does contribute at the company level. So that's the first question.



The second question is, what is our coal sourcing strategy specifically for the North east plants. The reason to ask this is there have been recent unfortunate events in the region. So just to ensure that we are insulated from any of those rathole , mining, which happened.

And lastly, again, the market leader has actually made indirect foray into the region. So what is our strategy incrementally to combat or ensure that our market share remains good and we also protect our profitability. These are the 3 buckets for Northeast .

Puneet Dalmia: I think first of all, we are unable to share region wise numbers. I can only say that we are one of the strongest players in Northeast with unmatched footprint and an unmatched cost structure and a great brand and distribution. I think we have seen that in almost every market, wherever we have done brownfield ex pansions, in markets where we are already pres

ent, those expansions have been very, very low risk. And it gives us instant access to distribution. It gives us here an established bran d. We have a low cost structure, and our ability to serve the market better than our competitors in this market gives us an advantage.

I think we are quite lucky that the timing of our investment is coming together with the likely surge in demand in Northeast. I think we are seeing a lot of announcement in hydropower projects. We are seeing a lot of announcement in infrastructure. And als o, there is a huge push from the government of India to secure our borders as well as create connectivity of Northeast with the m ainland.

So, I think all this all augers very well with the demand growth projection in Northeast. So I would just say that we welcome competition. Competition always keeps us on our toes, makes us more efficient. But I think we have to look at what will differentiate us, what will ensure that both from a cost structure standpoint, we remain one of the lowest cost producers.

And how do we ensure that we are able to serve our customers best with a good brand and a good distribution in place. And I think all these factors are well laid out in Northeast. We've been in that market for 10 years. we see this investment as a very attractive investment opportunity, timed with a market which is growing very fast.

Ritesh Shah: Sir, specifically on coal sourcing?

Puneet Dalmia: On coal sourcing, look, this is an accident which happened in a mine, which was being operated by some Local miners. I don't think we are doing any coal mining in Northeast. So this is something which local miners have to think about and worry about.

Dharmender Tuteja: So we have enough stock because in Northeast, we maintain enough 3 to 4 months of inventory for the fuel, and we are sure that there are enough sources which will not cause any disruption in the operations.

Ritesh Shah: Sir, would you like to highlight on our sourcing mechanism? Is it coal India? Is it imported, linkage? How should we look at that?

Dharmender Tuteja: There are multiple sources, but mostly, it is on the local miners as well as some portion comes from the Coal India subsidiaries, but that is very small.



Ritesh Shah: So, when we say local miners is it a smaller number, will it be possible for us to q uantify it? I'm looking at it more from an ESG standpoint. So it would give a lot of comfort, if you could help quantify this?

Dharmender Tuteja: Exact quantification , may not be possible, but there are ways in which government is also trying to bring some scientific mining. And in the medium to long term, I think that problem will get addressed.

Moderator: The next question comes from the line of Jashandeep from Nomura.

Jashandeep: Sir, I understand that you don't give region-wise data for Dalmia, but just wanted to understand how you are seeing the market industry as a whole, both in East and South for this quarter and going forward. I just want to understand whether East is perform ing better than South as a market? That's my first question.

Puneet Dalmia: So you want to understand the overall demand?

Jashandeep: Yes, sir.

Puneet Dalmia: I think, again, it varies state to state. And I think, again, in South, some states are growing, some states are degrowing. And in East also, we have seen that mixed bag. But in general, I think the East market has grown better than the South market so far .

Jashandeep: Understood, sir. And sir, my second question is on net debt. We have seen this quarter also, net debt has increased significantly . Last quarter also we saw that. So any major components for this net debt increase. And what's a sustainable net debt level that the company feels comfortable with?

Dharmender Tuteja: In the current quarter, the net debt increased, from the preceding quarter, ba

sically about INR 300 crores was due to the I EX price, which went down during the quarter. And other INR300 crores was because of the capex or other cost which were not fully covered by the internal cash accruals .

So I don't expect that even in spite of the capex , which is going to be spent in the coming quarter about INR1000 crores plus, our net debt is not going to increase by the end of the year. And even the next year also, only increase which will happen in net debt will be on account of the new capacity expansions. Otherwise, net debt will not increase.

Jashandeep: And just one last, I just want to reconfirm that the incentives for this quarter were INR 102 crores. Fourth quarter capex is around INR 1,800 crores, and FY '26 capex is around INR 3,000 crores . Is my understanding right?

Dharmender Tuteja: –In the total year, we said is about INR 3,000 crores. And till 9 months, we have spent about INR2,040 crores or so. So about INR1,000 crores capex will come in the Q4. And next year, capex will be in the range of about INR 2,500 to maximum INR 3,000 crores, but this will also include the land investment, which I'm not clubbing with the announcement of the new capacity.



So INR500 crores, INR600 crores of land also is covered into this. Otherwise, INR2,200 crores to INR2,500 crores capex in the coming year will be sufficient for us.

Jashandeep: Understood. And INR102 crores was the incentive amount for this quarter, right, sir?

Dharmender Tuteja: That's right.
Moderator: The next question comes from the line of Satyadeep Jain from Ambit Capital.
Satyadeep Jain: First, I just wanted to ask on volumes. As you can understand from all these questions, if we strip out the sales to Central India, it does look like in the core markets, Dalmia seems to have lost market share in this quarter. I just wanted to understand that in the last few quarters, there's been a lot of volatility, some quarters higher growth than the peers and lower pricing growth. Some quarters, it's the opposite. And there's been churn in management team.
There's been learnings from trying to enforce pricing discipline. I just wanted to understand what have all the learnings being from this volatility in the last few quarters? And the changes in the sales strategy? And how do you look at the stabilization i n team and strategy as you look at volume growth versus pricing in the next maybe 1 year or so?
Puneet Dalmia: I think, as I said, our long -term initiatives remain the same. We will continue to invest in a strong brand. We will continue to invest in a more retail distribution channel. And we will make sure that in each of our markets, we premiumize our product mix as well as continue our low -cost position. So I think our overall direction remains the same.
Quarter -to-quarter, there will be variations. And I think, my only feeling is that over the next 3 to 5 years, we want to build a culture where we can compete on practices and not on price. So I think we want to build a culture where distributors can work with us as long-term partners. And there are some anomalies in pricing in this industry, which we hope we can bring more transparency in. And I think these are initiatives which will take some time to play out. But our long-term direction remains the same.
And I think my overall learning in terms of the last few years has been that whenever we undertake a great -- like a big phase of expansion, the company has to reinvent itself. We have to see -- we have seen it from -- when we went from 1 million to 10 mil lion tons, you've seen it from 10 million to 30 million tons . Now we've reached 50 million. And I think the journey from 50 to 100 will be that of people, processes and culture, along with the very strong focus on governance and creating a foundation to manage a large institution. So I think we are

working
towards this diligently, and these are things which will play out over the next 3 to 5 years.
Satyadeep Jain: Fair enough. Second question would be on the processes. So there have been two separate incidents in the last week, including one in Assam also. And there has been other companies also including an incident in UltraTech earlier this year. So just as a comp any, you obviously have the " kawach " portal, you have several contractor audits and all. What do you think maybe remedial actions you think need to be strengthened for you and the entire industry to prevent some of these accidents. And do you have, in addition to net zero, everybody talks about net


zero. But is the industry talking about maybe lost time injury targets or safety targets for the next few years?
Puneet Dalmia: I think this is a matter which is of immense importance to me personally as well as our Board and our entire leadership team. We want to provide a very, very safe working environment where human life is immensely valued, and there is zero tolerance to any incident which causes a loss of human life.
I think apart from creating very strong processes and ensuring that people are well trained, and we continuously raise awareness about safety and create a lot of cross checks on this, I think there has to be personal ownership at every level to ensure this. and every incident needs to go back into a very rigorous root cause analysis and there has to be continuous learning from it.
So I would just say that we are taking a lot of steps in putting in a lot of management time on this to ensure that things don't happen, which are so tragic and which are so painful. But it is all about building a safety mindset right down to the grassroot level.
I mean I'll just give you a small example. I still see people when they're working, they use mobile phones. And I think we have banned this, and we've taken a decision to ban this in our plants. But again, implementing this with that kind of rigor is somet imes just make sure that the safety culture penetrates to the last level.
I can just say that this is a matter of serious, serious importance in the company and the whole group. And we will do whatever it takes to ensure that such incidents are absolutely eliminated, hopefully, and at least our systems and mindset to the last le vel is such that at its highest level of awareness of these issue.
I don't want to comment at an industry level. I think we want to learn from best practices across other industries as well. And I think I can just say that as a cement industry, everybody -- all my colleagues in the industry are also equally aware and -- feel very responsible about this issue.
Dharmender do you want to add anything?
Dharmender Tuteja: I think that has been discussed in a very, very serious manner in the entire leadership as well as across all plants. And the learnings are being replicated across other plants as a preventive

measures. And I think the whole team acts very, very high importance to ensure that we have no
loss of life as well as the lost time injury time also is minimized.
Puneet Dalmia: we are building safety champions in each zones of our plants. We are also ensuring that there is a lot of time spent in training people, and also not just our internal people, but also the contractors who work with us. And all our unit heads and our national manufacturing heads will have their
KRAs linked to this very, very important parameter.
Moderator: The next question comes from the line of Sumangal Nevatia from Kotak Securities.
Sumangal Nevatia: My first question is to understand our rationale of supplying in the central region. So are we still hopeful of winning back JPA? And if yes, if you could just share what is the update and the


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atus of the NCL T process and the JPA. And are we right in assuming that the supply to the
Central India would be at very low incremental margins versus our core regions.
Dharmender Tuteja: As you would have known in the public that first, there was an appeal against the admission of
NCLT by the suspended directors, which was declined by NCLAT. And I understand even the
Supreme Court has also not favored that. And on the loan side, banks have run the process of
selling their loans to NARCL. And so far, NARCL stands the undisputed bidder for this. And
we exp ect that this transition of loans to NARCL should happen in the next 1 or 2 months. And
I think that will quicken the process because there will be only one decision maker versus 25-
plus banks deciding overall matters which takes a very long time to decide.
And of course, we are still hopeful that we'll be in the fr ay to acquire cement assets of JAL. And
that is the reason we continue to maintain our presence in the markets which we can service from our East region profitably. And of course, these sales are a EBITDA accretive, but not EBITDA
per ton accretive. So naturally, the margins are lower than rest of the company earns on the
cement sales. But I think this is the right strategy we believe in.
Sumangal Nevatia: And sir, what sort of timeline are we looking at for this NCLT purchase to kind of go to the next
phase?
Dharmender Tuteja: It's very difficult to comment because there are total IBC process can take quite long, but there
could be other ways within the IBC.
Puneet Dalmia: And there are a lot of litigations also in this. So I think it's very hard to comment how quickly this process will conclude. But I think as Dharmender said, , as there are fewer decisionmakers
now. Hopefully, the process will get speed up, but it's very hard to comment how quickly it will
get concluded.
Sumangal Nevatia: Understood. Understood. My next question is on our expansion plan beyond 49.5 million tons .
So are we on track to give some firm plans on a bottom -up basis sometime in the coming quarter,
by end of the financial year? And do we expect some bit of organic plans in new regions like Central North in the next phase of expansion?
Puneet Dalmia: Sumangal, I think I have already said that we will share our plans in July. And, I think we will
stick to that timeline.
Sumangal Nevatia: Okay. I understand. I mean just following up, I mean, overall, from a capital allocation
framework, I mean, is the low utilization also a point of consideration? And given that we are
in the range of 60-65 %, maybe not able to grow beyond the market like always, is there a case
to delay expansion even beyond maybe next 1 or 2 years?
Puneet Dalmia: Sumangal, I've told you all that utilization is not the same across all regions. And I think please
trust us that we factor in utilization and market growth when we think about our expansion plans. So you don't have to worry about the fact and we make thes e investments with a long -term
horizon. and we are going to look at our capital allocation strategy along with our strong balance
sheet.


We have said that we don't want to take net debt to EBITDA beyond 2x until there is a large
acquisition or something strategic, which comes up. And I think we will stay within that capital
allocation framework. And yes, utilization and long- term demand gro wth and market structure
will play a role in our decision making.
Sumangal Nevatia: Got it. Got it. That is very reassuring. Just one clarification. Is there any amount of previous period incentive in this result? I think there was something mentioned in the opening remarks,
but I missed noting it.
Dharmender Tuteja: Yes. So in one of the plants, we got extension of the incentives effective from 1st of April. So there's accrual of incentives for 9 months. Of course, the previous

period is last 6 months, of which amount is INR 14 crores included in the INR 102 crores incentive booked.
Sumangal Nevatia: So it is booked in the third quarter?
Dharmender Tuteja: Third quarter, yes. INR 14 crores pertain to the first half of the current year.
Moderator: The next question comes from the line of Raashi Chopra from Citigroup.
Raashi Chopra: Just continuing on the incentive question. So these plants that you've got an extension for is for 2 years, you mentioned that.
Dharmender Tuteja: That's right.
Raashi Chopra: What should be the normalized level of incentive for the next year, FY '26?
Dharmender Tuteja: We're close to about INR 90 to INR 100 per ton .
Raashi Chopra: Okay. Secondly, on the volume side, anything for the fourth quarter in the sense like what are you expecting our full year volume growth to range?
Dharmender Tuteja: See, as we said that the Q4, we expect the growth to increase by about 6% to 7%. And of course, we had a, last year, high volume, but still we are optimistic that we'll be growing rapidly and show the growth in line with our trajectory, what we aspire to m aintain.
Raashi Chopra: 6% to 7% was for the industry, right?
Raashi Chopra: Sorry, just clarifying on the volume growth, is the 6% to 7% for the industry or for you or both?
Dharmender Tuteja: That is for the industry. we will not like to give a quarterly guidance, but I think as we said, we'll aspire to remain one of the leaders.
Raashi Chopra: Okay. Understood. On the power cost, anything for the fourth quarter? Will they be lower or flattish?
Dharmender Tuteja: It will be lower, of course, because the RE Power will increase. This quarter, we ended at 33%. And next quarter, we expect it to grow to about 40% to 45%.


Raashi Chopra: Okay. And just last question for me, are you still maintaining your cost reduction target of about INR150 to INR 200 over the next 3 years?
Dharmender Tuteja: That is right.
Moderator: The next question comes from the line of Pulkit from Goldman Sachs.
Pulkit: Most of my questions are answered. One question on the cost reduction INR 150 to INR 200 that you spoke of by FY '27. Now that you are at helm of things for of while, is most of this cost improvement coming via change in energy sources, logistics, et cetera? Or are there also internal costs which you think you could cut in order to achieve this? So how much of this is just change in power sourcing, et cetera? And how much of this is internal controls, et cetera, which could drive this kind of cost savings that you're targeting?
Dharmender Tuteja: So all this is primarily through the internal initiatives. So I'm not factoring any price changes in the pet coke or coal prices, which we, of course, see that this is for the entire industry. But all these initiatives which will come will be come in the f orm of some ROI improvement budgets, which will reduce the power consumption cost this heat consumption, et cetera. and there'll be some initiatives like the mixing, et cetera. And in the logistic also, we are progressing that the lead w ill get reduced and there are other initiatives which will bring down the cost.
Pulkit: For example, the leads will get reduced because if the expansion in capacity isn't significant, what is going to drive a reduction in leads?
Dharmender Tuteja: Focus towards the nearer markets.
Pulkit: Okay. And is there a rough breakdown of the INR 150 to INR 200/T across sub -segments, what you are thinking?
Dharmender Tuteja: Broadly , we have said that about INR 100 to INR 125 will be on the VC side and about INR 50 to INR75 will be in the logistics side . That's the broad breakup I have given in the July call.
Pulkit: Okay. And this doesn't include any sort of changes that Puneet spoke of in terms of how the dealership or dealer discounts, et cetera, should work? Becau

se I think there's some streamlining you're doing on that front as well.
Dharmender Tuteja: That is on the N SR part, that is a separate initiative, but of course, this is on the cost side, primarily on the variable cost and the logistic cost.
Moderator: The next question we have from the line of Rahul Gupta from Morgan Stanley.
Rahul Gupta: So one question for you, Puneet. And sorry for harping on this again. Can you help us understand how competitive landscape is evolving in East and South market specifically? Just trying to understand if you continue to grow at, say, 1.5x of industry will that come at the expense of cement prices over the next couple of years? I know you made a point that processes at culture shift would take 3 to 5 years. But just trying to understand what would happen over the next couple of years.


Puneet Dalmia: I think, look, again, in terms of the competitive landscape, I see 2 or 3 things. One, I think consolidation will continue. We have said this earlier also both because a larger part of the

organic growth will go to larger players, and there will be M&A. So I think that story is playing
out. I think consolidation will further accelerate in this industry.
The second part is, I think every industry goes through a time where the players prioritize volume over value. I think this is the time when everybody is aggressive and going for market share.
And I think there is added headwind because of the lack of dema nd growth in the first 9 months.
As you know, industry has grown at a low single digit, and first half was even worse.
So this is a phase that we are going through where the players are prioritizing market share over margins. And I think every industry goes through a phase where people will start prioritizing
margins over market share because beyond the level, market share will not deliver value. So , I
think if you take a long-term view, my conviction is that this consolidation and with the fact that
large players who are very rational and value -conscious and who have a value creation mindset,
are the people who are invest ing in this business.
And over time, my purpose is that this industry should deliver a very attractive return on capital. We have seen that in the past decade, this industry has delivered a return on capital in the mid-
teens. And I personally think that if I take a long- term vi ew, at least that's my conviction that's
why we are betting on this industry. My conviction is that the return of capital should be higher in the coming decade than the last decade.
Moderator: The next question comes from the line of Prateek Kumar from Jefferies.
Prateek Kumar: My question is on pricing ex incentive. So adjusted for -- let's say a higher incentive on a quarter -
on-quarter basis, prices appear higher by around 1.5%, 2% Q -on-Q. How do they stand on the
exit of the last quarter because December has seen meaningful pr ice increase, so which could
imply -- I mean -- and what kind of price increase assuming price remains stable in the fourth
quarter?
Dharmender Tuteja: As I said, this includes roughly about INR 14 crores of incentive pertaining to the first half
because in one of the plants, we got this incentive from the effective effect 1st April. So INR102
crores includes INR14 crores of the previous quarter. And as I said, our guidance for the current
year is we expect incentive to be around INR 325 crores because quarter 4, the volume increases
to match with impact of the incentive also slight increases. And even coming year also, we can expect INR90 to INR100 per ton kind of incentive to be there.
Prateek Kumar: No, my question was around pricing actually. So adjusted for one -off incentive, the price
increase Q -on-Q is around 2%. The exit price being high, what is the kind of implied price for
fourth quarter, assuming they remain stable througho

ut the quarter?
Dharmender Tuteja: I would not like to speculate. Of course, efforts will be to increase the prices, but in line with
market, whatever will be there. So , we are expecting the caution prices for this forecast.


Prateek Kumar: Okay. And just one question on competitive intensity in South India. So other regions they all
have seen some price increases, South continues to like sort of struggle on increases. How do
you see competitive intensity I mean, the ramp -up of large peers in the space?
Puneet Dalmia: Look, we expect competitive intensity to absolutely increase in South India. There have been
companies which were underperforming, which have been bought by large companies with
strong balance sheet and better management teams, better brands. So , I think both Penna & India
cement s I think we expect a ramp up in terms of volume to take place.
And there is the demand growth at this point in time is not supporting a large volume expansion.
So I think there will be heightened competitive intensity in South India without any doubt. And I personally think we have to be prepared for low prices potent ially in that market.
Prateek Kumar: So through the FY '26, because investment is not yet acquired really. So through the FY '26, the
South may remain sort of worst impacted ?
Puneet Dalmia: It depends on demand also. I mean, as I said, we expect that the companies which have been
acquired will -- their capacity will get ramped up. And depending upon demand, how demand
shapes up, prices could be volatile.
Moderator: The next question comes from the line of Shravan Shah from Dolat Capital.
Shravan Shah: Yes. Sir, just to reconfirm, so to reach 75 million tons by FY '28, 25 -odd million tons , so broadly,
correct me if I'm wrong, INR 16,000 crores to INR18,000 crores kind of a capex we need to do.
So just wanted your broader assumption, if you can help us in terms of how much, in terms of the net debt, we can increase because previously, we are talking about our net debt -to-EBITDA
should not cross 2x.
so that means if you can broadly help in FY '26, '27, '28, how much kind of operating cash flow
are you assuming so that your net debt EBITDA will not reach? Or is it possible that there is a
chance, even if we don't get the Jaypee back to us, this will further get delayed maybe FY '29 to
reach a 75 million tons ?
Puneet Dalmia: I think we will give you the full road map by July. So please be patient till then. And we will tell
you how our balance sheet will also look. We have told you that our broad capital allocation

policy will remain the way we have outlined. We are going to s tick to that discipline, and we will share with you the full detailed plan by July. So please, wait till then .

Shravan Shah: Okay. And then sir, is it possible to share any thought in terms of the FY'26 industry-level growth? Will it be 7% close to that? Why I'm asking is that 2 things: given the kind of 120- odd million ton plus kind of industry level capacity will be added, how this will -- so obviously, the incremental demand is less versus incremental supply. So in terms of the pricing, how this will also impact the pricing going forward. Do you see that there is still a structural chance that cement prices can g o up?

Puneet Dalmia: Can you repeat your question? I didn't fully get your question. Can you please repeat it, Shravan?



Shravan Shah: Yes. Two things, sir. What is our expected industry level growth in FY '26? given that close to 120-odd million ton capacity will be added in FY '26 and '27, do you still think that there is a structural chance of cement pricing going up because incremental supply is much, much higher versus incremental demand?

Puneet Dalmia: So, look, it's too early to say, but I would just say that

if the GDP growth picks up, we think that the demand growth would be in the range of 6% to 8% next year. And in terms of capacity additions and demand growth not keeping pace and there could be a slig ht oversupply. I don't know if your number of 120 million is correct or not.

But I think , I had said a few quarters ago that we are going through a phase where there are short -term headwinds and the supply growth will exceed demand growth in the short term. But I think if you look at a slightly longer term view, always averages out, and we thi nk over the 5- to 7-year period, the capacity utilization of the industry should gradually go up.

Shravan Shah: Okay. Okay. Got it.

Puneet Dalmia: In the broader framework, we are seeing that larger companies will outperform the smaller companies and consolidation is continuing to happen. So I think our thesis remains the same...

Shravan Shah: Yes, because that's the main thing because if we keep on adding the 25 million ton by FY '28 and if we are not able to see the kind of support from the cement prices, then in terms of the ROCE, which we are looking at to further improve, obviously, longer -term possibility is there, but at least in the next 2 to 3 years, don't we see tha t it will be on the lower side?

Puneet Dalmia: Again, as I just said, I mean whatever investments we choose to make in whatever region, they are not made with a 2 - to 3-year s' time frame. We have to take a slightly longer -term view.

There will be some investments in newer regions consistent with our pan-India footprint strategy. There could be some investments in our existing regions to get a correct diversified footprint.

So I think again, when investments are made, we look at a long-term ROCE through the cycle. And I personally believe, and, I have the conviction that the ROCE that this sector is likely to deliver in the next decade because of all the consolidation and the fact that India will offer long - term structural demand growth with multiple drivers like infrastructure, housing, manufac turing and private capex , I personally think that the ROCE that this sector will deliver over the long term in this decade will be hi gher than the last decade. That's the conviction that we have and that's the strategy that we will pursue.

Moderator: The next question comes from the line of Jyoti Gupta from Nirmal Bang Securities Private Limited.

Jyoti Gupta: I had 2 questions. One is, I understand that the East has not grown and while you have a larger market share in the East, somewhere we've seen something like a 4% to 5% growth in the East in third quarter. However, you still see a decline in your overall volumes. how do you think the fourth quarter panning out for you specifically, as you say the volumes will not be impacted because of this coal incident, but how do you see the fourth quarter panning out?



And second thing is even with the decline in volumes, I don't see a hit from the fixed cost absorption side. So what has really changed on the fixed cost side, I mean, your other expenses, which has seen a decline of 6%. Could you please explain me that?

Dharmender Tuteja: On the fixed cost side, we have been taking care of our expenses to keep them controlled. So that is one of the reasons. And of course, the number of shutdowns which are higher in Q2 have reduced in Q3. So that is also partly to explain that this cost is under check.

Jyoti Gupta: What kind of expenses have actually come down? I would wanted to understand what kind of expenses have you actually anticipated, which you have actually cut down the third quarter. Any details could you just provide us?

Dharmender Tuteja: Hiring is also under check. We are not increasing the hiring. Marketing costs are also being seen in line with what it can lead in terms of productivity. ATL , BTL expenses are being reviewed a

nd being expensed. There, we got the highest productivity. And of course, the stores and spare consumption in the plants and all these expenses also are being kept under check that the cost are kept to the bare minimum .

Jyoti Gupta: Okay. And how do you see fourth quarter? How has been the first 15 days for you ?

Dharmender Tuteja: So, the quarterly guidance we will not give, but as we said that the market will see increase of about 6%-to 7% at least and we should be growing much faster than that from the current quarter.

Jyoti Gupta: So but then we have not grown in the third quarter because East region, while it has been still positive at a single digit, maybe a low mid -single digit, we have actually given a negative Y -o-Y growth. So how confident are you...

Dharmender Tuteja: As said that , quarter -to-quarter, it's difficult to measure all these parameters on a consistent basis. But in a directional sense, this growth will be seen.

Moderator: Thank you. Ladies and gentlemen, we take the last question from the line of Navin Rameshwar Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo: one last question indeed on realization. Just requesting more color here because the reported realizations are broadly 3% up quarter -on-quarter. Previous quarter incentive was around INR 61 crores. This quarter is INR 102 crores. So if I adjust for this INR 40 crores incremental and volumes being flat, realization is up around 1.5% or 1.7% quarter -on-quarter.

So, my question, sir, is, if you can just give a broad breakup or throw some light as to was it driven by trade or nontrade did the better of it to help this increase? Directionally, what it south or east? And last bit is how are the current realizations vers us the average of the previous quarter. That would be all.

Dharmender Tuteja: So even if you take out this incentive increase, which happened on the first half, INR 14 crores being booked in this quarter, if you remove that, our growth in the NSR is in line with the price



improvement, which we saw in the quarter because of the December price increases. So , we expect that there's a bit more prices which have increased, should sustain in the current quarter.

Navin Sahadeo: And just last bit, current realizations, as we speak, how could they be -- because the December, the price increase was in December?

Dharmender Tuteja: Again, these are in line with the December numbers.

Moderator: Thank you. Ladies and gentlemen, we have concluded the question-and -answer session. I now hand the conference over to Mr. Puneet Dalmia for his closing comments.

Puneet Dalmia: Thank you very much. I just want to say one thing. At least, over the last 2 decades, when I have been in this business, I have seen many ups and downs. And I have learned only one thing that when things are going great, you should not get too arrogant. An d, when things are going a little down, you should not get too disappointed.

This is an industry where you have to keep your head down, your conviction strong, and keep executing while blocking out noises. So I think our strategy continues to remain in line with our conviction that India will offer high volume growth, this industry will consolidate, and this industry will deliver good ROCEs in the coming decade. So I think we want to just keep our head down and execute on that. And we, again, thank you all for your interest in us. Thank you very much.

Moderator: Thank you. On behalf of Dalmia Bharat Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

## Call: May 2025

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1010/02 April 26, 2025
BSE Limited
P J Towers, Dalal Street,
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Scrip Code: 542216 National Stock Exchange of India Limited
“Exchange Plaza”, Plot No. C-1, Block G
Bandra – Kurla Complex, Bandra (East),
Mumbai – 400 051
Symbol: DALBHARAT
Subject: Transcript of Earnings Conference Call for the quarter and year ended March 31, 2025
Ref: Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”)
Dear Sir/Madam,
In terms of Regulation 30 of the Listing Regulations, please find attached transcript of the Earnings Conference Call held on April 24, 2025, for the quarter and year ended March 31, 2025.
The same will also be uploaded on Company's website: www.dalmiabharat.com .
Kindly take the same on record.
Thanking you,
Yours sincerely,
For Dalmia Bharat Limited
Rajeev Kumar
Company Secretary
Encl: a/a



“Dalmia Bharat Limited Q4 FY25 Earnings Conference Call”

April 24, 2025

MANAGEMENT : MR. PUNEET DALMIA – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER , DALMIA BHARAT LIMITED
MR. DHARMEND ER TUTEJA – CHIEF FINANCIAL OFFICER , DALMIA BHARAT LIMITED
MS. ADITI MITTAL – HEAD INVESTOR RELATION S, DALMIA BHARAT LIMITED

Dalmia Bharat Limited
April 24, 2025

Moderator : Ladies and gentlemen , good day and welcome to the Earnings Conference Call of Dalmia Bharat Limited for the quarter and year ended 31st March 2025.
Please note that this conference call will be for 60 minutes and for the duration of this conference , all participant lines will be in listen only mode. This conference call is being recorded and the transcription may be put on the website of the company. After the management's discussion, there will be an opportunity for you to ask questions. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.
Before I hand over the conference to the management, I would like to remind you all that certain statements made during the course of this call may not be based on historical information or facts and may be forward looking in statement. These statements are based on the exp ectation and projection and may involve a number of risks and uncertainty such that the actual outcome may differ materially from suggested by such statement.
On the call we have with us today Mr. Puneet Dalmia – Managing Director and Chief Executive Officer ; Dalmia Bharat L imited, Mr. Dharmend er Tuteja – Chief Financial Officer, Dalmia Bharat L imited and other management of the company.
I would now like to hand the conference over to Ms. Aditi Mittal – Head Investor Relation s. Thank you and over to yo u, ma'am.
Aditi Mittal : Good morning . Welcome to Da lmia Bharat's earning call for Quarter 4 and full year FY25. Our Results have been uploaded on the website along with the press release and the Earnings Presentation . Hope you have been able to download and go through the same .
With this , I will hand over the call to Mr. Dalmia for his opening remarks. Thank you.
Puneet Dalmia: Thank you , Aditi. Before I start, I want to say that we strongly condemn the terrorist attack in Pahalgam. Our hearts go out to the victims and their families during this very difficult time. May God give them strength and courage to face this very difficult moment. The entire country is standing with them.
Now I want to get to our Earnings Call and Results for this year and this quarter :
Based on the key indicators, economic activity seems to have picked up in Q4 of FY25 following a relatively muted first half. This momentum has supported the overall economic performance for FY25 and it is believed that the full year GDP growth should be around 6.5%. While the global macro situation is facing some uncertainty, India seems to be relatively better placed considering that it has its own large captive consumption base and a reasonably strong manufacturing base w ithin the country. The likely bilateral trade agreement will also be an added cushion . As per the RBI's recent estimate, India could still achieve its projected growth of 6.5% for FY26. In this context, the cement demand is unlikely to be affected majorly by these global



disruptions. I continue to believe that India is a multi -decade story, and short -term disruptions should not deviate the focus. Looking ahead, a sustained rise in investments, both government and private, robust job creation and improved co nsumption will be the key growth drivers for our country .
During Q4 of Financial Year '2 5, I believe that the cement demand grew at 7 % to 8% on the back of increased government spending and pent-up demand following the festive season in November. As you are aware, the first nine months of the year were relatively slow with the growth in demand being around 3 % to 3.5% and the full year cement demand will be around 4 % to 5% Y OY growth. GDP growth is p rojected at around 6.5% for Financial Year '2 6 and the cement demand is anticipated to grow by around 7 % to 8% during the next year.
Now coming to

the industry supply side :
Over the past 3 years the capacity share of the top four companies has grown from approximately 47.5% in Financial Year '2 2 to nearly 57% in Financial Year '2 5. In Financial Year '2 5 alone we witnessed 52 million tons of capacity changing hands.
Looking ahead, I expect consolidation to continue, driven not only by acquisitions but also by organic expansion as larger players scale up capacity more rapidly than the other smaller companies. Over the next 2 years the top four companies are likely to account for approximately 60% of the industry's total capacity. In this backdrop, we have com missioned a Phase I of expansion milestone of 49.5 million tons per annum with the commissioning of 2.4 million tons per annum grinding unit at Lanka, Assam and 0.5 million tons grinding unit in Bihar during Q4.
We have recently announced capacity expansio n of 3 million tons per annum at our existing plant in Belga um, Karnataka along with a new greenfield 3 million ton per annum grinding unit in Pune, Maharashtra which is expected to be commissioned by end of Financial Year '2 7. This 6 million tons per annu m expansion will cater primarily to newer markets in Maharashtra in line with our vision to build a pan India cement company .
Coming to business performance :

In the last few quarters we have been actively strengthening our dealer network and distribution channels while investing in brand -building initiatives. Some of our key initiatives included the rebranding of Dalm ia Cement as RCF Exp ert, rolling out new cement packaging across all locations and enhancement of multiple reward and incentive schemes for our dealer network. These strategic investments are being done for the future and will help us in delivering strong growth in the years t o come with a healthy balance between volume and profit .

Speaking for the year gone by , while our overall sales volume for Financial Year '2 5 improved by 2% on a Y OY basis, if you look at the volume growth from Dalmia plants, the volume growth came in at 6 % as against the industry growth of around 4 % to 5%. In Financial Year '2 6, we



will be working towards delivering a more consistent and sustainable profitable growth. A quick comment on pricing :

We have seen an improvement in prices this quarter. We remain reasonably optimistic about the stickiness of the recent price hikes and believe that the absolute level of consolidation should eventually aid in better pricing.

On the cost side, Dalm ia is one of the lowest cost cement producers and we are working to deepen this position further . In order to reduce our cost by Rs. 150 to 200 per ton over the next 2 years ' period , we are working on different strategies including consuming more renewable energy, improving our heat and power consumption rates and optimizin g our logistics. During the current year we should be able to realize around half of the above efficiency gains.

Before I hand over the call to Dharmend er, I want to mention that as a part of our commitment to continuously strengthen workplace safety and foster a safer working environment, we are undertaking a safety excellence program across our operations. This initiative is aimed to further enhance the e ffectiveness of our current safety SOPs, reduce unsafe practices and embed a stronger safety culture across all sites. Ensuring the safety and wellbeing of our employees remains a top priority and we are fully committed to continuously improving the qualit y of life at our plants.

Thank you and over to you Dharm ender .

Dharmender Tuteja: Thank you Puneetji .

Let me give an overview of our performance :

During the quarter , our sales volumes de -grew by 3% Y OY to 8.6 million tons. While if you look at the sales from Da lmia plants , i.e. excluding the tolling volumes from JP last year , our volumes grew 4% YOY in Q4 FY25 . On a ful

l year basis our volumes grew by 2% YOY overall

and 6% YOY if we consider sales from Dalmia plants only . Our Revenue declined by 5% YOY to Rs. 4,091 crores in Q4 due to softening of cement prices on a YOY basis and lower volumes. However, on Q oQ basis our revenues improved by 28.6% supported by both volume and price increases .

For the full year softness in prices during FY25 led to our revenues declining by 4.8% Y OY to Rs. 13,980 crores. As Puneetji mentioned, we have taken a lot of initiatives for improving the quality of sales for our company. During the quarter , our premium product mix improved to 24% from 21% in Q4 FY24 and the trade mix improved to 67% from 65% last year.

Moving on to the cost line items :



Our raw material cost per ton of cement production declined by 4% Y OY to Rs.743 primarily due to reduction in fly ash and limestone raising costs. Going forward, raw material cost will see an additional impact of tax on minerals as has been imposed by the state in Tamil Nadu. Basis the notification , The impact is Rs. 160 per ton on the limestone that is mined in the state of Tamil Nadu which translates to about Rs. 130 crores annual ly for the company. Power and fuel cost per ton of cement production also declined by 7% Y OY during the quarter to Rs. 945 per ton , primarily due to the decline in fuel consumption cost from $114 per ton in Q4 FY24 to about $95 per ton in this quarter and also improvement in RE from 34% to 39% during the quarter. The blended fuel cost during the quarter declined to Rs. 1.30 on a kcal basis. Our CC ratio also improved from 1.67 times in Q4 FY24 to 1.69 times in Q4 FY25. Fuel prices have started inching up in the last couple of months while the Q4 consumption rate stood at $95 per ton. The spot prices are very volatile amidst the ongoing global macroeconomic uncertainties.

We continue to add renewable power capacity through both captive and group captive methods . During the quarter we have commissioned 2.2 megawatt of solar power capacity at Lanka , Assam. Besides this, 13 megawatt s of RE capacity is also commissioned under group captive arrangement during the quarter . This takes our total operational RE capacity to 267 megawatts .

We expect to reach 595 megawatt s of operational RE capacity by end of FY26.
Coming to the logistic cost during the quarter :
Our logistic cost declined by about 2% YOY to Rs. 1,135 per ton. T his is due to an increase in direct dispatch from 56% in Q4 FY24 to 61% in Q4 FY25 and a reduction in lead distance from 289 km in Q4 FY24 to 277 km in the preceding quarter. However, some benefit of it is offset by a higher amount of clinker movement to t he Northeast region due to an unplanned shutdown.
During the quarter our EBITDA improved by 21% Y OY to Rs. 793 crores as the impact of lower prices and volumes was offset by better cost management. The EBITDA works out to Rs. 926 on per t on basis. This translated to an EBITDA margin expansion of 420 basis points on a YOY basis to 19.4% in Q4 FY25 . On a full year basis , EBITDA declined by 9% YOY to Rs. 2,407 crores which is Rs. 820 per ton.
Our profit after tax stands at Rs. 699 crores durin g the year against Rs. 853 crores in FY24.
During the quarter we accrued Rs. 99 crores in incentives with collections totaling Rs. 119 crores. Total accrual during FY25 was Rs. 336 crores and collections against the same was about Rs. 307 crores. During FY 26 we expect total incentives accruals will be about Rs. 300 crores .
Incentive outstanding at the end of the year was Rs.743 crores.
Depreciation for the quarter declined by 4% YOY and 14% QoQ to Rs.- 314 crore s, primarily due to the full amortization of goodwill last quarter which was previously recorded at Rs.51 crores per quarter. The full year depreciation for FY26 is expected to be around Rs. 1,300 crores.
Coming to the ongo

ing projects :

We have commissioned our 2.4 million tons grinding unit in Northeast . This makes us the largest cement producer in the fast-growing Northeast region. The clinker unit at Umrangso is also near completion and expected to commission in Quarter 2 of FY26. We have also commissioned 0.5 million ton of grinding capacity at Bihar which is lucrative market in terms of profitability. With this our closing capacity now stands at 49.5 million tons.
During the year we have incurred CAPEX of approximately Rs.2,664 crore s with a majority of being spent on the before mentioned pr ojects. Besides this Rs.98 crore s investment has been done in equity SPVs of group captive RE projects. As Puneet ji mentioned, we have embarked on the next phase of expansion with the announcement of Belgau m and Pune expansion of 3 million ton s each. We ex pect FY26 CAPEX to be about Rs. 3,500 crores which will largely be spent on expansion at Belga um and Pune, clinker line at Umrangs o and some land for the future projects , besides some cost efficiency investments and maintenance CAPEX .
We closed the year FY25 with gross debt at Rs. 5,279 crores , i.e., an increase of Rs. 629 crores as compared to March '24. Net debt as on 31st March was Rs.716 crores and the resultant net debt to EBITDA is at 0.3 X. I also wanted to share an update one of our legal matters. In April 2025, ED has issued a Provisional Attachment Order amounting to Rs. 793 crore emanates from a case originally registered by the CBI in 2011 which involves certain allegations relating to the company's investments in Bhar athi Cement. We would like to clarify that this order does not impact the company's running operations. We will take appropriate legal steps to defend our position . In our opinion and basis legal advice, no offense is made out against DCBL and we do not expect adverse outcome for the case.
Lastly, in line with the capital allocation framework the board has proposed a final dividend of Rs. 5 per share which is subject to the approval of the shareholder in the ensuing AGM. T his is in addition to the interim dividend of Rs. 4 per share. Total dividend declared for the year including interim dividend is Rs. 9 per share.
With this now I open the floor for questions. Thank you very much.
Moderator : Thank you very much . We will now begin the question -and-answer session. The first question is from the line of Rajesh Ravi from HDFC Securities. Please go ahead.
Rajesh Ravi: Hi sir. Good morning. S ir, the first question is housekeeping question . Could you share what was the per kcal costing in Q4 and the blended cement mix in this quarter ?
Dharmender Tuteja: Yes, per kcal cost on the last quarter was 1.30 and the blended percentage is 84% .
Rajesh Ravi: And sir this pet coke prices which have gone up recently what sort of impact you a re looking at? What is the pet coke share in the fuel mix?

Dharmender Tuteja : See the world economic scenario is in front of everybody . Nobody is aware of how the economy impact will be there because the tariffs today are up today, tomorrow is down. So, with these changes nobody can predict what end scenario will be there. So, there could be some upward price increase but it's difficult to gauge as of now .

Rajesh Ravi: That's true. Basis the current price increase in the January -February -March we have se en pet coke prices going up by 20%. So, what sort of impact because , so first what is the pet coke share in the fuel mix?
Dharmender Tuteja : See the prices have gone up and we expect some marginal increase in the per kcal cost blended cost which I had mentioned . But I think difficult to quantify the impact as of now because the situation remains volatile , every week prices are going up or down.
Moderator: Sir, d oes that answer your q

uestion?
Rajesh Ravi: I am seeing the group captive power which you h ave announced . What would be the landed cost from the group captive power cost?
Dharmender Tuteja : It varies from about Rs. 3 to 4 depending on the areas of operations and depending on the levies of the respective states.
Rajesh Ravi: Okay and lastly in terms of your volume growth outlook , any guidance for FY26 what sort of number you are looking at given that you are looking at industry to grow to 7 % to 8% ?
Dharmender Tuteja : We will be putting our house in order and I think we expect to give a good perf ormance . But I think doesn't make sense to give a hard number which in the past we have seen that situation remained volatile. The focus will remain how to ensure balance of profitability and the volume growth which Puneet ji covered in his opening remarks .
Rajesh Ravi: Okay, last question on the expansion plan s. You have announced , see the Northeast will be completing in Q2 and you have recently announced 3,500 crore s for the South expansions , so for the FY26 -27 together what is the total CAPEX outgo one should look at ?
Dharmender Tuteja : The total range I have given is 3 ,500 crores which should take care of all majority growth.
Rajesh Ravi: Okay, full year basis FY26 , 3,500 crores.
Dharmender Tuteja : Yes.
Rajesh Ravi: Okay this tax notice which you have received for the Northeast plant, how do you look at them?
Dharmender Tuteja: Yes, I think it should get quashed in due course.
Rajesh Ravi: That' s all from my end . I will come back in queue.

Moderator: Thank you. Ladies and gentlemen, in order to ensure that the management is able to address questions from all the participants, please limit your question to two per participant. If you have a follow up question, I would request you to rejoin the queue. Th e next question is from the line of Devesh Agrawal from IIFL Capital. Please go ahead.
Devesh Agrawal: Good morning, everyone and thank you for the opportunity. Sir, my first question is basically on pricing. So, on a Q oQ basis my calculation, I think we had seen a lower increase in the prices versus what w e were seeing for the regions. So, could you share how much was your pure cement realization growth on a Q oQ basis? And how did this stack up versus the regional hikes that you have seen in your core re gions?
Dharmender Tuteja : See, the prices have marginally improved in eastern region and while in the South they remain ed low. O n an average, I think they remain ed flattish and maybe very minor uptick. But we are hopeful that in the current quarter prices should improve. But of course, we remain cautiously optimistic and s ituation remains volatile on the prices.
Devesh Agrawal: And what has been the current price increase v ersus 4Q average ?
Dharmender Tuteja : Varies from region to region but it's too early to say. It has increased by about Rs. 10 to 15 on average. But whether they'll stick or not we need to see. I think the trade channel checks that every month and it . will give a better picture because we will discover it month to month.
Devesh Agrawal: And again, you mentioned adjusting for JP tolling volumes. Your volume growth was 4% on a YoY basis. This again seems to be lower than the industry volume growth. So, is it because of the regional mix that your volume growth is lower or is it that you have lost market share in your core markets?
Puneet Dalmia: I think quarter to quarter things change a little bit. But if I look at the whole year , our growth has been 6 % as against the industry growth rate of 4 % to 5%.
Devesh Agrawal: Right sir. And s ir finally on this, what would be your total clin ker capacity at the end of FY25? How much are you targeting to add in FY26 and how do you see the ramp up in your Northeast recently commissioned capacity?
Aditi Mittal

: Right now, we are at 23.5 and we have closed the year at 23.5. Now 3.6 will get commission ed in Northeast during Quarter 2 of FY26. So then next year we will close at 23.5 plus 3.6, which is 27.1 .
Devesh Agraw al: And the ramp up in the Northeast plant ?
Aditi Mittal : So, the grinding unit just got commissioned in the quarter that has just gone by. Northeast is a great market for us. We are one of the leading producers of cement and the largest cement company now. So, I think we will be able to ramp it up pretty comfortably.

Devesh Agrawal: Okay, thank you.
Moderator: Thank you. The next question is from the line of Rahul Gupta from Morgan Stanley. Please go ahead.
Rahul Gupta: Hi. Thank you for taking my question. Two questions. I know you don't want to discuss what ailed volumes growth during the quarter. But can you please help us understand from the context of how to look over the next couple of quarters , number one. N umber two, now that you are moving away from guiding on volumes for full year, how should we look at earnings trajectory on back of let's say Rs. 75 to 100 cost improvement that you have guided for next year? Thank you.
Dharmender Tuteja: See, the reason for not giving a firm guidance on the volume for the next year was that we will try to balance the objectives of the growth as well as profitability . And of course, considering the backdrop of the industry volume growth and the leading players growth, maybe you can have your own estimate about our volume growth and in terms of margins of course, Rs. 75 guidance we have given in terms of the cost reduction and whateve r price improvement comes that can be added on top.
Rahul Gupta: Thank you. And what about any specific reasons of relatively weaker volumes during the quarter? I am asking this question more from the context of , if consolidation is theme for the near future, then how should we think about your volumes? Thank you.
Dharmender Tuteja: As Puneetji said, that quarter to quarter situation may change but overall, we should be able to show a respectable growth in line with or better than the industry growth whic h remains volatile.
Rahul Gupta: Thanks. Th is answers my questions. Thank you.
Moderator: Thank you. The next question is from the line of Amit M urarka from Axis Capital. Please go ahead.
Amit Murarka: Thanks for the opportunity. So , my first question was on volume again but actually I had a different take on volume because I see that your volume has grown 28% Q oQ, which is the same thing last year Q4 as well. So, like is it that there was some volume push in the quarter and I also see that your realiza tion is flat QoQ, whereas East saw a 3% price hike. I just wanted to understand why was realization flat and was there some volume push that was done in the quarter?
Dharmender Tuteja: The realizations have been flat because the market which we operate in South practically didn't see any price increase. Rather some erosion also happened. But whether any volume push was there, I don't think it was at the cost of profitability because the margins have improved . Unlike the previous year, same quart er we had increased the volume significantly, but it was at the cost of the margins. So, this time you can see that the quality of sales has also been kept in view .

Amit Murarka: No, but even this time the realization is flat but East saw decent price hik e actually in March , I believe like end of February, early March. But that's not reflecting in the realization and the margin is improved largely I think because of the overheads and operating leve rage gains. So, I just wanted to understand why was realiza tion flat basically QoQ?
Dharmender Tuteja: Yes, the prices have improved in North region where we are not present and in East.
Ami

t Murarka: Even in East, I think.
Dharmender Tuteja: Yes, but it was negated by the price drops in the South also. South had very competitive environment during the quarter. So overall practically it was a flattish in terms of price rise.
Amit Murarka: Got it. And the CAPEX of 3,500 that you mentioned , would you be able to give some breakup as to how much of a bit will go to Northeast and how much to Belg aum and other projects?
Dharmender Tuteja: I think cons olida ted number I have given so it's majority towards the growth CAPEX which is Belg aum as well as Northeast . Individual breakup we would not like to give.
Amit Murarka: Okay, sure. And would you stick with your guidance of coming back with the bigger capacity expansion plans in like June -July is what you had been mentioning ?
Dharmender Tuteja: Yes, definitely. So next quarter will fully detail out our plan of capacity creation till FY28 along with the balance sheet impact of that.
Amit Murarka: Sure. Thank you very much. I will come back in the queue.
Moderator: Thank you. The next question is from the line of Sumangal N evatia from Kotak Securities. Please go ahead.
Sumangal Nevatia: Good morning, everyone. Thanks for the time. The first question is on the P&L, the other expense on a per ton basis has dropped quite significantly. So, anything t o note here or any one off write back or anything?
Dharmender Tuteja: No. S umangal, basically it is on account of the operating leverage as the volume jumped up by

about 28%. So, this is reflected in the per ton drop. And of course, Q2 and Q3 are normally the quarters where some shutdowns take place and the cost goes up and Q4 is normally you don't have the shutdown so naturally the cost comes down.
Sumangal Nevatia: Understood. The second question is overall on the next 2 years cost saving which we are s pelling out at around Rs. 150 to 200. Is it possible to share what is the breakup? I mean how much is led by RE and few other heads ?
Dharmender Tuteja: Sorry Sumangal, c an you repeat that question? I missed it initially.



Sumangal Nevatia: Yes. So, my ques tion is on the cost efficiency and cost saving which we are guiding at around Rs. 200 per ton over the next 2 years. Is it possible to share some breakup in terms of how much is RE and other heads?
Dharmender Tuteja: I think in my earlier call I had mentioned that roughly 50%-50% you can assume from VC and the logistic cost. There are multiple variables working at play. Of course, RE will be one of them, but I think specific numbers are not important right now.
Sumang al Nevatia: Okay and half of it is what we are expecting to realize in FY26 itself , right?
Dharmender Tuteja: Yes.
Sumangal Nevatia: Okay, understand. And just one last question on overall utilizations. So, if you see in the last few years our utilizatio ns have dropped from 70 % to currently around 60 % odd. So, I mean just strategically do we have an eye on this m etrics as well? I mean going forward, our expansions, I mean are we looking to tie it up with, I mean utilization then eventually getting into so me sweet spot of 70 %-75% levels or should we expect this level of utilization and maybe growth and expansions to kind of tie up?
Puneet Dalmia: Sumangal, I have said this earlier also. I think we will focus on capacity creation where we think our utilizat ions are higher and we will balance profitability and volume growth as we go forward . Market by market the situation is very different, and we will take a balanced view in every market depending upon what our immediate objectives are and what our long-term objectives are. So, I think there is no sense in creating capacity where you already have unsold capacity. I think we are very clear about that. We will create capacity where we think we have a cost-competitive position and we have

a better cost structure to serve the market and we have a more reliable service that we can provide to our customers. So, I think given all of this you will see a very balanced approach in terms of capacity creation and a very balanced approach in terms of profitability and volume growth .
Sumangal Nevatia: Got it. That's very helpful. Thank you and all the best to the team.
Moderator: Thank you. The next question is from the line of Satya deep Jain from Ambit Capital. Please g o ahead.
Satyadeep Jain: Thank you. First question on the ED investigation. Just wanted to understand, I think from the commentary also it's clear what 's Dalmia stands \is. We have also heard the investigation is going on for a long time. When you look at the investment, , I just want to understand, get more clarity on the stance there was an investment in Raghu ram Cement. What was the rationale that you are pitching for that investment , as an overall rationale and where we are in the process because the C BI hearing is going on for a long time. Where do you think we are and how long did it take? Just from a risk standpoint, just want to understand more granular details on this.



Puneet Dalmia: I think we have a very simple position on this. We had invested Rs. 95 crores in Raghuram Cement which is now Bhar athi Cement, and we sold our shares at Rs. 145 crores to a French company called Vi cat and we made a 50 crore s profit. So, I think we are very clear based on the legal opinions and based on our own understanding of the law that there is no criminal offense made against the company. And these things take time in India. This is a 14-year-old case and I am unable to say how long this is going to take. But this is , even today the process in the CBI court has taken a very long time and it continues to go on a slow pace. So, it's hard for me to give a timeline. But I think, we are very clear that these are all bona fide transactions and the re is just no case and offense against the company.
Satyadeep Jain: And on this provisional attachment, was this Kadapa mine , is this Kadapa mine also a part of your 75 million ton s expansion that you are looking at? And does this provisional attachment o f land limit your borrowing s obviously against that land and also any future limestone expansion till this is settled ?
Puneet Dalmia: Based on the overall size of the balance sheet, this number is very minuscule. So, I don't think it's going to affect the operations of the company in any manner.
Satyadeep Jain: The Ka dapa expansion could still happen if you are looking at 75 million ton s expansion that

you announced ? So, thanks for the clarification. Secondly, just in the context of all these expansion s you are looking at , there have been too many management changes in the recent 1 year. Do you think now given all these changes which for us also it becomes difficult to track. I am not sure compared to the history this is more attrition than you have perso nally seen. But now you think you have the entire team in place as you embark on this entire expansion plan that you are looking at. And , what would you look to do to have the team in place through this entire journey?
Puneet Dalmia: I think I have said th is earlier also and I will repeat it on this call. We want to build a young team. We want to build a team which is grown from within, in the long term our leadership has to come from within. And with these two objectives, I think we are trying to prepare a succession plan for all critical roles in the company. The second thing is , we are also looking at where we can improve efficiency and reduce layers in the company so that we can become more agile and more efficient in terms of our speed of decision makin g and quality of decision making. So, I think based on this, some changes have been made partly due to

reducing the number of layers
and partly also because of succession planning. We will continue to go on this path as a normal company. I don't think thes e changes are anything major and I think they are not going to impact the company in any way whatsoever. If at all we are stronger, leaner and more efficient.
Satyadeep Jain: Okay, thank you so much and wish you all the best.
Moderator: Thank you. The nex t question is from the line of Indrajit Agr awal from CLSA . Please go ahead.

Indrajit Agrawal: Hi. Most of my questions are answered. I have two questions. First , on the Belga um and Pune expansion, what is the limestone availability and visibility over there, the kind of quality and life of limestone that we have?
Puneet Dalmia: I think I have already said that we have sufficient limestone, and I think we are serving a market which w e think is very attractive. We are serving the western part of the country where lot of investments and growth is there. It's a place where we are underrepresented. It's a place where we have a very cost-competitive position, and we think this is a project which will deliver very good returns in the years to come. But I cannot comment on the limestone reserves individually plant by plant. All I can say is we have sufficient limestone to support this expansion and more.
Indrajit Agrawal: Sure. Thank you. Se condly, even if you can't give like absolute numbers, can you broadly split the growth trajectory in each of the three geographies that you are in for 4th Quarter and also for FY25?
Puneet Dalmia : I am sorry, we have said that we don't give break up by geography .
Indrajit Agrawal : I am asking more like a trend, like would you say that one region has grown much faster, or it was broad based across?
Puneet Dalmia : I think we will not be able to share that .
Indrajit Agra wal: Okay . Lastly, on tax rate, how should we look at both P&L tax and cash tax for FY '26?
Dharmender Tuteja: The cash tax next year also you can expect , I think, a high single digit tax rate . And after that it should be normal tax rates.
Indrajit Agrawal : Sure, thank you, that's all from my side.
Moderator: Thank you. The next question is from the line of Navin Sahadeo from ICI CI Securities. Please go ahead.
Navin Sahadeo: Yes, thank you for the opportunity . I had two questions for Puneetji. So Puneetji, until the previous quarter, every single time in your opening comments, you always gave a little bit of a cautious outlook on the pricing, even if there is some improvement, but you said that a major upside is capped because of increased competitive intensity and that was a pretty consistent commentary in the past couple of quarters. But in your comments now you did mention about optimism and so on the stickiness of this price. So just wanted to understand is i t that are you seeing the consolidation actually play out or is it so that the price has gone so low and then the mineral tax just comes in which helps the overall pricing momentum just to improve a little bit. How should one look at it?

Puneet Dalmia: I think it's a great question. I think both the points that you mentioned are impacting this in some way or form. I think in the southern region, prices had gone to a level which was unsustainable for many players. And it had remained there for a fairly long period of time of almost 12 to 15 months. Yes, 12 months actually. I think the second thing is that during this period of pain, some consolidation also happened . So I think it's a combination of both factors. Prices were at an unsustainably low level and a lso consolidation happened during this time. So the combination of both these factors has caused a price increase in South in April . Whether it will sustain or not, I am reasonably optimi

stic right now that it may be the same low level which we have
experi enced in the last 12 months may not remain , but i t will be at a slightly higher level now. How high and for how long it is hard for me to comment . That's why I am a little bit more optimistic. But I am also cautious in terms of where it can go because there is still oversupply in the region. Andhra Pradesh is still quite fragmented. It is definitely more consolidated, but still the level of fragmentation is quite high. Tamil Nadu and Kerala consolidation level has become very high now, but Andhra Prades h and Telang ana are still quite fragmented.

Navin Sahadeo: So that's really, really helpful. Thank you. And my second question then was on your capacity expansion plan. So of course, in February you announced a 6-million -ton expansion, but here, the first line itself of that press release says towards meeting the 75 MTP objective for 28, which also means another 20 million ton of capacity. And even if it's a mix of Greenfield, Brownfield at $85 comes to almost 14,000 crore of additional CAPEX . So my only re quest in this question is how much should investors be prepared for debt to come on or is it also a function of overall profitability being at higher level to meet this objective? Can it be a little fluid subject to profitability? How should one look at th is overall CAPEX that is planned from a three -year perspective? Thanks.

Puneet Dalmia: I request if you can just hold on for one more quarter for this. I can only say one thing that while we want to grow, we also want to be prudent. We will look at the com petitive landscape of the industry. We will look at our own ability and cost competitiveness in markets that we are present in. We will also look at diversification to new geographies. So , we have to keep some multiple factors in mind before we can give yo u a very clear answer on this. And I know you have asked a very specific question, and I am giving a slightly more generic answer . But please wait for one more quarter . I can only say that we will be prudent, and we will grow with prudence.

Navin Sahadeo: Yes, and just related to this is IEX related monetization, I understand net debt is fairly comfortable now, but that is mark -to-market the IEX value . I hope that clarity over monetization of this IEX also will come in by next quarter ?

Puneet Dalmia: Well, I think we have already said that it's a short -term investment that we are holding, and we are going to monetize it soon. But , it's a listed company, so I cannot give an exact timeframe . But this is something which is I have committed to the markets, and w e will stand by our commitment.



Moderator: Thank you . Ladies and gentlemen, please limit your question to one per participant. If you have a follow -up question, I would request you to rejoin the queue. The next question is from the line of Shravan Shah fro m Dolat Capital. Please go ahead.

Shravan Shah: Hi, Sir, a couple of questions. Just first, a clarity. When we say that we are looking at a Rs. 75 to maybe Rs. 100 odd reduction this year and next year, so combined put together kind of a Rs. 200, Rs. 150 to Rs. 200 rupees cost reduction. So , this is from FY '25 average or from Q4 FY '25 because Q4 FY '25 itself is close to Rs.80 to Rs.90 lower versus the FY '25. So , from FY '25 if you are looking at the reduction then actually there is no reduction from current 4th Quarter number ?

Dharmender Tuteja : This we had called in the July call. So basically you can consider Q1 of FY '25 as the base.

Shravan Shah: Q1, FY '25. Okay. Q1, FY '25 would be the base. Okay. Got it. But there also the number is the current quarter number itself is a kind of a Rs. 125 lower versus that. So that means even if we reduce by 75, it would be still higher than the current quarter Q4 cost. So that's the

way one
should look at. Okay, got it. Second, sir, is it possible also to share just a data point on the road rail mix and the blending ratio, which is at 84 odd percent, but in the April presentation we said that we will be looking at 100% blended cement by 2026. So does that mean FY '26 or calendar year 2026 and if that is the case, how do one look at in terms of whatever the OPC we have currently 15 %-16 % so obviously it should be on the higher price so if it goes away, how one can look at in terms of the kind of pricing impact for us ?

Dharmender Tuteja : Directionally, we would like to move towards 100% blended, but of course, these things may not be possible to achieve in one year timeframe. But directionally, our commitment remains. We will try to see marke t-by-market balancing the growth and the profitability point of view and try to move towards th at direction. But it can't be a hard -quoted number which has to achieve quarter by quarter or year by year. Another aspect you asked about is the road mix, it is 84%.

Shravan Shah: 84%. And sir I understand the next expansion we will tell in the next quarter , but whatever the given is Rs. 3500 crores capex for FY' 26. and for FY' 27 would be how much based on the current things . Obviously , it will increase once we announce the next expansion ?

Dharmender Tuteja : Better to wait for one more quarter , you will get complete clarity on that.

Shravan Shah: But our stand still will remain that net debt EBITDA will not cross 2times to reach a 75 million

ton.
Dharmender Tuteja : Yes, please.
Shravan Shah: Yes, got it. Thank you.

Moderator: Thank you. The next question is from the line of Prateek Kumar from Jefferies G roup. Please go ahead.
Prateek Kumar: Yes, hi, morning, sir. My first question is on Tamil Nadu land mining tax . What is the status there? Has it got implemented or you heard that there is some lobbying for reduction of that tax? Can you update us on the same?
Dharmender Tuteja : Yes, this has become operative from first wee k of April . And of course, industry would like the rates to be much, much lower . This rate is quite high. But for the time being, I think best for us and you to assume that this stays.
Prateek Kumar: Okay and on clarification on the pricing you said Rs. 10 to Rs. 15 price hike. We understand the price hike in the South are much higher at like Rs.40 – Rs.50. So are you talking about other regions of price hike or?
Dharmender Tuteja: What I have given is on an average basis. Other regions have not seen that kind of price hike.
Prateek Kumar: Okay, Lastly on JPA, your bidding for JPA assets under the new consortium, that includes a whole host of other businesses. What is the idea for bidding such businesses?
Dharmender Tuteja: We have given our expression of interest . And after a thorough review of the position, we will take a prudent call on that.
Moderator: I would request you to rejoin the queue for your follow -up question. Thank you. The next question is from the line of Pathanjali Srinivasan from Sundara m Mutual Fund. Please go ahead.
Pathanjali Srinivasan: Yes, I wanted to know what the incentives for the quarter was and also what about the receivables for incentives? How has it been moving the current year?
Dharmender Tuteja: So, the current quarter accrual as I mentioned was about Rs. 99 crore and next year we are expecting about Rs. 300 crores. So , receivables (outstanding are at ) Rs.743 crore in the current year and it should remain around the same level or maybe slightly go up because the current year receivables may take slightly longer to realize.
Pathanjali Srinivasan: This accrual you are saying for the current quarter is Rs. 99 crores , is it?
Dharmender Tuteja: Rs. 99 crore is for the Q4 which just went by.
Pathanjali Srinivasan: Understood, okay.
Dh

armender Tuteja: Next full year is about Rs. 300 crores.

Pathanjali Srinivasan: And generally , like our share of profits if we look at subsidies or grants, it seems to be fairly high. So will this be recurring for the long term or will a large part of this go away in a few years down the line? Could you give some color on this?
Dharmender Tuteja: Yes, we are operating in the Northeast region where this is likely to continue for a very long period, because it's for 15 to 20 years ' timeframe . And, Bihar is the one which will expire in the current year. But for the small unit which you added, 0.5 million, that will continue for another five years . And, Murli also will go for about 15 years. And Jharkhand also will continue for a couple of years. So I think the next couple of years, we don't foresee any reduction on this.
Pathanjali Srinivasan: And just on e last question, sir. So this capacity expansion that we announced for grinding unit in Pune and expansion in Belgaum , how are we planning to servic e the grinding unit in Pune because the lead distance is almost 400 kilometers.
Dharmender Tuteja: It will be by rail.
Moderator: Thank you. The next question is from the line of Jyoti Gupta from Nirmal Ban g Securities Private Limited. Please go ahead.
Jyoti Gupta: Thank you so much for the opportunity . I will start with, as I understand, the industry should grow by 7% Yo Y this quarter. However , we have seen a decline on a Yo Y basis. Realizations are flat, however, the players in the regions in the East ha ve actually benefited from the increase in realizations while we have not. Third is we have moved Clinker, as you have already mentioned in the commentary ; however, your overall cost seems to have declined. Now, how do we should be seeing? And of course, t he benefit of increasing price of the East will be reflected with a couple of companies. And in the first quarter itself, you have seen almost like Rs. 60 gross level increase in price in the South region with a net impact of at least 30 absorbed already. How should we see Dalmia's performance in the first quarter of FY '26? And , second is on the limestone reserves. I believe Rajgangpur has been almost like a 70-year-old reserve mines. Is it not expected to exhaust by 32 or something? Any comments on that?
Puneet Dalmia : I think let me take the comment on limestone reserves first . I have already said in many

statements during the earlier calls that we have sufficient reserves in Rajgangpur. There was, in our own mining lease area, there was some land that we had to buy, which is in process and which is going to get concluded . A large part of it will get concluded within this year. So we see no challenge in reserves over there . The second part is that Dharmender already mentioned that there was some price incr ease in the East, there was erosion of prices in South which kept our realizations flat for the quarter . And I think in the coming quarter, currently in the first fortnight, we have seen a significant increase in the South , which could be in the range of Rs. 30 to Rs. 40, but not blended. Base it is at about Rs. 10 to Rs. 15, as Dharmender has said. So if these prices sustain, profitability should be better. And I have already said that we are going to balance our volume and profitability targets and estima tes market by market. In terms of quarterly guidance, I apologize, we will not give any quarterly guidance. Thank you.



Jyoti Gupta: Can I just get in terms of price increase, regional breakup between North and South, because that should have actually offse t decline in price in the South. And at the same time, I would also like to understand, I mean, the kind of volume decline, realization decline , the cost structure has actually declined quite significa

ntly, and we paid only 6% tax in this quarter compared to 20% in the last quarter. Any specific reason for that?

Dharmender Tuteja: If you see there are prior period adjustments for the tax write -backs so that you can consider as a one -off items. So if you remove that, our effective tax rate is still 24%. Our cash tax rate remains low because we have the brought forward losses from past acquisitions.

Jyoti Gupta: Thank you for now, but I have many questions to Dalmia . I hope to get all of them answered in the future. Than k you. Thank you for your time.

Moderator: Thank you. The next question is from the line of Jashand eep Singh from Nomura. Please go ahead.

Jashandeep Singh: Thank you for the opportunity. Most of the questions have been asked by my fellow analysts , but just wanted to concentrate on the Northeast region. So a lot of investment has gone from Dalmia to Northeast and I understand this is a very lucrative region for Dalmia. But I just wanted to understand what's the, if you can give me a rough market size of that Northeast and what's the growt h trajectory you believe the market will see. Because if I am not wrong, the top two players hold more than 50% of the market share. Just wanted to understand is North East is going on the same trajectory as East, where capacity, growth might outpace deman d and hence there will be pressure on margins. So if I can just get the management view on that, that would be great ?

Dharmender Tuteja: We are not g iving the regional data, but all I can say is that Northeast is growing faster than the Indian average. And that is likely to continue.

Jashandeep Singh: Sir, I understand I am just asking about the market and not Dalmia specifically, but even if you say Northeast is growing at a faster rate, demand is growing at a faster rate in India, its capacity growth is also growing at a faster rate in India. So I just want to understand, do you think the margins will sustain for next couple of years, despite all the capacity that's coming here?

Puneet Dalmia: Look, when we make CAPEX decisions, we take a very long-term view to make investments because it takes around 2-2.5 years to create new capacity. I think the way we look at the Northeast region is as follows. I think one , from a demand perspective, Indian government is very focused on investing in the Northeast region. And , in this last decade, the number of visits by the Prime Minister and also the union ministers has been pretty phenomenal over there . There is huge comm itment to creating infrastructure. And, even in Assam, there is a very, very aggressive plan to increase industrialization and make huge investments in the economy. This was highlighted in the advantage Assam summit recently where a lot of investors have committed significant capital. There are semiconductor facilities being built. We are building the largest cement plant over there. We have already almost completed. So , I think huge



investments are happening there in infrastructure as well as industrializa tion. So, we think demand growth here is going to be very strong . Point number one. Point number two, from a supply side perspective, it's a fairly consolidated market . It's a market where people who have local presence have ability to serve the market in a more reliable manner . So, I think from a market structure point of view also, we find this market quite attractive. Now having said this, whenever new capacity comes, there could be turbulence in terms of prices and capacity comes in steps and demand gro ws over time. So , there could be a little bit of turbulence whenever new capacity gets commissioned in any market . And, I personally think that we make investments from a long -term perspective and long -term we find this market quite an attractive market to be. That's all I can say.

Jashandeep

Singh: I completely understand . Puneet sir, t hank you so much for such an elaborate answer. Just if , I can squeeze in one more. What will be the average utilization for that region, if you can, on the market basis? If not particularly for Dalmia?

Puneet Dalmia: We don 't share data region by region.

Jashandeep Singh: Not for Dalmia , but for the market itself , if you can give us a sense, that would be great.

Aditi Mittal : So, Jashandeep , the utilization for the region sho uld be in the ballpark range of about 65% because the market is a 14 to 15 million ton of volume that it seems.

Jashandeep Singh: Thank you so much. And , I will join back the queue.

Moderator: Thank you. The last question is from the line of Pulkit Patani from Goldman Sachs. Please go ahead.

Pulkit Patani: Sir, my questions are already answered. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Puneet Dalmia for closing comment s.

Puneet Dalmia: I once again want to express my deepest condolences for the victims of Pahalgam and pray for peace and strength in their families . I once again thank you all for your interest in Dalmia and we will see you again next quarter. Thank you very much.

Moderator: Thank you. On behalf of Dalmia Bharat, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

# Call: Aug 2025

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BSE Limited P J Towers, Dalal Street, Fort Mumbai - 400001 Scrip Code: 542216 National Stock Exchange of India Limited "Exchange Plaza", Plot No. C-1, Block G Bandra - Kurla Complex, Bandra (East), Mumbai - 400 051 Symbol: DALBHARAT

Subject: Transcript of Q1 FY26 - Earnings Conference Call
Ref : Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir/Madam,

In terms of Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirement), Regulations 2015, please find attached transcript of the Q1 FY26 Earnings Conference Call held on July 23, 2025 for the quarter ended June 30, 2025.
The same will also be uploaded on Company's website: www.dalmiabharat.com

This is for your information and record.
Thanking you,

Yours Sincerely,
For Dalmia Bharat Limited
Rajeev Kumar Company Secretary

Encl.: As Above



"Dalmia Bharat Limited
Q1 FY 26 Earnings Conference Call "
July 23, 202 5

MANAGEMENT : MR. PUNEET DALMIA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – DALMIA BHARAT
LIMITED
MR. DHARMEND ER TUTEJA – CHIEF FINANCIAL
OFFICER – DALMIA BHARAT LIMITED
MS. ADITI MITTAL – HEAD OF INVESTOR RELATIONS –
DALMIA BHARAT LIMITED

Moderator: Ladies and gentlemen, good morning, and welcome to the Earnings Conference Call of Dalmia Bharat Limited for the quarter ended 30th June 2025. Please note that this conference call will be for 60 minutes and for the duration of this conference call, all pa rticipant lines will be in the listen -only mode. This conference call is being recorded and the transcript will be put on the website of the company.

After the management discussion, there is an opportunity for you to ask questions. Should you need assist ance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Before I hand over the conference to the management, I would like to remind you that certain statements made during the course of this call may n ot be based on historical information or facts and may be forward -looking statements.

These statements are based on expectations and projections and may involve a number of risks and uncertainties such that the actual outcome may differ materially from th ose suggested by such statements.

On the call, we have with us Mr. Puneet Dalmia, Managing Director and CEO; Mr. Dharmender Tuteja, CFO; and the other management of the company. I would now like to hand the conference call over to Ms. Aditi Mittal, Head o f Investor Relations. Please go ahead.

Aditi Mittal : Good morning. Welcome to Q1 earnings call of Dalmia Bharat. We've uploaded our results and the presentation on the website. I hope you've had a chance to go through it. With this, I'll hand over the call to Mr. Dalmia for his opening remarks.

Puneet Dalmia : Thank you, Aditi. I will break my opening remarks into 5 sections. The first section is economy and demand. The second section will be capacity and our expansion plans. The third section would be price s and future outlook. The fourth is our cost reduction journey. And the fifth is our key priorities. So with that, I'll start with my first section on the state of the economy and demand.

Fiscal '26 has started on a positive note with India surpassing Japan and becoming the fourth largest economy in the world. As the momentum continues, I firmly believe that our country is well on track to become the third largest economy before the end of this decade. Globally, even though the macroeconomic sentiment has been hit by ongoing trade negotiations and heightened geopolitical pressures, India clearly stands out.

As per RBI, the economy is expected to maintain its growth momentum with GDP expected to grow at 6.5% in financial year '26. The resilien ce that India has displayed bodes well for the cement sector. And I believe that in financial year '26, the sector should be able to deliver a healthy cement demand growth of somewhere around 6% to 7%. This growth will be supported by strong government spe nding and a booming housing sector.

Having said that, the start to the year has been a bit slower than our expectations, with uncertainty from cross -border tensions and early arrival of monsoon, despite robust spending by the central government on infrast ructure. In fact, the government appears to have front -loaded its capex spending INR2.2 lakh crores in April and May alone.



That's already 20% of the full year target of INR11.2 lakh crores, one of the highest spends in the first 2 months ever. However, a t the same time, capex spending at key states like Tamil Nadu, Karnataka and West Bengal declined. Based on current trends, we believe cement demand grew in the low to mid -single digits in Q1 of FY '26, but we expect it to pick up pace once the monsoon pre cedes. Now I come to my second section, capacity, and expansion plan.

Coming to the supply at the industry level in the next 2 years, almost 70% of the new capacity will be added by the top 4 players, which wi

ll accelerate the pace of industry consolidati on. And
I believe that this is beneficial for the sector as a whole in the long run. We continue to invest in the sector with a clear vision of becoming a pan -India player as we also believe that entry barriers will continue to rise and the long -term retur ns in the sector will be attractive.

Now as promised, I would like to give a road map for our expansion plan. Before delving into it, it is crucial to outline our expansion philosophy. Our strategic imperatives are twofold ; one, to become a pan -India player; and two, to establish a significant presence in every market that we operate in.

Consequently, our growth strategy focuses on expanding into totally new and untapped regions or increasing capacity in existing areas wher e we are already operating at high utilization or cater to white spaces in our existing regions.

In line with the above, the broad overview of our road map is as follows: to start with, in February 2025, we have already announced an investment to establis h a 3.6 million ton per annum clinker unit in Belgaum, along with a 3 million ton per annum grinding unit at our existing Belgaum

plant, coupled with new 3 million tons greenfield grinding unit in Pune.
The Belgaum grinding units will primarily cater to the markets of North Karnataka and Southern Maharashtra while the Pune grinding unit will serve the untapped Western Maharashtra market.
Second, the Board has approved an investment of 3.6 million tons per annum clinker unit with a 6 million tons per annu m grinding unit at our existing Kadapa plant, supported by 3 million tons per annum bulk terminal in Chennai at an estimated capex of INR3,287 crores. Our Kadapa plant is already operating at high utilization levels. And this investment will help us strengthen our presence in And hra Pradesh, Southern Karnataka as well as Northern Tamil Nadu markets.
Third, with the upcoming commissioning of a new clinker line of 3.6 million tons per annum at Umrangso in Assam, we will become clin ker surplus in the No rtheast region, and we are evaluating the best location to add additional 2 million to 2.5 million tons per annum of grinding capacity, which will be a split grinding unit. This can be done within 12 to 15 months of the date of commencement.
With these 3 projects, Belgaum, Kadapa, and further expansion supported by Northeast clinker, we would add 14 million to 14.5 million tons per annum of cement capacity, and this would take our total cement capacity to around 63.5 million to 64 million tons per annum by financial year '28.



Further, we are working on finalizing a new 6 million tons per annum greenfield expansion in Jaisalmer to access the North India market. Land purchase for the plant and split grinding units is already almost completed. The mining leas e has been executed and the EC is under process. My sense is that if we can break ground between April and June 2026, we can commission the plant by March '28.
However, before committing to the Ja isalmer project in North, we would like to wait for the outcome of our bid for acquisition of Jaiprakash Associates. All these organic expansions have been meticulously reviewed and are within our defined capital allocation framework. These projects will be funded through a mix of internal accruals and debt.
Now , I come to the next section on prices and their outlook. I will briefly touch upon the pricing trends. While the pace of cement demand did slow down a bit, we have seen a very healthy improvement in prices across our key operating regions. The Southern region, in particular, saw a good recovery in prices this quarter bouncing back from t he lows we witnessed last year.
In the East, prices largely held steady, maintaining the gains made in the previous quarter. Even with the early onset of monsoon, the s pot prices

of cement are holding up and are almost at
similar level to the Q1 average cement prices. We remain reasonably optimistic that these prices will hold.
As you are aware, that we have been consistently working on building our brand equity in the market. We are investing in our brand deepening our distribution and improving our price position, which appears to have started giving results. I believe that our realization improvement in many markets has been higher than the price increase, which is vi sible in our 9% Q -o-Q NSR improvement. This is a long journey, but we are happy to see some green shoots and which we hope will keep on building as we go forward.
Cost reduction. On the cost side, we are consistently working to deepen our cost position as one of the lowest cost cement producers. We are committed to reduce Rs 150 to 200 per ton over the next two-year period and are working on the identified levers, as we have stated earlier.
Now , I come to the key priorities. I am personally very happy with the journey that we have achieved so far. And I think this is the time to have conviction in the future and increase our investments in India, and our people and we are going to do exactly that. As we embark on the next phase of our journey, my priori ties are very clea r, build capacity for the future , staying focused on our long -term goal to become a pan -India player, while staying within the guardrails of our capital allocation framework .
Two, deliver profitable growth through doubling down efforts on strengthening our brand equity. This is particularly important to scale up our volumes, improve utilization levels and enhance NSR. We will continue to deepen engagement with our channel, both dealers and sub dealers. We have already streamlined the proce sses and policies, enhanced the experience of our channel and most importantly, boosted the productivity of our own sales force, and we intend to continue doing the same.



Second, we further want to deepen our cost leadership with investment in building ca pabilities and improving operating efficiencies. And third and most important, we want to build, develop, and sustain a strong leadership pipeline and younger team while creating a caring culture within the organization. I think the best for India and Dalm ia is yet to come. And I'm very excited about the journey that we are setting ourselves on.

With this, I want to hand over to our Group Chief Financial Officer, Mr. Dharmender Tuteja. Over to you, Dharmender.

Dharmender Tuteja : Thank you, Puneet Ji. Let m e walk you through our financial performance. Regarding sales volume growth. First of all, I am very pleased with our performance this quarter, as we have delivered the highest ever EBITDA of INR883 crores during the quarter. This EBITDA growth is not only supported by the market price improvement in our operating regions, but also because we have started to see an improvement in the quality of our sales.

Our share of trade sales improved to 68% from 64% last year. Premium product mix also stood steady at 22% during the quarter. Direct dispatch percentage, which had been hovering around 55% over the last several years, has now reached 62% during the quarter, demonstrating a significant positive sh ift. I believe that we are taking small but steady steps to improve the quality and sustainability of our sales performance, and I am hopeful that this journey will continue.

Moving on further, while our sales volumes de-grew by 6% Y -o-Y to 7 million tons. But if you look at the sales from Dalmia plant s, that is excluding the tolling volumes from JP plants last year, our volumes remained flattish in Q1 FY '26. Last year, first quarter was the last quarter when we had the sales volume under tolling arrangeme nt. So from Q2 FY '26 onwards, we will have a clean base for Y -o-Y sales comparison. The rev

enues have remained flattish at INR3,636
crores in Q1 FY '26.

Coming to the cost line items. Our raw material cost per ton of cement production increased by 8.5% Y -o-Y to INR791. This increase was primarily due to the new mineral tax imposed by the government of Tamil Nadu. On the other hand, power and fuel cost per ton of cement production declined by 2% Y -o-Y to INR981. This was driven by decline in fuel rate from $106 per ton in Q1 of FY '25 to $100 per ton in Q1 of FY '26.

The blended fuel cost during the quarter stood at INR1.33 on per Kcal basis. Spot prices ar e currently hovering at around $108 per ton. During the quarter, we have commissioned 26 megawatts of RE capacity through opex model. This has increased our RE consumption percentage to 41% in Q1 FY '26 from 35% in the last year. The CC ratio also improved from 1.67 in Q1 FY '25 to 1.71 in Q1 FY '26.

Our logistic cost during the quarter increased marginally by 2% on Y -o-Y basis to INR1,135 per ton. Though our lead distance increased by about 8 kilometers to 280 kilometres in Q1 FY '26. But as I mentioned, our direct dispatch percentage improved in the positive direction to 62%.

Our absolute EBITDA improved by 32% Y -o-Y to INR883 crores and EBITDA p er ton, th us works out to INR1,261 on a per ton basis, and this is a 40% increase on a Y -o-Y basis.



Our EBITDA margin during the quarter was 24.3% in Q1 FY '26, which is a good jump of almost 5.8% from the same quarter last year. During the quarter, we ac crued INR84 crores in incentives, while collections are lower at INR42 crores, which is typically seen in the first quarter of the year, we expect collections to improve in the rest of the year. The incentive outstanding at the end of the quarter was INR7 80 crores including INR2 50 crores from the Government of West Bengal .

Coming to the ongoing expansion projects. While Puneet ji has detailed out the expansion plan, I'll give you a brief overview of the ongoing projects. Our clinker unit at Umrangso is nea ring completion, and we plan to start trial runs in September this year. With this, the commercial production should start in Q3 of FY '26. This will take our total clinker capacity to 27.1 million tons. The supporting GU for this clinker was already commi ssioned in March ‘25 at Lanka, Assam .

The work on the Belgaum -Pune project is in full swing with all major orders placed while civil work is under progress. The project remains on track for completion and is expected to come online by the end of FY '27. D uring the quarter, we have incurred capex of INR612 crores, with a majority of it being spent on Umrangso clinker line and Belgaum -Pune project , besides maintenance, land, and ROI projects. For the full year FY '26, we expect our capex spending to be about INR4,000 crores.

Also, while Puneet Ji has already mentioned, I wanted to clarify on the Kadapa project, which the Board has approved yesterday. I believe there is some c onfusion on how it has been shown in our earnings release. The project has a 3.6 million ton clinker capacity in Kadapa, along with 6 million ton of grinding capacity in Kadapa itself. In addition, we are setting up a 3 million ton bulk terminal in Tamil N adu to serve the north Tamil Nadu market. Cement for this bulk terminal will come from Kadapa itself.

Moving on. During the quarter, the company through its subsidiary has sold INR3.7 crores shares in I EX. Post the sales our holding in I EX has been brought down to 10.8%. That is about INR 9.6 crores shares. Our gross debt at the end of the quarter stood at INR6, 456 crores while net debt was at INR8 73 crores. The resulting net debt to EBITDA stands at 0.33x.

During the quarter, we had issued NCDs and raised INR950 crores of debt and I'm happy to share that the NCDs were well received in the market. Even with the ongoing expansion projec

ts,

we remain confident of staying below the 2x of net debt -to-EBITDA threshold which was outlined in our capital allocation framework.

Before we open the call for question and answer, I want to clarify on a couple of legal points. As you are aware, the West Bengal government has enacted the revocation act on 2nd April 2025. The revocation Act revokes and discontinue s the incentive schemes retrospectively from the date of implementation of their respective schemes.

Accordingly, the order of the Honourable Calcutta High Court directing release o f incentives amount to us will be adversely affected. The company has been legally advised that we have a



good case to challenge the vires and constitutional validity of the Revocation Act. The company will take appropriate legal recourse to protect our interests.

Second, there was a news report regarding the income authorities seeking to reopen the income tax assessment for the financial year 20 10-11. We have already filed special leave petition before the Honourable Supreme Court pursuant of which an interim stay has been granted by the court. We believe the department's case i s unsustainable.

With this, now I open the floor for questions. Thank you very much.

Moderator: We take the first question from the line of Amit Murarka from Axis Capital.

Amit Murarka : Yes, hi. Thanks for the opportunity. So, my first question is on volume and market share. So, like you have been flat Y -o-Y even if I exclude the volume of tolling last year. So generally, the understanding is South and East markets did well in Q1 versus last year. So, could you just talk a bit about the market share losses and how do you plan to arrest it?

Puneet Dalmia: I think the story is not same across all states. There are , as I said in my earlier remarks in the last earnings call , that our priority is to balance volume growth and profit m argins in each market. And I think that strategy is paying off great dividends. We have improved our price positioning in many markets. We have improved realization growth better than what the industry has done with respect to the rebounding of the prices.

And we think that we will continue with this strategy, where we will improve the quality of sales, and we will ensure that we achieve profitable volume growth in the coming quarters. So, I think overall, I'm absolutely delighted with the progress. Our brand is getting stronger. Our distribution is getting deeper and our sales productivity is improving. I think the same approach will be done on a granular basis, market by market in the coming quarters.

Amit Murarka : Sure. And just a questio n on production. It seems like there is inventory sitting at the end of the quarter. So how much really was the production? And what is the inventory sitting at the exit June?

Dharmender Tuteja : This buildup of the inventory typically h appens every first q uarter because by the end of the year, typically, the entire industry, they're able to sell all their stocks from the plants as well as the depots . And that gradually builds up in the first quarter, and it remained flattish during Q2, Q3 and Q4 again it gets released. So that is typical.

Puneet Dalmia: It's a seasonality effect. It's nothing unusual this year.

Amit Murarka : The number is big in P&L, which is why I'm asking .

Dharmender Tuteja : Sure, slightly higher than Y -o-Y, I think about INR100 crores al so.

Moderator: The next question comes from the line of Ashish Jain from Macquarie India .

Ashish Jain: Hi, sir. good morning. Sir, my first question is on expansion. Like we are currently guiding for roughly 62 million tons in March '27, aspiring to 75 by '28. And still, we are saying that Jaisalmer



dependent on JPA acquisition. So, because JPA will not be adding so much c

apacity, how are

you thinking about capacity firstly ?

And secondly, even if I add Jaisalmer and JPA , let's assume both happen, still the visibility for 75is actually quite low at least to me. Can I just speak a bit about capacity, how are we thinking? And why are we s o hesitant in terms of going all out on addition ?

Puneet Dalmia: I think, first of all, we are not at all hesitant. I think we are going all out to develop the projects. And, as I said, we can press the button on construction in the first quarter of next financial year

in Jaisalmer . That will still give us time to commission this project by March '28. The J PA acquisition is under process. And I think there are several scenarios which can play out.
As you know, there is a 5 million ton clean asset with JP Re wa, Churk and Chunar . And then there are 2 other options there. One is BJCL , which was a joint venture with Steel Authority of India in Bhilai , and there is an arbitration going on with Ultratech for a clinker plant in UP. So, JP is minimum 5 million tons of cement and it could be greater than that, depending upon how the other 2 play out.
So, I think we are absolutely not stopping in any way. Al l we are saying is we will review the position. In any case, we can't press the button on J aisalmer today. We are taking all effective steps . Land purchase is done, mining lease is done, environment clearance is in process. And we have to review the situat ion in March '26, which still gives us enough time to complete the project by March '28.
So, I think we just want to remain flexible, and we are just absolutely not tentative. We are just going all out to develop projects. In fact, we are even developing p rojects for our next phase, which will take us to 100 million plus by financial year '31. So, I think developing projects and creating a state of readiness for our capital expansion pipeline so that we can deploy capital organically is in full swing in the company. But we want to be just flexible to see what happens and take a call once the a major acquisition like J P plays out fully.
Ashish Jain: Okay, got it. And secondly, Puneet, can you just differentiate between growth in South and East ? I know normall y we don't share it, but given even Amit asked this question, given the divergence between what we have reported even if I adjust for JPA, it looks quite surprising. So, is it possible to give some color in terms of where we have been most conscious on mar ket share versus margin strategy?
Puneet Dalmia: I don't think we can share that granularly. All we can say is that there are markets where we want to prioritize margins, there are markets where we want to prioritize market share. And I don't think we woul d like to reveal our state -by-state strategy on this call.
Ashish Jain: I'm just asking is East versus South. State -by-state is not what I'm looking for .
Puneet Dalmia: we also don't want to reveal our region -wise strategy.
Moderator: The next question comes from the line of Devesh Agarwal from IIFL Capital.


Devesh Agarwal : Sir, firstly, I just wanted to understand, you are putting up more capacities in South, and you said that the utilization levels are higher. So, what is the difference betwee n your East utilization versus South utilization? If you can give some sense on that?
Puneet Dalmia: I just said that we don't share region -wise data, and I think we will continue to maintain that stand. Thank you.
Devesh Agarwal : No, in terms of differenc e also, whether there will be a 10%, 20% -- 10% difference between the utilization between the 2 regions, that will also help to get us some idea.
Puneet Dalmia: Even if you ask that question in 3 different ways, we are not going to reveal our region -wise utilization or a state -by-state or region -wise strategy. Thank you.
Devesh Agarwal : No problem ,

sir. No problem. Secondly, sir, you said in terms of planning exer cise, you have seen improvement in realization better than what the price hike has been. So just wanted to understand better what is the current gap that you have in each region or basically on an overall basis also? And what is the target to narrow that? And how do we achieve this?
Puneet Dalmia: Can you please repeat this question? I didn't understand this.
Devesh Agarwal : So, I'm saying you did mention that the increase in the NSR for us has been higher than the price increase in those regions, right? So basically, there would have been some gap in terms of pricing between us and some of the other brands. So, I wanted to understand what is the gap at this point in time? And what is the target to narrow that gap to? And how do we intend to achieve that?
Puneet Dalmia: I think, again, this depends. There is a different state by state. And even in terms of the different brands that operate in each state. So , I would just say that we want to be the top price brand in every state possible and it is a journey. It's going to take time. We also don't want to do sale with low margins, even if that means that in the short term, we have to hold back and do higher qua lity sales because I think in the long term, that is a better strategy to follow, and we want to operate in those customer segments, which give us better margins.
So, I think this is broadly the trade segment, we want to improve price positioning in some o f the markets where we are weak. In some of the markets where we are strong, we want to continue to premiumize our product mix. And even within non -trade, which is the institutional segment, we will choose our market segments carefully to improve the quali ty of sales.
So I think it's hard for me to quantify right now as to how much is the further spread that's possible. But I can say that overall, with continuing to deepen our cost leadership, and improving our NSR, we should be able to deliver top decile E BITDA per ton in the industry. I mean, I think that's our endeavour.

Moderator: Thank you. We take the next question from the line of Ritesh Shah from Investec. Please go ahead. Ritesh, if you can please unmute. Yes, please go ahead.
Ritesh Shah : Yes, hi. Sorry for that. Thanks for the opportunity. Sir, a couple of basic questions. At the start of the call, you indicated our endeavour is to go on a pan -India basis. Now we have just


announced something which is more in South and to some extent, in Western In dia, including Pune. So the question is why did we decide to go for the Rajasthan optionality that we have versus what we have just announced.
Puneet Dalmia : I think I made it very clear in my call that our overall strategy is to create a pan -India footpri nt while creating significant presence in each of the markets that we operate in. So , I think we are not going to choose one or the other. I think I also made it clear that our Kadapa plant is operating at high utilization levels. So , it is important for us to continue to deepen our presence in Northern Tamil Nadu, Southern Karnataka and Andhra Pradesh.
And we are developing projects in regions that we don't operate in. So we spoke about Jaisalmer , we spoke about Jaypee, which is Centr al India. So I think we are looking at all of this in a very holistic manner and both the things in terms of pan -India footprint as well as significant presence in our existing markets are important to us.
Ritesh Shah : Sure. Sir, second related question . I think E D did come up with a notice, I understand it's a provisional attachment with respect to Kadapa limestone around 417 hectares. I understand it's a provisional attachment, we would have challenged that. Do you think this is any form of risk? Or is it something that we should just forget and move ahead?
The reason

to ask is we have existing operations, and we have just announced incrementally expansions over there. So in that side, how should we look at this particular variable?
Puneet Dalmia : I think as you said, this is a provisional attachment. We have challenged it and we think the case is unsustainable. We do not see any risk in terms of expansion or in terms of mines. We have been operating this for the last 14 years. And there has been literally no issue. We don't foresee any risk with respect to disrupting the operations.
Ritesh Shah : Okay. And sir, just last question. I think in the earlier remarks, you did indicate that our focus has been on sales productivity. However, if 1 looks at the annual report, over the last 4 years, the discounts that we have given in the marketplace has effectively has doubled and it's nearly INR1,200 per ton. How should we understand our marketing strategy in this number of INR1,200 per ton, which is quite high.
Punee t Dalmia : I think this is exactly the point I made. There are markets where we have made sales on lower margins. There are markets where we have to improve our quality of sales. We have to improve our brand positioning, and we have to increase , deepen our distribution. And that is exactly what we are doing. And that is why I said the green shoots are starting to be visible this quarter and hopefully, they will continue in the coming quarters. So this is a long journey. The journey has started, and I'm happy with the progress.
Dharmender Tuteja: And regarding the high level of discount, which you pointed out, let me also clarify that last year the industry tried to increase the prices, but most of the times, they were not holding and they had to be given back as discounts. So particularly this price increase but not made effective and to be compensated by the discount also shows up in the discount which you see in the annual report.


Ritesh Shah : Right. Just a follow -up, Puneet, how do you look at this number of discounts versus the net pricing? Effectively, it is a cost to the company. So is it something that you put up as a KR A for your sales and marketing folks that this number should actually d ecline, which will propel effectively a good industry -wide practice as well?
Puneet Dalmia : I think this is an issue which we are looking at on what is the best way to streamline this because this is area which requires deeper deliberation. And I don't thi nk there is an easy answer for this. There is an industry behaviour issue, and we are operating in a very competitive environment. And depending upon how the overall conduct is, I think we have to examine how we operate. So, I think in a competitive environment, some of these things happen. I mean in this industry, the pricing is a little bit opaque. And I think how do we bring more transparency in pricing is a constant endeavour that we are trying for. And in some markets wh ere we are strong, we are able to take tough calls. But in markets where we have to build stronger distribution and our brand is weak, we have to work harder to build strength and then we can do this. So I think it's a journey. And I feel that over time, t here'll be more transparency around this.
Ritesh Shah : Sure. Thank you so much for the answers. I'll join back the queue .

Moderator: Thank you. The next question comes from the line of Rahul Gupta from Morgan Stanley. Please go ahead.
Rahul Gupta : Hi. Thank you for taking my questions. Puneet , I have two questions. One, we have seen strong pricing environment during the quarter, right? And to some extent, this has sustained in July as well. Now this has happened in the midst of relatively weak demand en vironment. How should we look at this?
Are we seeing pricing discipline in the industry and moving away from competitive environment or this is just a near -term

phenomenon, and we may see increased competitive environment once we move out of monsoons. So a ny color on this will be very helpful. That's my first question. Thank you.
Puneet Dalmia : What is your second question? I will answer both together.
Rahul Gupta : So my second question is the strategy is now to focus on profitable growth, going micro mark ets as well. Now assuming industry grows at 6%, 7%, 8% for multiple years. And given Dalmia 's low utilization levels , are we in a way moving away from 75 million ton and 110 million to 130 million ton capacity targets from here? Thank you.
Puneet Dalmia : Okay. So I think let me first take the pricing issue. I personally think that, as I've said earlier, at the current margin levels, no new capacity creation is viable. So our belief is that as consolidation happens, it will boost pricing power in the industr y and the margins will become respectable to give a good return on capital employed.
This has happened in every sector. And we have also seen that the top players are taking disproportionate share of the growth. So I'm convinced that the entry barriers are rising and the


margin profile of this industry and the return profile of this industry is going to get increasingly attractive in the future.
Now having said this, there will be blips along the way, and this is not a linear curve. There will be times when you will make low utilization, low return on capital . There will be times when you will have low utilization, but very high return on capital because prices are good. And I think we should not get swayed by quarter -on-quarter volatility in this sector .
I think we have seen in the last 8 0 years that the best strategy to create value in this industry is to take a long -term view and invest, and the way you make money is to invest when people are not investing and also to ensure that your cost of capital is low and leverage is under control.
So, I think we will continue to invest in this sector with a deep conviction that India will do well and consolidation will increase and pricing power and pricing discipline will return in the sector.
That view is unw avering quarter -on-quarter. And that view will not change even if we perform well in one quarter or if we perform badly in one quarter.
Our long -term strategy will remain the same. We want to focus on a micro market by micro market and decide margin versu s market share trade -off, and we will ensure that we will invest in markets to create significant presence and diversify across geographies.
So I think my strategy, my conviction, my answer will not change every quarter depending upon our performance. we have deep faith in India , we have deep faith in the returns that the sector is going to offer, and we have deep faith in our execution capabilities.
Now coming back to one point on short -term prices. I think currently, the prices, as I said, had gone to un sustainable levels and prices are bouncing back. I personally feel that at least in the near term, I'm quite optimistic that these prices will hold.
But having said that, this is a cyclical business. And there are times when prices will be volatile.
So it's hard for me to predict quarter -on-quarter what will happen. But , the way I see the situation now is I'm quite optimistic that the prices will hold.
Moderator: We take the next question from the line of Sumangal Nevatia from Kotak Securities.
Sumangal Ne vatia : My first question is on the Jaypee bid. Just want to understand what would be our plan for the non-cement assets which comes as a combination? And also from our interaction with C oC, I mean, what sort of timeline are we looking at for this resolutio n?
Puneet Dalmia: Sumangal, I already said this . We are a pure -play company and we want to look at the cement business in a very strategic manner. And , I think as far

as the C oC is concerned, I understand that they are going to review it this week, and the n they're going to give us a better sense of the timeline. But based on our interactions, although they have not given any firm date, they want to find an early resolution to the whole process.
Sumangal Nevatia : Understood. My second question is on the timing of this announcement of expansion. Now given that we are operating at almost 60% utilization at the company level, looks like we have

headroom for a few years to grow. Won't we be better off going for expansi on once we start approaching 70%, 75% utilization given the capital also has an opportunity cost?
Puneet Dalmia: Sumangal, as I said, our utilization is not the same across all regions. And we have to take a more granular approach , point number one. Point number two, it takes time to build new capacity. I think we were behind the curve in acquiring land , obtaining permits, and obtaining mining life leases.
We think that we want to be in an absolute state of readiness. And if we are within our capital allocation framework, we want to invest in this sector with a clear conviction that India will do well and consolidation will increase in this sector.
So I thi nk we are within our capital allocation framework, and I think we'll continue to sweat our existing assets, too. It doesn't mean that we are not going to sweat our existing assets and keep expanding just for the sake of nameplate capacity. That's not our i ntent. Our intent is to create profitable growth and get returns on the capital that we invest.
Moderator: The next question comes from the line of Satyadeep Jain from Ambit Capital.
Satyadeep Jain : First question, I know the question everybody is asking, since the confusion that this is creating. I just wanted to dive deeper historically, Dalmia was focused in a way on market share, if you look at the history . Then a pricing discipline , lost market share a few quarters ago, there's been a change in managem ent last 2, 3 quarters, you've seen market share loss, but we've seen pricing improvement.
So, A to this question, what have you specifically done to improve this price positioning? Are you vacating some markets ? That's what the impression we're getting , non-profitable market. What specifically are you trying to do to include brand positioning because the brand has been out there for a long time? Suddenly in 2, 3 quarters, what steps have you taken to improve brand positioning?
And to this question, because you're adding a lot of capacity, then the amount you're investing in this brand creation and brand positioning, and then you have to chase volumes again with this capacity? Do you dilute this again? How does this entire strate gy tie to what you're trying to do is the confusion, I guess, everybody has right no w?
Puneet Dalmia: I think you should speak for yourself , don't talk for everybody. That's my request. And I think if you have confusion, I will clarify it once again. Our s trategy is very, very clear. I think we will continue to invest with a great mandate , with a clear vision that India will do well and consolidation will increase , point number one.
Point number two, I think there are markets where we think there was unprof itable segments that we were operating in. And , we don't want to operate in those segments as of now. I think we want to be very clear that we have a different strategy for every micro market, and we will ensure that strategy plays out and we balance growt h and we balance profitability.



Point number three, I think there are times when just creating discipline in which segments to chase , what leeway to give on discounting strengthens the brand. And , I think we are just following that . You can do that fairly quickly if you are disci

plined about it and you have a clear thinking around it. So I think this is what we have done. And I think we are seeing that early results are visible.
So if it means making some trade -offs in terms of unprofitable segments, we wi ll make those trade -offs because it's in the long -term interest of the company. And I think just giving more discipline in distribution improves brand positioning because otherwise, the distributors cut each other out and they dilute your brand.
So custom er brand can be very strong, but distributors can just dilute the brand because we don't enforce discipline on them. So , I think that is exactly what we are doing in the market and we are engaging deeper , we are giving clear messages, and we are very focus ed on what we are trying to do.
Satyadeep Jain : So can we expect maybe growth, volume growth in line with industr y or higher than industry and at the same time, th is focus on profitability so that can be something that we can expect a combination of both profitable growth and volume growth in line or above industry?
Puneet Dalmia: I think long term, yes ; short term, I think we'll have to make a balance.
Satyadeep Jain : Okay. Second question would be on the capex decision. Just wanted to check. Between various pockets ; in north, you had option between Jaisalmer and Nawalgarh . But it seems like you're pressing Jaisalmer and obviously the premium that you paid for Nawalgarh , the premium in general was very high. So does it mean that at this stage, Nawalgarh looks less feasible ?
And that given there is a timeline for that mine to commission after the lease execution, would there be a risk of some of these leases going away? And then the entire you're looking at 18

million, 20 million tons of expansion in the next 2, 3 years . Would there be any risk , just maybe wouldn't it be more prudent to layer it rather than doing all at the same time, just from an execution balance sheet s tandpoint, trying to understand?

Puneet Dalmia: I think I can say it again. We have said that 64 million tons is something which is firm. we are going to look at how Jaypee plays out. And , we are going to be in a state of readiness for all projects. And we are going to take a call by March 2026 on whether we should press the button on Jaisalmer or not.

I think we have layered and we have created scenarios which manage r isk fairly well, in my view. We're going to review the situation every quarter. We're going to see how Jaypee plays out. We're going to see how our execution plays out, but we want to remain in a state of readiness.

Moderator: We take the next question fro m the line of Kunal Shah from DAM Capital Advisors .

Kunal Shah : Just a couple of questions. Number one, on the Jaisalmer project, could you just provide some insights on how much capital is already committed here and how crucial would be the



government subsidies before committing capital -- further capital to that particular area given the long lead distance to target markets and potential higher capex cost at the outset?

Puneet Dalmia: I think we cannot comment on that right now. I think we w ill comment on that once we are ready to announce the project.

Kunal Shah : Understood. And secondly, on the Kadapa capex, the grinding of 6 million tons at Kadapa and the bulk terminal of 3 million at Chennai. Now could you explain the strategy? Just want to holistically understand versus, let's say, putting up a split grinding unit down south Tamil Nadu, especially given the integrated expansion at Tamil Nadu is some time away until we see developments at the option there?

Puneet Dalmia: I think , we examine this very carefully whether we should put a grinding unit in Chennai or w e should put a blending unit in Chennai. I think from an economic standpoint, we think it is better to put all grinding in Kadapa and j

ust to a bulk terminal in Chennai because we want to balance capex as well as servicing the market. And we think this was a more economically viable proposition.

Moderator: The next question comes from the line of Jashandeep Singh Chadha from Nomura .

Jashandeep Singh Chadha : First of all, congratulations on a very good set of numbers. So Puneet, I have just two questions. Firstly, I think the cost saving of 150 to 200 per ton , Dalmia actually announced it last year. So , I just wanted to understand has some cost savings come till now or if you can directionally tell us. I understand it will be very difficult to quantify it, bu t some cost savings that might be coming in the near coming quarters. And in which key heads it will be?

My second question is, I understand going to Kadapa and Belgaum because you have higher life of mine and lease like they make sense. But just wanted t o understand, and thinking out loud that the reason -- one of the reasons for waiting for JP could that also be that Dalmia has already made inroads in that cent ral relatively n ewer market because of tooling.

And also , as you get auction fee. So , there's no premium on the central limestone whereas for Jaisalmer , you have around 12%, 15% of auction premium. Can that also be one -off the condition in your scenarios that you played out? Just 2 questions from my side.

Puneet Dalmia: I think we had said that from a quarter 1 financial year '25. It's a 3 year journey to reduce cost by 150 to 200 per ton. I think we are in the process of doing work so that we can demonstrate this cost savings. it is not visible until this quarter. But we are doing work on renewable energy. And some of it is going to be visibl e by the H2 of this year.

And also some of the logistics optimization is also happening. And I think that also will start to play out by the fourth quarter of this year until the next year. So that is question number one, I think point number two on JP , I think it just accelerates our entry into the market. Option premium is one issue, but overall, I think we want to build a Pan -India footprint and it is in line with that strategy.

Moderator: The next question comes from the line of Shravan Shah from Dolat Capital .



Shravan Shah : Sir, most of the things have been answered. Just to understand in terms of the capex, so if you can help us break up first on the Assam , Umrangso , how much out of the o riginally announced INR3,640-odd crores, how much is already spent till 1Q FY '26, at the same time on the Belgaum, how much we have already spent. So I wanted to understand in terms of the INR 4,000 crores capex and maybe for FY '27, even if we don't assum e Jaisalmer or JP, how much more capex that is one can pencil in for FY '27?

Aditi Mittal : For Umrangso , we're almost done. The trial run of Umrangso clinker will start by September this year. I think we should have somewhere with a number between 60 0 to 80 0 which will probably get in this fiscal. As far as Umrangso is concerned.
On Belgaum again, because most of the capex will be incurred by about Q4 '27, the number should be closer to INR1,400 crores to INR 1,600 crores on Belgaum this year. And agai n, of the total capex , which Dharmender has said of INR 4,000 crore s during the fiscal, approximately 75% to 80% will go into the announced growth projects and also procuring land for our future pipeline.
Shravan Shah : And then for FY '27, would be for exis ting whatever we have announced, what would be the capex, including the R OE and the maintenance?
Aditi Mittal : So the balance 20%, which I just mentioned, will be support RE, maintenance capex and all other ROI improvements that we'll be doing across the p lants. For next year basis, whatever the capex number should be something similar to a 4,000 again. Again, in FY '27, approximately 70% to 75% will

again be growth capex and balance will be for maintenance ROI renewable power, et cetera.
Moderator: Sir, I request you to please join back the queue. We take the next question from the line of Pathanjali Srinivasan from Sundaram Mutual Fund .
Pathanjali Srinivasan: I have a couple of questions. One is our marketing spend is reduced year -on-year from FY24 to FY25. So is there any change in strategy that we are doing here?
Aditi Mittal : No, nothing really .
Dharmender Tuteja: There was also a brand launch . So, there was a one -time brand launch expenses otherwise we continuing the same thing. And going forward, of course, as we deepen our brand leadership, this also will slightly go up.
Pathanjali Srinivasan: Okay. But prior to that, I think we were spending almost like INR75, INR80 per ton on a year -on-year basis for marketing, but it's declined to almo st INR50. So I just wanted to understand if we are spending more with in any other way for advertising or in terms of our dealer rates.
Dharmender Tuteja: The focus has slightly shifted on the BTL expenditure closer to the markets. Rest all, I think when the brand was launched. There was more of ATL on the IPL sponsorship. Those things are shifted towards BTL.
Moderator: The next question comes from the line of Prateek Kumar from Jefferies.


Prateek Kumar : A couple of questions. Firstly, just for modelling , a couple of questions. Your mind on your net debt positions from current INR800 crore s, including the three projects which we have talked about, three or four projects, excluding Jaisalmer, where do you see your net debt positi on from INR800 crore s currently? And second question is on the expected, if we win the JPA bid, what is the expected cash outflow that you expect from that bid?
Dharmender Tuteja: So, with the current announced projects, the net debt should go up to about INR5,000 crores or so, which should not be concerned within our capital allocation policy. For JP, of course, we're not able to comment right now until the matter gets closed with the COC, because there could be timing issues also, how the money gets paid. So, when, if at all, when it comes, we'll do the proper announcement and give you whole breakup .
Moderator: The next question comes from the line of Rajesh Ravi from HDFC Securities.
Rajesh Ravi: My question pertains to this Northeast expansion and also first on the Northeast expansion, what sort of incentives these plan ts, the grinding unit and the upcoming clinker unit bring with them ?
Dharmender Tuteja: On the capex, we had 200% of the incentive on your total fixed cost investment, and that is for 20 years.
Rajesh Ravi: Okay. So on an annual basis, how much would that work out?
Dharmender Tuteja: Sorry, can you repeat that?
Rajesh Ravi: On an annual basis, what sort of incentive one can Dalmia could potentially accrue from these plants?
Dharmender Tuteja: I think you should see the macro level what we see about INR100 per ton for the company as a whole rather than getting into the project -specific per ton basis.
Rajesh Ravi: And woul d you repeat the incentive numbers accrued and collected in this quarter?
Dharmender Tuteja: It was INR84 crores accrued and INR42 crores received.
Rajesh Ravi: Okay.
Moderator: Ladies and gentlemen, we take the last question from the line of Raashi Chopra from Citigroup.
Raashi Chopra: Thank you. Sorry if I missed this. I got disconnected. Have you given any guidance for volume for this year?
Puneet Dalmia: We don't give volume g uidance.
Nashi Chopra: All right. And second, at what point would you start using auction limestone?
Aditi Mittal : So Raashi, now that we'll be expanding into the newer regions. The auction limestone will probably start coming into play because Jaisalmer will be an auction mine as and when we

develop it. And on ou

r existing plant as we augment in future.


Puneet Dalmia : In the next 2, 3 years, there's going to be very little auction limestone. So I think it's not going to move our cost curve at all. 3, 4 years later, there will be a marginal shift, but it's not material.
Nashi Chopra: And what's the premium for the Jaisalmer limestone?
Puneet Dalmia : . I don't remember. I think we'll give it to you.
Aditi Mittal : I'll give it to you later after the call.
Moderator: Ladies and gentlemen, with that, we conclude the question -and-answer session. I now hand the conference over to Mr. Puneet Dal mia for closing comments.
Puneet Dalmia : Once again, I just want to thank you all for your interest. I think I'm very happy that this was the best quarterly EBITDA ever for the company. We are very confident about our plans and I think staying within our capital allocation framework. And as I sai d, the best of India is yet to come, and the best of Dalmia is also yet to come. Thank you for your interest. Bye -bye.
Moderator: Thank you. On behalf of Dalmia Bharat Limited, that concludes this conference. Thank you for joining us, and you may now disco nnect your line.

## Call: Nov 2025

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BSE Limited P J Towers, Dalal Street, Fort Mumbai - 400001 Scrip Code: 542216 National Stock Exchange of India Limited "Exchange Plaza", Plot No. C-1, Block G Bandra - Kurla Complex, Bandra (East), Mumbai - 400 051 Symbol: DALBHARAT
Subject: Transcript of Q2 FY 26- Earnings Conference Call

Ref : Regulation 30 of SEBI (Listing Obligation s and Disclosure Requirements) Regulations, 2015.
Dear Sir/Madam,

In terms of Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirement), Regulations 2015, please find attached transcript of the Q2 FY 26 Earnings Conference Call held on October 17, 2025 for the quarter and half year ended September 30, 2025. The same will also be uploaded on Company's website: www.dalmiabharat.com

This is for your information and record.
Thanking you,
Yours sincerely, For Dalmia Bharat Limited

Rajeev Kumar Company Secretary Encl.: As Above



"Dalmia Bharat Limited Q2 FY '26 Earnings Conference Call"

October 17, 2025

MANAGEMENT : M R. PUNEET DALMIA – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER , DALMIA BHARAT LIMITED
MR. DHARMENDER TUTEJA – CHIEF FINANCIAL OFFICER , DALMIA BHARAT LIMITED
MS. ADITI MITTAL – HEAD (INVESTOR RELATIONS ), DALMIA BHARAT LIMITED

Dalmia Bharat Limited
October 17, 2025

Moderator: Ladies and gentlemen, good day, and welcome to the Earnings Conference Call of Dalmia Bharat Limited for the quarter ended 30th September 2025.
Please note that this conference call will be for 60 minutes and for the duration of this conference call, all participant lines will be in the listen-o nly mode. This conference call is being recorded and the transcript will be put on the website of the company.
After the management discussion, there is an opportunity for you to ask questions. Should you need any assistance during the conference call, pl ease signal an operator by pressing "*" then "0" on your touchtone phone.
Before I hand over the conference to the Management, I would like to remind you that certain statements made during the course of this call may not be based on historical information or facts and may be forward-looking statements. These statements are based on expectations and projections and may involve a number of risks and uncertainties such that the actual outcome may differ materially from those suggested by such statements.
On the call, we have with us Mr. Puneet Dalmia – Managing Director and CEO; Mr. Dharmender Tuteja – CFO; and other Management of the company.
I would now like to hand the conference call over to Ms. Aditi Mittal – Head, Investor Relations.
Thank you. And over to you.
Aditi Mittal: Good evening, everybody. Welcome to Quarter 2 Earnings Call of Dalmia Bharat Limited.
We have declared our Results today and all the relevant data and presentations have been uploaded on the website. I hope you have had a chance to go through it.
This is the time of the year. I am sure all of you are in a rush to go back home, so I will not take much time and hand over the call. But before that, I wish you and your family a Very Happy, Prosperous and Safe Diwali.
Over to you, Mr. Dalmia.
Puneet Dalmia: Thank you, Aditi. I also would like to extend my warm wishes to everyone for a Happy and Prosperous Diwali.
And I want to jump straight away into what has been one of the biggest gifts for India this festive season. And without a doubt, it has been the GST rate cuts. This is a co mmendable initiative by the Indian Government aimed at boosting consumption and demand at a time when the economy is navigating through external geopolitical pressures.
Together with this, the RBI rate cuts, income tax rebates announced in the FY '26 budget and easing inflation, these measures create strong levers for driving a consumption-led recovery in the economy.



The reduction in GST on cement from 28% to 18% is a long-awaited fiscal relief and a very welcome step. As a responsible citizen, we had pledged to pass on the entire benefit to the consumers, and we have accordingly undertaken the same. This significant reform is expected to boost consumption and support housing demand over the medium to long term.
Additionally, the 10% ta x cut on cement will ease working capital requiremen ts for channel partners, thereby improving liquidity across the supply chain.
Now, I turn to industry demand, prices and supply. Coming to the demand side:
While I believe that the Indian cement demand should continue to grow at a CAGR of 7% to 8% during this decade, the current year has started a bit softer than expected. Both Q1 and Q2 demand grew at about low-single digits, driven largely by erratic and heavy rains and flash floods across the country. Last month of September was slightly slow as the change in GST regime further led to slowdown in inventory pickup by the channel and postponement of non-critical purchases.
Having said that, I believe that the second half of the year should witness pickup in momentum, with improvement in customer sentiment, pent-up demand and consecutive good monsoon. In fact, the recent RBI move to potentially allow E CBs for the real est

ate sector could further support cement demand from the housing sector in the medium to long term.
On the pricing front, cement prices largely held up during Quarter 2 as well, despite much heavier rainfall, which I believe is a big positive.
Now I turn to Dalmia performa nce during this quarter.
Coming to Dalmia's performance: Profitable growth remains our top priority. And, we are focused on driving it through sustained improvement in revenues and deepening our cost leadership. I am personally working with the team to strengthen our brand positioning in the market, and I am happy with the progress we have made so far.
During the quarter, our revenues improved by 11% Y-o-Y to Rs. 3,417 crores, while EBITDA grew by 60% Y-o-Y to Rs. 696 crores, which works out to be Rs. 1,013 per ton for the quarter. This is the second consecutive quarter where we have delivered four digit cement EBITDA per

ton driven by better realization and our control on costs.
Coming to the capacity grow th plans of Dalmia Bharat:



In the last earnings call, I had detailed out our capacity expansion roadmap. And in continuation of the same, I would like to mention that both Belgaum and Kadapa expansion projects are progressing as per plan, which will give us 12 million tons per annum of cement capacity for West and South markets in the next couple of years.
Beyond this, we have commenced the trial run production of the new 3.6 million ton per annum clinker line in Umrangso, Assam in Septembe r and are expecting commercial production to begin in Q3 of FY '26. This clinker capacity will give us an additional opportunity to add 2 million to 2.5 million tons of split grinding capacity in future in the fast-growing markets of Northeast and potentially East India.
Furthermore, the inso lvency process for… (Line disconnected)
Dharmender Tuteja : Dharmender here. Sorry for this brief interruption. I will start my address once again.
Let me give an overview of our financial performance:
As Puneet ji mentioned, our performance for the quarter was continued to be guided by profitable growth.
During the quarter, we witnessed impressive revenue growth of 10.7% Y-o-Y to Rs. 3,417 crores, supported by increase in realization by about 7.6% Y-o-Y and volume growth of about 2.9% on Y-o-Y basis. Our trade share stood at 62%, while premium product share was at 22% during the quarter.
Coming to the cost line items: Our raw material cost per ton of production marginally increased by 1% Y-o-Y to Rs. 799 per ton despite the impact of mineral tax imposed by the government of Tamil Nadu.
Further, our power and fuel cost per ton of production marginally increased by 1% Y-o-Y to Rs. 1,017 per ton. During the quarter, we have achieved RE share of 48% on consumption basis.
Power cost efficiencies will cont inue to improve with the rising share of renewable energy in our consumption mix.
We have commissioned 93 Megawatt of RE capacity this quarter mostly through group captive mode. And we are on track to scale our operational renewable capacity to 576 Megawatt by end of Financial Year '26.
During the quarter, our blended Pet Coke and coal consumption cost has remained range bound at about $100 per ton on a Q-o-Q basis. Blended fuel cost during the quarter stood at Rs. 1.38 on per Kcal basis, while the CC ratio was 1.62x.



Our logistic costs during the quarter declined by 3.8% Y-o-Y to Rs. 1,060 per ton. Our DD%stood at 60% this quarter, while lead dist ance was at 287 kilometers. We continue to strengthen our position as one of the lowest cost cement producers.
Our EBITDA per ton stood at Rs. 1,013 per ton, and we achieved an absolute EBITDA of Rs. 696 crores. This is a significant improvement of 55% plus Y-o-Y on both absolute and per ton basis.
Our EBITDA margin during the quarter stood at 20 .4% in Q2 FY '2

6 compared to 14.1% in the same quarter last year, which is again a big jump of almost 1.5x over 12 months.
On the GST front: As you are aware, the government has reduced GST on cement sales from 28% to 18%, which is a big welcome move. Another im plication of the same for the se ctor will be on the accrual of incentive income. With the lower GST rate, th e accrual of incentives will now get deferred.
Therefore, we expect total incentive accrual for the year to be around Rs. 240 crores compared to our earlier guidance of Rs. 300 crores.
However, at the same time, government has also removed the coal compensation cess, which will give us benefit of about Rs. 20 crores during H2 this year.
During Q2, we have accrued incentives of Rs. 64 crores and received Rs. 50 crores. For H1 FY '26, the total accrual was at Rs. 138 crores and collection was Rs. 91 crores. At the end of Q2 of FY '26, our total incentive outstanding is Rs. 800 crores.
During H1 of FY '26, we have incurred CAPEX of about Rs. 1,189 crores and our CAPEX spend for FY '26 is estimated to be about Rs. 3,000 crores. We have already started the trial runs into Umrangso clinkerization project in September. Belgaum and Pune projects are also on track to being commissioned as per announced schedule.
The work on Kadapa projects has also commenced on expected lines. FY '26 CAPEX spend will be lower versus earlier announced estimate due to favorable credit terms we have been able to negotiate with equipment suppliers and some postponements of non-budget CAPEX to next year.

On the debt front:
At the end of the quarter, our gross debt during quarter end stood at Rs. 6,621 crores, and our net debt stood at Rs. 1,602 crores. The increase in net debt is largely attributable to reduction in the value of IEX shares, which is part of our treasury.

Our cost of borrowing also reduced to 6.9% during the quarter as we have taken most of the long-term loans linked to the external benchmark like T-bill rates, which are corrected in line with the repo rate cuts, while the bank MCLR takes longer to correct. Our balance sheet position remains strong, and our net debt-to-EBITDA stood at 0.56x.
Lastly, the Board has declared an interim dividend of Rs. 4 per share.
With this, I open the floor for Q&A. Thank you and Wish all of you a Very Happy and Prosperous Diwali.
Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. The first question comes from the line of Amit Murarka from Axis Capital. Please go ahead.
Amit Murarka: So, the first question is on the update on the land expansions at Jaisalmer and Northeast. So in the last call, you had alluded to that. So, what is the status and by when do you think it can be actioned?
Puneet Dalmia: I think Northeast has already started trial run..
Amit Murarka: Sorry. I am talking about the 2-to-2.5-million-ton new grinding unit that sir had highlighted in the last quarter.
Aditi Mittal: So, Amit, last year, we had added 2.4 million ton of grinding capacity in the Northeast. The idea of starting work on another split GU, we will probably do it as we ramp up the GU that we added last year. So, as we expand capacity and the clinker comes onboard and we ramp up utilization of our previously added unit, we will start work on the next split GU. So, I think we are still a couple of quarters away before we give clarity on that one.
And on Jaisalmer, the work on land acquisition and getting permissions and working towards the EC, the work is on. And, we have time up until March 2026 before which we can break ground and come back to you. By then, we are reasonably also optimistic that we will have an outcome on what happens in the JP transaction. So, I think wait till March '26 before we will update you on both the Northeast and the Jaisalmer expansion.
Amit Murarka: Also, on the statement on profita

ble growth, wh ich I think was mentioned last quarter and this quarter too, but when I see realization, actually, surprisingly, it has dropped 4.3% actually, which is higher, I believe, than industry price behavi or. Sowhy the declines will be higher than the industry?
Puneet Dalmia: I think, again, as I said, every quarter, there w ill be regional mix. Ther e will also be segment mix, which will impact. I think directionally, we are heading in the right direction. And I think we will not be able to comment quarter-to-quarter because there are lots of variables which are at play in every micro market. But directionally, you will see that after 5 quarters of 3-digit

EBITDA, Q1 of this year and Q2 of this year is four digit. And I think consistently, we think we are improving our price positioning in every market. And I think we are on the right track.
Amit Murarka: And any guidance on volume? Generally, like, I believe you have been growing 1.5x of market. So, any number that you would want to give for that?
Puneet Dalmia: I don't want to give any number, but I just think H2 will be better than H1, hopefully.
Amit Murarka: And just lastly, if I can, the CAPEX cut that wa s highlighted, Rs. 3,000 crores. So, what exactly has led to that? Better credit terms is what wa s said, but generally, if you can explain it a bit more?
Dharmender Tuteja: As I said, some of the critical equipment suppliers, we were able to negotiate better credit terms. So, that is reflected in lower outgo of the cash flows in this year.
Puneet Dalmia: Our projects are on schedule in terms of commissioning time. So, there is no delay in that. both the projects are on time.
Amit Murarka: I will come back in the queue.
Moderator: We take the next question from the line of Satyadeep Jain from Ambit Capital. Please go ahead.
Satyadeep Jain: Puneet, just had a question on the compensation structure change. That seems interesting. I mean, maybe it seems like there was no variable co mpensation structure, I think. And, what are the changes outlined in this?
Puneet Dalmia: Sorry. Can you repeat the question, please, once again?
Satyadeep Jain: Just wanted to ask on the variable, in the presentation, it is mentioned that there is a variable compensation structure that has been introduced. Does it mean there was no variable

compensation earlier? And what are the changes? Just want to understand the metrics.
Puneet Dalmia: Yes. So, earlier, I think, before this year, it was all 100% pay was fixed pay. We have introduced a variable pay structure for the senior and middle management from this year onwards, which is Financial Year '26 onwards. And this will be the first year.
And, there are three variables which will impact this. One is the company's performance.
Second, is the individual performance, and third is safety. So, these are the three metrics. And the weight is different at senior level and middle level. At a senior level, company performance has a larger weight. At a mid-level, individual performance has a slightly larger weight than the company performance.



So, I think, overall, we just want to start this journey this year. And from next year onwards or over the next few years, we will make it more broader. And the total amount of variable pay will be around 15% to 25% of total pay.
Satyadeep Jain: And, how do you define company performance? Is it ROCE? Is it volume, EBITDA? Is there any metric that you would use to measure performance?
Puneet Dalmia: I think these will be our internal metrics where we have certain budgets in terms of what we need people to perform on. But these metrics will basically al ign management compensation to shareholder outcomes.
Satyadeep Jain: And secondly, maybe, touching on the question that Amit had asked earlier. In terms of maybe directionally

, if you look at volumes maybe for this year and next, are you looking to grow in line with market? What is the thought process ge nerally on I know profitable growth, but just wanted to ask this question another way. Would you grow in line with industry? Would you look to take market share?
Puneet Dalmia: I think, I have said this repeatedly that our st rategy will be different in different micro markets depending upon what our objectives are. And I think other than that, I just cannot say more because depending upon the demand supply situation, depending upon the strategic importance of a micro market to us, we will decide. And, depending upon how much excess capacity we have, we will decide our strategy based on these parameters.
So, I think, I cannot reveal more than that because there will be a different strategy in every market. In some ma rkets, we will go for share. In some markets, we will go for margin.
Moderator: We take the next question from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.
Sumangal Nevatia: So, my first question is on the capacity expansi on plan. So, we are still continuing with the 75-million-ton milestone for FY '28. So, my question is just wanting to understand the 13.5-million-ton gap, which we have. Do we have a bottom-up organic plan or there is JP or some other inorganic contribution also in the 75 million tons?
Puneet Dalmia: Sumangal, I have said this earlier also. I think, we are waiting for the JP outcome and which we expect, hopefully, this quarter. Let's see how it plays out. And parallelly, we are developing, all other projects to be in the state of readiness. So, basically, I think we will be able to give you some more color on this by March '26.
And as I said, we still have 2 years after that. So, we don't see a major challenge. We also have 2-2.5 million tons of low lead time expansion possible based on the Northeast clinker. So, I think I will be able to give more visibility only in March '26.



Sumangal Nevatia: Maybe I will keep this discussion for later. Second question, sir, is on the volumes, 3% odd growth. Do we think we have kind of compromised on market share for the realization and profitability as we discussed earlier? Or our sense is that the market itself was quite weak in the second quarter?
Puneet Dalmia: Sumangal, as I said, our goal is profitable growth in some markets based on what is our unutilized capacity and the demand-supply situati on and what is our strategic goal, we will go for market share. In some mark ets, we have high utilization of capacity. But again, depending upon the competitive dynamics, we may go for better margins.
So, I think there is no one size fits all approach here. I think we want to be very, very focused and balanced in our approach. And, I think I cannot reveal more than this micro market by micro market how we are going to play it.
Sumangal Nevatia: And, just one last question. It was good to see that we have offloaded some stake in IEX. Are we continuing here? And do we expect in the next, I mean, any timeline you would like to indicate as to when do we completely exit?
Puneet Dalmia: I think there was a recent a SEBI order on the fact that there was some insider trading in IEX shares by some people involved in the regulatory agency. So, let us see what happens and how this will play out. I think, we have said that this is not a core investment for us. It is a short-term

investment.
There is an overhang because of this regulation. But it seems like there is probably some
investigation happening by the government. So, we need to just figure out how this plays out. And I think I cannot say more than this. We have already sold more than half our position. And the rest of it, we will liquidate as and when we need the money.
Moderator: We take the next question from the line of Pinakin from HSBC. Please

go ahead.
Pinakin: So, I have three quick questions. My first is on cost. We have seen Pet Coke prices in
international markets inch higher; USD/INR has changed. So, should we assume that the costs
have bottomed out and they would move higher in the second half? Or the seasonally high
volumes should offset any variable cost increase?
Dharmender Tuteja: The Pet Coke prices currently are around 116. So , naturally, pressure on the external front will
be coming into the cost. But, of course, we are also on track to reduce our variable cost. So, we will try to partly cover this and ensure that the impact on the P&L is minimum.
Pinakin: My second question is again on going back to pricing. Just trying to square the prices decline
that Dalmia reported versus flat prices in the market. Has there been a material change in the
trade mix or the ratio of premium cement being so ld this quarter versus the previous quarter,
which could partly explain the headline ASP for the decline?



Dharmender Tuteja: The trade percentage is 62%, wh ich is lower than the previous qu arter. So, that is one of the
reasons you see the realizations seem lower.
Pinakin: My third question is, again, on industry pricing. If the demand does improve in the second half
of the year as government CAPEX picks up and the other initiatives and the economy starts
flowing through, can we see higher prices by the industry, especially given the way Pet Coke
prices have moved higher or cement price hikes look difficult in the current regulatory
environment?
Puneet Dalmia: I think right now the industry has passed on the entire reduction of GST. And I think our focus
right now is to ensure that we co mply with the law that whatever is the gain has been completely
passed on to all our customers.
I think, how will prices behave in the future is anybody's guess. All I can say is if I look at the
last quarter, the last quarter was despite being a monsoon quarter, prices were reasonably stable.
So, I think I am a little bit more optimistic in terms of price stability. If demand improves,
hopefully prices should re main stable from there.
Moderator: Pinakin, does that answer all your questions?
Pinakin: Yes, it does.
Moderator: We take the next questi on from the line of Navin Sahdeo from ICICI Securities. Please go ahead.
Navin Sahdeo: Good evening, and thank you for the opportunity. Also, congratulations on maintaining the 4-
digit EBITDA per ton number. Only one question. In this reduced GST rate regime, are you witnessing any trend of premiumization in the sense, as you mentioned, that prices is anybody's
guess and maybe, like, we want all the consumers to benefit first before the prices take their own
course? But from the premiumization front, is there any gain that you are seeing either for you
or at a broader industry level?
And in the same breath, if I may also ask, if the prices on its own have come down, then is there
a way that, like, a certain volume push schemes to dealers could be controlled a bit so as to fetch
a better, like, profitability or maybe a better realization for us? These were my questions.
Puneet Dalmia: I think our premium product percentage is flat on ly from last quarter to this quarter, I mean, on
a Y-o-Y basis. And as far as, again, dealer margins are concerned, this will depend upon the
competitive pressures in every market. You have to make sure that your value proposition for your channel is competitive compared to what other brands offer. And, it also depends on how
fast your rotation is, how quickly your product sells so that they can make, they can turn their
inventory quickly.



So, I think the only good news is that because the GST rates have come down, there is more
liquidity in the system. So, I th ink that should impact the ability of the channel to take

more
cement than or finance more as compared to what they would do earlier.
Moderator: We take the next question from the line of Raashi from Citi. Please go ahead.
Raashi: Just on the cost side, how much is the Pet Coke or the fuel consumption cost today versus the
$100 in the second quarter?

Dharmender Tuteja: Currently, it has come to about 1.38 on per kcal basis, and we can expect a marginal increase in the coming quarter.
Raashi: And are you still maintaining a cost reduction target of 150 to 200 over the next two years?
Dharmender Tuteja: Yes. That is on track.
Raashi: Just on the incentive, the accrual you said was Rs. 60 crores and received was Rs. 50 crores. We are double checking this number.
Dharmender Tuteja: Yes, Rs. 64 crores accrual and Rs. 50 crores collection. And we expect to catch up on the collection in the Quarter 3.
Raashi: CAPEX for FY '27?
Dharmender Tuteja: That we expect to be about close to Rs. 4,000 crores.
Raashi: And just last question on the volume front for the industry and for your like, I think earlier you had quantified that you were expecting a 6% to 7% industry volume growth for FY '26. Is there still some quantification from your side? And second is, are you likely to sort of be in line with industry or higher?
Dharmender Tuteja: Can you repeat the question, please, Raashi? Sorry.
Raashi: So, I think earlier, you had highlighted that you had expected the industry volume to grow 6% to 7% in FY '26. So, is there still a quantification to FY '26 expectation for the industry? And where do you stand vis-a-vis the industry for this year?
Dharmender Tuteja: The first two quarters' growth has not been upto expectations, but still we expect that in the second half, the growth should be much better. And of course, our focus continues to be on profitable growth. Exact levels we will not be able to hazard a guess.
Moderator: The next question comes from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar: My first question is on benefit of removal of coal cess. You said Rs. 20 crores for second half. So, full year benefit, like, it's, kind of Rs. 40 crores benefit from this and Rs. 60 crores loss from the other incentives which you are accruing. Is that right?
Dharmender Tuteja: Yes. Current year benefit is about Rs. 40 crores because we are still carrying some opening stock. But next full year, it will be close to about Rs. 50 crores to Rs. 55 crores.
Prateek Kumar: For coal cess next year, benefit is Rs. 50 crores to Rs. 55 crores. That's what you said?
Dharmender Tuteja: That's right. Yes. Because current year, in fact, that's slightly reduced due to the opening stock which we are carrying.
Prateek Kumar: And coal prices have generally been languishi ng versus Pet Coke which has been rising. So, is there an evaluation on increasing coal mix in the business also in context of the SPE rate changes benefit related to that?
Dharmender Tuteja: Yes, we do take a call depending on the suitability of the pricing between coal and Pet Coke. And whatever is the cheapest fuel mix, we try to use it.
Prateek Kumar: One other question. We recently announced KMP (key management personnel) from BCG. Can you discuss that role, please?
Puneet Dalmia: We have hired a person who is our Chief Strategy Officer, and his name is Anirudh Tara. He has come from Boston Consulting Group, and he has 15 years of experience in building materials and also leading growth and transformation for several of his clients.
Prateek Kumar: So, he is, like, kind of replacing Mr. Bansal , who was earlier Transformation Officer as well?
Puneet Dalmia: No. I think he is the Chief Strategy Officer of th e company. And, that role is shared between the CFO and the Chief Strategy Officer.
Moderator: The next question comes from the line of Rajesh Ravi from HDFC Securities. Please go ahead.
Rajes

h Ravi: First question pertains to this incentive run rate you mentioned to come down to Rs. 240 crores just for this financial year, or th is is, like, next year onward, the run rate you are talking about?
Dharmender Tuteja: Rs. 240 crores, which I mentioned was for the current financial year, which is taking the GST cut impact of the second half. And next year, it can be around, again, Rs. 200 crores.
Rajesh Ravi: So, from Rs. 100 per ton, which we are currently seeing for the last few quarters, this should come down to Rs. 60 per ton. Is this understanding correct?
Dharmender Tuteja: Yes. Close to Rs. 60, Rs. 65 or so. Yes.

Rajesh Ravi: And second, if I look at your trade sales share, which you mentioned at 62% is almost at four-year low. So, any specific reason or strategic thought behind being more aggressive in non-trade?
Puneet Dalmia: Sorry. What? Can you please repeat your question?
Rajesh Ravi: So your trade sales share, which you mentioned is at 62% for Q2. If I look at the numbers shared earlier, this is almost four-year low this quarter, trade sales share. So, is there any specific thought to be aggressive in the non-trade segment and hence the trade sales is lower?

Puneet Dalmia: I don't think so. I think, a few percentages point variation may happen quarter-to-quarter. But I don't think it's material.
Rajesh Ravi: So, broadly, can we assume that you would be targeting to keep a trade mix, between 60% to 65%?
Puneet Dalmia: I don't think we want to give a trade sales target. I think it is, again, as I said, a strategy that we will follow in terms of achieving profitable growth. And I don't think, we want to give you a guidance on what will be our trade mix.
Rajesh Ravi: And third is on the cement prices. What we understand from channel check with East market, cement prices in October have come up more than the GST pass through. Any comments on that?
Puneet Dalmia: I have already given the comment in my opening remarks. We have passed on the entire GST benefit.
Rajesh Ravi: Right. Yes. So, what we hear is that the prices have come down beyond the GST pass-through. Not just the GST pass-through 30-odd rupees, but even prices have corrected beyond that. And given the Tamil Nadu market, December quarter is generally weak, given it is a monsoon quarter. So, would it be that Q3, we would be looking at a NSR decline Q-on-Q?
Puneet Dalmia: I think we cannot forecast prices. And I think, as I said earlier also, we are in the business of making long-term investments and making sure that we create structural advantages on cost, deepen our cost leadership and build a pan-India footprint and build scale in our business. I don't think we will be able to predict prices quarter-o n-quarter. And I think we are not in the business of predicting quarterly prices.
Rajesh Ravi: Last question on the freight expenses per ton, which has come down by around Rs. 80 per ton, while lead distance number which we look at is come up by 7 kilometers on a quarter-on-quarter basis. So, how do we explain this reduction in per ton number while lead distance is higher?

Dharmender Tuteja: We are on our cost reduction journey in logistic also, so that is also contributed. And, of course, very small portion is also because of the railway busy season surcharge. This year, we had a two months relief from the busy season surcharge. Last year was only one month.
Rajesh Ravi: And did you share that, because of this coal cess reduction, what will be the savings? The savings from the recent reduction in the coal cess by Rs. 400, Rs. 500 pe ton. How much that would further convert into?
Dharmender Tuteja: Yes. The coal cess benefit in the second half th is year is about Rs. 20 crores. And next year, the full-year basis will be about Rs. 50 crores to Rs. 55 crores.
Rajesh Ravi:

Happy Diwali to the team.
Dharmender Tuteja: Thank you, and same to you.
Moderator: We take the next question from the line of Shra van Shah from Dolat Capital. Please go ahead.
Shravan Shah: Sir, just wanted to understand, sir, in the opening remarks, when we said that we are looking at 7% to 8% kind of CAGR for the decade, and when two to three people have asked in terms of the growth for this year for industry also, we are hesitant to even answer that. So, just trying to understand why you can't tell when the 1H is already there. So, I understand we can't guide for our volume growth, but as for industry, a ballpark number would also help. So, just trying to understand what is stopping us to even give us some number.
Puneet Dalmia: I think what is stopping us from giving a number is that it is hard for us to predict quarter-on-quarter what will happen. And I thin k on a longer-term basi s, we have seen that there is a easier model that is easier to predict. Because even though some investments may get postponed one year, but next year, they catch up. So, quarter-on-quarter, it is very hard.
But on a long-term basis, we have seen that in a cycle where the growth is infra-led, the cement growth is typically 1.2x the GDP growth. And I think that is something that we have seen over many, many years across cycles. And, year-on-year, it may sometimes be quite bumpy and unpredictable, but then it catches up. So, if there is a growth which is lower somewhere, it catches up the next year or the year after, and th e reverse also happens. So, overall, the thing that we have seen is 1.2x GDP growth is what the cement sector is likely to grow at.
Shravan Shah: I understand, sir. Second is, on the CAPEX front. So, just wanted to understand. I understand we will be announcing the Jaisalmer expansion. Obviously, it depends on the JP in terms of the timing, but by March. But broadly, so currently, whatever the Belgaum, Pune, Kadapa, which is already announced and ongoing and the Assam one where trial run is there, so just wanted to understand how much is still pending to be spent on that.

And broadly, even if, let's say, Jaisalmer we go for a 5 or 6-odd million ton, broad understanding would be, will it be a 5-6,000-odd crores? So, I was just trying to unde rstand. So, roughly, it

seems like 14-15,000 crores needs to be spent by FY'28 if you want to achieve. So, I am not
even including the JP. So, then the number would even go higher. So, ultimately, that will impact
our net debt decently. So, if you can help us.
Aditi Mittal: So, if you see the last two projects that we have announced, each Belgaum and Kadapa at about
Rs. 3,200 crores to Rs. 3,800 crores, for the Greenfield that we will do at Jaisalmer because it
will be a pure Greenfield in the ne wer market, it will be close to what the industry is used to
achieving between $90 to $100 per ton.
So, that translates to about Rs. 5,000-odd crores for a 5-million-ton plant. Ballpark as the size of
the kiln may go up and down by a million. The numbers could change, but I think ballpark $90-
$100 per ton is fully achievable even in that market where it is going be a Greenfield.
Shravan Shah: Yes. So, that is what I am saying. So, this Belgaum, Kadapa put together is Rs. 6,800 crores.
Jaisalmer is Rs. 5,000 crores. That comes at Rs. 12,000-odd crores. Plus, if you can help us in
terms of Assam what is left to be spent, and then there will be RE and maintenance CAPEX will
also be there. So, that is the way I just wanted to understand. Even to reach a kind of 70 million
tons also, we need to spend Rs. 15,000 crores, Rs. 16,000 odd crores by FY '28. So, how can
one look at in terms of the net debt?
Dharmender Tuteja: Based on the announcements which we have made currently, FY '28, you can expect the CAPEX
to be about Rs. 10,000 crores to Rs. 10,500 crores. And additional CAPEX which come

s maybe
about then take a ballpark of Rs. 3,500 crores to Rs. 3,800 crores for 6 million tons capacity.
Shravan Shah: Sorry, sir. Can you repeat this? Rs. 10,000 crores to Rs. 10,500 crores you said for which year?
Dharmender Tuteja: For the announcements till FY '28.
Puneet Dalmia: I think that this is ballpark. I think we will be firm of our CAPE X plan. I think we will give you
a better sense by March of '26.
Shravan Shah: Yes. No, no, sir, that I understand. What the point is that even if we, let's say, the difficulties that
for given the supply, which will be coming in terms of the capacity, which are there for next two
years, particularly till FY '27, and the GST cut has happened and maybe the focus can shift to the non-trade. In terms of the
price, high growth would be very, very difficult. So, the only option
is the cost reduction to improve profitability. That also kind of to limit it. So the net debt would
be significantly rising from here on. So, that's the worry.
Dharmender Tuteja: Net debt, as we said earlier also, with all thes e expansions also will be comfortably below 2:1.
Net debt to EBITDA will not cross two is to one.

Moderator: We take the next question from the line of Milind Raginwar from BOB Capital Markets Limited.
Please go ahead.
Milind Raginwar: Just wanted to understand the management assessment on the headwinds on the cost side,
probably from here on to, say, the next two quarters or beyond that?
Puneet Dalmia: I think we see some rise in Pet Coke cost recently, but again, it is very, very driven by
geopolitical factors, which is quite volatile and uncertain. Other than Pet Coke, I think we do not
see any major cost spikes in any other area. And I think as Dharmender said, we will try to
minimize this cost spiking as much as possible.
Milind Raginwar: Because the second half base is slightly lower, so that was the reason for my question. My next
question is as CFO earlier mentioned that the second quarter industry growth was weak. Any
number that you like to put on that?
Puneet Dalmia: I think we think it is likely to be low single digit.
Milind Raginwar: And finally, just if you can allow me one, any clinker sales in our volume?
Puneet Dalmia: No. Not really.
Dharmender Tuteja: No, Cement sales only.
Moderator: We take the next question from the line of Saket Kapoor from Kapoor & Company. Please go
ahead.
Saket Kapoor: Sir, as you alluded to the fact that the impact of the higher Pet Coke prices and also the lowering
of the GSTthe compensation also wi ll get mitigated with the other cost rationalization. So, what
should be the steady-state number for EBITDA pe r ton that we can look forward for the second
half? And so we have seen this decline of EBITDA, quarterly EBITDA from 883 to 696. So, if
you could just give the factors that has led to the decline because the volume decline was only
marginal?
Dharmender Tuteja: See, the reduction of profitability, I will try to cover your question. The reduction of the
profitability from Q1 to Q2, this is a seasonal impact which comes in Q2 every year because, first, the monsoon season leads
to lower volume and the some of the plants going to shut down,
so those costs are coming to picture. And since we have seen in the current year, the prices have
held up.
So, ultimately, the profitability of second half will largely be dependent on how the prices
behave, but we are quite confident that the profita bility will be much hi gher. Volumes will also

be much healthier in the second half. Getting exact guidance may not be the right way

Saket Kapoor: Sir, can you give me the last year's annual numbers? What was our volume? We have the first half right now, and how was the second half numbers were, sir?
Aditi Mittal: So, our full-year number s were 28.8 million tons and minus

the first half.
Saket Kapoor: So, we are equitable in that way. H1 and H2 ha ve remained almost the sa me for the last fiscal year. That is with your understanding. So, we are expecting on the base of what H2 was last year to we will be growing and just li ke the industry trend will be. That is what the base understanding should.
Aditi Mittal: Sorry. The last year numbers were 29.4 million tons. And this year, first half, we are at about 13.9 million tons, H1.
Saket Kapoor: Last year, it was 29.4. And this year, we have done 13.9.
Aditi Mittal: Yes.
Saket Kapoor: That translates into 15.5 for H2. So, as sir was a lluding to the fact that we are looking to exhibit volumes in excess of this 15.5 for the H2. This is what our endeavor will be depending upon how the market conditions are.
Dharmender Tuteja: Yes, please. Yes.
Saket Kapoor: And just taking into account, on the infrastructure part of the story, and sir, we have seen that in lot of EPC players have been taking the cash crunch over the last 9 to 12 months. So, have you factored that also in your growth number? Because cement, steel, and other element goes into the infrastructure and those and your main buyers are these EPC players only who are the people who are building these infrastructures. So, how do those cash crunch for them works out in terms of the payment which should be made to you? I am just talking about the ecosystem getting choked up because of this receivable table mismatch.
Moderator: Ladies and gentlemen, we have the management line reconnected. Saket, if you can please repeat your question.
Saket Kapoor: Yes. I will repeat it. Sir, as we have seen that we are more inclined towards the non-trade mix. Sir, as you were mentioning in your opening remarks that we have a higher non-trade mix. That means a majority of the sales is towards institut ional. That is the government. So, how are the receivable days being from the government side since we are hearing a lot of payment delays from those funds?
Puneet Dalmia: We do not see any spike in receivables, and I think the receivable days are normal as it was earlier.

Moderator: Thank you. Ladies and gentlemen, we take that as the last question. And I now hand the conference over to Mr. Puneet Dalmia for his closing comments.
Puneet Dalmia: Thank you very much for your interest in Dalmia Bharat. I once again wish all of you A Very Happy, Prosperous, and Safe Diwali. And I look forward to seeing you next year in after the third quarter in 2026. Ha ve a great time. Bye.
Moderator: Thank you. On behalf of Dalmia Bharat Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

# Call: Jan 2026

Dalmia Bharat Limited
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File No: 1010/ 02 January 23, 202 6

BSE Limited
P J Towers, Dalal Street,
Fort Mumbai - 400001
Scrip Code: 542216 National Stock Exchange of India Limited
“Exchange Plaza”, Plot No. C -1, Block G
Bandra - Kurla Complex, Bandra (East),
Mumbai - 400 051
Symbol: DALBHARAT
Subject: Transcript of Q3 FY26- Earnings Conference Call

Ref : Regulation 30 of SEB I (Listing Obligations and Disclosure Requirements) Regulations, 2015.
Dear Sir/Madam,

In terms of Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirement), Regulations 2015, please find attached transcript of the Q3 FY26 Earnings Conference Call held on January 21 , 2026 for the quarter and nine months ended December 31 , 202 5.

The same will also be uploaded on Company's website: www.dalmiabharat.com

This is for your information and record.
Thanking you,

Yours sincerely,
For Dalmia Bharat Limited

Rajeev Kumar
Company Secretary

Encl.: As Above Dalmia
Bharat Limited



“Dalmia Bharat Limited Earnings Q3 FY -26
Conference Call”

January 21, 2026

MANAGEMENT : MR. PUNEET DALMIA – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER , DALMIA BHARAT
LIMITED
MR. DHARMENDER TUTEJA – CHIEF FINANCIAL
OFFICER , DALMIA BHARAT LIMITED
MR. YATIN MALHOTRA – CHIEF FINANCIAL OFFICER ,
DALMIA CEMENT (BHARAT ) LIMITED
MR. PRASSAN GOYAL – INVESTOR RELATIONS LEAD ~ Dalmia
Bharat Limited ~ Dalmia
Bharat Limited
CHOR us♦CA LLff


 Moderator : Ladies and gentlemen, good day and welcome to the Earnings Conference Call of Dalmia Bharat Limited for the Quarter Ended 31st December 2025 .

Please note that this conference call will be for 60 minutes and for the duration of this conference call, all participant lines will be in the listen -only mode. This conference call is being recorded, and the transcript will be put on the website of the Company .

After the Management discussion, there is an opportunity for you to ask questions. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. As a reminder all participant line s will be in the liste n-only mode .

Before I handover the conference to the Management , I would like to remind you that the certain statements made during the course of this call may not be based on historical information or facts and may be forward -looking statements. These statements are not based on expectations and projections and may involve a number of risks and uncertainties such that the actual outcome may differ materially from those suggested by such statements.

On the call, we have with us Mr. Puneet Dalmia – Managing Director and CEO, Dalmia Bharat Limited, Mr. Dharmender Tuteja – CFO, Dalmia Bharat Limited, Mr. Yatin Malhotra – CFO, Dalmia Cement (Bharat ) Limited and the other Management of the Company .

I now like to hand the confe rence over to Mr. Prassan Goyal – Investor Relations Lead. Thank you and over to you.

Prassan Goyal: Thanks Rutuja. Good evening, everyone. Thank you for joining us today on the Q3 FY26 quarterly earnings call of Dalmia Bharat Limited.

We published our Results and Investor Presentation couple of hours back and I hope you had a chance to go through it. We have the Dalmia Management here with us today to answer your questions.

I will now request Mr

. Puneet Dalmia for his opening comments. Thank you and ove r to you .

Puneet Dalmia: Thank you, Pras san. Good afternoon, everyone. Before I begin, I would like to wish everyone a Warm and Prosperous New Year.

I will first begin with my thoughts on the general Indian economy :

The Indian economy has demonstrated strong resilience despite the geopolitical headwinds and registered a GDP growth of 8.2% in Q2. The Reserve Bank of India is projecting India's GDP growth at 7.3% in the current fiscal. We have become the 4th largest economy in the world and will continue to hold our pole position as the fastest growing major economy. I am personally very excited about the India growth story, and we take pride in being an integral part of it. ~ Dalmia
Bharat Limited


 Cement sector :

Talking about cement, continued government investment s in infrastructure and capacity building is expected to support cement demand over the medium to long term. This is also encouraging us to step up our investments in the cement sector as we work towards our strategic goal of becoming a pan India player. In the current environment, we have started witnessing improved demand traction with the end of monsoon and the festivities. According to estimates, cement demand during Q3 grew at about 7 %-8% on a YOY basis and I believe this momentum will continue in Q uarter 4 as well. At this pace, FY26 will witness a growth of about 6% YOY on a full year basis.

Moving to prices :

We saw healthy increases at the beginning of FY26. GST reduction in September was a key milestone for the Indian cement industry and benefits we re duly passed on to the consumers. Q3 saw softening of prices beyond GST cuts, especially in our key operating regions of East and South. Though Q4 has started with some improvement, we will see how prices pan out in the coming months. As I mentioned earl ier, pricing in the short term is difficult to predict due to various market dynamics. However, I remain optimistic that prices should be supportive going forward in the mid to long term.

I would now like to spend some time on Dalmia's operating performan ce in Q3 :

Generating shareholder value by delivering profitable growth remains our topmost priority. We are focused on driving it through sustained improvement in revenue and deepening our cost leadership. In Q3, we delivered a robust volume growth of 10% versus last year. This growth was driven by focused efforts of our sales team to deliver superior value proposition to our customers, supported by improved demand traction. We have been making consistent efforts to deepen our channel engagement. We rec ently hosted our annual dealer conferences, and we have received very promising feedback from dealers. This is an encouraging sign, and it reinforces our belief that we are on the right track.

Regarding cost :

We remain steady on our path to deliver a cost take-out target of Rs. 150-200 per ton that we spoke a few quarters back. We have made meaningful progress in our journey by delivering efficiencies across the value chain and there are more initiatives in the pipeline. I believe that this focus on cost w ill keep us in good stead to maintain our position as one of the lowest cost cement producers in India.

Now let me talk about our expansion plans :

I am happy to share that we have started commercial production from the new clinker line at Umrangs o in Assam with a capacity of 3.6 million tons of clinker per annum. The 2.4 million ~ Dalmia Bharat Limited

 ton per annum grinding capacity in Lan ka was already commissioned in Q4 last year. This makes us fully clinker back to serve a total of 8-million -ton cement capacity in the region. Northeast as a region has been very promising in terms of demand growth and offers one of the best profitability among

the regions. Our focus now is to ramp up this capacity quickly.

Our Belgaum -Pune expansion as well as the Kadapa expansion are p rogressing as per schedule. We have placed all the major orders. Civil work in Belgaum is also in full swing. These projects will take our capacity to 61.5 million tons.

As informed earlier, we are on the path to expand our presence in new regions and reac h a capacity of around 75 million tons by FY28. We are developing the Jaisalmer project and are likely to firm up our decision in the next few months. In parallel, we are working on various other projects in preparation to reach our stated long -term ambiti on of 110 -130 million tons by 2031.

To conclude :

I must say that I believe we are making very positive strides in our journey amidst promising times when prospects of long -term demand remain strong, industry consolidation is accelerating and the potential for margin expansion is significant. I am confide nt that as a Company we are well positioned to capture the tremendous opportunities that lie before us.

Thank you and over to you, Dharmend er, for the financial updates.

Dharmender Tuteja: Thank you, Puneetji.

Let me give an overview of our financial perfo rmance :

As Puneetji mentioned, our performance for the quarter was continued to be guided by profitable growth. During the quarter, we witnessed a sales volume growth of 9.5% YOY to 7.3 million tons. Our trade share stood at 62% while premium product share was at 23% during the quarter. Revenue for the quarter improved by 10% on a YOY basis. While prices were marginally higher on a YOY basis, it corrected in our core markets sequentially. This led to an NSR drop of about 4% on a QOQ basis.

As called out la st quarter with the change in GST regime, our incentive run rate has also come down. During Q3, we have accrued incentives of Rs. 91 crore s. This figure includes certain incentives amounting to Rs. 37 crore s pertaining to earlier years and Rs. 9 crore s for H1 of FY26. During the quarter, our receipt of incentives was Rs. 121 crore s, with which our total outstanding incentives declined to Rs. 776 crore s. As mentioned last time, we expect the incentive run rate to be around Rs. 200 crore s next year.

Coming t o the cost line items : ~ Dalmia Bharat Limited

 Our raw material cost per ton of production increased only by 2% YOY to Rs. 780 per ton despite the additional levy of tax on minerals in Tamil Nadu.
Further, our power and fuel cost per ton of production increased by just 1% YOY to Rs. 1 ,019 per ton despite the cost headwinds. During the quarter, we have achieved RE share of 48% on consumption basis.
Our cost efficiencies will continue to improve with the rising share of renewable energy in our consumption mix. We have commissione d 23 MW of RE capacity this quarter. With this, our total RE capacity has reached 410 MW.
In 9 months, we have invested about Rs. 50 crores in equity SPVs for the group's captive RE projects. There are more projects in the pipeline, which are expected to c ome online in the next few months.
During the quarter, our blended pet coke and coal consumption cost has remained range -bound at about $99 per ton on a Q OQ basis. Blended fuel cost during the quarter stood at Rs. 1.36 on per kcal basis, while CC ratio was 1.6x.
Our logistic cost during the quarter saw a significant decline of 5.6% YOY thanks to good progress on our various initiatives. Our direct dispatches percentage stood at 62% this quarter, while lead distance was at 277 km. Other expenses during the q uarter increased by 11% YOY to Rs. 579 crores, primarily due to planned shutdowns and increase in marketing spend.
During the quarter, the Company hosted its Annual Dinner Conference and was one of the major sponsors of the M essi India tour, among other initiatives.
As Puneetji mentioned, we will continue t

o strengthen our position as one of the lowest cost cement producers. In one of the slides of our earnings release, we have includ ed our total cost trend, excluding the two major external headwinds that affected us, i.e. additional levy of mineral tax in Tamil Nadu at Rs. 160 per ton and spike in fuel prices, clearly shows that we have reduced our structural cost over the last few qu arters through better operational efficiency across levels.
Our EBITDA per ton stood at Rs. 823 per ton, while absolute EBITDA was at Rs. 602 crores. This is an improvement of 18% on a YOY basis.
As you are aware that the Government of India has recently notified the new labour codes. Consequently, we have assessed an incremental impact of these changes amounting to Rs. 32 crores towards gratuity and other employee benefits. This has been provided under exceptional items.
During Q uarter 3, FY26, w e have incurred a CAPEX of about Rs. 513 crores, which makes YTD December spending to be Rs. 1,703 crores. We expect the spending to be around Rs. 2,700 crores in FY26. Majority of the CAPEX in current year is being spent on Umrangs o clinker, Belgaum Pune units and Kadapa project, along with other land acquisitions and other ROI projects. ~ Dalmia Bharat Limited

 Our gross debt at the end of the quarter stood at Rs. 6,844 crores, while net debt stood at Rs. 1,793 crores.
Our balance sheet position remained strong, with our net debt to EBITDA at 0.6 X. Just to summarise, we saw good volume growth and stable costs in Q uarter 3. Our drop in prices led to margin suppression during the quarter.
As we look forward to Q uarter 4, we expect positive momentum to continue on demand, whereas margins are likely to get supported with better prices.
With this, I open the floor for question and answer. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of Jashandeep Singh Chadha from Nomura. Please go ahead.
Jashandeep Chadha: Hello. Thank you for the opportunity. Sir, before I ask my question, I just need a clarification on the incentive front. In your presentation, you have mentioned that around 37 crores of the incentive received this quarter was from the previous period. Is it in line with the expectation and the run rate that the management was building or should we treat it as a one -off item? How should we look at th e 37 crores?
Dharmender Tuteja: When we said that the run rate for the next year is about 200 crores, this new incentive is also included. So, this incentive is including the retrospective effect. That is why the figures have been stated that 37 crores for the previous year and 9 crores for the firs t half. But the impact will come in the coming years also. That is included in the run rate of 200 crores per year.
Jashandeep Chadha: So, it is in the normal course of business, right?
Dharmender Tuteja: Yes, please.
Jashandeep Chadha: Thank you for the clarification. Now, my first question is largely on account of demand and pricing. In a few of your key states, in both East and Northeast, there will be state elections that will be happening this year. So, with that context, how do you see demand goi ng in East and what will be the impact on the pricing? How do you see cement pricing? I understand, Puneet sir just mentioned in short term, it is very hard to say. But over FY27, if you can give a wider

picture on both demand and pricing, how ar e you seeing especially in East?
Puneet Dalmia: I think our view is that East is one of the lowest per capita consumption regions in the country. And the headroom for growth here is quite high. A lot of the Eastern economy is determined by mining and natur al resources. And I think the government is quite focused on unlocking some of these resources and converting them into GDP growth. Also, a l

ot of infrastructure is being built. So, my personal view is that also given the fact that now to get re -elected, y ou have to show good development and you have to meet the aspirations of the Indian demographic, which is largely a very young population. So, my belief is that East should definitely be slightly above ~ Dalmia Bharat Limited
 the national average. And I think 7 % to 8% growth in E ast should be quite easily possible. But again, as I said, there will be blips along the way. This is like, , a large part of Indian consumption is the CAPEX business, whether it is housing or infrastructure. The repair business is quite low in India because India is still being built. And therefore, sometimes CAPEX gets postponed sometimes. But over a slightly longer period, it's more easier to predict quarter -on-quarter, there could be blips. But over a 3 to 5 year period, it evens out. And I think that East should grow in high single digits quite comfortably.
Second point is, if I look at pricing, the pricing in East India and South also declined more than the adjustment for GST post 22nd September. I expect this to come back. And even in Jan uary itself, we are seeing some corrections, although they are still minor and not very meaningful. But I see some upward corrections in January. And this is usually a strong quarter in terms of demand also. So, I think given the fact that there has been e xcessive correction in prices, and the demand is strong, I expect some price uptick this quarter. But again, as I said, it's hard to say. And long term, I think prices will get driven by consolidation. I think barriers to entry in this business are rising. And higher consolidation will mean higher prices over the medium to long term. That's all. Thank you.
Jashandeep Chadha: Thank you for this. So, if I put this question in a slightly different way, like we had Bihar election and we saw out of all th e Eastern states, Bihar spent close to 55% of their budgeted CAPEX , whereas all the other Eastern states are less than 25%. So, given that West Bengal and Assam will be soon having elections, do you think more funds and more projects will flow to East? And hence, you will have a higher demand coming from these regions, which obviously suits Dalmia. But just wanted to understand a quick view on how elections normally affect demand in that sense.
Yatin Malhotra : Jashandeep, if you were to look at Quarter 3, , we have seen revival across markets on demand in East. So, if you were to see four quarters prior and the trend line, I think the trend line has started to move up in Quarter 3. Elections would have an impact. We would r ight now not sit in judgment and anticipate which way it will go. But if you were to look at collective East, I think Bihar is now through the election cycle. We expect spending to come back. In other markets also, I think the spending is a little overdue. So, we are hopeful it will come back. So, we will see how it pans out. I think Odisha, Jharkhand, Bihar, all of them should do good and West Bengal might see some blip in the interim. But I think that again, the demand will come back. So, high sing le digit might be we may end up touching double digit is what our expectation.
Jashandeep Chadha: Understood. Thank you so much for this, Yat in. My last question is largely on cost we have seen pet coke rise in recent months. So, what will be the impact for Dalmia in 4th Quarter on cost front? If you can just give an estimate.
Dharmender Tuteja: The blended cost will go up as we have seen that the Pet c oke prices have gone up. But of course, we will try to mitigate this by increasing the blend of the domestic coal, which is slightly cheaper. ~ Dalmia Bharat Limited
 Jashandeep Chadha: Understood, sir. I will join back with you for my other

question. Thank you.
Moderator: Thank you. The next question is from the line of Indraj it Agarwal from CLSA. Please go ahead.
Indrajit Agarwal: Hi. Thank you for the opportunity. A couple of questions. Of the Rs. 150 to 200 cost savings, how much have we realized so far and what is still pending?
Yatin Malhotra: So, Indraj it, I think Dharmend erji mentioned in his commentary earlier, if you look at slide 23 of our IR deck, actually we made that explicit because this is generally a question that comes up. I think we gave this estimate around five to six quarters ago. Structurally, if you were to see, I think we have made decent progress. If you were to remove the two major headwinds that have come along our way, one was the Tamil Nadu limestone and one is the fuel uncertainty. We have roughly in the ballpark of Rs. 45 to 50 per ton is what we have structurally extracted. But

as Puneetji also mentioned, there are more in the pipeline. So, we gave a guide to the 150 to 200. We are down six quarters. We are roughly 50s in the bank. I think much more will get converted in the coming qua rters. So, we are pretty much steady on this journey.

Indrajit Agarwal: Sure. This is helpful. Second, I missed the CAPEX guidance for this year. What was it again?

Dharmender Tuteja: 2,700 crores.

Indrajit Agarwal: And lastly, if you can help us understan d, how is the current pricing versus 3Q average? We have seen some increases in early January. So, is this like meaningfully above 3Q average or we are broadly at the same level?

Yatin Malhotra: I think we are just 20 days into the quarter. Right now, if y ou were to ask that question, yes, we are excited with the green shoots, but too early for us to count money. Early signs are good. Let us see how it pans out. As we have said, we are not in the business of predicting very immediate short -term on prices. S o, let us see how it pans out.

Indrajit Agarwal: Sure. Thank you so much. That is all from me.

Moderator: Thank you. The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: Hi. Good evening. Thanks for the oppor tunity. My first question is on CAPEX. So, while this year you have essentially been able to control the CAPEX from an initial guidance of 4,000 crores you had given earlier in the year, does it mean that next year now the CAPEX will be far higher with thi s reduction in ‘26? And if you could talk a bit more about the journey on CAPEX in ‘27 and ‘28?

Dharmender Tuteja: So, next year also we expect the CAPEX to be around 4,000 crores. And for the next two years, I think the CAPEX could be in the range of 8 ,000 to 9,000 crores. ~ Dalmia

Amit Murarka: So, basically 4 and 5 in that sense.

Yatin Malhotra: Yes. Amit, actually, if you dial back to what Puneetji mentioned, we are working on other projects. There might be some more announcements coming around the way. This is the current project that we are running. We would be hitting in the vicinity of 2.5-3 on an average annual, might be on the little above 3. And as we announce more projects, I think we will have more clarity. We are a few months away from that announcem ent. So, I think we can park that question for a while. Once we come with the full roadmap of 75, because the next thing is due, as Puneetji mentioned, I think we will give more clarity. So, as of now, if you were to look at the current projection CAPEX th at we are doing, ballpark of roughly 3,000 Cr per annum. And as more happens, we will announce that.

Amit Murarka: Sure. Understood. And just a second question on realization. So, again, last year in Q1, like we had mentioned that we are pursuing pro fitable growth, but we have essentially seen realization actually drop almost 9% for you between Q1 to Q3, which is actually higher than the industry pricing decline.

So, wanted to understand, is there been a change in approach or you're still following th e profitable growth strategy?

Yatin Malhotra: No. So, you are saying Q1 to Q3.

Amit Murarka: Yes. So, those two quarters, essentially, both quarters have seemed like roughly 4 %-4.5% fall, which at least what I understand is a bit higher than the decline seen in the market.

Yatin Malhotra: So, I will try to answer your question in points. #1. Discounting and selling is definitely not a strategy on the table. I think when we say profitable growth, we deeply believe in this concept. #2. Whatever drop in realization, you are looking at a blended level, is by and large , a mix of the market where we operate. As you are aware, East and South have seen the most significant drops in terms of the prices, industry wide . So, if you were to benchmark us versus the peers, I don't think you will see us fall steeper. If anything, we would have improved something on price positioning. So, rest assured that the NSR drop is not an outlier to the industry. It would be one shade better only. And discounting is not on th e table as a strategy to sell. And the profitable growth remains our objective.

Amit Murarka: Sure. And if I could just squeeze in one last question. So, we have seen generally a very strong pickup in demand from December onward, largely. So, in that conte xt, what would you kind of pin your volume guidance, if you can, give any for FY27?

Yatin Malhotra: We generally don't guide the market on volumes, but we remain hopeful that we will be able to do better than the industry. And this is what we are endeavour ing to do.

Amit Murarka: Okay, sure. That's all from me. Thank you.

Moderator: Thank you. The next question is from the line of Navin Sa hadeo from ICICI Securities. Please go ahead. ~ Dalmia

 Navin Sahadeo : Thank you for the opportunity. So, my first question was on the closing capacity plan, which in your opening comments, you said 75 million tonne target remains for FY28. And you also said that plans for Jaisalmer will firm up in next few months. Now, I am referring back to your comments in the previ ous quarters, wherein we had alluded that if the JP Associates transaction does not come through, we could actually see digging, the commencement of breaking ground in Jaisalmer by April. So, how are we positioned to start Jaisalmer project by April, or ar e we awaiting any incentive related clarity or some approvals, may I say, from the government before we kick -start the Jaisalmer project? How should one look at it?

Yatin Malhotra: I think one should look at it with quite a bit of optimism. As Puneetji men tioned like we participated in the process. The process was out and open. The COC has made a decision. As we had said a couple of quarters back, that if this doesn't happen, we look at other options. We are now actively pursuing Jaisa lmer project detailing, . Every detailing of the project would entail at least 15 -20 critical points before we come and announce a date or a month. So, just bear with us. As we said, in a few months, we will be back and we'll be informing you in terms of all the steps. But rest assured that every single element that goes into creating the project is happening and is well on track.

Navin Sahadeo : Helpful. My second question was on pricing. Puneetji's initial comment this time appeared a little cautious than what it was in the past couple of quarters, more so after Q1 when South prices had really recovered. We were expecting prices to hold up with benefits of consolidation in South. But Q3, of course, saw a much sharper dip. So, is it fair to assume that competitive intensity has again got elevated and that's why the near -term caution, even though long -term optimism prevails?

Puneet Dalmia : Look, the all-India capacity utilization of the secto

r is around 70%. I thi nk we will see and reasonable capacity expansion in the pipeline. Our belief is that capacity growth will be around 5%-6% per annum. So, when demand growth, we think maybe 7% -8% per annum. So, really, we don't expect material increase in capacity utilizati on of the sector over the next few years. Of course, there are regional differences. This is the national average. I believe that the overcapacity in this sector is here to stay, at least for the next foreseeable future . So, what happens is that when new c apacity gets commissioned, at that time there are sometimes there's a volatility in prices. But I think, new projects are viable and acquisitions are viable at the price at which recent transactions have happened at EBITDA, which is much above the current level. So, I believe that there is assuming rational behavior in the sector. My personal view i s that pricing is going to move up over the medium term. And I remain cautious in the short term, but reasonably optimistic in the medium to long term. My position has not changed, but again, as entrepreneurs, we are mostly optimistic. So, I think you shou ld look at the long-term trends in the sector and discount what I want to say if you want to. But I think we are investing behind the growth in India and our deep conviction that there is entry barriers are rising due to limestone auctions and due to not e asy to commission new projects. And it's not even easy to integrate acquisitions and turn them around quickly. So, it's a skill which requires a lot of hard work and a lot of focus and a lot of disciplined execution. So, in our view that entry barriers are rising and I think ~ Dalmia Bharat Limited



 consolidation will yield good results in the long term. And I think the GST thing again is a very big shift. It's almost 10% difference than what it was, consumers are used to paying a higher price and then what is it then what the spot prices are. And in the medium term, at least the prices should easily bounce back to what consumers ar e used to paying for a period of time. So, over a 2-3 year period, I think that's easily possible. So, I think I remain optimistic.

Navin Sahadeo: Grea t. We truly appreciate your comments. Just one small question. For the Northeast clinker unit which got commissioned recently, are we planning any split grinding units in Bihar like some of your peers are already contemplating or in an advanced stage of la nd acquisition? Is that a possibility to expect a better utilization of the clinker there?

Yatin Malhotra: Navin, can you repeat the question, please?

Navin Sahadeo: My question was about the possibility of a split grinding unit coming up in Bihar. So, some of your peers in Northeast are contemplating, rather not just contemplating, are in an advanced stage of land acquisition in Bihar for a grinding unit to utilize the clinker in Northeast and they are very close competitors to you, if I may say, in an open forum. So, I am just trying to understand if we also, to utilize the clinker better, are likely to put up or pursuing to put up a grinding unit given the state also h as incentives. Just trying to understand your thoughts around better utilization of Northeast clinker. Thanks.

Puneet Dalmia : It's a definite possibility. I think, as I said, we are evaluating all options in line with our laid-out roadmaps. A nd I think, as and when we are ready to make announcements, we will. But this is a definite possibility. We have excess clinker in the Northeast right now.

Navin Sahadeo: Appreciate. Thank you so much.

Moderator: Thank you. The next question is from the li ne of Pinakin from HSBC. Please go ahead.
Pinakin: Thank you very much. So, my first question is on the near-term March quarter. So, you mentioned in your comments that you expect industry demand growth of 6%, 1H was low single d

igits, Q3 was better. But that would broadly imply that Q4 could be as much as 10% industry or late high single digit industry demand growth , which will be very strong. Would that assessment be correct?
Yatin Malhotra: Yes. This is what we expect. I think the momentum has picked up in December. We expect the same to roll on in Quarter 4. Might be a little here and there. So, ye s, high single d igit is what our expectation is for the industry. Thank you.
Pinakin: Sure. If we have such strong demand growth, would pricing also see a similar improvement given pricing has been very weak for the last 6 months or you see industry overcapacity or compet itive intensity hold back price increases? Because naturally such a strong demand growth should drive prices higher. ~ Dalmia

 Puneet Dalmia: Well, as I said, the price is corrected quite excessively beyond the GST reduction in both South and East. And there has bee n a marginal recovery in January. But as I said, I want to just wait and watch. And demand growth obviously helps. But let's wait and watch as to what happens.
Yatin Malhotra: And P inaki n, just to add December saw more decent demand than November. But still, it's all price drops. So, we can't put our finger down and say this is going to happen. Let us see. We are hopeful this should be positive for the industry. We have our fingers crossed.
Pinakin: Got it. My second question is that the trade share whi ch used to be in the late 60s, Q3, Q4, Q1, has been 62% for the last two quarters or so. So, is this the new normal we should work with as new capacities come on stream for Dal mia or will the trade share go up back to the late 60s?
Yatin Malhotra: This is definitely not the new normal. This is a reality. In a subdued demand environment, this is something that has happened. By choice, I would say partially by the way market drove us. I think you should look at mid -60s to high -60s only as a future path. This is what we are committed to deliver. In the interim as the capacities come online, there might be a little spike here and there. But steady state, I don't think this is what you would look at.
Pinakin: Understood. Thank you very much.
Moderator: Thank you. The next question is from the line of Satyadeep Jain from Ambit Capital. Please go ahead.
Satyadeep Jain: Hi. Thank you. So, Puneet, I just wanted to check on the expansion beyond what you already have. Specifically tied to North. So, you have two options, Jaisalmer and Nawalgarh . As you look at Jaisalmer specifically, what is the lan d acquisition status? What is the ECE? We are hearing generally some delays in ECE because of Great Indian Bustard. Even for cement land, is that something you are noticing? So, level of preparedness for Jaisalmer, especially as you look at FY28 commissioning. Also, Nawalgarh , it's been 4-5 years since you got that. And all the others who got that lease in 2021. And typically, as we understand that after the award of mining lease , typically there is 3 plus 1 years. And if nobody commences production within that timeframe, the lease is given back. So, what is the status on the optionalities you have both in Jaisalmer and Nawalgarh ?
Puneet Dalmia: I think on Jaisalmer, things are go ing as per plan. We expect a large part of the land acquisition for grinding units, etc. is already done. And in that area, it is not very difficult to acquire land. Some part of it is government land also. I personally think that we are on schedule in ter ms of developing that project. In terms of Nawalgarh , our priority is Jaisalmer right now because from a return perspective, we think that this will offer better returns. And therefore, we are more focused on this at the moment.
Satyadeep Jain: Anything on GIB related delays, are you witnessing in EC?
Puneet Dalmia: Sorry, what delays? ~ Dalm

 Satyadeep Jain: The Great Indian Bustard related delays there in Jaisalmer.
Puneet Dalmia: I haven't heard anything about it so far.
Satyadeep Jain: Okay. And secondly on this, in the notes account you mentioned for the ED investigation for Kadapa, back and forth, obviously you gave your reply. And then after December, there is a reply from ED. Can you give us some idea what's happening in terms of what ED reply has been? Is it possible to give some update?
Yatin Malhotra: I don't think it will be fair for us to be very exact with that update. I think we are pursuing it

through the right channel . And we are optimistic for a good outcome in near future. But let us wait and we will keep you posted on the developments on that.

Satyadeep Jain: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Hi, sir. Is it possible to share both the Kadapa and Belg aum break up in terms of the CAPEX? So roughly 6 ,800 crore s was the announced CAPEX. So how much till now we would have broadly would have spent on that?

Yatin Malhotra: We would not want to share project wise CAPEX details. I think you just need to look at the larger picture. As we said, the projects are on track. We are pretty much on track to deliver them on the target commissioning date. And detailed pr oject by project CAPEX is not what you would want to diverge into the call.

Shravan Shah: Okay. And previously participants have tried to understand in terms of the 75 million tons. Still, I am again trying to understand in furthermore detail. So, if you c an specify in terms of timeline, because it is becoming very difficult to digest that we can reach to 75 million tons. Actually, we need a kind of 13 odd million tons. So, we have to start spending now. So that's what when Puneet sir said that we will be a nnouncing in a couple of months. I want to understand a couple of months. Does that mean by March we will be announcing or it could be by June? Even if by March also, how are we kind of confident that we can reach to a 75 million tons?

Yatin Malhotra: So, Shravan, a few points. Point number one, yes, Puneet ji mentioned today also, we are targeting to be around 75 by FY28. Now, Jaisalmer could be an opportunity in the vicinity of 7 to 8 million tons. We will see how we detail it out. And this could very wel l take us in the range of 70 because we are looking at 61.5 million tons, which is the current expansion announced. And then we just spoke about Northeast extra clinker that we have and we might end up setting up a grinding facility. Even if we do somethin g in March -April announcement, and we also mentioned that not that the work is waiting announcement. We are anyhow working on all the levers to set up the project. Even if we do that announcement in the next 2-3 months, we will still have 24 clear months to have the project up and running. So, we are pretty hopeful that and







FY28 is a milestone, around 75 million tons is a milestone. Give or take a month here and there actually doesn't matter in this long journey. But just wait for a few more months and we will be giving more clarity on this topic.

Shravan Shah: And then given further to if I extend it, still we are kind of maintaining 110 -130 million tons by FY31. So, another 35 odd million tons post this. So, doe s that mean that now onwards we would be kind of every year keep on announcing and then in terms of the C APEX , how are we on a yearly run rate basis can look at and in terms of net debt EBITDA, what's the level that we should not be. So, because everything is kind of a link. So, if that's the plan, then in terms of the volume growth also, we should be looking kind

of a +15% kind of a CAGR. So, but that's not the way we are kind of portraying. We are still kind of a shying away in terms of clearly confidently talking kind of a, that kind of a number 15% kind of a growth. Because till now also our utilisation is low and the way we are, we will keep on or are pursuing to add the significant capacities.

Yatin Malhotra: So, Shr avan, I think we have mixed up a lot of points. Number one, let's talk about, we are not shying away from anything. You delivered a 10% growth quarter, the one that you just closed. We are very optimistic about beating the industry in terms of growth in the coming quarters and years. So, that is point number one. Point number two, to your question that, should you expect a lot of announcements to come your way? Definitely, you should expect a lot of announcements. Because if we have to cover a journey of doubling our capacity in 5 years, definitely we have to do that. To your point of too much capex on the anvil, yes. But if you were to just take a, this is a typical thing that I have been saying to my friends, even in the investor community, even in a bad year, we generate 3 ,000 to 4,000 crores of cash, which is equivalent to setting up a 6 to 7 million t ons capacity in a year. So, if you were to just add up numbers, and if you were not to factor any incrementa l growth or any incremental margin addition, we are still steady in te rms of our leverages to fund our growth journey for the next 5 years. So, I don't think that is a topic that would worry us too much. And we have stated our capital allocation policy, we have stated our clear goal that, we want to stay within 2 in terms of net debt -to-EBITDA. We are 0.6, I think we will be comfortably reaching home. So, that is not a concern.

Shravan Shah: Lastly, sir, is it possible that in January, we said that some price hike is there? If you can quantify, was it kind of a Rs. 15 odd and that too in a non -trade? Was there any price hike in trade also?

Yatin Malhotra: In January?

Shravan Shah: Yes, January.

Yatin Malhotra: I think it are still liv ing in January. I think your trade case can give you better indicator than

what we know as of now. But let us call the pan out and we will have more chat on this topic.
Shravan Shah: I am done. Thank you and all the best. ~ Dalmia
 Moderator: Thank you. The next question is from the line of Rahul Gupta from Morgan Stanley. Please go ahead.
Rahul Gupta: Hi, thank you for taking my question. So, I have one question on other OPEX. So, how much of your marketing initiatives that you undertook this quarter had one -offs? Can you please help us understand that?
Yatin Malhotra: We can get back to you in a while . We do not have that number of f-hand . I will try to give it to you before we end the call.
Rahul Gupta: Okay. So, just a connected question on this slide 23, where you discuss your cost adjusted for Tamil Nadu tax, keeping fuel cost constant from 1Q '25. So, does 3Q '26 number also include one-offs from marketing expenses?
Yatin Malhotra: Yes, it does. Actually, we did not want to slice and dice it too much. So, it has one -offs of marketing. It has a spike of the shutdown cost we had in this quarter. We do not want to cut down two layers. We just called out the two larger headwinds, because that is everything else is a part of business the way we see it. So, if you w ere to ask me structurally, I think we look at a larger number than what is coming in front of you. And hence, when we say that more initiatives are in pipeline, that is the reason that we say that.
Rahul Gupta: So, I just want to understand that the cost savings that you have got is Rs. 50 or more than that, because a part of marketing expenses is already included in that. So, maybe your savings are better than Rs. 50, right?
Yatin Malhotra:

Yes, that is what we are trying to mention.
Rahul Gupta: Okay, great. Thank you.
Yatin Malhotra: Sorry, just to answer that question, roughly Rs. 20-23 crores of extra marketing spend has been incurred in this quarter, if you were to take that number.
Moderator: Thank you. The next question is from the line of Prateek Kumar from Jefferies. Please go ahead.
Prat eek Kumar: Good evening. I have a couple of questions. Firstly, your employee cost on an an nualized basis has remained , hardly moved in the past 2 years, from '24 to '26. Is this also part of cost saving and how is this kind of happening and the outlook there is the first question ?
Yatin Malhotra: I don't think employee cost reduction as such is a line item of a cost saving agenda. Yes, we believe in running a fitter, leaner organization whi ch is fit for purpose of future. But this is not a stream of cost initiative that we are driving very consciously.
Prat eek Kumar: Sure. So, basically, but your employee cost in 2 years have grown only 2 %-2% each year. So, you have seen a reduction i n employees during this period or what? ~ Dalmia
 Yatin Malhotra: As I said, we are getting into a mode where we have a fitte r organization for future. I am saying that cost reduction through employee cost is not a stated objective that we are trying to change.
It's a byproduct of all the other efficiencies that we are building in the system.
Prat eek Kumar: Right. Sure. My other question is on JPA assets. As far as public information, it has been given out by NCLT to the other industrial group. So, why are we still chasing it and still talking about it? I am a bit confused on the thing.
Yatin Malhotra: We did not talk about it.
Moderator: Thank you. The next question is from the line of Kunal Sha h from D AM Capital. Please go ahead.
Kunal Shah: Hi, sir. Just one question. Now, for a large part of the year, the government CAPEX momentum was on the softer side. And now we are seeing a demand rebound in December and Jan. Now, could you just provide some color h ere on the profile, whether we are seeing pickup of central CAPEX or state CAPEX or more IHB -led rural demand? Just wanted to understand the sustainability of recovery as we speak.
Puneet Dalmia: Actually, as I said, it is very hard for us to build a model like this where we can get a very accurate quarter -on-quarter, state -by-state demand projection. There are times when projects get delayed. There are times when there is large CAPEX and projects get accelerated. So, I think what we have learned is instead of spending too much time on this issue and becoming a perfect demand forecaster, we are better off making a larger trend line on how the Indian overall demand is likely to behave and plan our investments on that basis. I think we have found that it is ju st a better way to spend time to plan investments which are longer term with a longer -term trend line in mind. And I think there are sometimes blips along the way. But as I said earlier, things catch up and revert to mean unless there is some very -very str uctural change. So overall, I still believe

that 7 %-8% demand growth over the next 10 -20 years is possible in India. And that is the core drivers remain intact, which is infrastructure, which is housing, which is commercial urbanization and also the reviva l of manufacturing and private CAPEX in India. These four drivers structurally, I think, will remain intact. We don't see any reason quarter on quarter to change our view on this. And we also don't see any reason to change our investment strategy unless so mething fundamentally changes. So, it's hard for me , I cannot give you an answer to a question which we just don't look at it quarter -on-quarter. And frankly, we don't even know. So, it's hard for me to give you an answer to this question. And frankl

y, may be you guys are better
qualified to answer this based on the data that you see. But we don't plan our investment strategy also. So, if demand growth becomes negative, our investment strategy won't change. If demand growth suddenly becomes 13 %-14% in one quarter, our investment strategy won't change. But yes, we are ready in the market, our distribution, our sales infrastructure, all that is planned based on the capacity that we put in. So, I can't give you a better answer than this that we look at medium to long term for this. Thank you. ~ Dalmia
Bharat Limited
 Kunal Shah: Understood. This is extremely helpful. Just one small follow up here. Just to put this the other way around, are we seeing any pickup, let's say in terms of tendering activity or enquiries, especially on the no n-trade side or the infra projects? I mean, if you would just help with that.
Puneet Dalmia: Yes, certainly. I mean, I think we are seeing a lot of large CAPEX es. There are metros being built almost in 9 or 10 cities in India where we are participating. Large CAPEX happening there. In Northeast, a lot of bridges are being built , hydropower projects are in the anvil, there are roads , we see it all the time. There are railway tracks. So, there is a lot of activity on infrastructure. And yes, there are tenders which are which are coming in for some of these large projects on a continuous basis. You can actually just, I will just take 30 seconds more. You can actually see in our investor deck; we have put down some projects where Dalmia has been supplier to some infrastructure projects. There are pictures and there is location of those projects also. Thank you.
Moderator: Thank you. The next question is from the line of Ashish Jain from Macquarie India. Please go ahead.
Ashish Jain: Good evening. I had just one q uestion. Puneet e arlier in the call you made a point that capacity addition remains quite decent in the sector and utilization may not improve materially for the industry on an overall basis. So , in that backdrop, how should we think about the margin profi le of the industry? Is it like remaining in a range and most of the expansion will be driven by cost efficiencies and all or there's a strong case for a sustained price hike for the industry from, let's say, the next 3-4-5-year point of view? And if yes, then what kind of drives that confidence? Because organic expansion also remains quite steep in the sector, irrespective of how much consolidation we see in the space.
Puneet Dalmia: I think, our belief is that if you look at th e ROC E of most of the companies, it is not in line with what we see globally in consolidated markets. I also think that when new capacity comes in, there is a quest for market share at times. And all industries go through this phase of sometimes people pri oritize market share over margins and sometimes people prioritize margins over market share. So, all industries go through this cyclicality in terms of what is priority at what point in time. My belief is that with a 7 % to 8% demand growth, to keep up the earnings profiles, cost reduction can happen maybe 3 %-4%. But beyond a level cost has a finite limit to below which you cannot go. And ultimately prices should get a strong uptick. If I look at a long term CAGR in this sector of prices, in the last 10 year s, it has been quite dismal. So last 10 year price CAGR is like very low single digit. And it begs the question that whether consolidation has actually driven prices up and whether it has given returns or not, in terms of prices. I feel that if I look in t he rear-view mirror, it doesn't give too much confidence that consolidation will give a price uptick. But given the fact that entry barriers are rising and cost of setting up capacity or acquiring new capacity is fairly rich. I personally think to earn risk adjusted

hurdle rates of
return; I expect prices should go up in the medium to long term. But how soon, how up, how much up is hard for me to predict. But it's a conviction that I have given what we've seen in different industries, different geographies within India, as well as outside India. But again, it's a ~ Dalmia
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 view that we hold, the future will only tell whether we are right or wrong. But we are basing our investment strategy based on this assumption. But we are not going to hang all our boots on price

increase. We are going to make sure that we work hard on figuring out the right markets in which we want market share. We are going to figure out how to remain efficient. We are going to make sure that our capital allocation is disciplined and we remain with in the leverage conditions that we have outlined. So, we will grow with a very strong balance sheet and with a very efficient cost structure. So yes, price is a bonus, but it is not something that we are dependent on for meetin g the returns that we are tar geting internally.

Ashish Jain: Puneet, if I can just have a follow -up on that. Like the way my only concern is the cash flows in this sector are so strong that it's very difficult to believe that the capacity aspiration of companies will not be there tomorrow or day after tomorrow. So , are you seeing any change in terms of how managements are operating? Because ROE really is not something companies talk about that often in this sector particularly. So , do you sense there is a change in , especially give n the change in ownership of capacities and all in the sector in the last 4 -5 years and could that be a trigger you believe in terms of how people think about profitability?

Puneet Dalmia: No, sorry, I didn't get your question. You are saying that cash flo ws are strong, so people will keep adding capacity and hence prices will not go up. Is that the question?

Ashish Jain: Yes, because that's what we have seen, right, in the last 10 -15 years.

Puneet Dalmia: It's a definite possibility. I mean, who knows the future. As I said, if you look in the rearview mirror, the price CAGR is like low single digit. It's below inflation. So , if you look in the past, that's the reality. Yes, I mean, there is a possibility that people keep adding new capacity and cash flow re mains strong and prices don't go up. Yes, that's a definite possibility. I mean, I don't know, but I remain convinced that there is a strong case that as consolidation happens even more, because it is hard to execute. It's a boring business. A lot of peopl e in the next generation are more attracted to different sectors, which offer amazing opportunities in India. And I think this business requires disciplined execution. It's boring. It requires the hard work on the ground. And I don't know, how many people can institutionalize managing scale at these levels. So, over a long period of time, more consolidation will happen driven by multiple factors, portfolio choices, succession, etc. And I think as more consolidation happens in my view, prices should go up.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Puneet Dalmia for closing comments.

Puneet Dalmia: Once again, I wish all of you A Very Happy 2026 and thank you for your interest in our Company and thank you for all your incisive questions. We look forward to continuing our interactions in the quarters ahead. Thank you very much. Have a great day.

Moder ator: Thank you. On behalf of Dalmia Bharat Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. ~ Dalmia
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# Call: May 2026

File No: 1010/02 May 01, 2026

BSE Limited
P J Towers, Dalal Street,
Fort Mumbai - 400001
Scrip Code: 542216 National Stock Exchange of India Limited
“Exchange Plaza”, Plot No. C-1, Block G
Bandra - Kurla Complex, Bandra (East),
Mumbai - 400 051
Symbol: DALBHARAT
Subject: Transcript of Q4 FY26 - Earnings Conference Call

Ref : Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015.
Dear Sir/Madam,

In terms of Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirement), Regulations 2015, please find attached transcript of the Q4 FY26 Earnings Conference Call held on April 28, 2026 for the quarter and year ended March 31, 2026.

The same will also be uploaded on Company's website: www.dalmiabharat.com

This is for your information and record.
Thanking you,

Yours sincerely,
For Dalmia Bharat Limited

Rajeev Kumar
Company Secretary

Encl.: As Above

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“Dalmia Bharat Limited
Q4 FY 26 Earnings Conference Call ”
April 28, 202 6

MANAGEMENT : MR. PUNEET DALMIA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – DALMIA BHARAT
LIMITED
MR. DHARMEND ER TUTEJA – CHIEF FINANCIAL
OFFICER – DALMIA BHARAT LIMITED
MR. YATIN MALHOTRA – CHIEF FINANCIAL OFFICER
– DALMIA CEMENT BHARAT LIMITED
MR. PRAS SAN GOYAL – LEAD, INVESTOR RELATIONS –
DALMIA BHARAT LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Earnings Conference Call of Dalmia Bharat Limited for the Quarter Ended March 31, 2026. Please note that this conference call will be for 60 minutes, and for the duration of this conference call, all participant lines will be in the listen - only mode. This conference call is being recorded, and the transcript will be put on the website of the company. After the management discussion, there is an opport unity for you to ask questions.

Before I hand over the conference to the management, I would like to remind you that certain statements made during the course of this call may not be based on historical information or facts and may be forward -looking statements. These statements are ba sed on expectations and projections and may involve a number of risks and uncertainties such that the actual outcome may differ materially from those suggested by such statements.

On the call, we have with us Mr. Puneet Dalmia, Managing Director and CEO, Dalmia Bharat Limited; Mr. Dharmend er Tuteja, CFO, Dalmia Bharat Limited; Mr. Yatin Malhotra, CFO, Dalmia Cement Bharat Limited; and the other management of the company. I would now like to hand the conference call over to Mr. Prassan Goyal, Investor Relat ions Lead. Thank you and over to you.

Pras san Goyal: Good evening, everyone. We are happy to welcome all of you to the FY26 annual results investor call. As you would have taken a note of our vision, this time we have made a change in the way we are holdin g our investor call. The purpose of this change is to present our investor deck during the call and share our perspectives and insights in an endeavour to make the overall interaction richer. Looking forward to a robust session. Handing over to Puneet sir t o take this forward. Thank you.

Puneet Dalmia: Thanks, Prassan, and good evening, everyone. I'm happy to be back with all of you. Let me

start
with some thoughts about the Indian economy. As we all know, the India growth story remains strong, and we continue to be one of the fastest -growing major economies in the world, marching forward to become the third -largest economy in a few years. During the year, India's macroeconomic fundamentals have demonstrated confidence, driven by robust consumption and investment demand.

At the same time, supportive fiscal deficit and robust forex reserves put India on a strong footing to navigate through any of the geopolitical or geo -economic headwinds . As India progresses to become a $5 trillion economy by 2028 and a chieve the vision of Viksit Bharat by 2047, we will need substantial investments in infrastructure, and we are already beginning to see strong traction on this front.

From industrial corridors and affordable housing to high -speed rail and smart cities, progress is visible across the country. Central and state Capex has also been increasing year -on-year. We strongly believe that this momentum is going to accelerate in the years ahead. As India grows, so does the cement sector. I expect the cement demand to grow at a CAGR of 7% to 8% in the medium term.



Let me now touch upon costs and cement prices. As mentioned in our earlier calls, the cost trends for the cement industry were largely flattish in the recent past. However, this situation has

change d due to the West Asia conflict. The industry is seeing cost impact in three key areas: power and fuel, packing bags, and both inbound and outbound logistics. Petcoke prices have soared to about $160 per ton, and Rupee depreciation is an added impact.
Supplier crunch of bags and rising cost of PP granules has led to increase in packing costs. Fuel costs have also gone up, and there might be some more increases in the pipeline. Having said that, we are taking various measures internally to mitigate the impa ct of rising costs to the maximum extent possible. On the price side, we have seen improvements in the month of April in most of our key markets. We are optimistic that this positive momentum on prices will continue in the near term and could well mitigate the impact of the cost impact.
Moving on to the company overview. As you are all aware, we are the fourth -largest cement player in India with almost 50 million tons of cement capacity. In financial year 26, we delivered our best -ever EBITDA of Rs 3,083 c rores and a PAT of Rs 1,157 crore s. We have a diverse product offering catering to all consumer segments and are happy to share that we are adding a new premium product to our line -up called Weather 365. With this new addition, we are confident of strength ening our premium product offering to the end consumers and our channel partners.
We take pride in the journey of Dalmia over decades. We began our operations in 1939 with just 250 tons per day of cement capacity in the state of Tamil Nadu, and today we serve over 23 states with our cement capacity close to 50 million tons. As you are all familiar with our geographical footprint, I will not go deep into that, but in this slide, we have included the status of our limestone reserves.
As can be seen, we have sufficient reserves across all our regions. In totality, we have 2.7 billion tons of limestone reserves at our operational plants. In addition to this, we have virgin mines across the country which will support our future expansion into new geographie s, and we are progressively augmenting our reserves as we go along.
I want to now spend some time on our strategic priorities. Maximizing ROCE from all our assets has been one of the top agenda items for the company, and most of the management bandwidth is being deployed to drive this. Capacity expansion and becoming a pan -India player is a key strategic priority. All our announced projects in So

uth and West are progressing well. We are
now working on new projects to reach the 75 million tons capacity mile stone. We will share details of the same with all of you in the near future.
Our balance sheet is our strength, and as we pursue our capacity expansion journey, we would be extremely mindful of continuing to maintain a healthy balance sheet in future as w ell. We are committed to have the highest corporate governance and a strong organization culture. Both of these will continue to guide our actions as we take Dalmia from strength to strength. 

I will now hand it over to Dharmender to take you through the p rogress on our operating parameters. Thank you.
Dharmender Tuteja : Thank you , Puneet ji. Good evening, everyone. Please pardon me for my sore throat today. Just to re-emphasize what Puneet ji just mentioned, delivering high returns on capital employed is a key strategic priority for us, and we are addressing this on multiple fronts. Delivering industry - leading volume growth, backed up by strong value proposition for our channel partners and customers, is the key to higher capacity utilization.
We have rece ntly refreshed our brand identity and have adopted a new logo, keeping pace with the New Bharat of today and tomorrow. We are doubling down on our efforts towards premiumization at both product and price level. Various initiatives are being taken for bette r channel engagement and offering reliable delivery to our partners.
We have also made positive strides on our cost leadership. In this quarter, we delivered the lowest quarterly total cost per ton in the last five years, which demonstrates our unwavering commitment to be one of the lowest -cost producers. We'll talk a bit more about costs in the coming slides.
Let me give you a brief snapshot of our ROCE performance. For ease of understanding the numbers, we have categorized our capital employed into core cement operations and non -core line items. The key components of non -core line items are CWIP of about INR 2,500 crore s, intangibles arising out of group restructuring of another about INR2,500 crores , and the rest is largely treasury and investments, partially mitigated by deferred tax liabilities.
In financial year ‘26, we have been able to improve our ROCE from core cement assets by more than 200 basis points, going up from 9.9% to 12.1%. As more o f our projects get commissioned, the CWIP value will keep getting converted into core cement assets and start generating strong returns.

Our ongoing expansion projects at Belgaum and Pune, as well as Kadapa, will take our cement capacity to 61.5 million t ons per annum in the next 18 to 20 months. Civil work at Belgaum project is complete, while E&I work has started. We are actually expecting commissioning a little ahead of our earlier announced schedule. Ordering for all key equipment at Kadapa project is already done.

There have been some minor delays in Q4 '26, which have also resulted in lower than planned cash outflows during the quarter. Things are now back on track, and we are confident that we will be able to commission this project somewhere betwee n Q2 to Q3 of FY28. Progress on Pune GU and Chennai bulk terminal are also progressing satisfactorily.

Total cash outflow on account of project capex has been about INR 3,200 crore s in the last two financial years. With all projects picking up pace, we ex pect expansion linke d cash outflow in FY27 to be in the range of INR2,200 crore s, with a total capex outlook for FY27 being INR3,200 to INR3,400 crore s.



Moving to our performance for the year, we have closed the year with 2% volume growth and 6% revenue g rowth. We delivered ever -highest EBITDA of INR3,083 crore s, up 28% versus previo

us year. Our PAT in FY26 was INR1,157 crore s, which is a jump of 65% versus previous year.

Let me now cover each metric in the following slides. During the quarter, our sales volume grew 3% YoY to 8.8 million tons. Trade percentage for the quarter was 67%, and our premium product share was 24%. We'll continue to drive the agenda of premiumization aggressively in FY27 as well.

Revenue from operations improved, driven by both re alizations and volume growth. Although our realizations appear flattish, it has actually improved by about 1.7% on a QoQ basis if we adjust the one -off incentive accrued last quarter amounting to INR46 crore s.

Our incentive accruals during the quarter was INR45 crore s. Total incentives outstanding at year-end has increased to INR839 crore s, as collections for the quarter were subdued at just INR14 crore s. This was due to delays in pay-outs by a few state governments on account of elections. We expect this t o normalize soon.

Raw material cost per ton of production reduced by 1% YoY to INR734 per ton. This was despite the additional levy of mineral tax in Tamil Nadu at INR160 per ton. Compared to previous quarter, raw material cost has come down by 6%. Our blended ratio has improved to 83% during the quarter, which led to marginal improvement in CC ratio as well.

The power and fuel cost per ton of production has reduced 6% versus previous quarter despite cost headwinds. We have been able to mitigate inflationary pressures with mix optimization and other initiatives. On full -year basis, our cost per ton is flat. Sha re of renewable energy jumped from 39% in Q4 last year to 47% this quarter, while fuel cost stood at INR1.36 per Kcal. Given the volatile environment, we will continue to focus on all big and small initiatives to keep power and fuel cost in check to the ex tent possible.

We continue to deliver one of the lowest logistic costs in the industry and have further improved on that. During the quarter, our cost declined 6% YoY to INR1,064 per ton , driven by multiple initiatives. We achieved highest -ever direct dis patch share during the quarter at 65%. As we move forward, we'll continue to balance the twin objectives of reliable service to our customers and cost excellence.

During the quarter, other expenses increased by 4% YoY to INR694 per ton, primarily due to increase in packing cost towards the end of the quarter.

If we look at the total cost level, we have continued to deepen our position as one of the lowest - cost cement producers. Happy to share that Q4 per ton cost is the lowest quarterly cost in the last fi ve years for Dalmia.



At reported cost basis, our cost per ton since Q1 FY25 has come down by INR183 per ton, from INR3,973 to INR3,790. If we see on adjusted basis, that is , after removing impact of Tamil Nadu mineral cess and fuel prices, the fall is even steeper, that is INR211 per ton. On a full -year basis, FY26 adjusted cost is lower by at least INR 100 versus FY25.

This decline is in line with the guidance we had given few years back . And as we look forward, we are confident of further improving on our cost trajectory. Since cost reduction is a continuous journey in a very dynamic environment, we don't want to guide the speed . However, internally, we will always keep looking to deliver INR50 to INR100 cost take -out on an annual basis going forward.

Our EBITDA has grown to INR902 crore s, driven by all key levers, that is volume, realization, and cost. The jump in EBITDA is 14% versus previous year and 50% versus previous quarter. EBITDA per ton was INR1,023 against the reported Q3 number of INR823. However, adjusted for the one -off incentives of INR46 crore s last quarter . Our EBITDA has improved by INR260 per ton on a sequential basis.

As Puneet ji mentioned, balance sheet health is a key priority. Our net debt stands at INR1,428 crore, translating to a net debt -to-EBITDA of 0.46x, which is well below the threshold level of 2.0x as per our capital allocation framework.

Sustainability is central to how we operate and grow as a company. Our net emissions have been one of the lowest among the cement companies globally at 471 kg. Our DJSI score has also significantly improved to 70 this year.

We continue to scale up our rene wable power capacity at a strong pace, adding around 180 megawatt this year. We will also be commissioning 128 megawatts of RE capacity soon, which will take us to 576-megawatt renewable energy capacity. This will further increase our share of renewable pow er consumption and reinforce our commitment to sustainability.

This is just a glimpse of some of the CSR interventions across our locations. We take immense pride in the impact we bring to the lives of peopl e we touch and will continue our relentless focus in this area.

Talking about governance, we have a strong Board construct at the company which brings diverse expertise and reputation. The layer below the Board is the Executive Committee with seasoned professionals bringing together diverse industry expertise and functional strengths. And some of the best names in the industry are engaged with us either as auditors or giving us assurances and ratings on various parameters.

Talking about conting ent liabilities, our tax -related liabilities have come down drastically in FY26. There was increase in mining and mineral -related matters, details of which will be covered in our Annual Report. Our total contingent liability as percentage of equity is 6%, which is among the best in the industry. -4! Dalmia



Last on the key legal matters, one of the key positives this quarter has been the progress in the ED land attachment case. The alleged proceeds of crime have been substantially reduced from INR793 crore s to INR93 cr ores, which is nearly a 90% reduction. The ED has also ordered for the release of the entire land parcel by substituting the same with a bank guarantee of equivalent amount of INR93 crore s. With this, I open the floor for questions and answers. Thank you.

Moderator: We'll take our first question from Amit Murarka from Axis Capital.

Amit Murarka: So just firstly on the volumes, like this quarter you had some impact of the capacity, the kiln shutdown. But generally speaking, also in the last couple of years, there has been continued market share loss. So what is the outlook that we can expect on volume and market share, let's say, in the coming couple of years?

Puneet Dalmia: I think as I've said earlier , we want to look at a profitable volume growth. This qua rter we had a unexpected breakdown in East India and we lost some volume on account of that. But we have commissioned new lines in Northeast . And we are also going to commission our line in Belgaum this year. For all these new investments, our priority rem ains to increase capacity utilization as fast as possible.

And I think we will continue to ensure that we are able to scale up the utilizations in the right context . And as I said, in some markets we have to improve the quality of sales, which we have been doing, and you've seen that in our profitability. So it's a work in progress . And overall, I think we are pretty happy with the progress that we are making.

Amit Murarka: Just and one more question on capacity. Like usually, like there was a chart tal king about 70 million tons and 110, 1 15. So this time it's missing. So how to read that and what's the current target s on capacity now?

Puneet Dalmia: As I said, I think our first milestone is, by

financial year '28, we want to reach 75. You know, so we ar e continuing to work on that, and our long -term target also remains the same as we had outlined earlier. There's no change.

Yatin Malhotra : Just to add , I think Puneet ji covered in his opening remark that we are pretty much on our way to chase 72 to 75 million tons in the next two years by FY '2 8. So that is pretty much a milestone

that we are chasing. So it's not missing. The 110, 130 million milestone, we will be declar ing
more as we go along to, even that destination as a part of being a Pan -India player is pretty much
there.
Amit Murarka: And just a last question if I may. So there has been a lot of cost inflation due to the West Asia
crisis. How are you placed to comb at that, and if you could give a like some guidance on the
cost inflation that you expect in Q1 and Q2?
Yatin Malhotra : So Amit, we have done this assessment actually, as you have seen our cost numbers for the
quarter have been, really good. I think there are challenges, there are headwinds as Puneetji
mentioned on power and fuel, on packing, and a little bit on logistics also. -4! Dalmia



Overall, if you were to see versus Q4 to Q1, we are expecting an impact of somewhere between
INR125 to INR150 per ton. But that is , what's coming and, something we have to handle. We
are working on ways and means to mitigate these in terms of our fuel mix, in terms of our, other
initiatives on logistics to mitigate these impacts. So, we will see how the quarter pans out. Right
now, w e are looking at a risk of 125 to 150 on the horizon, and we are in the process of mitigating
those costs.
Amit Murarka: Sure. Thanks a lot.
Moderator: Thank you. Our next question is from Rajesh Ravi from HDFC Securities. Please go ahead.
Rajesh Ravi: Good evening. Am I audible?
Moderator: Yes.
Rajesh Ravi: Yes. Sir I wanted to ask, in the presentation you have mentioned the like -to-like cost, opex -led
efficiencies, that's INR100 per ton which is achieved in FY '2 6. Is this reading , correct?
Yatin Malhotra : Sorry ?
Rajesh Ravi: This is cost reduction in FY '2 6 on the efficiency basis. You have achieved INR100 cost
reduction, right?
Yatin Malhotra: Yes, on an annualized basis, year -to-year, INR100 is the reduction that we have achieved .
Rajesh Ravi: Yes, annual basis. And what more is expected or targeted for FY '2 7?
Yatin Malhotra: So, actually we guided roughly I think eight quarters ago, on the path we are today . We have
lived that journey as we have shown, if you were to look at Q4 -to-Q4 on an adjuste d basis, we
are looking at INR125, INR130. As an organization, we are chasing cost reduction, I would say,
on a continuous basis. Internally, we are targeting, as Puneet ji mentioned, somewhere between
INR50 to INR100 take -out every year. So I think that's the way we want to see it. We don't want
to see it like a permanent, milestone. It's a moving target, and we need to keep chasing more and
more as we go along.
Rajesh Ravi: Understood. And the 125 to 150 cost increase expected in Q1 over Q4, could you brea k it up
between packaging and fuel cost? What sort of numbers you're looking at?
Yatin Malhotra: I can give you an indication. I think the entire industry is seeing the same numbers. Packing
would be somewhere between INR80 to INR90, and the balance would be split between logistics
and power and fuel.
Rajesh Ravi: So this power and fuel, the current i nflated 30% odd or factoring in the Rupee depreciation,
some 40% increase, if suppose the prices were to hold on at the current level, since when would
that start hitting numbers? -4! Dalmia



Yatin Malhotra: So, a part of it has already started hitting, but, the real question is how do we respond to those
increases.

I think we have been able to, optimize our fuel mix to make sure this impact is
mitigated, and that is exactly what we are looking at for quarter one. So, it is not that the high
costs have not started to i mpact us; it's our alternative ways of sourcing and the fuel mix that is
basically the lever to mitigate the impact.
Rajesh Ravi: So, can you explain what was the fuel mix in Q4 ? And how you're looking at ?
Yatin Malhotra: I think we can speak offline and I can give you those numbers.
Rajesh Ravi: Sure, sure. Next question comes on the, the capex. You have (to) spend ab out INR2,200 crore s
Capex for FY '2 7. So incremental this is only for the ongoing project. So, for full year, what sort
of number total capex fo r FY '2 7 we are looking at?
Dharmender Tuteja: INR3,200 crores to INR3,400 crore s range.
Rajesh Ravi: Okay, okay. And sir, lastly …

Yatin Malhotra : The basis all the announced project, that INR3,200 crores to INR3,400 crores , but as, we mentioned we would be coming out with more, announcements, so we'll revise.
Rajesh Ravi: Okay. And one last question --
Moderator: Rajesh, I request you to join back the queue please, as we have participants waiting for their turn.
Rajesh Ravi: Yes, Yes. Sure, thank you.
Moderator: Thank you. Next question is from Satyadeep Jain from Ambit Capital. Please go ahead.
Satyadeep Jain: Hi, can you hear me?
Yatin Malhot ra Yes, please go ahead.
Satyadeep Jain: Hi. So, first question is on that 75 million tons that you mentioned. Can you maybe break it down to come in in the next two years? Can you talk about what options you're looking at, where are you in the ordering st age?
Puneet Dalmia: I think we can't talk right now. You know, we'll share with you whenever, we are ready.
Satyadeep Jain: I was just confirming that 75-million -ton target by the end of FY '28, right?
Yatin Malhotra : Yes, we are pretty much chasing that. Puneet ji mentioned that, we could take a quarter here and there, take a few million here and there, but that is what we are chasing. -4! Dalmia



Satyadeep Jain: Okay. And sir, just on the IEX investment. I know the stake is also been locked down by all these news around market coupling, but what's your expectation on the remaining stake that you have?
Yatin Malhotra : I think we have said that IEX is a non -core asset for us and we have to, liquidate that asset. We are waiting for the right opportunity to do that, and we will do it.
Puneet Dalmia : We've already liquidated half our position, and I think the balance position also we will liquidate as and when we find the right time.
Satyadeep Jain: Okay. Thank you so much.
Moderator: Thank you. Next question is from Prat eek Kumar from Jefferies. Please go ahead. Give me a moment please. Prat eek Kumar, kindly unmute and go ahead with your question please.
Prateek Kumar: Yes, good evening. Congrats for great numbers. My first question is on your clinker utilization. Can you give clinker utilization for the year and if clinker utilization in specific regions impacted volume growth for the quarter?
Yatin Malhotra : Pratee k, we don't share the capacity utilization for clinker and that too region -wise. So we will not go there. I think we have made quite a lot of additional disclosures this time in our investor deck, but this is something that we would not. But I think we do share our CC ratio, so I think that can give you an indication of things.
Prateek Kumar: But is this not a factor which would have impacted your volume growth in peak quarter, which is this quarter?
Puneet Dalmia: No, we've already said that in our slides that, there was about, an unexpected one -off breakdown, which has resulted in a 3% Y -o-Y growth lowe r.
Yatin Malhotra : Prateek, in quarter 3 we registered a 10% volume growth. I thi

nk we were able to, exhibit performance a little ahead of the industry. Quarter four started on a high note. In the month of March, as you would have seen in our intimation to stock exchang e, we actually had a breakdown.
We lost somewhere of roughly 1.5 lakh tons of clinker and 300,000 (tons) of cement, and that is the reason that, you see subdued growth in quarter 4. I think in the long -term basis, I think we are ve ry optimistic that we'll get back to our sales growth momentum and, outperform the industry in the coming quarters.
Prateek Kumar: Sure. Other question is on pricing. We talked about price increases in the month of April. So is it enough to cover the cost inflation expected over next 2 quarters? How do you think about that?
Puneet Dalmia: Look, we are in a dynamic world and nobody knows, what the cost inflation will be. But if I look at the first, fortnight of April, so far whatever are the cost increases, we've been able to pass -4! Dalmia



on through the price increase. And we are quite hopeful that this will sustain, so largely hopefully we should be able to protect the margins.
But again, it's a dynamic world. We'll have to see how the, prices behave and whether th e energy prices cool off, whether the, supply chains become more reliable. We have to see all of that. But

as of now, I think, the impact of cost has been passed on.
Prateek Kumar: Sure. Thank you. These are my questions.
Moderator: Thank you. Next questio n is from Shravan Shah from Dolat Capital. Please go ahead.
Shravan Shah: Hi, sir. Sir, is it possible to quantify both trade, non -trade hike in your core operations of the regions in April?
Yatin Malhotra : I think it's a moving number, it's not that, one market, one price is stable. So but overall, as Puneet ji has mentioned, the price increases have happened, and we are looking at recovering more than the cost impact. That's the answer.
Shravan Shah: Okay. And sir, given that now for the expansion Kadapa that previously we were looking at Q2 FY '28, that now we are saying it could be a Q3 FY '28 also. And at the same time, we are still not announced the next expansion to reach a 75 million ton, but still we are sticking to it. So what gives the confidence because that's the one thing which is not even if when you announce and whether we will be able to reach a 75 million ton. Can you help us more there?
Yatin Malhotra : I would just say that you have to take confidence from our confidence to do this. As I said, this would be a couple of quarters here and there, a couple of million tons here and there. Bu t just wait for, us to come up with more announcements, and then we'll be able to share more details on that. But as of now, I think, Kadapa one quarter, we also said Belgaum is a little ahead of schedule. Can we get the other muted please?
Mod erator: Shravan, can you please mute your connection? There's a lot of b ackground noise from your line. Yes, sorry sir, please go ahead.
Yatin Malhotra : Yes, as I said, Kadapa might be a little delayed, Belgaum a little ahead of time. By and large, the story is intact. In the next 8 to 9 quarters, we are looking forward to reach somewhere between 72 to 75 million tons of capacity.
Shravan Shah: And sir, on th e volume growth, I understand in last two years also just a 2% kind of a growth. Sir, is it possible to say that we are saying 7 %-8% kind of a industry growth for couple of years? For us, for FY '27, '28, how one can look at? Will it be a still lower than the industry growth or at par or better than industry growth?
Yatin Malhotra : We are aiming to deliver better than industry.


Shravan Shah: Okay. And the capex for FY '28 would be once we announce, a broader would be the last time we said '27, '28 put toget her would be a close to INR9,000 -odd crore s. So that way one can look at?
Yatin Malhotra : I think last time we said that for the next three years, we are looking at INR 3,000 crores to INR3,500 crores every year. So I think that's pretty much what we are saying today also, pre - new a nnouncement.
Shravan Shah : Because that math will not tell if we want to add another 10 odd million ton to reach that, we need to do a decent capex. So at least INR 6,000 crores, INR 7,000 crore s to reach that so...
Dharmender Tut eja: Let's wait for the next announcements.
Puneet Dalmia : We have said this is the capex without any new announcement.
Shravan Shah: Okay, okay. Thank you.
Moderator: Thank you. The next question is from Siddharth Mehrotra from Kotak Securities. Please go ahead.
Siddharth Mehrotra: Thank you for the opportunity. Sir, just wanted some sense of the breakup of the capex guidanc e for 2027. So roughly this INR 3,200 -odd crores, INR3,400 -odd crore s, if you could help me understand diffe rent projects, maintenance capex, any other capex such as renewables, that would be very helpful, sir? That's my first question?
Yatin Malhotra : So I think in the deck, Dharmender ji covered that INR3,200 crores to 3,400 crores is the overall guidance. Roughly INR2,200 to INR2,300 would be on account of the expansion projects under way. So I think balance is by and large our regular capex in plants , that's the way it is. And any further details we would rather avoid. I think our balance sheet should keep talking as and when we spend that capex.
Siddharth Mehrotra : Okay. So basically the INR1,000 crore s, which is over and above the projects announced, basically maybe we can split them half into maintenance capex and half into efficiency projects. Is that the correct way to think about it?
Yatin Malhotra : So this cyclicality is not the right way, but I think we ca n keep it at that, that the INR 1,000 cror es would be for our regular operations. This will be a mix, this is a moving thing, there are return capex' s, expansion, some small futuristic Capexes and maintenance c apex. So we don't want to split here beyond this.
Siddharth Mehrotra: Understood, sir. A nd out of this total capex of like INR 6,800 odd crore s for the two announced projects alrea dy, roughly what proportion of c apex is pending?

Yatin Malhotra : We won't ha ve that percentage handy. T he way we look at it, the projects keep running and the payment cycles keep coming after a while. So what cash outflow has happe ned versus what is the progress done on the project are two different numbers. We won't have that handy, but I don't -4! Dalmia Bharat


think we should worry about that. Just look at the commissioning outlook for the organization. We are on track as we have said and that's w here we want to leave it.
Siddharth Mehrotra: Sir, are we expecting a meaningful change in the fuel mix t o happen, say, away from petcoke maybe higher coal mix, higher A FR and if that is the case, maybe can we sort of quantify what sort of change in mix will happen, the fuel mix?
Dharmender Tuteja : Situati on is quite dynamic from region -to-region, plant -to-plant. So giving any kind of gui dance may not hold true after that month.
Yatin Malhotra : But directionally as petcoke gets more expensive, we have to look a t alternatives and (that’s ) exactly what we are doing, washed coal and local petcoke and alternates. That's directionally what we are chasing.
Siddharth Mehrotra: Got it, si r. Thank you. Thank you for your time. Thank you.
Moderator: Thank you. Before we take the next question, we'd like to remind participants to ask a question, please use the raise hand feature. Next question is from Jainam Shah from Indsec Securities. Jaina m, please go ahead with your ques

tion. Jainam, we are unable to hear you. Since there is no response, we'll move on to our next question from Saket Kapoor from Kapoor and Company. Please go ahead. Saket, can you please unmute your connection?
Saket Kapoor: Yes, namaskar sir. Hope I'm audible.
Yatin Malhotra : Yes, Saket.
Saket Kapoor: Yes, thank you, sir. Sir, firstly if y ou could give some color on the the capacity addition for the industry as a whole for the year ending March 26 and what is envisaged as the capacity addition for the current year? Which are in the pipeline, yes sir?
Pras san Goyal: Yes, Saket, Prassan here. So if I just broadly talk about th e entire industry, I think the cement industry is add ing somewhere around 160 to 170 Million ton
Moderator: Sorry sir your audio is not very clear.
Pras san Goyal: Saket just to repeat again I am saying that for the industry as a whole. The cement industry expected to add somewhere around 160 tons to 170 million ton of capacity between 26 to 28. And out of that around 40 -odd million ton has been commissioned in FY26 so far. So somewhere the balance of around 110 to 12 0-odd million ton of capa city is expected in the next 2 years.
Saket Kapoor: Correct , sir. And sir, in terms of the average utilization, if you could just give some color on how the utilization for the industry has been for year ending March 26?
Pras san Goyal: So as of now, most of the companies are yet to announce their results, so it would be a little difficult to estim ate that. But if I just broadly say, we have seen as a trend, industry somewhere -4! Dalmia Bharat


operates between 65% to 70% of utilization and we believe that it will be of a similar ballpark number in this year as well.
Saket Kapoor: And sir, as you alluded in your presentation about the benef its that we have garnered out of the cost reduc tion exercise, but now with the inflationary trends in petcoke prices and even industrial diesel prices being hiked earlier. So are these gains would be weaned out in the time to come or what should be our trajectory in terms of cost reduction per ton? I think so we did some very good number s last year. So where do you see ourselves placed for the current year in terms of the inflationary trends which we are witnessing currently?
Yatin Malhotra : Look, we don't know, Saket, how to answer this question. We have said we are chasing INR50 to INR 100 reduction internally. Th is is our initiative. What happens externally is something that we'll have to see and, bake in our numbers as and when they come. So that's where we'll have to leave it for any model ling that you want to do. I think both these line items have to be model led separately.
Saket Kapoor: Sir, I did n't understand. Come again, sir?
Yatin Malhotra : I am saying we are chasing internally, as we said, INR50 to INR100 cost take -out every year. That's internally what we want to chase. What happens as an external impact in t erms of inflation and headwinds, we will have to factor in as and when they come in.
Saket Kapoor: No, sir, you are correct there, but what I was trying to make sense is how have the inflationary

trends affected our gains that we have booked last time beca use of the cost reduction exercise.
With the type of inflationary trends currently we have, how much have that been mitigated?
Yatin Malhotra: I think you can look at the right -hand side of the chart where we have shown, adjusted numbers for the Tamil Nadu cess and petcoke. I think that is the right way for you to understand our operating performance.
Dharmender Tuteja : And as Yatin covered in hi s remarks also earlier that we expect about INR125 to INR150 increase in the coming quarter, which is imposed on us by the war.
Saket Kapoor: Right, sir. Thank you. Thank you, sir.
Moderator: Thank you. Next question is from Indrajit

Agarwal from CLSA . Please go ahead.
Indrajit Agarwal : Hi, hi sir. Thank you for the opportunity. I have one question, actually two questions. One, how has the demand trend been in April so far? I know it's too earl y, but given the price hikes across commodities, are you seeing any weakening of mainly IHB demand?
Puneet Dalmia: I think, demand in April seems to be holding up. In cement, we have usually seen based on our past experience that even if there is a slowdow n, it takes some time to feel the slowdown in the industry. So it takes a little time to apply the brakes because the existing projects keep getting completed, the new projects could get deferred. And similarly, when the economy picks up, our acceleration m ay be time -lagged. -4! Dalmia



So I think it's too early to decide whether there's a slowdown or not in April. I think the effects in my view will get visible in probably a couple of quarters only. So month -to-month seeing I don't think we can conclude anything. So I think maybe H2 will be the real test of what's going to happen. So it's too early to say right now.
Yatin Malhotra : But as Puneet ji mentioned, for the full year, we're looking at a decent demand growth. So, we are hopeful, and anyhow we had a little lower lesser base al so last year in the quarter 1 and quarter 2 on account of higher monsoon . Let's see, we are optimistic on the demand scenario.
Indrajit Agarwal: Sure. And we are confident of growing ahead of the industry for FY27, right?
Yatin Malhotra : Yes.
Indrajit Agar wal: My second question is on availability of key raw materials like, let's say, petcoke which is imported or PVC granules. Are you seeing any issues with that? Pricing aside, but is availability of some of these raw materials a concern now?
Dharmender Tut eja: The cost has gone up, and supply disruptions we've been able to overcome through timely interventions. So we have not faced issues in terms of availability, and I don't foresee that as a problem to come. But naturally, cost cannot be controlled like t his.
Indrajit Agarwal: Sure. And one more , if I may. What would be the sensitivity of freight cost to diesel price increase? Let's say if there's a 5% diesel price increase, pump price increase, how much could our freight cost go up?
Yatin Malhotra : Typically, I think if you have to use a formula, every 5% jump is INR15 per ton cost for us, roughly. That's the ballpark.
Indrajit Agarwal: So 5% rise in diesel price is INR 50 per ton increase in cost ?
Yatin Malhotra : INR15
Indrajit Agarwal: Yes, Yes. 15. Right. Thank you. That's all from my side.
Yatin Malhotra : And just to your first point what Dharmend er ji said, I think the situation in March was a little tough for the industry. I think we take a lot of pride in the way we have been able to navigate the month of March . And without taking too much pressure on cost, at the same time ensuring regular supply. So , I think we have played this game well, and we are confident that we'll continue to do.
Indrajit Agarwal: this is very helpful. Thank you so much.
Moderator: Thank you. Next question i s from Harsh Mittal from Emkay Global. Please go ahead. Harsh, please unmute yourself. Yes, please go ahead.
Harsh Mittal: Thank you. Thank you for the opportunity. The first question is that in the Slide number 11, we have mentioned that our limestone reserves is more than 48 years in the southern region. So sir, -4! Dalmia



as per public data, we have seen that Dalmia has been selected as the preferred bidder in multiple mines in Tamil Nadu in the month of February this year. So does this reserve include the reserves won recently?

Yatin Malhotra : Yes. Yes, Harsh .
Harsh Mittal: So what would be the quantum of the reser

ves which we have added , if you can share that data?
Yatin Malhotra : Quantum? I don't have it offhand, Harsh. Maybe we can share with you separately.
Harsh Mittal: Okay, okay. Second question, sir. Our cement and clinker, there is a mismatch in the particularly in the Northeast region. So do we expect any grinding capacity addition in the Northeast region as part of your 72 million to 75 mil lion ton plan?
Yatin Malhotra : Yes, Harsh. I think you can expect that. But let's wait for more announcement. But yes, you are right, and we might be looking at a grinding capacity in the region soon .
Harsh Mittal: And is the size of the grinding capacity, sir, if you can will it be 2 mi llion ton, 3, 4, any capacity if you can just share it?
Yatin Malhotra : I would suggest just wait for the opportune time to have a chat.
Harsh Mittal: Sure, sir. Thank you. These were my questions.
Moderator: Thank you. Next question is from Rajesh Ravi fr om HDFC Securities. Please go ahead.
Rajesh Ravi: Hi, sir. Two questions. One, if I am I audible?
Dharmender Tuteja : Yes, please.
Moderator: Yes.
Rajesh Ravi: Yes. So, if I look at the change in the fixed asset on the annual basis, I see a number of much higher number of around INR3,500 crore s, whereas in the capex outflow has been close to INR2,000 crore s for the full year. Could you reconcile why there is a sharp diff erence of INR1,500 crore s between the two numbers?
Yatin Malhotra : Rajesh, I think there is one more line item that you need to look at, see other financial liabilities. A lot of CWIP that we have incurred during the year is still standing as payable in our books, and that is actually one reason that, you know, the guidance we gave earlier i n terms of the cash outflow on c apex, which is much lower in this quarter. And, you know, as we were, you know, we all know towards the end of Feb, you know, this ent ire geopolitical situation started. So I think we have just deferred our cash flows a bit, and that is sitting in our liabilities and that should get sorted in the next couple of few months and quarters. -4! Dalmia



Rajesh Ravi: Understood. So this INR3,300 crore s capex outflow which you're targeting for FY27, that includes this one or this will be ov er and above the, you know, INR 1,000 crore s odd or whatever number which is sitting as liabilities in FY26 end?
Dharmender Tuteja: Next year's number includes the liability of this year which will get paid off next year.
Rajesh Ravi: Okay. So in fresh c apex amount would be much lower. Is this understanding correct for FY27?
Yatin Malhotra : This would be cyclic, so you might , we would actually see the opening -closing in a similar way.
Rajesh Ravi: Okay, okay. And last question from my end would be on the recent, you know, news going on where the SFIO has, you know, filed , has tried to reopen the m utual fund case, and I think MCA, MCA has initiated or have been instruc ted relevant bodies to reinvestigate. Could you please throw some light if there is any progress or if you have as a company received any notice from the relevant authorities?
Yatin Malhotra : Rajesh, we can't be responding to rumours. If there is anything that has to be reported, it will be reported in the proper manner. Right now, we don't want to respond.
Rajesh Ravi: So nothing has come at a company level?
Dharmender Tuteja: We have not received any communication.
Rajesh Ravi: Okay. Understood. That's , that's nice. Yes, that's all from my end. Thank you.
Moderator: Thank you. Next question is from Hiten Boricha from Sequent Investment. Please go ahead. Hiten, please unmute your audio.
Hiten Boricha: Am I audible now?
Moderator: Yes, please go ahead.
Hiten Boricha: Yes, sorry, I was on mute. Yes. So I have only one question, and most of the questions have been answered.

So sir, you mentioned we have took a price hike in April which all the cost has been passed on. So if you can quantify what is the total price hike we have took in April so far?
Dharmender Tuteja: We are still in the middle of April.
Puneet Dalmia: I think we've already said that, you know, so far we've been able to pass on the cost increase through price hikes. And hopefully we shoul d be able to maintain it, and there should be no margin compression. So that's the most broad answer.
Hiten Boricha: Okay, okay. Sir, understood, understood. Okay. Thank you.
Moderator: Thank you. Ladies and gentlemen, we request you to limit your question s to two at a time please. Next question is from Shravan Shah from Dolat Capital. Please go ahead. -4! Dalmia

Shravan Shah: Hi. Sir, our CC ratio, if I look at last two years, almost it has declined from 1.7 to now 1.6. So any specific reason and will it remain here or we will try to increase?
Puneet Dalmia: I think again, it's a dynamic situation. We will take a call market to market. But our long -term goal is to increase the CC rati o and, you know, decrease our cost. So quarter on quarter, I don't think we can look at this. This has to be looked over a three to five years period, and our endeavour will be to improve it over a medium term.
Shravan Shah: Yes, because I look at for last two years, so in two years it has from FY24 till FY26 in almost three years it has declined. That's what I asked. I am not looking at on a Q -on-Q. No issues. Last sir, incentive for FY27 in terms of booking would be around INR 200 odd crore?
Puneet Dalmia: Yes.
Shravan Shah: Okay, okay. Got it, sir. Thank you and all the best.
Moderator: Thank you. Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference over to Mr. Puneet Dalmia for closing comments. Over to you.
Pune et Dalmia: Thank you. I think we've had a, you know, very good year in t erms of profitability and a close quarter also. We've done t he highest -ever EBITDA over INR 900 crore s this quarter, and we've topped INR 3,000 crore s for the first time. Our c apex is ongoing. We are, you know, very optimistic about the future of the Indian economy, and we will continue to invest behind the growth in India.
There will be headwinds along the way, and I've always said that this is not a straight road to paradise. There will be bumps along the way. We will navigate those bumps as we've shown resilience over the last 80 years. You know, we've never been more excited about the future as we are now. And I'm also very happy that our executive committee and our team is coming together very well.
So thank you for your interest, and I look forward to continuing this conversation in the coming quarters. Thank you.
Moderator: Thank you members of the management team. On behalf of Dalmia Bharat Limi ted, that concludes this conference. Thank you for joining us, and you may now exit the meeting. Thank you. -4! Dalmia

## Call: Jul 2026

File No: 1010/02 July 28, 2026

BSE Limited
P J Towers, Dalal Street,
Fort Mumbai - 400001
Scrip Code: 542216 National Stock Exchange of India Limited
“Exchange Plaza” , Plot No. C-1, Block G
Bandra - Kurla Complex, Bandra (East),
Mumbai - 400 051
Symbol: DALBHARAT
Subject: Transcript of Q1 FY27 - Earnings Conference Call

Ref : Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
Dear Sir/Madam,

In terms of Regulation 30 of the SEBI (List ing Obligation and Disc losure Requirement), Regulations 2015, please find attached transcri pt of the Q1 FY27 Earnings Conference Call held on July 24, 2026 for the quarter ended June 30, 2026.

The transcript has already been uploaded and is available on the Company's website at www.dalmiabharat.com

This is for your information and record.
Thanking you,

Yours sincerely,
For Dalmia Bharat Limited

Rajeev Kumar
Company Secretary

Encl.: As Above



“Dalmia Bharat Limited
Quarter Ended 30th June 2026 Earnings Conference Call”
July 24, 202 6

MANAGEMENT : MR. PUNEET DALMIA – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – DALMIA BHARAT LIMITED
MR. DHARMEND ER TUTEJA – CHIEF FINANCIAL OFFICER – DALMIA BHARAT LIMITED
MR. YATIN MALHOTRA – CHIEF FINANCIAL OFFICER – DALMIA CEMENT (BHARAT ) LIMITED
MR. PRASSAN GOYAL – HEAD, INVESTOR RELATIONS – DALMIA BHARAT LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Earnings Conference Call of Dalmia Bharat Limited for the Quarter Ended 30th June 2026. Please note that this conference call will be for 60 minutes and for the duration of this call all participant lines will be in the listen -only mode. This conference call is being recorded and the transcript will be put on the website of the company.

After the management discussion, there is an opportunity for you to a sk questions. Should anyone need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. As a reminder, all participant lines will be in the listen -only mode.

Before I hand over the conference t o the management, I would like to remind you that certain statements made during the course of this call may not be based on historical information or facts and may be forward -looking statements. These statements are based on expectations and projections a nd may involve a number of risks and uncertainties such that the actual outcome may differ materially from those suggested by such statements.

On the call, we have with us Mr. Puneet Dalmia, Managing Director and CEO, Dalmia Bharat Limited; Mr. Dharmender Tuteja, CFO, Dalmia Bharat Limited; Mr. Yatin Malhotra, CFO, Dalmia Cement Bharat Limited; and the other management of the company.

I would now like to hand the conference over to Mr. Prassan Goyal, Head of Investor Relations. Thank you, and over to you, Mr. Goyal.

Prassan Goyal : Thank you, Michelle . Good evening, everyone, and thank you for joining us today. I hope you had an opportunity to look at our financial results and the presentations we have uploaded.

Let me now hand over the call to Mr. Dalmia for his opening remarks. Thank you.

Puneet Dalmia: Thank you, Prassan. Good evening, everyone. When we last spoke, the global economy was navigating an increasingly uncertain economic environment marked by supply chain disruptions, heightened commodity pri ce volatility and rapid technological shift.

Since then, those uncertainties have not only persisted, but in many ways, have become the new normal. Yet India remains one of the fastest -growing major economies globally with an RBI growth projection at 6.6% for financial year '27.

Despite maritime disruptions, industrial production and exports have performed well. GST collections reached an all -time high of INR6.3 lac crore s in Q1 FY27, underpinning strong domestic consumption. Public capex remains another key pil lar supporting economic growth.



Capital spending in the first 2 months inched up to 21% of the annual budgeted outlay, reflecting government's commitment to infrastructure development and long -term capacity creation.

Inflation has largely stayed wi thin the RBI's comfort range, but uncertainties surrounding the progress of monsoon due to potential effect of El Nino continues to warran t close monitoring. These factors may create short -term fluctuations, but do not alter the structural growth drivers of the Indian economy. In this backdrop, I believe the cement demand will also grow at a healthy rate of 7% in this financial year.

Zooming into the first quarter, cement demand was stronger than most of us were expecting. For Dalmia, however, the quarter was somewhat distinctive as several of our key markets underwent state elections. Such periods typically result in a temporary moderation in construction activity with project execution slowing during the election cycle.

Despite these market -specific cha llenges, we have delivered a robust volume growth of 9% on a Y-o-Y basis. More importantly, this growth was accompanied by a marked improvement in the quality of our sales, and the share of premium products in our portfolio has moved to a h

ealthy number of 25%.

During the quarter, we also introduced Weather365, our premium -plus offering, which has received an encouraging response from customers. I believe this launch will further strengthen our premiumization journey and enhance the quality of our revenue over time. This quarter was undoubtedly influenced by elevated input costs, yet I'm pleased with the progress we made through disciplined pricing and decisive cost management.

Pet coke prices surged to nearly $160 per ton before moderating to between $130 and $135 per ton, well above the pre -war levels of $110 to $115 per ton. In response, we intensified our efforts across procurement and operations through better planning and inventory management, diversification of sourcing and optimization of our fuel m ix. Collectively, these initiatives generated savings of more than INR150 per ton during the quarter.

At the same time, healthy price increases of about INR10 to INR15 in South and INR15 to INR20 in East markets enabled us to pass on a significant portion of the input cost inflation. As

a result, EBITDA per ton improved sequentially to INR1,055. As we consolidate our brand position and cost leadership through consistent and meaningful initiatives, I'm confident that we will continue to deliver profitable g rowth in the quarters ahead.
Now shifting gears to our capacity expansion plans. I'm particularly excited with the addition of Jaypee Cement assets to our portfolio. This acquisition brings 5.2 million tons of cement capacity, supported by 3.3 million tons of clinker capacity in the strategically important Central India region.
This asset also offers meaningful opportunity for debottlenecking and brownfield expansions. It is a great strategic fit for Dalmia, as it strengthens our presence in a key growth market and marks another important step in our journey towards becoming a truly pan -India company.


I'm equally encouraged by the speed and efficiency of the integration. We commenced operations at the Chunar Grinding Unit and started trial production run at Rewa clinker unit in just 50 days of completing the acquisition, a testament to the quality of our execution.
Dalmia has already established a strong brand presence in the region with the continuous seeding of markets since the past couple of years. Th is positions us well to deepen our market penetration and unlock the full potential of these assets in the coming quarte rs.
With this acquisition, along with our ongoing expansion projects at Belgaum, Kadapa and Pune, our cement capacity will reach about 67 million tons by quarter 3 of financial year '28. We are working on some more projects, which will be announced in due course.
Before I conclude, I would like to say that Dalmia is at an inflection point where we are adding capacity, diversifying into new regions, fortifying our brand position and strengthening our cost leadership. I'm deeply encouraged by what we have accomplished thus far and even more excited about the opportunities that lie ahead.
As we continue to make meaningful progress on our s trategic priorities, building a high - performing organization, accelerating automation, advancing our sustainability agenda and upholding the highest standards of governance will remain a key focus area, enabling us to build a more agile, efficient and futu re-ready enterprise.
Before I hand over to Dharmender, I would like to take a moment to congratulate him on a highly successful tenure as CFO of Dalmia Bharat. Under his leadership, the company has delivered robust growth and stren gthened its financial st rategy.
I wish him the very best. Thank you, Dharmender, and over to you.
Dharmender Tuteja : Thank you, Puneet ji, for your kind words. I also thank you for having reposed trust in me and for your continuous guidance and support. It has been a privilege t

o serve the company through
an important phase of growth and transformation. I'm pleased that we have been able to enhance governance standards and establish a disciplined capital allocation framework, main taining a strong balance sheet.
I would also like to thank our Board members, finance team, my peers and team members in other functions and all stakeholders for their excellent cooperation and support during my tenure.
Transition of my role to Yatin over the last 16 months has been a seamless exercise. As the company is entering into exciting phase of accelerated growth, I'm sure Yatin is perfect fit to take the organization to greater heights of success.
Coming back to my opening remarks, I wish good evening to everyone present in this call. I will start with an overview of our operating and financial performance during the quarter. As per analyst estimates, cement demand for the industry grew by abo ut 7% to 8% Y -o-Y in quarter 1.


The first 2 months saw modest growth followed by meaningful improvement in June, supported by the return of labor to construction sites post elections, along with delayed monsoon. Despite a disrupted quarter for our operating regions, we delivered a robust growth of 9% on a Y -o-Y basis. If we set aside the one -off impact of th e Rajgangpur breakdown last quarter, this is our third straight quarter of healthy volume growth.
Revenues from operations improved by 7% Y -o-Y during the quarter to INR3,890 crores, driven by higher sales volumes. Realizations improved 6% Q -o-Q, supporte d by healthy price increases, higher premiumization and strengthening brand position.
During the quarter, we accrued INR45 crores in incentives and collected INR60 crores. The incentive outstanding at the end of the quarter was INR822 crores. Incentive accrual should remain in a similar range of INR45 crores to INR50 crores per quarter in the next couple of years.
This quarter was largely impacted by cost escalations stemming from West Asia conflict. While

input costs have moderate d from their peak levels, the recent resurgence in hostilities will remain a key factor influencing cost trends in the near term. During the quarter, our raw material cost per ton of production increased 12% Q -o-Q to INR823, primarily due to increase in th e limestone raising cost and other cost headwinds.

Power and fuel cost per ton of production increased by 10% Y -o-Y to INR1,045, reflecting a sharp escalation in fuel prices. As Puneetji highlighted earlier, we responded proactively by implementing a seri es of measures, including strengthening inventory planning and optimizing fuel sourcing and mix efficiency. These initiatives helped meaningfully mitigate the impact of fuel cost inflation and reinforce our cost competitiveness.

As the input costs remain above pre -war levels, we expect the cost environment to stay elevated in Q2. The blended fuel cost during the quarter increased Q -o-Q from INR1.36 per Kcal to INR1.47 per Kcal. Further, 48% of our power consumption has been sourced through renewable energy . This share will continue to rise as we add more renewable energy capacities during the year.

During the quarter, cement freight per ton of dispatches has remained largely flat on a Q -o-Q basis. Clinker freight per ton of dispatches has increased 11% Q -o-Q due to higher clinker movement through road during the quarter. Coming to fixed cost component, Employee cost increased 13% Q -o-Q to INR245 crores, primarily due to the increment impact and certain -- one-off favorable impact in Q4 last year.

Other exp enses rose 3% Q -o-Q to INR632 crores, mainly on account of sharp increase in packing bag prices from about INR9.5 per bag pre -war to almost INR14 per bag in Q1. While prices have moderated from the quarterly average, they continue to remain well above the historical levels. EBITDA per

ton improved 3% Q -o-Q to INR1,055 during the quarter. On an absolute



basis, EBITDA declined 11% Q -o-Q to INR805 crores as the benefit of improved realizations was offset by lower volumes and higher costs arising from external headwinds.

Now moving to non -EBITDA items. Other income increased to INR139 crores, mainly due to the mark -to-market gains on treasury investments. Depreciation during the quarter increased by 12% Y -o-Y to INR361 crores, mainly due to the capitalization o f Umrangso clinker unit in January '26.

For full year FY27, we expect depreciation to increase by INR100 crores, as we commission the acquired Jaypee plants and commercialize Belgaum capacity. It would further increase by INR100 crores to INR150 crores in FY28 with the commissioning of Kadapa and Pune projects.

The finance cost during the quarter increased by 36% Y -o-Y to INR147 crores, primarily due to the increase in gross debt owing to acquisition funding. The average cost of debt has been range bound at about 7%. Exceptional item of INR182 crores primarily includes expenses towards stamp duties and transaction fees and other related overheads incurred by the company with the acquisition of cement assets.

Turning to our capital allocation priorities. We successfully completed the acquisition of the Jaypee Cement assets on 29th May 2026 at an enterprise value of INR2,850 crores. The transaction was funded through a prudent mix of debt and internal accruals.

In addition to this, we are furth er investing to enhance the operational performance of the acquired assets, including installation of an 18 -megawatt WHRS facility at the Rewa plant. We have made an encouraging start to the integration process. We expect these assets to begin contributing meaningfully to volumes from third quarter onwards. At the same time, we are steadily embedding Dalmia's operating practices across these facilities with a strong focus on improving efficiency and enhancing productivity.

Our Belgaum expansion project is also progressing ahead of schedule and is expected to commission -- commence commercial production in the next 6 months. At Kadapa and Pune, site excavation is underway with contractors mobilized to begin civil and mechanical work. Excluding the cost of ac quisition, we have spent about INR510 crores on capex during the quarter.

Our capex commitment for FY27 is expected to remain at around INR3,200 crores to INR3,400 crores, in line with our earlier guidance. Of this, projects would be roughly INR2,200 cror es, while the balance would be towards maintenance, Jaypee catch -up capex and other ROI projects.

Our gross debt at the end of the quarter increased to INR9,108 crores, primarily due to the acquisition, while net debt increased to INR4,431 crores. Importa ntly, even after funding this acquisition, our leverage stood at 1.47x, comfortably below 2x net debt to EBITDA, demonstrating the strength of our balance sheet and disciplined approach to capital allocation.

With this, I open the floor for question and a nswers. Thank you.

Mod erator : Ladies and gentlemen, we will now begin with the question -and-answer session. The first question is from the line of Navin Sahadeo from ICICI Securities. Please go ahead.
Navin Sahadeo: Yes, good evening, sir. Thank you for the opportunity and indeed congratulations for a good set of numbers. My first question is about Jaypee. And again, congratulations for bagging the deal. It was on our mind for a long time, and finally, we got it. My question is, INR2,850 crores is the price for the asset, and there is 100 million ton limestone. So , regarding this limestone, I wanted to understand if we have the entire land required to access this 100 million ton in control? If not, what is the land that will be required and

approximate co st? Or the company has a backup plan that since your mine, as you mentioned in the presentation, is very in close proximity to this existing, we cannot really bother about , you know, buying that land, if at all, the prices tend to shoot up? If you could ju st help us understand this bit -on limestone reserves and costs associated with it.
Yatin Malhotra : So, I think, Navin, it's a mix of both. Number one, yes, we have reserves in the vicinity, and I think it is not a great botheration for us. Having said that , what lands already exist with the Jaypee assets are enough for the initial few years, and land procurement to keep securing your reserves is a part of the process in any plant that we run. So, I think it's a continuous activity. We are good to go in the initial few years. We have an adjacent asset already available, and then, we'll keep expanding the land to augment this further.
Navin Sahadeo: But any ballpark number that so much cost because if you just want to understand the total, let's say, cost to t his Jaypee acquisition, will it be additional like, you know, to get this entire 100 million ton, will it be additional INR100 crores, INR500 crores, INR1,000 crores any ballpark number there?
Yatin Malhotra : No, I don't think we can indicate an exact numb er, Navin, right now. We are in the process of assessing this. And for any practical purposes, this will happen gradually. So, this is not like a onetime hit that's going to come and hit you. So , I think it's an ongoing process.
Navin Sahadeo: Sure. My second question then was about like the clinker and cement capacity kind of a mismatch in the Eastern region and now, it's more so in the Northeast because we have surplus clinker there, but not much grinding. I believe the existing East also is the situat ion, probably other way around, we have more grinding there, but less clinker.
So how are we looking to utilize or make optimal utilization of the Northeast clinker plant that we commissioned, I think, a quarter or 2 back? So , are there more grinding unit s that are coming up in West Bengal or Bihar? How should one look at utilization of that asset? Thanks.
Yatin Malhotra: So for the Northeast assets, I think our commentary consistently has been that we believe in the potential of that geography. We have in vested ahead of time in clinker and grinding. Yes, we have a little excess clinker available in that place .



In our journey to reach our Pan -India story and expansion, setting up a grinding unit somewhere near that clinker unit is on the table. We have not yet announced that exact project, so I can't detail it beyond this. But I think balancing the clinker from Northeast and setting up some additional grinding is there on the agenda.
Navin Sahadeo: I have more questions, but I'll come back in queue. Thank y ou.
Yatin Malhotra: Thank you.
Moderator: The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.
Amit Murarka: Hi, thanks for the opportunity. So, the first question is on this exceptional expense that you've highlighted of INR177 crores. I was just wondering like on an asset acquisition value of INR2,850 crores, it seems at 7% of the acquisition cost. So just wanted to understand this better that how much of this was stamp duty? And what really were the other expenses that h ave been booked out?
Yatin Malhotra: Amit, I think it's been a couple of months since we have entered this transaction. There is a lot of activity that is going on in terms of assessing the right stamp duty amount and other incidental cost. We have taken a provisional conservative number. This is a preliminary assessment that we have done so far.
I don't think this exact number will be the final number. I think give us a couple of months. Anyhow, we have to do this entire registration in next 2

months. So, I think by the end of next quarter, we'll have more clarity on this. But I can just say that this is a provisional conservative number. We should end up being a little better than this.
Amit Murarka: Got it. Sure. And also, could you just give some guidan ce on the ramp -up of the Central India assets? What utilization you are looking in Q3, Q4 or broadly FY28?

Yatin Malhotra: I would just say that as Puneet ji mentioned, and we've also given it out in our investor deck, in the first 20 days, we got the first grinding unit up and running. Then, we started the trial run at Rewa clinker unit. So it's a topic that we are attending to with utmost urgency.
Having said that, I think we will give it some time for it to stand on its leg, and we will be able to give a little more realistic estimates once we have taken a complete control of the asset in the market and might be we are hopeful that we'll be touching decent capacity utilization in a few quarters, but no guidance as of now.
Amit Murarka: Got it , sure. And a last question, if I may put in. So what's the expectation on cost now given that like we have a good sense of the pet coke pricing and all, like what is the outlook for Q2 and then forward?
Yatin Malhotra: Q2, 10 days prior to today, I think we were more clear on which way the Q2 is going to sort of pan out. But now, we again are in very turbulent times. Again, I can give you an estimate that


we're looking at roughly INR70, INR80 increase in terms of input cost. I would say the tail impact that was s upposed to come and hit us in Q2 over and above Q1. But as things are evolving, we will have to reasscertain this number. So let us see how this pans out for us and for the industry.
Amit Murarka: And just to be clear, this is excluding negative operating leverage, right, we see in Q2?
Yatin Malhotra: No, I'm just telling you the macro headwinds. Negative operating leverage is a part and parcel of business seasonality will come and hit us. So that's a separate discussion.
Amit Murarka: Sure. Thanks a lot. I 'll come back in the queue.
Moderator: The next question is from the line of Kunal Shah from DAM Capital. Please go ahead.
Kunal Shah: Yes, sir. So, first, on the Jaypee ramp -up bit, I understand it's a bit early. But could you just explain or give us some insight on what would be the quantum of volumes we would have done in FY26 to the existing , I mean, to the potential markets of Jaypee from our existing plants? Like is the network still active? And can it be sort of capitalized to ramp up J aypee ?
Yatin Malhotra: Sorry, Kunal, what was the second part of the question?
Kunal Shah: No. What I'm trying to understand is how much volumes would we be selling to the potential markets of J aypee , let's say, MP, UP, from our existing plants in East? if you could ju st help like during F Y26, what would be the quantum of it? And if the network over there is still active, sort of can we capitalize it to ramp up the J aypee quickly?
Yatin Malhotra: So, the answer to your second question is a definite yes. I think we have been very consciously kept investing in that market. So, we have a decent presence in terms of network and brand. And the answer to your first question is that I would rather not give exact numbers of how much we sold in Central market from East. So yes, t hat's it.
Kunal Shah: Understood. Second, sir, also, company would be adding almost 40% capacity increase. That will be the quantum within like 1.5 years. And along with like a potential turnaround of the Eastern market, how to think of volume growth outlo ok over the next 2 years? Like could you provide any guidance over there?
Yatin Malhotra: Kunal, we really believe the industry per se would grow 7% to 8%. I think for our organic numbers, we should be in line with the industry. We are chasing

more, but at least in line with
the industry. And so the additional capacities, as we ramp that up, I think that should give additional volume. So I think we can put two and two together on that one.
I can just tell you that, as we said, J aypee , we are deeply entrenc hed in the market so that we get a head start, Belgaum, Kadapa, when the capacities come in. Again, these are markets that we know like back of our hands. So, for us to ramp up should not be an issue. So we are hopeful


that we'll be delivering decent growt h, both organically and also with the additional capacity that we are bringing online.
Kunal Shah: Understood. And lastly, just one bookkeeping. In terms of our 9% volume growth during the quarter, how would this be faring versus our operating market growt h? If you could just give some bit of...
Yatin Malhotra: Faring versus...
Kunal Shah: Our operating market, like East and South and Northeast, what would be the blended growth in those markets and versus that our 9%, like how does that fare?
Yatin Malhotra : So Kunal, early days, not all results are out. Our gut says that we would be at least 200 to 250 bps higher than the industry. But I think once the numbers are out for everyone, we can understand this better.
Moderator: The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Thank you. Sir, just to get more sense in terms of the capacity. So obviously, with the Jaypee and the ongoing expansions, we will be close to 67 million tons by Q3 FY28. So one, obviously, we have mentioned that Northeast, we will be adding up. A broad idea, let's say, even if we announce now also, by FY28, and can we add 2 million to 3 million tons there?

And second, previously, we were looking to reach a 75 -odd milli on ton by FY28. So particularly the Jaisalmer 6 million tons. So will that now be in FY29 that one can look at? I understand we will be announcing, but broadly, it will not be coming in FY28. That is kind of a clear that way one can look at?

Yatin Malhotra : I think the way I would see this is that the path is clear. The date, the milestone is definitely something we're looking at, but it's an indicative milestone. At 67, we are very clearly on that path. East grinding unit, as we mentioned, as you also ment ioned, should take us in the vicinity of 70 soon. Whether it happens in the last quarter of '28 or first half of '29, it doesn't change the game too much.

And as you would appreciate, Shravan, we are right now in the midst of executing roughly capex inclu ding if I were to see Jaypee because we are stabilizing Jaypee . So, we are handling 116 million to 17 million tons as we speak.

So, we have to be careful how many fronts we open. I think once we have this settled, give us a couple of quarters, you might end up hearing more announcement from us. But if the way we see it, the journey to be a Pan -India player by FY31 in roughly 110 mi llion-odd tons, that path is clear. So a few quarters here and there actually don't make too much of a distance on this.

Shravan Shah : Okay. So even if, let's say, 70 -- 67 and even if I add 2, 3 million tons Northeast, 70 million by FY28, then in next 4 y ears: '29, '30, '31, in 3 years, we need to kind of add 40 million tons. Do



we still kind of want to achieve 110 million tons by FY31 because given that to achieve that we need to do a significant capex, and then obviously, the net debt will also significantly rise. So are we also kind of thinking that even we'll not mind it to reach by even FY34, '35 also? So or still we're sticking that by FY31, we want to reach 110 million tons?

Puneet Dalmia: I thin k I've already said in many of my earnings calls earlier that this is a directional number. But depending upon how the ind

ustry is going, we can calibrate our speed, we can dial it up or dial it down. So like a couple of years here or there doesn't matter.

Broadly, the direction is Pan-India, and the direction is going to be 110 million to 130 million tons. So I think let us see how the industry evolves. Let us see how the macro situation is. And I think based on that, we will remain flexible. We have said this earlier also, and we are saying this now also.

So let us take the example of 75. Our earlier target was financial year '27. And now, we are going to get close to it in financial year '28. So okay , we are 1 year behind schedule. Heavens are not going t o fall. So I would just say that we will be disciplined about our capital allocation. We will be very focused on our strategy, and we will focus on growth, which is financially accretive.

Yatin Malhotra : And making sure that our balance sheets are healthy. So we will not burst the bank, of course.

Shravan Shah : Sir, that's what the feedback I also wanted to give. So the more we delay would be better. Yes, I know, I'm just completing the sentence, you listen. So that's what the feedback is. So we should be looking at the balance sheet. We should not be minding in terms of delaying. The focus should be to keep on increasing the existing assets utilization and keep on improving the balance sheet. So that's the feedback I just wanted to give.

Yatin Malhotra : Rest assured, we will be cognizant of that.

Moderator: Thank you sir. The next question is from the line of Siddharth Mehrotra from Kotak Securities. Please go ahead.

Siddharth Mehrotra : Sir, just wanted to clarify, this INR3,200 crores to INR3,400 crores number, that is excluding Jaypee, right? It does not include Jaypee ?

Yatin Malhotra : Yes. Actually, I don't think the Jaypee capex would change this number significantly. It's anyhow a INR200 crores range. And we will be in the vicinity of this number, ev en including the Jaypee capex because even if we start executing the project, the cash flows will not happen immediately. So you can pick up the same number, including Jaypee also.

But definitely, this is not with the bulk INR2,850 crore s. So that is on to p of it. But all the efficiency start -up capex is a part of INR3,400 crores.

Siddharth Mehrotra : Okay. Understood. Sir, I just wanted to clarify, in the slide we gave to investors when we first announced this deal, we noted a number of around INR550 -odd cr ores, including refurbishment



and efficiency. So now that you're almost a couple of months away from when you gave out that

number, is our estimate materially different?
Yatin Malhotra : No, they're not materially different, but it is still a WIP thing for us, Siddharth. So, this will phase out gradually, but I don't think there are a lot of nuances and anyhow the plant that we run, it is an evolving thing for us, but I can tell you this INR550 crores is the initial thing on the table. Let us give ourselves a few quarters to execute this. And then, we'll keep adding as and when the needs arise.
Siddharth Mehrotra : Understood, sir. And sir, we had also highlighted that we can grow our capacities there by around 2 million ton odd number. So any sort of ballpark estimate on the timelines where we actually think about expanding capacity in these acquired assets?
Yatin Malhotra : Again, Siddharth, very early in the day. Give us some time, let us get a little more acclimatized with where we are. That is pretty much o n the agenda, but that will happen sequentially. We can't jump the gun on day 1.
Siddharth Mehrotra : Understood, sir. Sir, secondly, I just noticed that in our slides, we were slightly pushed forward the start -up of our Pune plant. So is that with a view to balance our balance sheet situation? Or are we sort of running delayed on the operational side of things in terms of execution?

Yatin Malhotra : We had some teething troubles on the execution start point, and that is the reason. So Pune is not something that we have done for balancing our balance sheet right now. It's a new place for us. I think it took us a little more time to sort out certain issues, but I think we are back on track.
Siddharth Mehrotra : Got it, sir. And sir, for this entire year, do we expect to grow in line with the industry, around 7%, 8%? Or now that we have Jaypee assets, would we be more optimistic of a slightly higher number?
Yatin Malhotra : I think I'll maintain my position. Outside of acquisitions or new capacities, we want to gr ow in line with the industry. We actually want to do more, but you can take a guidance in line with the industry. And whatever we add as capacity, either by acquisitions or new projects, that should be on top of it.
Siddharth Mehrotra : Understood, sir. Sir, if I could just squeeze one last question...
Moderator: Mr. Mehrotra, I'm sorry to interrupt you, sir. I will request to kindly rejoin the queue. We'll take the next question from Pinakin from HSBC.
Pinakin : Thank you very much. So my question is on c ement prices. We have seen after some time, East India price increases going through and sustaining, but they still remain well below other regions in Pan-India. So in your view, you being a large player in Eastern India, what will it take for this price g ap to narrow? I mean, given what's happened in Bengal recently, can we expect the price gap to narrow this year? Or is it more like the next 2 to 3 years where pricing gap between East and other regions can narrow?


Yatin Malhotra : Again, we don't have an a nswer that what will it take to make the prices stick. I think it's a very dynamic part of the industry, and I think you know this as good as I know it. So, we are hopeful good sense will prevail and better prices can happen but let us see how it pans out.
We have no other take on this topic. What we can tell you is that as a brand, we work on premiumization as a topic. So whether it is premium products or whether it is premium pricing, that is an agenda that we very strongly chase. What happens to market p rice is something for all of us to see together.
Pinakin : Thank you very much.
Moderator: Thank you. The next question is from the line of Satyadeep Jain from AMBIT Capital.
Satyadeep Jain : Hi, thank you. Just on Jaypee, follow -up to one of your questions on , when you were doing the tolling arrangement, you obviously built some distribution network. And it's been a while, our channel check suggests that the volumes into the market were toned down significantly after the tolling period ended.
So ag ain, just following up, what kind of network you already have? And how long will it take maybe to rebuild or build on what you already had? And when do we look at profitability, absolute EBITDA profit from this plant?
And tied to this would be that Jaypee also has another asset, which I believe is for bidding the other, Bhilai and Nigri and all. Is that something that is on the table for you also to evaluate the other set of assets at Jaypee?
Yatin Malhotra : So I'll answer your question in parts. Number one , I think I'm repeating myself, this is not a new market for us. We did stay invested in the market by continuously supplying and continuing our relationship with the channel and making sure the brand is there in the market. So I think for us to take a dec ent start should not be a major concern. There is still a lot of legwork that we have to do in the market because we have to multiply our numbers many fold. But we have good start point in terms of presence.
Point number two, I think how much time it will take for us to get our EBITDA, I think we would allow ourselves as you would expect, we have taken the assets. We have got the fixed

costs, and we

have got the legacy issues, some legacy issues also, and we are still yet to ramp up volumes and sell. So ini tial period will be tricky. It should take us a couple of quarters to be EBITDA neutral, I would say. But I think we should be on track by the end of this year. And we will give us, I don't know, it might be, 7, 8 quarters for this asset to give EBITDA in line with the normal Dalmia EBITDA.

And to your third point, can you repeat the last question? Sorry, I missed that.

Satyadeep Jain : The other set of assets that Jaypee had ?



Yatin Malhotra : Other assets, I think we are participating in the process. We will wait and see how it pans out.

Moderator: The next question is from the line of Raashi from Citigroup.

Raashi : Thank you. Just checking by when would you expect the Jaypee assets to coincide with Dalmia's organic EBITDA per ton?

Yatin Malhotra : Raashi, I just answered that. As I said, a couple of quarters for us to break even on EBITDA and might be 7, 8 quarters to deliver EBITDA per ton in line with the other states of Dalmia overall average. But again, as you would expect, early days for me to give a definite guidance. So we will see how this pans out. I can tell you that we are very strongly working to make sure that it gets online ASAP.

Raashi : Got it. And on the overall cost for Dalmia, I think earlier you mentioned that you were targeting cost reduction on internal efficiencies to the tune of 50 to 100 per year. Is that still on track?

Yatin Malhotra : That is definitely on track. When we closed March quarter, Q4, we said that what we promised a couple of years ago, we have demonstrated that w e have delivered. And now, it is a continuous activity. So I don't want to treat that as a guidance, but you can trust as we are working on that 24/7.

Raashi : Just one last question I missed. What was the accrual incentive in this quarter?

Yatin Malhotra : I think we mentioned that number, INR45 -odd crores.

Raashi : Okay. And you received how much?

Yatin Malhotra : INR60 crores.

Moderator: The next question is from the line of Sarthak Tita from DSP Asset Managers.

Sarthak Tita : Hi, good evening. Thank you for the opportunity. I just have a small question on the cost side. So on the power and fuel cost on the presentation, we have highlighted that we were able to weather the storm and we contained the fuel inflation by around INR150 per ton. Does this imply or will this cost be coming in, in Q2? Should we think around that line or INR70 to INR80 that you highlighted will be the only uptick in power and fuel cost in second quarter? Just some clarity on that would be helpful.

Yatin Malhotra : So INR150 is something that we were able to avoid. And I think there is no reason for us to believe that this will come and hit us in Q2. I think this is a permanent change in the way of working that we were able to do. And that's also included some part as an opening inventory impact.

Looking at Q2, as I said, 10 days ago, we were looking at 70, 80 -odd bucks Q2 over Q1. But now, with this evolving situation, we'll have to see how the story pans out. Right now, I would work with that number, but again, it's a very evolving place. So let us look out for that.



There is one more factor of cost. I think diesel increases happened towards the end of May. So last quarter only had 1 month with full diesel cost impact that there would be an impact for that. But packing cost was very high i n quarter 1. That is improving in quarter 2, unless things go bad again. So all put together, I think somewhere in the range of INR70, INR75 is what you would expect, unless things turn drastically bad from where we are today.

Sarthak Tita : Got it. Thank y ou, sir. One small question , I don't know if you mentioned it earlier, but any number of v

olumes that you can indicate in the ramp -up of the new acquired unit that we started in last 10 days? Will that be material or it will be very small in amount?

Yatin Malhotra : It definitely would be small. I don't know whether it will be very small, but I would not want to call out any numbers. I would again say, give us some time. And I think we can share more details as time passes by.

Sarthak Tita : Yes, got it. Than ks so much. All the best. Thank you.

Moderator: We'll take the next question from Pulkit Patni from Goldman Sachs. Please go ahead.

Pulkit Patni : Sir, I just have a bookkeeping question. This exceptional item that you have booked, I just wanted to understa nd, since this is part of an acquisition, would it not be capitalized? Why has

it been taken through the P& L, if you could help me understand that a little better.
Dharmender Tuteja : Pulkit, when you acquire a business, normally, the accounting standards a sk you to choose either the business combination method of accounting of acquisition or the asset purchase. So since this was a business purchase, it was a lumpsum amount for the whole lot of assets. So it qualifies as a business combination.
So in busines s combination, you fair value the assets and account for, and then, of course, allocate to respective assets pro rata depending on the valuation report, purchase price allocation is done.
But once this fair valuation has been done, stamp duty does not add any additional value to the asset so that this additional cost has to be charged off as per accounting standards. But for tax purposes, this will be, again, considered as a capital asset and depreciation will be claimed on that.
Had we followed the asset purchase, had we purchased individual asset that this asset we are purchasing for this much value, then we would have gone. It would not have a slump sale purchase, it would have been asset purchase, then stamp duty would have been capitalized. So business combination, you have to expense off all these transition costs, which do not add value to asset which is already fair valued.
Pulkit Patni : Thanks for that.
Moderator: Thank you. The next question is from Prateek Kumar from Jefferies. Please go ahead.


Prateek Kumar : I have one question on like you have acquired like quite a few small assets like Murli, Kalyanpur, Northeast operations, Jaypee. How would you rate assets of Jaypee versus some of these assets in terms of ability to scale up EBITDA per ton in line with your company benchmark? And how is the pricing of central market for yourself versus your company average or like market average?
Puneet Dalmia: I think we have to look at it from 2 lenses. One is that the strategic aspect. I think it accelerates our entry into the central market, which we think is long term, a very attractive market, both from a market structure point of view , as well as a growth point of view. So that's point number one.
Point number two, it gives us a lot of flexibil ity in doing brownfield and debottlenecking options. So, there is we can average our cost down further from here. These are the big positives that we see. And a lot of infrastructure is already here, like there is railway siding, there is colony, there's a lot of surplus land. So I think this is a very large asset in terms of its footprint and a lot of infra already exists here. So I think those are the positives.
I think the negative here is that , this plant was shut for a long time, and it is a relatively older plant. So I think we have to put some money into bringing it down in terms of the efficiency, the cost curve. That is what we are ascertaining.
But overall, I think Jaypee is known for building very good plants and technically excellent asset. We ac quired Bokaro also from them in 2015, and I think it really delivered very well for us and I think our te

am was familiar with this asset because we've done tolling as well.
So I think overall, we think strategically, we are quite well positioned. It is jus t a slightly higher cost plant because they have not done enough capex that they should have to bring it down the cost curve. And that is something we have to do some catch -up capex and efficiency capex to restart the plant and bring it down to the Dalmia efficiency curve. So overall, I think it ticks all the boxes in terms of what we think is strategically attractive and financially accretive.
Prateek Kumar : Another question on pricing...
Moderator: Mr. Kumar, I'm sorry, sir, you will have to rejoin the qu eue for follow -up.
Prateek Kumar : No, this question was asked in the first question only.
Management: Yes, what pricing?
Puneet Dalmia: I think we are pretty much buying it at not a very expensive valuation. We haven't paid a very high premium. It's like a close to replacement cost.
Yatin Malhotra : Your question was on...
Prateek Kumar : Sir, the question was on market pricing, cement pricing.
Yatin Malhotra : Can you repeat your question, Prateek? Just come back with the question quickly, Prateek.


Prateek Kumar : So, the question was how is the pricing this season, your pricing versus your average pricing and your pricing versus central market's pricing?
Yatin Malhotra : I can just tell you I don't have that data off hand, but I can tell you that once we ente r the market, we'll enter at the level our premium price positioning would be at par with the industry leaders.
So I can tell you that. So there won't be any discounting as such in our pricing. How much does

it compare versus our overall average? I don't h ave that number offhand.
Prateek Kumar : Thank you.
Moderator: The next question is from the line of Indrajit Agarwal from CLSA. I'm sorry, sir, your audio is not clear. Mr. Agarwal, I would request you to kindly use your handset.
Indrajit Agarwal: Can you hear me now?
Moderator: Sir, some disturbance, but you may try. Please use your handset while talking.
Indrajit Agarwal: What is the price versus...
: We can't hear.
Moderator: Sir, it's not clear.
Indrajit Agarwal : Do we have a brownfield expansion opportunity at Jaypee?
Yatin Malhotra : I think we answered that question. We called it out in our investor deck also when we acquired the asset. We definitely have brownfield expansion, and we also called out the numbers, but we are to yet to do a full ass essment. So we will come -- sorry, sorry, sorry, brownfield, yes, so both brownfield and debottlenecking are there on the table.
Debottlenecking, we mentioned about that in our earlier investor presentation. And brownfield also, as Puneetji mentioned, ther e are enough reserves, enough land. I think we should be able to look at it, but we'll be detailing as we go forward.
Indrajit Agarwal : Sure. And on price exit versus quarter average?
Yatin Malhotra : Sorry?
Indrajit Agarwal : The cement prices exit versus q uarter average, how is it currently?
Yatin Malhotra : June exit versus quarter 1?
Indrajit Agarwal : Yes.
Yatin Malhotra : I think most of the markets have held steady. Bengal has seen some suppression of prices but in July, in initial period, we have seen some uptick in South again. So it's a very, very evolving


space. We are not monitoring one date versus one average. Let us see how the quarter works for us.
Indrajit Agarwal : Thank you.
Moderator: Thank you. T he next question is from the line of Gaurav Nag ori from Avendus Spark. Please go ahead.
Gaurav Nagori: Any update on the North region foray? And are we going to see the delay because of priority to ramp up the Jaypee assets? And also, are we looking to transport volumes from Central to North market bec ause what we

hear is a lot of activity on the logistics side in Rajasthan by Dalmia?
Yatin Malhotra : I don't think moving material from Central to Rajasthan or North market is on the table. That is definitely not on the table. And regarding your point rega rding expansion in North, I think Puneetji detailed out very, very clearly.
Our stated aspiration is to be a pan -India player. We have given a milestone in terms of capacity and years. North is definitely going to be there on the table. But when it happens and when do we announce, I think that we will come back to you as we go along. We can't comment on that.
Gaurav Nagori: All right. Thank you.
Moderator: Thank you. T he next question is from the line of Jashandeep Singh Chadha from Nomura. Please go ahead .
Jashandeep Chadha : Yes, hi. Thank you for the opportunity and congratulations on a good set of numbers. So, my question to you, Puneet, is over the FY '27 -'28, as per you, what is the capacity that will be added in the Eastern region? And do you think the industry East industry is in the last leg of massive capacity addition?
And Yatin, just on Jaypee, while you were calculating your internal IRRs and returns, what sort of even if you can give us an indicative number, what sort of utilization and EBITDA per ton you were working with? Just an indication will also work.
Yatin Malhotra : Your first question is how much capacity is getting added in East? Is that, Jash?
Jashande ep Chadha : Yes, sir in '27, '28.
Yatin Malhotra : I think if we just put the numbers that we have in front of us, we are looking at 10 million to 11 million tons getting added in both the years industry -wide, but I think you can be a better judge of that th an us. So we have a number of 10 to 11 in each year, '27 and '28.
And regarding your second question, what number I was working on in terms of EBITDA and volume? I think, Jashandeep, we will have to I don't think I'll be very specific on that. I can just tell you that it's a very, very promising region.


We're looking at higher capacity utilization. And as I said, in 6 to 8 quarters, I'm looking at

EBITDA turning at the current Dalmia normal average level. So I think you can put 2 and 2 together with that.

Jashandeep Chadha : Right. And just one thing on capacity, do you think East beyond this will not see a massive capacity addition? Is the industry in the last leg of massive capacity addition that we are seeing for the last 5 years?

Yatin Malhotra : Jashandee p, I would not hazard a guess on that. What I'm very clear on is that East we have invested. Dalmia has invested a little ahead of time. We are very well entrenched. The markets are opening up. Every state, I think, offers a great promising opportunity in terms of demand. So, I think East is going to be a strong region for the industry and for us. So that's the way we see it. How much everyone else is adding and what is that number adding up to, I think the demand should be able to take care of the supply.

Puneet Dalmia : With the West Bengal elections also, I think there is...

Yatin Malhotra : Yes. I think every state looks to us as a very promising state in terms of potential demand.

Moderator: Thank you, sir. Ladies and gentlemen, we'll be taking the last question for today from Rajesh Ravi from HDFC Securities. Please go ahead.

Rajesh Ravi : Yes. Hi, sir. Good evening. Just on the other income...

Moderator: Mr. Ravi, I'm sorry, sir, your audio is not clear. Please use your handset.

Rajesh Ravi: Better now?

Moderator: Yes, it's much better. Please continue.

Rajesh Ravi: Sir, could you explain this mark -to-mark et, the income which is booked in the other income? Is it related to IEX? And if I recollect earlier, this was moving to other comprehensive income?

Dharmender Tuteja : No. The IEX gain goes into other comprehensive income. Whatever is i

n other income is only for the treasury investments into mutual funds and bonds.

Rajesh Ravi: Okay. So, this would be full y volatile quarter?

Dharmender Tuteja : This is because of the market yields. If you remember, quarter 4, the yields had gone up. So we had a mark -to-market losses at that time. Now, market yields corrected in this quarter after the policy announcement and because of the attraction of RBI's measures to attract global capital in the form of FPIs and ECBs. So the rates have come down. That is why the mark -to-market gains have come. So on average, you can assume that treasury yields will be close to about 6.5% to 7%, not more than that.



Rajesh Ravi: That is it from my end. Thank you.

Moderator: Thank you. As that was the last question for today, I would now like to hand the conference over to Mr. Puneet Dalmia for closing comments. Thank you, and over to you, sir.

Puneet Dalmia : Thank you very much. Again, we appreciate your interest in us, and thank you for the engagement, and thank you for the feedback. We are very excited by the acquisition and the greenfield build -out that we are doing. And I think in the next few quarters and over the next 2, 3 years, I think we have very exciting times ahead. Thank you for your interest. Take care. Have a great weekend. Bye.

Moderator: Thank you, sir. Thank you, members of the management. On behalf of Dalmia Bharat Limited, that concludes this conference. We thank you f or joining us, and you may now disconnect your lines. Thank you.